# ICICI Bank Ltd. (ICICIBANK)

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# Call: Jul 2023

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Analyst call on July 22, 202 3: opening remarks

Certain statements in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward -looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Su ch forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward -looking statements. These risks and uncertainties include, but are not limited to statutory and regula tory changes, international economic and business conditions; political or economic instability in the jurisdictions where we have operations, increase in non -performing loans, unanticipated changes in interest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India's sovereign rating, as well as other risks detailed in the reports filed by us with the United States Securities and Exchange Commission. Any forward -looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward -looking statements to reflect events or circumstances after the date thereof. Additional risks that could affect our future operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov.
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Ladies and gentlemen, good day, and welcome to ICICI Bank Limited Q1 FY 2024 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation co ncludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Bakhshi, Managing Director and CEO of ICICI Bank. Thank you, and over to you, Mr. Bakhshi.

Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q 1 of FY202 4. Joining us today on this call are Sandeep Batra, Rakesh , Anindya and Abhinek .

The Indian economy continues to be resilient amidst signs of slowdown in the global economy. The u nderlying indicators reflect continuing growth in economic activit y, with expansion in manufacturing and services PMI, higher tax collection s, real estate buoyancy and resilient urban demand. The Government led capex cycle is continuing . Though there has been a pause in the monetary tightening cy cle in India , the global and dom estic inflation, liquidity and rate environment continues to evolve .

At ICICI Bank, o ur strategic focus continues to be on growing our core operating profit less provisions , i.e., profit before tax excluding treasury gains through the 360-degree customer centric approach and by serving opportu nities across ecosystems and micro markets . We continue to operate within our strategic framework and strengthen our franchise, enhance our delivery and servicing capabilities and expand our technology and digital offerings.
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The core operating profit less provisions grew by 38.0 % year -on-year to 125.95 billion Rupees in this quarter. The core operating profit increased by 35.2 % year -on-year to 138.87 billion Rupees in this quarter. The profit after tax grew by 39.7 % year -on-year to 96.48 b

illion Rupees in this quarter.

Total deposits grew by 17.9 % year -on-year and 4.9% sequentially at June 30, 2023. Term deposits increased by 25.8% year -on-year and 9.8% sequentially at June 30, 2023. During the quarter, the average current and savings account deposits grew by 6.6% year -on-year and 2.6% sequentiall y. The Bank's liquidity coverage ratio for the quarter was about 124%.

The domestic loan portfolio grew by 20.6 % year -on-year and 4.0% sequentially at June 30, 2023. The retail loan portfolio grew by 21.9 % year -on-year and 4.5% sequentially. Including non-fund based outstandin g, the retail portfolio was 45.9 % of the total portfolio. The business banking portfolio grew by 30.4 % year -on-year and 3.8% sequentially . The SME portfolio grew by 28.5 % year -on-year and 5.0% sequentially. The rural portfolio grew by 17.6% year -on-year and 3.6% sequentially. The domestic corporate portfolio grew by 19.3 % year -on-year and 2.8% sequentially driven by growth across well-rated financial and non -financial corporates. The overall loan portfolio including the international branches portfolio grew by 18.1 % year -on-year and 3.7% sequentially at June 30 , 2023 .

We continue to enhance our digital offerings and platforms to onboard new customers in a seamless manner, provide them end-to-end digital journeys and personali zed solutions , and enable more effective data driven cross sell and up sell . We have shared some details on our technology and digital offerings in slides 15 to 26 of the investor presentation.

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The net NPA ratio was 0.48% at June 30, 2023 , compared to 0.48% at March 31, 2023 and 0.70 % at June 30, 2022 . During the quarter, there were net additions of 18.07 billion Rupees to gross NPAs, excluding write -offs and sale , reflecting mainly the seasonal higher additions in the kisan credit card portfolio and lower recoveries and upgrades from the corporate portfolio compared to the last couple of quarters . The total provisions during the quarter were 12.92 billion Rupees or 9.3% of core operating profit and 0.49 % of average advances. The provisioning coverage ratio on NPAs was 82. 4% at June 30, 2023. In addition, t he Bank continues to hold contingency provisions of 131.00 billion Rupees or about 1.2% of total loans as of June 30, 2023 .

The capital position of the Bank continued to be strong with a CET -1 ratio of 16.66%, Tier 1 ratio of 16.76% and total capital adequacy ratio of 17.47% at June 30, 2023 , including profits for Q1 of 2024 .

Looking ahead, we see many opportunities to drive risk calibrated profitable growth . We believe o ur focus on customer 360, extensive franchise and collaboration within the organi sation, backed by our digital offerings and process improvement and service delivery initiatives will enable us to deliver holistic solutions to customers in a seamless manner and grow market share across key segments . We will continue to make investments in technology, people, distribution and building our brand . We will remain focused on maintaining a strong balance sheet wi th prudent provisioning and health y levels of capital . The principles of "Return of Capital", "Fair to Customer, Fair to Bank" and "One Bank, One Team, One RoE" will continue to guide our operations. We remain focused on delivering consistent and predictable returns to our shareholders.

I now hand the call over to Anindya .

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Anindya 's opening remarks

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details, growth in digital offerings , portfolio trends and performance of subsidiaries.

A. Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 16.6 % year -on-year and 3.2% sequentially. Auto loans grew by 23.7 % year -on-year and 5.6% sequentially . The commercial vehicles and equ

ipment portfolio grew by 8.1% year -on-year and 2.4%
sequentially . Growth in the personal loan and credit card portfolio was 40.6 % year -on-year and 7.6% sequentially . This portfolio was 1,355.15 billion Rupees or 12.8 % of the overall loan book at June 30, 2023 .

The overseas loan portfolio , in US dollar terms, declined by 32.1 % year -on-year and 5.2% sequentially at June 30, 2023 . The overseas loan portfolio was about 3.1% of the overall loan book at June 30, 2023 . The non -India linked corporate portfolio declined by 39.7 % or about 182 million US dollars on a year -on-year basis . Of the overseas corporate portfolio, about 90% comprises Indian corporates, 6% is overseas corporate s with Indian linkage, 2% comprises companies owned by NRIs or PIOs and balance 2% is non -India corporates.

B. Credit quality
There were net additions of 18.07 billion Rupees to gross NPAs in the current quarter compared to 0.14 billion Rupees in the previous quarter. The net additions to gross NPAs were 19.32 billion Rupees in the retail , rural and business banking portfolio s and there were net deletions of gross NPAs of 1.25 billion Rupees in the corporate and SME portfolio .
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The gross NPA additions were 53.18 billion Rupees in the current quarter compared to 42.97 billion Rupees in the previous quarter . Recoveries and upgrades from gross NPAs, excluding write -offs and sale, were 35.11 billion Rupees in the current quarter comp ared to 42.83 billion Rupees in the previous quarter.

The gross NPA additions from the retail , rural and business banking portfolio were 50.72 billion Rupees compared to 40.20 billion Rupees in the previous quarter . There were gross NPA additions of about 6.66 billion Rupees from the kisan credit card portfolio in the current quarter. We typically see higher NPA additions from the kisan credit card portfolio in the first and third quarter of a fiscal year. Recoveries and upgrades from the retail , rural and business banking portfolio were 31.40 billion Rupees compared to 31.47 billion Rupees in the previous quarter.

The gross NPA additions from the corporate and SME portfolio were 2.46 billion Rupees compared to 2.77 billion Rupees in the previous quarter . Recoveries and upgrades from the corporate and SME portfolio were 3.71 billion Rupees compared to 11.36 billion Rupees in the previous quarter .

The gross NPAs written -off during the quarter were 11.69 billion Rupees. There was no sale of NPA s in the current quarter compared to sale of 2.01 billion Rupees for cash in the previous quarter.

The non -fund based outstanding to borrowers classified as non -performing was 37.04 billion Rupees as of June 30, 2023 compared to 37.80 billion Rupees as of March 31, 2023 . The Bank holds provisions amounting to 19.64 billion Rupees against this non -fund based outstanding .

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The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 39.46 billion Rupees or about 0.4% of the total loan portfolio at June 30, 2023 from 45.08 billion Rupees as of March 31, 2023 . Of the total fund based outstanding under resolution at June 30, 2023 , 34.06 billion Rupees was from the retail , rural and business banking portfolio and 5.40 billion Rupees was from the corporate and SME portfolio. The Bank holds provisions of 12.24 billion Rupees against these borrowers, which is higher than the req uirement as per RBI guidelines.

Moving on to the P&L details:

C. P&L d etails
Net interest income increased by 38.0 % year -on-year to 182.27 billion Rupees. The

net interest margin was 4.78 % in this quarter compared to 4.90 % in the previous quarter and 4.01 % in Q1 of last year. The sequential movement in NIM reflects the lagged impact of increase in deposit rates over the last year on cost of deposits , offset , in part

, by an increase in loan and investment yields. Of the total domestic loans, interest rates on 46% are linked to the repo rate, 3% to other external benchmarks and 20% to MCLR and other older benchmarks. The balance 31% of loans have fixed interest rates. The impact of interest on income tax refund on n et interest margin was 3 basis points in Q1 of this year compared to nil in the previous quarter and 3 basis points in Q 1 of last year.

The domestic NIM was at 4.88 % this quarter compared to 5.02 % in the previous quarter and 4.14 % in Q 1 of last year. The cost of deposits was 4.31 % in this quarter compared to 3.98 % in the previous quarter , reflecting the increase in deposit rates over the last year, though rates on incremental retail term deposits have largely

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stabilized and wholesale deposit rates have moderated . We expect the cost of deposits to continu e to increase over the next couple of quarters.

Non-interest income, excluding treasury gain s, grew by 12.0 % year -on-year to 51.83 billion Rupees in Q 1 of 202 4

■ Fee income increased by 14.1 % year -on-year to 48.43 billion Rupees in this quarter . Fees from retail, rural, business banking and SME customers constituted about 78% of the total fees in this quarter .

■ Dividend income from subsidiaries and associates was 2.91 billion Rupees in this quarter compared to 3.47 billion Rupees in Q 1 of last year. The year -on-year decline in dividend income was due to lower final di vidend from ICICI Securities Primary Dealership .

On Costs: The Bank's operating expenses increased by 25.9 % year -on-year in this quarter . Employee expenses increased by 36.3 % year -on-year in this quarter reflecting the annual increments , promotions and increase in number of employees over the last 12 months. The Bank had about 135,000 employees at June 30, 2023 . The number of employee s has increased by about 27,650 in the last 12 months . Non-employee expenses increased by 19.5 % year -on-year in this quarter primarily due to retail business related expenses and technology expenses . Our branch count has increased by 174 in the first quarter and we had 6,074 branches as of June 30, 2023 . The technology expenses were about 9.0% of our operating expenses in this quarter.

The core operating profit increased by 35.2 % year -on-year to 138.87 billion Rupees in this quarter . Excluding dividend income from subsidiaries and associates , the core operating profit grew by 37.0 % year -on-year.

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The total provisions during the quarter were 12.92 billion Rupees , or 9.3% of core operating profit and 0.49 % of average advances , including the seasonal impact of kisan credit card NPAs and lower write -back from corporate recoveries and upgrades relative to the last couple of quarters . The provisioning coverage on NPAs was 82.4% as of June 30, 2023 . In addition, we hold 12.24 billion Rupees of provisions on borrowers under resolution . Further, the Bank continues to hold contingency provision of 131.00 billion Rupees as of June 30, 2023 . At the end of June , the total provisions , other than specific provisions on fund -based outstanding to borrowers classified as non -performing , were 223.46 billion Rupees or 2.1% of loans .

The c ore operating profit less provisions grew by 38.0 % year -on-year to 125.95 billion Rupees in Q 1 of this year .

There was a treasury gain of 2.52 billion Rupees in Q 1 compared to a gain of 0.36 billion Rupees in Q 1 of the previous year , primarily reflecting proprietary trading gains capitali sing on market opportunities during the quarter .

The tax expense was 31.99 billion Rupees in this quarter compared to 22.60 billion Rupees in the corresponding quarter last year. The profit after tax grew by 39.7 %

year -on-year to 96.48 billion Rupees in this quarter .

Sandeep earlier talked about the capital adequacy position with a CE

T-1 ratio ,
including profits for Q1 of 2024, of 16.66%, Tier 1 ratio of 16.76% and total capital adequacy ratio of 17.47% at June 30, 2023. The se ratios include the impact of increase in risk -weighted assets for operational risk , which is computed in first quarter of every fiscal year. Also d uring this quarter, there was a redemption of Tier 1 bonds of 40.00 billion Rupees .

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D. Growth in digital offerings
Leveraging digital and technology across business es is a key element of o ur strategy of growing the risk -calibrated core operating profit. We continue to see increasing adoption and usage of our digital platforms by our customers.

There have been more than 10 million activations of iMobile Pay by non -ICICI Bank account holders at end-June 2023 . We have seen about 230,000 registrations by non-ICICI Bank account holders on InstaBIZ till June 30 , 2023 . Our m erchant STACK offers an array of banking and value -added services to retailers, online businesses and large e -commerce firms such as digital current account opening, instant overdraft facilities based on point -of-sale transactions, connected banking services and digital store management , among others.

We have created more than 20 industry specific STACKs which provide bespoke and purpose -based digital soluti ons to corporate clients and their ecosystems. Our Trade Online and Trade Emerge platforms allow customers to perform most of their trade finance and foreign exchange transactions digitally. Our digital solutions integrate the export transaction lifecycle with bespoke solutions providing frictionless experience to our clients and simplify customer journeys. The latest digital solutions includes Insta EPC for inst ant disbursal of export finance, eDocs sol ution for regulatory compliance, vessel tracking for r eal-time status update on shipment and document tracking for movement of export documents . About 70% of trade transactions were done digitally in Q1 of this year. The value of transactions done through Trade Online and Trade Emerge platforms in Q1 -2024 was 1.4 times the value in Q1 -2023 .

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E. Portfolio information
We have provided details on our retail, business banking and SME portfolio in slides 32 to 43 of the investor presentation.

The loan and non-fund based outs tanding to performing corporate and SME borrowers rated BB and below was 42.76 billion Rupees at June 30, 2023 compared to 47.04 billion Rupees at March 31, 2023 and 82.09 billion Rupees at June 30 , 2022 . The total outstanding of 42.76 billion Rupees at June 30, 2023 includes 7.27 billion Rupees of loan and non -fund based outstanding to borrowers under resolution.

The maximum single borrower outstanding in the BB and below portfolio was less than 5 billion Rupees at June 30 , 2023 . At June 30, 202 3, we held provisions of 4.02 billion Rupees on the BB and below portfolio compared to 4.09 billion Rupees at March 31, 202 3. This includes provisions held against borrowers under resolution included in this portfolio.

The total outstanding to NBFCs and HFCs was 874.18 billion Rupees at June 30, 2023 compared to 834.90 billion Rupees at March 31, 2023. The total outstanding loans to NBFCs and HFCs were about 8% of our advances at June 30, 2023 . The sequential increase in the outstanding to NBFCs and HFCs is mainly due to disbursements to entities having long vintage and entities owned by well-established corporate groups.

The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 427.12 billion Rupees at June 30, 2023 compared to 398.87 billion Rupees at March 31, 2023 . The builder portfolio is abou t 4% of our total loan portfolio. Our portfolio largely comprises well-established builders and this is also reflected in the sequential increase in the portfolio. About 3.8% of the builde

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portfolio at June 30, 2023 was either rated BB and below internally or was classified as non -performing , compared to 4.6% at March 31, 2023 .

F. Consolidated results
The consolidated profit after tax grew by 44.0% year -on-year to 106.36 billion Rupees in this quarter.

The details of the financial performance of subsidiaries and key associates are covered in slides 46 to 49 in the investor presentation.

The value of new business margin of ICICI Life was 30.0% in Q1 -2024 compared to 32.0% in fiscal 2023. The value of new business of ICICI Life was 4.38 billion Rupees in Q1-2024 compared to 4.71 billion Rupees in Q1 -2023 . The annualized premium equivalent was 14.61 billion Rupees in Q1-2024 compared to 15.2 0 billion Rupees in Q1 -2023 . The profit after tax of ICICI Life increased by 32.7 % year -on-year to 2.07 billion Rupees in Q1-2024 compared to 1.56 billion Rupees in Q1-2023.

Gross Direct Premium Income of ICICI General was 63.87 billion Rupees in Q1-2024 compared to 53.70 billion Rupees in Q1-2023. The combined ratio stood at 103.8 % in Q1-2024 compared to 104.1 % in Q1-2023. Excluding the impact of cyclone of ■ 0.35 billion, the combined ratio was 102.9% for Q1 -2024. The profit after tax was 3.90 billion R upees in Q1-2024 compared to 3.49 billion Rupees in Q1-2023.

The profit after tax of ICICI AMC was 4.74 billion Rupees in this quarter compared to 3.05 billion Rupees in Q 1 of last year .

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 2.71 billion Rupees in this quarter compared to 2.74 billion Rupees in Q1 of last year.
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ICICI Bank Canada had a profit after tax of 16.4 million Canadian dollars in this quarter compared to 7.2 million Canadian dollars in Q 1 last year .

ICICI Bank UK had a profit after tax of 9.4 million US dollars this quarter compared to 3.4 million US dollars in Q1 of last year .

As per Ind AS, ICICI Home Finance had a profit after tax of 1.05 billion Rupees in the current quarter compared to 0.40 billion Rupees in Q 1 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.

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Moderator:
The first question is from the line of Mahrukh Adajania from Nuvama Wealth.

Mahrukh Adajania:
Congratulations. My first question is on cost of funds. Over the last 2 quarters, in each of the quarters, you've seen an over 30 basis points Q -o-Q increase in cost of funds. So do we see this increa se moderating from here on? And , where or when do cost of funds peak?

Anindya Banerjee:
I don't want to talk about the level, but we will see the cos t of funds continue to increase I would guess, for the next couple of quarters. And by then , the repricing impact should have largely taken place, that trajectory will continue.

Mahrukh Adajania:
Okay. Any kind of colour that you could give on how much deposits have already been repriced and how much are pending to be repriced, how much liabilit y?

Anindya Banerjee:
Not really, because it i s a function of both scheduled and premature repayments and also, of course, now given the growth in the deposit base itself, function of the rates that we see incremental deposits are being raised. So, I think , you could try and look at it based on sort of the current versus historic deposit rates and that should give a fair idea. We still have some way to go.

Mahrukh Adajania:
Okay. And my next question is on loan growth. So, in the quarter, at least on a sequential basis, unsecured has grown much faster than secured, even housing. Is there any challenge to asset quality in any of the segments? So, maybe not in the

income segments you operate in, but there are often noises about unsecured NPLs going up, it may not be for banks like you, but in general. So, any stress in any segment which could then lead the

regulator to hike risk rates?

Anindya Banerjee:
I mean, we can talk about our own portfolio. And as you can imagine, we also pay close attention to market commentary, as well as regulatory commentary and keep looking at the portfolio and various cuts of the portfolio. So we are quite comfortable with our origination and the quality of the portfolio that we have, as well as the incremental volumes that we're doing. So, no concern from our side as such. I think, we continue to see pretty decent opportunity for penetration in our existing customer base, and also for new customer acquisition in our target segments.

Moderator:
The next question is from the line of Kunal Shah from Citigroup.

Kunal Shah:
Yes. Congratulations for a good set of numbers. So, firstly, on just the deposit growth, a lot of catch -up which has happened in this particular quarter itself, getting towards almost of 18 -odd percent. So within this term deposits, incrementally how much would have been, say, wholesale versus retail?

Anindya Banerjee:
Since the proportion in our deposit base hasn't really changed. I think, we've always said that 75% to 80% of our deposits overall are retail and t hat continues. So we've seen pretty strong growth on the retail side. And of course, we have seen some flows on the wholesale side as well, but retail continues to be the prime driver.


Kunal Shah:
Okay. And , in terms of again, the larger part of deposits in terms of the repricing. So, Mahrukh also asked that question, but should we see further catch -up, maybe in the deposits, which would have been raised currently, this would not have entirely got reflected i n terms of the cost of deposits now and that should lead to a higher cost of deposits catch -up in the coming quarter?

Anindya Banerjee:

As I mentioned, there is a deposit rate. Now, if you look at the retail deposit rate, it has been more or less stable for the last 6, 7 months. So, to the extent that there are deposits from prior periods that have to mature and reprice, that effect will play through. In addition, of course, the growth in deposits itself. So, if you look at this quarter, we have increased our term deposit base by about INR620 billion. So, that growth in incremental deposit will also affect the overall cost. So we will see a continuing increase in the cost of deposits for the next couple of quarters.

Kunal Shah:
Sure. And second on employe e costs. So, last time, you already had a one -off of the retirement and maybe the pace was expected to moderate, but in fact, even on that base we have seen a sequential uptake. So, you highlighted mainly the annual incentives, but how much would be the st able level of employee cost we should look at it? What was the one -off in terms of the annual incentives ?

Anindya Banerjee:
See, we don't really disclose the annual incentives, etc . But if you look at it, we had done significant additions to the team in the second half of last year and we have, of course, on top of that, added number of people in the first quarter as well. And also, given the increments and started the year at that level. So that is what has led to the increase in the employee cost. And f rom here on, we will see based on our

business plans, we do expect to continue to hire, and that will start contributing to revenues also at some point.

Kunal Shah:
Sure. And one last question on MCLR differential to private banks. We are still much lowe r, almost like 25 to 45 basis points kind of there Any plans to catch up on that? Maybe, obviously, it's a factor of cost of deposits and the return expectations, but still it's much on the lower side. And should we see we're getting the benefit on the corporate when we do the lending, maybe clearly a pricing benefit vis -a-vis the private peers?

Anindya Banerjee:
So, I think the way in which MCLR is required to be computed is pretty prescr

iptive.
So we basically follow those guidelines and there is an out come, there is some discretion beyond that, but it's pretty limited. And so, there is no real question of, say, on the base MCLR, which is the one -year MCLR is doing a catch -up per se. It is a function of the formula.
In terms of the corporate lending, I t hink, if we look at the current level of MCLR that we have, there are, of course, corporates who are borrowing below that level. So those end up getting some amount linked to exter nal benchmarks and so on. So, I think the level of the MCLR itsel f does have some impact, but not may be as much, because finally what matters is really the level of yield. I mean, the MCLR is just a benchmark like other available benchmarks.

Moderator:
The next question is from the line of Nitin Aggarwal from Motilal Oswal.


Nitin Aggarwal:
Congrats on the results. One question is like, has there been any change in the way ICICI Bank is looking at its subsidiaries now? Because often, like changing plans to increase stake in ICICI Lombard down for the period of ICIC I Securities. So, any color on that?

Anindya Banerjee:
I don't think there is any fundamental change as far as ICICI Lombard is concerned. As you are aware, our shareholding had come down below 50% due to an M&A that the company has done. And as per stat ute, we can't hold between 30% and 50%. And when this event happened in 2020, the view was that we would have to go down to 30%, for which we had obtained the regulatory exemption for 3 years, which we subsequently were able to obtain an extension of 1 yea r. But as things panned

out, I think we felt that it would be possible to look at increasing our stake back above 50%, and that is what we decided to do. And we are, of course, awaiting regulatory approval for that, and the application is pending. So, I th ink, if you look at it from a strategic perspective, whether it is at 48% or 51% is still a very large holding. It's a company carrying our name and so on. So I don't think anything fundamentally changes. It's more a way of what is the best way of complyin g with the statute.
As far as ICICI Securities is concerned, I think we have always said that it is very core to our business and there is a lot of synergy between ICICI Bank and ICICI Securities. And we have been quite clear that we don't intend to moneti ze, although it is a listed company and required to maintain a minimum public float, we would not want to go below 75% in that entity. And then as we saw the opportunity to enter into a Scheme of Arrangement and make it a wholly -owned subsidiary, we though t that that would be the right path to pursue given the synergies between the 2 companies. But I don't think either of these is really fundamentally strategic changes.

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Nitin Aggarwal:
Okay. And second question is, there has been a slight increase in our NIM advances this quarter, is it possible to share how much of this increase is due to the mix change and growth and how much is due to repricing of loans? What I'm trying to really assess is like, this quarter the NIM compression has been around 12%. So, in the absence of any repricing -related benefit, is it fair to say that NIM could see sharper decline in 2Q and 3Q, when the repricing could be at its peak?

Anindya Banerjee:
So, this quarter, I think, if you look at it, we have seen some increase in ou r yield on investments and on our yield on advances. I think, we did get some benefit of the last repo hike, which happened during Q4, because the portfolio reprices over a period of time based on the reset date. So that benefit did come. There was also some benefit in the yield on investments , because of the repricing of some of the floating rate bond portfolio and so on. So, assuming that repo rate remains where it is, those kind of benefit s will not be there in the subsequent quarters, that's cor

rect.

Nitin Aggarwal:
Right. And if I can squeeze in one more question. On the corporate lending piece, like, we have reported pretty strong growth, 19%, some of the peers this quarter have not grown citing the pricing pressures. So how do you view versus the co mpetitive environment in wholesale business?

Anindya Banerjee:
So, actually, I think if you look back a little further, we were not growing till last year, our corporate loan portfolio as much, while some of the peers were growing it at a much faster cli p and our main concern was around the levels of pricing. I would say, over the last year, possibly, certainly, there has been some improvement , post the monetary tightening cycle, there was some better opportunities for corporate
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lending. So, we continue t o look at the risk -adjusted returns and really the whole overall ecosystem approach, because we don't see the lending decision in isolation. And wherever we see that there is an overall opportunity for the corporate, that opportunity from a particular clie nt and their ecosystem, we participate in it. I think, basically, what we're looking for is the first principle of return of capital. We want to keep the portfolio reasonably granular and really look at cases where we have a larger ecosystem opportunity in terms of their value chain and their employee base. So, within this construct, we're quite happy to grow the corporate portfolio.

Moderator:
Next question is from the line of Saurabh from JPMorgan.

Saurabh:
Sir, just two questions. One is, the attrition level at ICICI Bank, would it have gone up in fiscal '23 versus fiscal '22? S econdly, the growth that we're seeing in personal loans and credit cards. So have you moderated down risk filters? Or is it due to more cross -sells through your existing clients, like, if you could give some qualitative color around that?

Anindya Banerjee:
So, first, I think on attrition we have not yet published our BRSR. That will come out hopefully in the next 10 to 15 days, and then the numbers would b e in the publi c domain. I think you've seen the numbers which have come out of some of our peer set, and they are reasonably high and that's reflective, I guess, of what is happening across the system over the last 2 years, I would say. So I don't think that there is an y specific thing that we would want to call out really regarding attrition in our context. On your second question, on credit cards and personal loans, so we have not moderated any sort of whatever diluted any risk filters on a large -scale basis. Of course , we would always be trying to sharp shoot and sort of figure out which are

the pockets where we can do more and which are the pockets that we should do less. But broadly, I would say, our stance on risk has been quite consistent, and we keep reviewing the portfolio and the outcome today are well within our tolerance range.

Moderator:
Next question is from the line of Param Subramanian from Nomura.

Param Subramanian:
My question is on operating expenses. So, if you look over the last couple of years, the operating expenses have actually been growing faster than the overall balance sheet growth, and it continues to be so. So, any timeline or any guidance on when this starts moderating or we see some sort of operating leverage kicking in? Of course, we st ill have the employee headcount and the branch rollout still in the pipeline. But, yes, any color around when we see an operating leverage playing out? That's my first question.

Anindya Banerjee:
So, we don't really look at it that way. I mean, in that s ense if you look at this quarter also, the operating income growth is a little bit higher than the operating expense growth. So, what we look at is really the overall PPOP and that having a positive direction on a risk -calibrated basis. And we would look a t all levels of profitability within that. Cur

rently, as we have said in the past, we feel that there is a lot of opportunity for us to grow our franchise and we would continue to invest in that.

Param Subramanian:
Okay. Fair enough. Just one more questi on again on the unsecured loans. Now, if you look across the market participants, there hasn't really been an increase in the lending rates across the market. Now, in your sense, is this being led largely by

competition? Or do you see any pressure in being able to increase your lending rates over the year? And is this something that should play out, say, over the course of the year? Because if we compare with other segments, the other segments have not really seen any repricing over the last year. Yes, that 's it for me.

Anindya Banerjee:
Sorry, which particular segment are you referring to? I missed that.

Param Subramanian:
Unsecured personal loans largely, yes.

Anindya Banerjee:
I think it has been quite competitive, and rates have not moved up. So , I don't see immediate sort of move up in rates. There have been a lot of players entering that segment, a lot of banks, as well as some of the NBFCs. And, I guess, credit experience in that segment has also been pretty good over the years. So, in that se nse, some reduction in the rates from what we have seen historically would be justified. But yes, today, the rates are at probably pretty low level, but I don't see them increasing much from here, although probably ideally they should.

Param Subramanian:
Congratulations on the quarter.

Moderator:
Thank you very much. I now hand the conference over to the management for closing comments.

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Anindya Banerjee:
Thank you all for sparing time on the Saturday evening, and we'll be available to take your ques tions off -line as well. Thank you.

Moderator:
Thank you very much. On behalf of ICICI Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

## Call: Oct 2023

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Analyst call on October 21, 2023: opening remarks

Certain statements in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward -looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Such forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward -looking statements. These risks and uncertainties include, but are not limited to statutory and regulatory changes, international economic and business conditions; political or economic instability in the jurisdictions where we have operations, increase in non -performing loans, unanticip ated changes in interest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India's sovereign rating, as well as other risks detailed in the reports filed by us with the United States Securities and Exchange Commission. Any forward -looking statements containe d herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward -looking statements to reflect events or circumstances after the date thereof. Additional risks that cou ld affect our future operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov.
This release does not constitute an offer of securities.

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Ladies and gentlemen, good day and welcome to the ICICI Ban k Q2 FY 24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please sign al an operator by pressing '*' then 0 on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Bakhshi, Managing Director and CEO of ICICI Bank. Thank you and over to you, sir.

Mr. Sandeep Bakhshi :

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q2 of FY2024. Joining us today on this call are Sandeep Batra, Rakesh, Anindya and Abhinek.

The Indian economy continued to be resilient amidst the uncertainties in the global environment, reflecting the actions and initiatives of the policymakers. The underlying growth momentum is visible with expansion in manufacturing and services PMI, real estate buoyancy, increasing steel an d cement output, higher tax collections and demand for travel. The Government led capex cycle is continuing. Though there has been a pause in the policy rate hike cycle in India, global and domestic inflation, and the liquidity and rate environment continu e to evolve.

At ICICI Bank, our strategic focus continues to be on growing our core operating profit less provisions, i.e., profit before tax excluding treasury through the 360 - degree customer centric approach, and by serving opportunities across ecosys tems and micro markets. We continue to operate within our strategic framework and
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strengthen our franchise, enhance our delivery and servicing capabilities and expand our technology and digital offerings.

The profit before tax excluding treasury grew by 35.7% year -on-year to 137.31 billion Rupees in this quarter. The core operating profit increased by 21.7% year -on year to 143.14 billion Rupees in this quarter. The profit after tax gre

w by 35.8% year
on-year to 102.61 billion Rupees in this quarter.

Total deposits grew by 18.8% year -on-year and 4.5% sequentially at September 30, 2023. Term deposits increased by 31.8% year -on-year and 9.2% sequentially at September 30, 2023. During the quarter, the average current and savings account deposits grew by 7.1% year -on-year and 1.1% sequentially. The Bank's average liquidity coverage ratio for the quarter was about 122%.

The domestic loan portfolio grew by 19 .3% year -on-year and 4.8% sequentially at September 30, 2023. The retail loan portfolio grew by 21.4% year -on-year and 5.5% sequentially. Including non -fund based outstanding, the retail portfolio was 46.0% of the total portfolio. The business banking port folio grew by 30.3% year -on-year and 10.6% sequentially. The SME portfolio grew by 29.4% year -on-year and 7.2% sequentially. The rural portfolio grew by 17.3% year -on-year and 3.5% sequentially. The domestic corporate portfolio grew by 15.3% year -on-year a nd 3.1% sequentially. The overall loan portfolio including the international branches portfolio grew by 18.3% year -on-year and 5.0% sequentially at September 30, 2023.

We continue to enhance our digital offerings and platforms to onboard new customers i n a seamless manner, provide them end -to-end journeys and solutions and enable more effective data driven cross sell and up sell. We have shared some details on our technology and digital offerings in slides 15 to 26 of the investor presentation.
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The n et NPA ratio declined to 0.43% at September 30, 2023 from 0.48% at June 30, 2023 and 0.61% at September 30, 2022. During the quarter, there were net additions of 1.16 billion Rupees to gross NPAs, excluding write -offs and sale. The total provisions during the quarter were 5.83 billion Rupees or 4.1% of core operating profit and 0.2% of average advances. The provisioning coverage ratio on NPAs was 82.6% at September 30, 2023. In addition, the Bank continues to hold contingency provisions of 131.00 billion Ru pees or about 1.2% of total loans as of September 30, 2023.

The capital position of the Bank continued to be strong with a CET -1 ratio of 16.77%, Tier 1 ratio of 16.86% and total capital adequacy ratio of 17.59% at September 30, 2023, including profits for H1 -2024.

Looking ahead, we see many opportunities to drive risk calibrated profitable growth. We believe our focus on customer 360, extensive franchise and collaboration within the organisation, backed by our digital offerings, process improvement s and service delivery initiatives will enable us to deliver holistic solutions to customers in a seamless manner and grow market share across key segments. We will continue to make investments in technology, people, distribution and building our brand. We will remain focused on maintaining a strong balance sheet with prudent provisioning and healthy levels of capital. The principles of "Return of Capital", "Fair to Customer, Fair to Bank" and "One Bank, One Team, One RoE" will continue to guide our operati ons. We remain focused on delivering consistent and predictable returns to our shareholders.

I now hand the call over to Anindya.

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Mr. Anindya Banerjee :

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details, growth in digital offerings, portfolio trends and performance of subsidiaries.
A. Loan growth
Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 16.2% year -on-year and 4.1% seque ntially. Auto loans grew by 24.1% year -on-year and 5.5% sequentially. The

commercial vehicles and equipment portfolio grew by 12.3% year -on-year and 4.5% sequentially. Personal loans grew by 40.4% year -on-year and 10.2% sequentially and the credit card por tfolio grew by 29.5% year -on-year and 6.2% sequentially. The personal loans and c

redit card portfolio were 9.4% and 3.9% of the overall loan book respectively at September 30, 2023.

The overseas loan portfolio, in US dollar terms, declined by 6.3% yea r-on-year at September 30, 2023. The overseas loan portfolio was about 3.3% of the overall loan book at September 30, 2023. The non -India linked corporate portfolio declined by 26.9% or about 115 million US dollars on a year -on-year basis. Of the overseas corporate portfolio, about 90% comprises Indian corporates, 6% is overseas corporates with Indian linkage, 2% comprises companies owned by NRIs or PIOs and balance 2% is non -India corporates.

B. Credit quality
There were net additions of 1.16 billion Rupees to gross NPAs in the current quarter compared to 18.07 billion Rupees in the previous quarter. The net additions to gross NPAs were 13.45 billion Rupees in the retail, rural and business banking portfolios and there were net deletions of gross NPAs of 12.29 billion Rupees in the corporate and SME portfolio.

The gross NPA additions were 46.87 billion Rupees in the current quarter compared to 53.18 billion Rupees in the previous quarter. Recoveries and upgrades from gross NPAs, excluding write -offs an d sale, were 45.71 billion Rupees in the current quarter compared to 35.11 billion Rupees in the previous quarter.

The gross NPA additions from the retail, rural and business banking portfolio were 43.64 billion Rupees in the current quarter compared t o 50.72 billion Rupees in the previous quarter. We typically see higher NPA additions from the kisan credit card portfolio in the first and third quarter of a fiscal year. Recoveries and upgrades from the retail, rural and business banking portfolio were 3 0.19 billion Rupees compared to 31.40 billion Rupees in the previous quarter. The gross NPA additions from the corporate and SME portfolio were 3.23 billion Rupees compared to 2.46 billion Rupees in the previous quarter. Recoveries and upgrades from the co rporate and SME portfolio were 15.52 billion Rupees compared to 3.71 billion Rupees in the previous quarter.

The gross NPAs written -off during the quarter were 19.22 billion Rupees. There was sale of NPAs worth 1.79 billion rupees in the current quarte r compared to no sale in the previous quarter. The sale of NPAs includes 0.14 billion rupees in cash and 0.53 billion rupees of security receipts. As these NPAs were fully provided, we continue to hold provisions against security receipts.

The non -fund based outstanding to borrowers classified as non -performing was 38.86 billion Rupees as of September 30, 2023 compared to 37.04 billion Rupees as of June 30, 2023. The Bank holds provisions amounting to 20.64 billion Rupees against this non -fund based outs tanding.

The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 35.36 billion Rupees or about 0.3% of the total loan

portfolio at September 30, 2023 from 39.46 billion Rupees at June 30, 2023. O f the total fund based outstanding under resolution at September 30, 2023, 30.00 billion Rupees was from the retail, rural and business banking portfolio and 5.36 billion Rupees was from the corporate and SME portfolio. The Bank holds provisions of 11.07 b illion Rupees against these borrowers, which is higher than the requirement as per RBI guidelines.

Moving on to the P&L details:

C. P&L details
Net interest income increased by 23.8% year -on-year to 183.08 billion Rupees. The net interest margin was 4.53% in this quarter compared to 4.78% in the previous quarter and 4.31% in Q2 of last year. The sequential movement in NIM reflects the lagged impac t of increase in term deposit rates over the last year, on the cost of

deposits.

The impact of interest on income tax refund on net interest margin was nil in Q2 of this year compared to 3 basis points in the previous quarter and no impact

in Q2 of
last year. The domestic NIM was at 4.61% this quarter compared to 4.88% in the previous quarter and 4.45% in Q2 of last year. The cost of deposits was 4.53% in this quarter compared to 4.31% in the previous quarter, reflecting primarily the increase in term d eposit rates over the last year, though rates on incremental retail term deposits have largely stabilized. Of the total domestic loans, interest rates on 48% are linked to the repo rate, 3% to other external benchmarks and 18% to MCLR and other older bench marks. The balance 31% of loans have fixed interest rates.


Non-interest income, excluding treasury, grew by 14.0% year -on-year to 58.61 billion Rupees in Q2 of 2024

• Fee income increased by 16.2% year -on-year to 52.04 billion Rupees in this quar ter. Fees from retail, rural, business banking and SME customers constituted about 78% of the total fees in this quarter.

• Dividend income from subsidiaries and associates was 6.48 billion Rupees in this quarter, same as in Q2 of last year.

On Costs: The Bank's operating expenses increased by 20.8% year -on-year in this quarter. Employee expenses increased by 29.0% year -on-year in this quarter. The Bank had about 139,000 employees at September 30, 2023. The number of employees has increased by about 29,000 in the last 12 months. Non -employee expenses increased by 16.3% year -on-year in this quarter primarily due to retail business related and technology expenses. Our branch count has increased by 174 in Q2 -2024 and we had 6,248 branches as of Se ptember 30, 2023. The technology expenses were about 9.2% of our operating expenses in H1 of this year.

The core operating profit increased by 21.7% year -on-year to 143.14 billion Rupees in this quarter. Excluding dividend income from subsidiaries and a ssociates, the core operating profit grew by 22.9% year -on-year.

The total provisions during the quarter were 5.83 billion Rupees, or 4.1% of core operating profit and 0.2% of average advances compared to 12.92 billion Rupees in the previous quarter. Th e sequential decline in provisions reflects higher NPA additions from kisan credit card portfolio in Q1 of this year, and corporate recoveries and upgrades as well as recoveries from written -off accounts. The provisioning coverage on NPAs was 82.6% as of S eptember 30, 2023. In addition, we hold 11.07

billion Rupees of provisions on borrowers under resolution. Further, the Bank continues to hold contingency provision of 131.00 billion Rupees as of September 30, 2023. At the end of September, the total provis ions, other than specific provisions on fund -based outstanding to borrowers classified as non -performing, were 229.10 billion Rupees or 2.1% of loans.

The profit before tax excluding treasury grew by 35.7% year -on-year to 137.31 billion Rupees in Q2 of this year.

There was a treasury loss of 0.85 billion Rupees in Q2 similar to Q2 of the previous year.

The tax expense was 33.85 billion Rupees in this quarter compared to 24.78 billion Rupees in the corresponding quarter last year. The profit after tax grew by 35.8% year -on-year to 102.61 billion Rupees in this quarter.

D. Growth in digital offerings
Leveraging digital and technology across businesses is a key element of our strategy of growing the risk -calibrated core operating profit. We continue to see increasing adoption and usage of our digital platforms by our customers.

There have been more than 10 million activations of iMobile Pay by non -ICICI Bank account holders at end -September 2023.

Our merchant STACK offers an array of banking and value -added services to retailers, online businesses and large e -commerce firms s uch as digital current account opening, instant overdraft facilities based on point -of-sale transactions, connected banking services and digital store management, among others.
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We have created mor

e than 20 industry specific STACKs which provide bespoke and purpose -based digital solutions to corporate clients and their ecosystems. Our Trade Online and Trade Emerge platforms allow customers to perform most of their trade finance and foreign exchange transactions digitally. Our digital solutions integrate the export transaction lifecycle with bespoke solutions providing frictionless experience to our clients and simplify customer journeys. About 71% of trade transactions were done digitally in Q2 of this year. The volume of transactions done through Trade On line and Trade Emerge platforms in Q2 -2024 grew by 29.7% year on-year.

E. Portfolio information
We have provided details on our retail, business banking and SME portfolio in slides 32 to 43 of the investor presentation.

The loan and non -fund based o utstanding to performing corporate and SME borrowers rated BB and below was 47.89 billion Rupees at September 30, 2023 compared to 42.76 billion Rupees at June 30, 2023 and 76.38 billion Rupees at September 30, 2022. The increase during the quarter is due to the upgrade of one borrower from non -performing status. Other than this account, the maximum single borrower outstanding in the BB and below portfolio was less than 5.00 billion Rupees at September 30, 2023. At September 30, 2023, we held provisions of 8.17 billion Rupees on the BB and below portfolio compared to 4.02 billion Rupees at June 30, 2023. This includes provisions held against borrowers under resolution included in this portfolio.

The total outstanding to NBFCs and HFCs was 837.49 billion R upees at September 30, 2023 compared to 874.18 billion Rupees at June 30, 2023. The total outstanding loans to NBFCs and HFCs were about 8% of our advances at September 30, 2023.
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The builder portfolio including construction finance, lease rental discou nting, term loans and working capital was 430.58 billion Rupees at September 30, 2023 compared to 427.12 billion Rupees at June 30, 2023. The builder portfolio is about 3.9% of our total loan portfolio. Our portfolio largely comprises well -established builders and this is also reflected in the sequential increase in the portfolio. About 3.5% of the builder portfolio at September 30, 2023 was either rated BB and below internally or was classified as non -performing, compared to 3.7% at June 30, 2023.

F. Consolidated results
The consolidated profit after tax grew by 36.1% year -on-year to 108.96 billion Rupees in this quarter.

The details of the financial performance of subsidiaries and key associates are covered in slides 46 to 49 in the investor prese ntation.

The value of new business margin of ICICI Life was 28.8% in H1 of this year compared to 32.0% in fiscal 2023 and 31.0% in H1 of last year. The value of new business of ICICI Life was 10.15 billion Rupees in H1 of this year compared to 10.92 billion Rupees in H1 of last year. The annualised premium equivalent was 35.23 billion Rupees in H1 of this year compared to 35.19 billion Rupees in H1 of last year. The profit after tax of ICICI Life was 4.51 billion Rupees in H1 of this year compared to 3.55 billion Rupees in H1 of last year and 2.44 billion Rupees in Q2 -2024 compared to 1.99 billion Rupees in Q2 -2023.

Gross Direct Premium Income of ICICI General was 60.86 billion Rupees in Q2 -2024 compared to 51.85 billion Rupees in Q2 -2023. The combine d ratio stood at 103.9% in Q2 -2024 compared to 105.1% in Q2 -2023. Excluding the impact of CAT losses, the combined ratio was 102.8% in Q2 -2024 and 104.3% in Q2 -2023. The profit after



tax was 5.77 billion Rupees in Q2 -2024 compared to 5.91 billion Rupees in Q2-2023. The profit after tax of Q2 -2023 included reversal of tax provisions of 1.28 billion Rupees.

The profit after tax of ICICI AMC, as per Ind AS was 5.01 billion Rupees in this quarter compared to 4.06 billion Rupees in Q2 of last year.

The pr

ofit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 4.24 billion Rupees in this quarter compared to 3.00 billion Rupees in Q2 of last year.

ICICI Bank Canada had a profit after tax of 21.1 million Canadian dollars in this quarter compared to 12.0 million Canadian dollars in Q2 of last year.

ICICI Bank UK had a profit after tax of 3.3 million US dollars this quarter compared to 1.5 million US dollars in Q2 of last year.

As per Ind AS, ICICI Home Finance had a profit after tax of 1.12 billion Rupees in the current quarter compared to 0.60 billion Rupees in Q2 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.



Moderator:

Thank you very much. We will now begin the question and answer session. We have the first question from the line of Mahruk h Adajania from Nuvama. Please go ahead.

Mahruk h Adajania:

Hello, I just had a question on the sector and then even on margins. So, there's a lot of talk going around on unsecured loans, on which segment of unsecured loans is safe and which is seeing hi gher delinquencies. So, what is the sense you make from the bureau data and from your own customer data, that's the first question.

And then in your experience as veteran bankers, do you think that the stress in one segment, say below 50,000, can easily spread to other segments, so that's my first question.

Anindya Banerjee:

Yes, we track this portfolio quite closely and we have be en doing so for the past several quarters. As far as our portfolio is concerned , we feel that the trends are quite stable and the credit delinquencies and credit costs are well within what we would have sort of expected them to be.

As far as the industry outlook is concerned, we have also seen some research which makes this distinction between the smaller ticket size loans and the larger ticket size loan.

As far as our portfolio is concerned, we have a very minimal presence in the smaller ticket size se gment. But I think you are right in the sense that if we start seeing

significant increase in delinquencies on personal loans that would have implications for other parts of the portfolio as well, potentially.

But, I think if we have kind of focus ed on the portfolio as we believe we have on existing customers, on cross -sell and on customers with credit scores above a certain level, and also properly assessed and monitored their level of leverage and how many loans they are servicing at any point in time , we feel that the risks should not be something which would cause too much concern, but we will continue to monitor this as we go along. As things stand in our portfolio the numbers are pretty comfortable and that is why you would have seen us growing the p ortfolio also at a similar pace this quarter as we have been growing for the past several quarters.

Mahruk h Adajania:

Okay but as the portfolio season ed, even in your portfolio would it be fair to say that there would be a rising delinquencies over the last six months like anything to call out?

Anindya Banerjee:

There is nothing really to call out , if you look at for example, we have been saying for the last several quarters that in absolute terms as the retail portfolio grows and season ed and some of the higher recoveries coming out of the stock of NPLs that got created during COVID come down , the net additions t o gross NPLs in the retail portfolio will go up, but they have been moving quite in a stable way.

And in fact, in this quarter, you have seen it coming down actually sequentially, which is partly due to the absence of KCC NP Ls, but even on the retail sid e the performance has actually improved slightly.

Mahruk Adajania:

Got it. And , would it be possible to get the average ticket size?

Anindya Banerjee:

No, we have not really give

n that answer. But , as I said, our presence in the smaller ticket size would be marginal.

Moderator:

Thank you. We will take our next question from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar:

Hi sir, just two questions. One is your recovery and upgrade, so your retail slippages are running at 3% and your recovery upgrades are like 60% of that. Is that what you would consider as a normal run rate in this business now?

Anindya Banerjee:

I guess so. I mean as the portfolio grows in absolute terms, it may go up, but we expect these trends to be reasonably stable. There could be some variation quarter -to-quarter.


Saurabh Kumar:

Okay and the second sir, again back to the PL, the 40% gr owth that you have seen, your approval rates on loans will be -- where would this be versus let's say 2023 and versus like 2019 in terms of your internal credit filters?

Anindya Banerjee:

We have not really talked about approval rates and so on. I think we have given our outlook on the portfolio and we will continue to monitor it as we go along.

Saurabh Kumar:

Okay, but your credit filters internally have come down over the last one yea r, sir? I mean, if you can give us directional colo ur?

Anindya Banerjee:

No, I don't think we would have diluted our credit filters. In general, I think we have been focusing progressively more on the upper end of the spectrum.

Moderator:

Thank you. We will take our next question from the line of Chintan Joshi from Bernstein. Please go ahead.

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Chintan Joshi:

Hi, thank you for the opportunity. I have two areas ; one is on kind of lending and deposit yields and second is on your branch expansion strategy. Lending yields have gone down 5 basis points this quarter, which felt a little low. And cost of deposit yields – cost of deposit has gone up substantially. How m uch repricing is left on the deposits and on the lending side ?

And, the second question is, HDFC is growing branches quite aggressively now. It is leaving some of the other private sector banks behind on market share relative to the private sector. How do es this impact kind of your branch expansion strategy on a three -year view?

Anindya Banerjee:

As far as the first question is concerned, I think you're aware that the way margins for most banks have moved over the last few quarters in FY23, banks saw t he benefit of the increase in the repo rate on the external benchmark linked loans, primarily mortgages and others.

And the deposit rate started to also go up last year, but because the deposits are fixed term, that repricing impact is playing out throug h the quarters and we are currently in the situation where the policy rates are on a pause, and therefore the external benchmark linked loans are not seeing an increase in yields.

But the deposit rate increases that took place last year are continuing to reprice as they come up for maturity and so on and so forth. So, that is why in fact we had articulated even in the call last time that the repricing of the loan book from here on would not be significant, and that is the way it has played out.

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We would continue to expect to see some increase in the cost of deposits on the book, and therefore some moderation in margins over the next quarter or so as well, as we have articulated in the past, but on a full year basis, we continue to expect that the margins would be at a similar level as they were in FY23.

On your second question on branch strategy, so we have added about 350 branches in the first half of this year. We are really looking at what is our network across different micro -markets and ass essment of the opportunity in those micro -markets and the branch capacity we need to add to serve that and that is the basis on which we are adding, not really looking at what any other particular bank may o

r may not
be doing.

Chintan Joshi:

That might leave you losing market share relative to the other players, are you happy with that?

Anindya Banerjee:

As I said, we are looking at what is our assessment of the market in each place, in each kind of geographical area and what is the kind o f network expansion we need to do based on that. So, it is kind of aligned to what our growth aspirations are.

Moderator:

Thank you. We will take our next question from the line of Rahul Jain from Goldman Sachs . Please go ahead.


Rahul Jain:

Yes, good evening everyone. Actually, I have two, three questions. Number one, can I just get your thoughts on the competitive dynamics, particularly in mortgages and deposits because clearly, the systemic growth has not been very strong in mortgages and o f course, some pricing pressure here anecdotally has started coming through. So, what are your experience in that?

Anindya Banerjee:

So on mortgages, yes, it has always been a competitive segment and it continues to be so. So , we do have players offerin g in particular segments that they are targeting pretty competitive rates. But we are calibrating our response and trying to make sure that we optimize across the portfolio. But o verall, I think on loan pricing there is a reasonable level of competitive in tensity across the system.

Rahul Jain:

Got it. And the reason I was asking is, of course, credit cost has been extremely benign. So do we choose to pass on some of that and strengthen the position in the secured portfolio because very unsecured while your portfolio is fine, but RBI has found it out, everybody across the board has been saying that the portfolios are fine, but when we speak to some of the bureaus, they do tell us that there's been some downgrades in Super Prime customers too. So just try ing to get some head around as to how the cycle will play out. So while it is looking pretty strong at this point of time, but what RBI and the bureaus are saying in the Prime, Super Prime customers, is there a need for you to increase your secure portfoli o at some stage and therefore offer some of the pricing out there? Just trying to understand that how it evolves.


Anindya Banerjee:

I don't think it is like that so if you look at our secured retail portfolios those are going pretty well ; mortgages growing at 16% -17%, auto is growing above 20%, commercial vehicles which was flat or growing just about in single digits for a long time, this quarter the year -on-year growth is more like 14%. Our SME and business banking portfolios are growing at the 30% kind of level.

So, I think we have pretty broad -based growth and certainly we are not reliant on personal loans for growth. It is still less than 10% of our loan book. Credit cards, of course, we would want to continue to expand our franchise. For personal loans, we will continue to monitor the portfolio and whatever comes through our credit filters in the customer segments that we are comfortable with, we will take that.

In any case, we are not particularly targeting a certain level of loan growth. If credit conditions are not so favo urable in our view and we need to prune it by a percentage point or two that is fine. But , currently there is no softness in the secured loan categories either.

Moderator:

Our next question from the line of Ku nal Shah from Citigroup. Please go ahead.

Kunal Shah:

Yes, thanks for taking my question. So firstly, in terms of the international NIMs, they have gone up by almost like 56 odd b asis points. Are we seeing, obviously the portfolio is quite small now. Bu t eventually when we look at it, is this a steady state

in the overall or maybe we see further improvement in the NIMs as well looking at the rates globally?

Anindya Banerjee:

I think it is not particularly consequential Kunal that is a small p

ortfolio.
Incrementally , mainly what we are doing there is a short -term working capital , trade finance kind of portfolio. So we do that, the funding that is available and the rates that are wherever we see that the lending rates give us appropria te level of spread over that funding particularly for some of the Indian corporates etc ., also in that market the Indian banks tend to be quite competitive. So in the overall scheme of things it does not really make much of a difference.

Kunal Shah:

Secondly in terms of the unsecured so if you look at the retail slippage run rate which is there. Any change in mix between the secured and unsecured incrementally ? And is there a need to increase the rates in any of the segment s of the personal loan portf olio? Either maybe due to the industry delinquency levels or what we are seeing. And is there enough or maybe if you talk about the competitive intensity even within the PL, is that giving us any kind of leverage to increase the rates if need be or is it extremely competitive from the other players?

Anindya Banerjee:

So I would want to increase rates on every loan category, every customer given, because as I said, the loan markets across all segments for, I think, the quality of customers that most banks are prioritizing from corporate through SME to retail, the pricing environment is competitive.


As far as the personal loans are concerned, I mean, you are aware that rates in that segment have come off meaningfully across, over the last few years. I gues s, driven by the favo urable credit experience and driven by the entry of new players who were not perhaps present in those segments earlier. It continues to be a profitable portfolio, so we will see it as we go along, and as long as we are able to get volu mes in our chosen customer segments, we will keep looking at it. Otherwise, we can always prune it if required.

Moderator:

Thank you. We have next question from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla:

Thank you fo r the opportunity. My first question Anindya is slide 54. There is a five basis points Q -o-Q decline in yield on loans when slippages have declined quarter -on-quarter. What kind of explains that?

Anindya Banerjee:

So largely I think it is basis, the computational convention, because the second quarter has one day more than the first quarter. So the interest computation convention led to some decline, but that is mathematical. It will be stab le in Q 3 and then reverse in Q4.

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As I said, it may not have made too much impact in this quarter from a yield on advances perspective, but there is significant pricing competition in the market as well.

Manish Shukla:

I appreciate that, Anindya. But the fact that we are still in elevated interest rate environment, I would not have expected it is to go down, especially when slippage are lower. So that is where the question came from.

Anindya Banerjee:

But four, five b asis points can always happen either way. Yes.

Manish Shukla:

Okay. Going back to your comment that full year margin should largely be similar to last year. Full year, last year we were at 4.5, first year is first half, this year is 4 .65. That implies a 4.35 for second half. Is that the way to look at it?

Anindya Banerjee:

We cannot give a specific number. As I said, we do expect margins to moderate further from the Q2 level. And hopefully, the extent of moderation could be somewhat lower. And we woul d be at a similar level of margins as we were last year. That is what I think we have been consistently saying for the last couple of quarters. Therefore, we are just maintaining the same thing.

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Moderator:

Thank you. We have a next question from the li ne of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise:

Hi, thanks for the opportunity. Ju

st a quick question on the mortgage portfolio. So if I see the presentation of few quarters back say a year back, the average ticket size on the portfolio was roughly 25 lakhs. It is right now at 35 lakhs. Does the sizable increase look okay or is there something more to read into it?

Anindya Banerjee:

I do not recall the 25 lakh number. I think it would – was always 30 odd. But yes, there would have been some increase in the average ticket size, that looks okay.

Sameer Bhise:

Okay, because say Q1-2023 shows 2.5 million as average ticket size of the home loan, while it is 3.5 million right now. So just wanted to pick your brains on the same? Fine, I will follow up offline. Thank you.

Moderator:

Thank you. We have a next question from the line of Ashish Sharma from Enam A MC. Please go ahead.

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Ashish Sharma:

Yes, hi. Just on the net interest margin, would you be able to sort to differentiate in terms of impact which is because of ICC, incremental cash reserve ratio? So, the NIM compression we have seen something which will not flow through in the next quarter. Any comment on that?

Anindya Banerjee:

So ICC would have been a small impact. As I mentioned, if you look at the sequential impact, there would have been some 2-3 basis point impact of the absence of interest on income tax refund. The ICRR would have had maybe one or a couple of basis points impact. The day count would have had some impact , but the larger impact would have been the repricing of deposits that we have spoken of earlier.

Ashi sh Sharma:

Okay. The second question would be on the personal loan. So given the growth rate, which we are comfortable at this moment , in terms of what regulator is saying, I think they also have clarified the issue is on the growth part. So I mean, from a delinquency perspective, we aren't seeing anything. I think you already sort of alluded a little bit on the first question. So let's just reconfirm again?

Anindya Banerjee:

As I said, we are comfortable with our portfolio. We believe we have underwritten it well. The delinquency levels on the portfolio are not disturbing us. But we will continue to monitor it as we go along.

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As I said, our presence in the smaller ticket sizes overall in the portfolio is marginal and over the last few qua rters, we would have been migrating more towards the upper segments. So no concerns on this portfolio that we have. We will continue to monitor the growth, the credit quality and growth trends for our portfolio as well as whatever system data we get and ca librate if we need to.

Moderator:

Thank you. We have the next question from the line of Param Subramanian from Nomura. Please go ahead. Mr. Subramanian.

Param Subramanian:

Yes, thanks for the opportunity. So, first question again on the unsecured piece, so we are continuing to see the strong growth at least for us. If you could highlight, explain the disconnect that we are seeing perhaps between the broader trends in consump tion in discretionary spend as well as, at least for yourself, t he strong growth that we're seeing in the unsecured piece, personal loans, credit cards, etc. Some of the use cases that have increased over the last few years, if you could highlight some of that, which is driving this strong growth that we're seeing? That's the first question .

Anindya Banerjee:

So I wouldn't really want to talk more about the unsecured piece. I don't think that our market share in credit card spend has increased dramatical ly. So there is enough growth happening across the system in these categories and we are not particularly divergent. So no further comment that I have to make on that.

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Param Subramanian:

Okay, fair enough. Secondly , on this recent fine by RBI on the cro ss selling of non -

financial products and one or two other reasons. You could speak a little bit about

that because, when it had happened for the peer banks, especially on this cross selling of non -financial products that had been taken seriously . So, any c omments there would be useful. Yes, that is it from me, thanks.

Anindya Banerjee:

So I think, as you are aware, the regulator conducts, inspections and continuous examination of the activities of banks. It is a heavily regulated activity and while we try and maintain as best levels of compliance, we can from time to time in any bank, there are misses for which you know action can be taken and penalties can be imposed. As stated in the public release, these relate to 2020 and 2021. And we have taken the necessary corrective action, as we have said in our release. So, nothing more to ad d on to that.

Moderator:

Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you.

Anindya Banerjee:

Thank you very much for taking time out on a Saturday evening, and have a good weekend.



Moderator:

Thank you. On behalf of ICICI Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Jan 2024

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Analyst call on January 20, 2024 : Opening R emarks

Certain statements in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward -looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Such forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward -looking statements. These risks and uncertainties include, but are not limited to statutory and regulatory changes, international economic and business conditions; political or economic instability in the jurisdictions where we have o perations, increase in nonperforming loans, unanticipated changes in interest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India's sovereign rating, as well as other risks detailed in the reports filed by us with the United States Securities and Exchang e Commission. Any forward -looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward -looking statements to reflect events or circumstan ces after the date thereof. Additional risks that could affect our future operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov

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Ladies and gentlemen, good day and welcome to the ICICI Bank Q 3 FY2024 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should yo u need assistance during the conference call, please signal an operator by pressing '*' then 0 on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Bakhshi, Managing Director and CEO of ICICI Bank. Thank you and over to you, sir.

Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q3 of FY202 4. Joining us today on this call are Sandeep Batra, Rakesh , Ajay, Anindya and Abhinek .

The Indian economy continues to remain resilient with upward revision in the GDP growth estimate for FY2024 by RBI , reflecting the consistent actions and initiatives of the policymakers . As the liquidity and interest rate environment evolves, we would continue to monitor the developments closely.

At ICICI Bank, o ur strategic focus continues to be on growing our core operating profit less provisions , i.e., profit before tax excluding treasury through the 360-degree customer centric approach , and by serving opportu nities across ecosystems and micro markets . We continue to operate within our strategic framework to strengthen our franchise and expand our technology and digital offerings. Maintain ing high standards of governance, deepening coverage and enhancing deliver y capabilities are our focus areas for risk calibrated profitable growth .

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The profit before tax excluding treasury grew by 23.4% year -on-year to 135. 51 billion Rupees in this quarter. The core operating profit increased by 10.3% year -on-

year to 146.01 billion Rupees in this quarter. The profit after tax grew by 23.6% year -on-year to 102. 72 billion Rupees in this quarter.

Total deposits grew by 18.7% year -on-year and 2.9% sequentially at December 31, 2023. Term deposits increased by 31.2% year -on-ye

ar and 4.9% sequentially at
December 31, 2023. During the quarter, the average current and savings account deposits grew by 5.3% year -on-year and 0.2% sequentially. The Bank's average liquidity coverage ratio for the quarter was about 121%.

The domestic loan portfolio grew by 18.8% year -on-year and 3.8% sequentially at December 31, 2023. The retail loan portfolio grew by 21.4% year -on-year and 4.5% sequentially. Including non -fund based outstanding, the retail portfolio was 46.4 % of the total portfolio. The business banking portfolio grew by 31.9% year -on-year and 6.5% sequentially. The SME portfolio grew by 27.5 % year -on-year and 6.7% sequentially. The rural portfolio grew by 18.2% year -on-year and 4.6% sequentially. The domestic corporate portfolio grew by 13.3% year -on-year and 2.9% sequentially driven by growth across well -rated financial and non -financial corporates. The overall loa n portfolio including the international branches portfolio grew by 18.5% year -on-year and 3.9% sequentially at December 31, 2023.

We continue to enhance our digital offerings and platforms to onboard new customers in a seamless manner, provide them end-to-end journeys and solutions and enable more effective data driven cross sell and up sell . We have shared some details on our technology and digital offerings in slides 15 to 26 of the investor presentation.



The net NPA ratio was 0.44% at December 31, 2023 compared to 0.43% at September 30, 2023 and 0.55 % at December 31 , 2022 . During the quarter, there were net additions of 3.63 billion Rupees to gross NPAs, excluding write -offs and sale. The total provisions during the quarter were 10.50 billion Rupees or 7.2% of core operating profit and 0.36 % of average advances. The provisioning coverage ratio on NPAs was 80.7% at December 31, 2023. In addition, t he Bank continues to hold contingency provisions of 131.00 billion Rupees or about 1.1% of total loans a t December 31, 2023 .

The capital position of the Bank continued to be strong with a CET -1 ratio of 16.03 %, Tier 1 ratio of 16.0 3% and total capital adequacy ratio of 16.70 % at December 31, 2023 , including profits for the nine months ended December 31, 2023. Th is include s the impact of recent regulatory guidelines on increasing the risk weight s on consumer loans and credit to NBFCs.

Looking ahead, we see many opportunities to drive risk calibrated profitable growth . We believe o ur focus on customer 360, extensive franchise and collaboration within the organi sation, backed by our digital offerings , process improvement s and service delivery initiatives will enable us to deliver holistic solutions to customers in a seamless manner and grow mark et share across key segments . We will continue to make investments in technology, people, distribution and building our brand . We will remain focused on maintaining a strong balance sheet with prudent provisioning and health y levels of capital . The principles of "Return of Capital", "Fair to Customer, Fair to Bank" and "One Bank, One Team, One RoE" will continue to guide our operations. We remain focused on delivering consistent and predictable returns to our shareholders.

I now hand the call over to Anindya .



Anindya 's opening remarks

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details, growth in digital offerings , portfolio trends and performance of subsidiaries.

A. Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 15.9% year -on-year and 3.7% sequentially. A uto loans grew by 22.5% year -on-year and 4.5% sequentially. The commercial vehicles and equipment portfolio grew by 14.8 % year -on-year and 3.3% sequentially. Personal loans grew by 37.3% year -on-year and 6.4% sequentially compared to 40.4% year -on-year and 10.2% sequentiall

y at September 30, 2023 .
The Bank worked on increasing pricing, further refining credit parameters and optimising sourcing costs resulting in lower disbursements of personal loans during the quarter as compared to the previous quarter. The c redit card portfolio grew by 39.5 % year -on-year and 11.5% sequentially. The personal loans and credit card portfolio were 9.4% and 4.1% of the overall loan book respectively at December 31, 2023.

The overseas loan portfolio , in US dollar terms, increased by 9.8% year -on-year at December 31, 2023 . The overseas loan portfolio was about 3.4% of the overall loan book at December 31, 2023 . The non -India linked corporate portfolio declined by 30.4% or about 116 million US dollars on a year -on-year basis . Of the overseas corporate portfolio, about 92% comprises Indian corporates, 4% is overseas corporate s with Indian linkage, 2% comprises companies owned by NRIs or PIOs and balance 2% is non -India corporates.



B. Credit quality

There were net additions of 3.63 billion Rupees to gross NPAs in the current quarter compared to 1.16 billion Rupees in the previous quarter. The net additions to gross NPAs were 23.0 2 billion Rupees in the retail, rural and business banking portfolios and there were net deletions of gross NPAs of 19.39 billion Rupees in the corporate and SME portfolio.

The gross NPA additions were 57.14 billion Rupees in the current quarter compared to 46.87 billion Rupees in the previous quarter . Recoveries and upgrades from gross NPAs, excluding write -offs and sale, were 53.51 billion Rupees in the current quarter compared to 45.71 billion Rupees in the previous quarter.

The gross NPA additions from the retail , rural and business banking portfolio were 54.8 2 billion Rupees in the current quarter compared to 43.64 billion Rupees in the previous quarter . There were gross NPA additions of about 6.17 billion Rupees from the kisan credit card portfolio in the current quarter. We typically see higher NPA additions from the kisan credit card portfolio in the first and third quarter of a fiscal year. Recoveries and upgrades from the retail , rural and business banking portfolio were 31.80 billion Rupees compared to 30.19 billion Rupees in the previous quarter. The gross NPA additions from the corporate and SME portfolio were 2.32 billion Rupees compared to 3.23 billion Rupees in the previous quarter . Recoveries and upgrades from the corporate and SME portfolio were 21.71 billion Rupees compared to 15.52 billion Rupees in the previous quarter .

The gross NPAs written -off during the quarter were 13.8 9 billion Rupees. There was sale of NPAs worth 0.36 billion rupees in the current quarter compared to 1.79 billion rupees in the previous quarter. The sale of NPAs includes about 0.29 billion rupees

in cash and about 0.07 billion rupees of security receipts. As these NPAs were fully provided , we continue to hold provisions against the security receipts.

The non -fund based outstanding to borrowers classified as non -performing was 36.94 billion Rupees as of December 31, 2023 compared to 38.86 billion Rupees as of September 30, 2023 . The Bank holds provisions amounting to 20.61 billion Rupees against this non -fund based outstanding .

The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 33.18 billion Rupees or about 0.3% of the total loan portfolio at December 31, 2023 from 35.36 billion Rupees at September 30, 2023 . Of the total fund based outstanding under resolution at December 31 , 2023 , 27.82 billion Rupees was from the retail , rural and business banking portfolio and 5.36 billion Rupees was from the corporate and SME portfolio. The Bank holds provisions of 10.32 billion Rupees against these borrowers, which is higher than the requirement as per RBI guidelines.

Moving on to the P&a;

mp;L details:

C. P&L d etails

Net interest income increased by 13.4% year -on-year to 186. 78 billion Rupees. The net interest margin was 4.43% in this quarter compared to 4.53% in the previous quarter and 4.65 % in Q3 of last yea r. The sequential movement in NIM reflects the lagged impact of increase in term deposit rates over the last year , on the cost of deposits.

The impact of interest on income tax refund on net interest margin was 4 bps in Q3 of this year compared to nil in the previous quarter and in Q 3 of last year. The
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domestic NIM was at 4.52% this quarter compared to 4.61 % in the previous quarter and 4.79% in Q3 of last year. The cost of deposits was 4.72% in this quarter compared to 4.53% in the previous quarter . Of the total domestic loans, interest rates on 49% are linked to the repo rate, 2% to other external benchmarks and 18% to MCLR and other older benchmarks. The balance 31% of loans have fixed interest rates.

Non-interest income, excluding treasury, grew by 19.8% year -on-year to 59.75 billion Rupees in Q3 of 202 4

■ Fee income increased by 19.4% year -on-year to 53.13 billion Rupees in this quarter . Fees from retail, rural, business banking and SME customers constituted about 79% of the total fees in this quarter

■ Dividend income from subsidiaries and associates was 6.50 billion Rupees in this quarter compared to 5.16 billion Rupees in Q3 of last year. The year -on-year increase in dividend income was primarily due to higher interim dividend from ICICI Securities, ICICI Prudential Asset Management and ICICI Securities Primary Dealership

On Costs: The Bank’s operating expenses increased by 22.3% year -on-year in this quarter . Employee expenses increased by 30.5% year -on-year in this quarter , reflecting mainly the increase in the employee base from the second half of fiscal 2023 onwards . The Bank had about 141,000 employees at December 31, 2023 . The number of employee s has increased by about 23,6 00 in the last 12 months and about 1,700 in the current quarter . Non-employee expenses increased by 17.8% year -on-year in this quarter primarily due to retail business related and technology expenses . Our branch count has increased by 123 in Q3-2024 and we had 6,371
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branches as of December 31, 2023 . The technology expenses were about 9% of our operating expenses in the nine months ended December 31, 2023 .

The core operating profit increased by 10.3% year -on-year to 146.01 billion Rupees in this quarter . Excluding dividend income from subsidiaries and associates , the core operating profit grew by 9.7% year -on-year.

The total provisions during the quarter were 10.50 billion Rupees , or 7.2% of core operating profit and 0.36 % of average advances compared to 5.83 billion Rupees in the previous quarter . The provisions during the quarter include d the impact of 6. 27 billion Rupees pursuant to the recent RBI circular on investments in Alternative Investment Funds. The provisioning coverage on NPAs was 80.7% as of December 31, 2023 . In addition, we hold 10.32 billion Rupees of provisions on borrowers under resolution . Further, the Bank continues to hold contingency provision of 131.00 billion Rupees as of Decemb er 31, 2023 . At the end of December , the total provisions , other than specific provisions on fund -based outstanding to borrowers classified as non - performing , were 230. 25 billion Rupees or 2.0% of loans .

The profit before tax excluding treasury grew by 23.4% year -on-year to 135.51 billion Rupees in Q3 of this year .

There was a treasury gain of 1.23 billion Rupees in Q3 compared to 0.36 billion Rupees in Q3 of the previous year.

The tax expense was 34.02 billion Rupees in this quarter compared to 27.02 billion Rupees in the corresponding quarter last year. The profit after tax grew by 23.6% year -on-year to 102.72 billion Rupees in this quarter .

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D. Growth in digital offerings

Leveraging digital and technology across business es is a key element of o ur strategy of growing the risk -calibrated core operating profit. We continue to see increasing adoption and usage of our digital platforms by our customers.

There have been more than 10 million activations of iMobile Pay by non -ICICI Bank account holders at end-December 2023 .

Our m erchant STACK offers an array of banking and value -added services to retailers, online businesses and large e -commerce firms such as digital current account opening, instant overdraft facilities based on point -of-sale transactions, connected banking services and digital store management , among others.

We have created more than 20 industry specific STACKs which provide bespoke and purpose -based digital solutions to corporate clients and their ecosystems. Our Trade Online and Trade Emerge platforms allow customers to perform most of their trade finance and foreign exchange transactions digitally. Our digital solutions integrate the imp ort transaction lifecycle with bespoke solutions providing frictionless experience to the clients and simplify customer journeys. About 72% of trade transactions were done digitally in Q3 -2024. The volume of transactions done through Trade Online platform in Q3 -2024 grew by 26.2 % year -on-year.

We have further simplified cross -border remittance journeys with new enhancements. SmartIRM, is a multi -party cross -border inward remittance solution with virtual a ccount architecture , enhanced security features and remittances reconciliation with payer identification. SmartORM enables pre-vetting of outward remittance transactions to ensure error -free submission before booking foreign exchange deal s.

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iLens, the retail lending platform currently enable d for mortgage s, is being upgraded on an ongoing basis with new features such as integration with account aggregators, opening of instant paperless saving bank account for newly on - boarded mortgage customers and instant property valuation reports for select developers to provide enhanced customer experience and serve the customer ’s 360 degree needs digital ly.

E. Portfolio information

We have provided details on our retail, business banking and SME portfolio in slides 32 to 43 of the investor presentation.

The loan and non-fund based outs tanding to performing corporate and SME borrowers rated BB and below was 58.53 billion Rupees at December 31, 2023 compared to 47.89 billion Rupees at September 30, 2023 and 55.81 billion Rupees at December 31, 2022 . This portfolio is about 0. 5% of our advances at December 31, 2023 . Other than two account s, the maximum single borrower outstanding in the BB and below portfolio was less than 5.00 billion Rupees at December 31, 2023 . At December 31, 202 3, we held provisions of 9.25 billion Rupees on the BB and below portfolio compared to 8.17 billion Rupees at September 30, 202 3. This includes provisions held against borrowers under resolution included in this portfolio.

The total outstanding to NBFCs and HFCs was 784.84 billion Rupees at December 31, 2023 compared to 837.49 billion Rupees at September 30, 2023 . The total outstanding loans to NBFCs and HFCs were about 6.8% of our advances at December 31, 2023 .

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The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 456.85 billion Rupees at December 31, 2023 compared to 430.58 billion Rupees at September 30, 2023 . The builder portfolio is abou t 4.0% of our total loan portfolio. Our portfolio largely comprises well-established builders and this is also reflected in the sequential increase in the portfolio. About 3.1% of the builder portfolio at December 31, 2023 was either rated BB and below internally or was classified as non -performing , compared to 3.5% a

t

September 30, 2023 .

F. Consolidated results

The consolidated profit after tax grew by 25.7 % year -on-year to 110.53 billion Rupees in this quarter.

The details of the financial performance of subsidiaries and key associates are covered in slides 46 to 49 in the investor presentation.

The annualised premium equivalent of ICICI Life was 54.30 billion Rupees in 9 months ended December 31, 2023 compared to 53.41 billion Rupees in 9 months of last year . The value of new business margin was 26.7 % in 9 months ended December 31, 2023 compared to 32.0% in 9 months of last year and 32.0% in fiscal 2023. The value of new business was 14.51 billion Rupees in 9 month s ended December 31, 2023 compared to 17.10 billion Rupees in 9 months of last year. The profit after tax of ICICI Life was 6.79 billion Rupees in 9 months ended December 31, 2023 compared to 5.76 billion Rupees in 9 months of last year and 2.27 billion Rupees in Q3-2024 compared to 2.21 billion Rupees in Q3-2023.

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Gross Direct Premium Income of ICICI General was 62.30 billion Rupees in Q3-2024 compared to 54.93 billion Rupees in Q3-2023. The combined ratio stood at 103.6 % in Q3-2024 compared to 104.4% in Q3-2023. Excluding the impact of CAT losses , the combined ratio w as 102.3 % in Q 3-2024 . The profit after tax was 4.31 billion Rupees in Q3-2024 compared to 3.53 billion Rupees in Q3-2023.

The profit after tax of ICICI AMC , as per Ind AS was 5.46 billion Rupees in this quarter compared to 4.20 billion Rupees in Q3 of last year .

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 4.66 billion Rupees in this quarter compared to 2.81 billion Rupees in Q3 of last year.

ICICI Bank Canada had a profit after tax of 15.9 million Canadian dollars in this quarter compared to 11.5 million Canadian dollars in Q3 last year .

ICICI Bank UK had a profit after tax of 6.7 million US dollars this quarter compared to 3.1 million US dollars in Q3 of last year .

As per Ind AS, ICICI Home Finance had a profit after tax of 1.86 billion Rupees in the current quarter compared to 1.05 billion Rupees in Q3 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.

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Moderator:

Thank you very much. We will now begin the question and answer session. We have the first question from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania:

Hi, I just wanted to know about operating expenses. They've not grown mu ch this quarter. So, going ahead, do we expect this kind of growth or any comments on the opex bit?

Anindya Banerjee:

As far as the operating expenses are concerned, I think if we look at the non - employee expenses, those are really growing in line with the business . This quarter, of course, the advertising and sales promotion expenses on a year -on-year basis, the growth was on the higher side because of the festive season related spend s. In the last year, the festive season was split over Q2 and Q3. So t hose are really growing in line with the business. On the employee side, I think , is where we have seen over the last maybe six quarters pretty high growth because of the increase in the team size of the Bank. But, as you would have seen in this quarter, t he net increase has slowed down, I mean, compared to about 10,000 to 11,000 in the first half, we were at about 1,700 in Q3. We would not be probably looking at adding the kind of headcount at the same pace. So, that will play through into the operating expenses as we go ahead.

Mahrukh Adajania:

So, the headcount additions now will be moderate o nly, this is not just a one -off?



Anindya Banerjee:

Yes, they will not be at the pace that we have seen over the previous four to five quarters.

Mahrukh Adajania:

Just in terms of LDR, there's a lot of discu

ssion around it already. You are okay, but do you have any path on LDR, I mean, would you like to retain LDR at current levels or bring it down, any views on that?

Anindya Banerjee:

The way we look at the balance sheet and the funding structure is that we look at, I would say three ratios, certainly the credit deposit ( CD) ratio or the LDR, the LCR, which is a measure of current liquidity and the NSFR or the net stable funding ratio. So the LCR and NSFR are a little more granular in the sense that they do take into account the nature of assets and liabilities in terms of product, cou nterparty and tenor. So, we look at all three. If we look at the LCR and the NSFR, we are well above the regulatory minimum at about 120%. On the credit -to-deposit ratio, there are a couple of things. One, typically a bank with a higher level of capital wo uld tend to have also a higher CD ratio mathematically. When we look at our CD ratio, we also look at the overseas operations and the domestic balance sheet separately, because they are managed separately and in the overseas operations we have relatively limited deposit taking capability. Of course, now the impact i s much lower than it used to be say 7-8 years ago, because that portfolio has come down to less than 5% of our overall portfolio, but it does have an impact of a percentage point or two. As far a s the bulk of the balance sheet, which is the domestic balance sheet of course, deposits are our primary source of funding along with capital. In addition t o that, we always try to optimis e between the wholesale deposit taking and the more stable



wholesale sources like refinance and bonds. So, in general, if you look at it over a longer period of time on the domestic balance sheet, our CD ratio has kind of hovered around the mid -80s other than periods of very high liquidity and very low loan growth like the pandemic. So, that is kind of the way in which we manage it , looking at all these three ratios on an ongoing basis.

Mahrukh Adajania:

Assuming that the rates will remain stable, would you say that your margins have now bottomed out and this would be the level or is deposit competition too strong to say that , assuming no change in policy rates?

Anindya Banerjee:

On the deposit side, I think the retail deposit rates have remained stable for a fair period of time now, at least the peak rate . Although , I think at various points of time, banks have moved up and down in certain other buckets. Of course, in Q3, given the overall liquidity environment, we did see some amount of hardening of the wholesale deposit rates, which is reflected in the certificate of d eposit ( CD) rates and also the rates being quoted for high value kind of deposit s, and I think if you look at current systemic liquidity , it is running at a negative. So, I guess that scenario will stay for some time until , may be, the monetary policy starts to turn a little more accommodative. So, that 's on the deposit rate side. From a margin perspective, we have said in the past that we expect the full year margin of this year to be at a similar level as of last year, and that implies some further ma rgin compression in Q4, but it should be much lower than what we have seen . I mean, Q3 was already much lower than Q2, and Q4 should be lower than what we have seen in Q3.

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Moderator:

Next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka:

Two questions. One, on asset quality. If I see your slippages in retail, rural, business banking , that have gone up, even if I knock off the kisan credit card slippages. So, can you explain , where that has come from? Similarly , on the recoveries and upgrades in corporate and SME, is there any kind of one -off or what 's happened there that has also improved actually?

Anindya Banerjee:

I think as far as the retail side is concerned, nothi

ng specific to call out. I think it 's really spread across products, and if you look at the delta relative to the size of the portfolio, it is not particularly meaningful. So, as we have been saying, we would expect both the gross and net additions on the re tail side to gradually normalis e upwards, both as the portfolio grows and season s. On the corporate side, we did have one or two larger sort of upgrades this quarter, but in a way the benefit of that in provisioning terms was kind of offset by the provisioning on the AIF investments. Taking it altogether, if we look at kind of the credit costs, the provisioning for the quarter and eliminate maybe a very chunky corporate upgrade, eliminate the AIF provisioning and really try and look at an adjusted number, it would be still be below maybe 5 0 bps of loans and about 10 % of the PPOP. So that is the context in which we would look at the NPL formation and recoveries from our planning and risk appetite perspective.

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Abhishek Murarka:

Sort of extending that, does it mean that even in the next few quarters, we should continue to see credit cost in that range because you have enough PCR anyway, that can come down a little bit, so credit cost can remain low for let's say next three to four quarters, is that a fair assumption?

Anindya Banerjee:

We don't really give forward -looking thing, but I would say that yes, I don't see anything imminently that would cause it to spike up, there will be some gradual normalization upwards.

Abhishek Murarka:

My second question is just on cost of deposits. If you can share maybe your incremental cost of TDs or incremental cost of deposits, anything that you may have handy that would be helpful?

Anindya Banerjee:

We don't publish those numbers, Abhishek.

Moderator:

Next question is from the line of Rik in Sh ah from IIFL. Please go ahead.

Rikin Shah:

I just have one question on cost of deposits. If you could just qualitatively comment as to the repricing on the existing book of TD, would you say that by Q 4, most of it would already be repriced into the P&L o r it could flow into Q 1 as well?


Anindya Banerjee:

There could be some flow into Q 1 as well, but I think most of it should be done in Q4.

Rikin Shah:

In this quarter, it increased 20 bps Q -o-Q. So, in terms of the quantum, should it be kind of slowing down from the current run rate?

Anindya Banerjee:

I would guess so.

Moderator:

Next question is from the line of Kunal Shah from Citi group. Please go ahead.

Kunal Shah:

Sir, the question is on yield. When we look at it , in fact the rise is in some of the high yielding portfolio, sequential growth has been strong and we would have increased the rates even say post the tweaking of the risk weights by RBI, but still, overall yield on advances are down, so just want to under stand on that bit? This entire NBFC rundown which has been there, is it like we tried to pass it on , in terms of the rates and then there were repayments or we have been conservative post the risk weight stance from RBI?

Anindya Banerjee:

On the first q uestion, I think part of the impact on the advances yield is because of the addition to the KCC NPL. So basically wha t happens is that you derecognis e a

year's worth of interest income , so that does impact the yield on advances. In other parts, one, if you look at the share of the high yielding portfolio, it is still not that high and we have seen decent growth in mortgages and auto and also on the corporate side which continue to be pretty competitive. So, I would say the yields have been broadly stable an d to some extent any mix benefit that could have come has been offset by the non -accrual on the KCC loan. The second question was on the NBFC exposure. I guess that we keep looking at the various exposures from a risk -reward basis. I mean, we did not ha

ve any credit concerns on these exposures. But they were
finely priced exposures and we have , therefore , a couple of borrowers , who prepaid and we were quite okay with that.

Kunal Shah:

And how much rate pass -on was there in NBFC?

Anindya Banerjee:

It would really depend on the client. I don't think there is any rule of thumb in that sense. As you see the book itself, I mean, even adjusting for this pre -payment , it has not really grown much during the quarter. So, there would not have been any very large lending that would have happened afresh.

Moderator:

Next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal:

So one question again around the yields as to really how do you look at the competitive intensit y in unsecured products, and even in the mortgage, are you seeing that lenders are cutting down on spreads because the repo rates have been

unchanged, but are the rates like seeing some moderation there? Going forward, how do you see the unsecured loan mix also moving for the Bank because until now it has been going very steady and some other private banks are indicating that they'll continue to drive that up, so what will be our approach on the unsecured loan mix?

Anindya Banerjee:

I think as far as the competitive intensity in rates, that is kind of continuing, I mean, we'll have to see if things change in Q4, but certainly in Q3 across most of the products, mortgages and corporate lending, we continue to see a fair degree of competitive intensity. The way we look at it is to try and be disciplined in our pricing , to look at the customer and see what is the total relationship value that we can have with the client and their ecosystem and then take a call on the loan pricing. We, in general , are not parti cularly focused on loan growth. So, in that sense, we are able to calibrate our pricing decisions.

Nitin Aggarwal:

Just related to this like has your aggregate mortgage portfolio yield come down over say in the second quarter?

Anindya Banerjee:

No, i t could not have because incremental business takes time to feed through. You had another question after the yield competitiveness.

Nitin Aggarwal:

That was like on the unsecured loan mix.


Anindya Banerjee:

On the unsecured loan mix, I think as far as personal loans is concerned , as we have mentioned we have taken some steps in terms of refining the credit parameter s. Basically, in any portfolio you have certain cohorts which contribute more to the delinquencies and you try to figure out what are the origination markers of those cohorts and then cut origination in those particular segments, which is what we'v e done and we've also rationalis ed, for example, sourcing payouts as well as we've moved our pricing on personal loans by maybe 20, 25 basis poin ts. So, I would expect that growth in that portfolio may continue to moderate a little bit even from a current level. But from overall P&L impact, I would think that it should not have much of a P&L impact because in any product or business, it's not just about the yield and the margin. Hopefully, if we are managing the sourcing cost well that will contribute to profitability, and hopefully , if we are reducing in the right cohorts, that will contribute to credit costs being better as well.

Nitin Aggarwal:

Around credit cost, any comments on that?

Anindya Banerjee:

I think I spoke earlier in relation to an earlier question. I mean, I do agree that there is some noise in that line item this quarter because of the AIF and the large corporate recovery. But if I kind of try to smoothen that out, as I said, we would be at about maybe 50 bps of loans and 10% of the PPOP. So it is quite well contained and within our risk appetite.

Moderator:

Next question is from the line of MB Mahesh from Kotak Securities. Pl ease g

o ahead.


MB Mahesh:

Just two questions. One is on slide #34, there has been a drop in the AA -kind of rated portfolio and then increase in the BBB part of the portfolio.

Anindya Banerjee:

Mahesh, I think two things largely explain that. One is that the reduction in the NBFC portfolio, most of our NBFC portfolio is well rated A and above. So, as a result of the reduction in that portfolio, we would have seen some reduction in the outstanding in the higher rated category. And the second factor was that we had one of the larger upgrades of NPLs that got rated in the BBB family on upgrade. So one is the sort of I would say positive movement from a capital and profitability perspective, the other is a positive movement from a credit perspective. But y es, because of those two, the mix does look slightly different.

MB Mahesh:

Second question is, is there interest reversal impact on account of KCC portfolio which is meaningful?

Anindya Banerjee:

We have not really given a number, I mean that's part of the sort of margin , happens every first and third quarter, so, we've not called out that number separately.

MB Mahesh:

On the unsecured loans, are you saying that things have started to worsen or you say that the margin remaining more or less the sam e?


Anindya Banerjee:

I think it is remaining more or less the same. We have been looking at that portfolio very closely. As I said, in any portfolio at any point of time, there's always a bottom cohort which one could sort of do without, and given the o verall commentary on unsecured and the increase in capital charge and so on, we have tried to sort of trim that part of the portfolio.

Moderator:

Next question is from the line of Chintan Joshi from Autonomous. Please go ahead.

Chintan Joshi:

Can I just follow up on that unsecured point you made? You mentioned that some cohorts you're seeing, different delinquency trends on unsecured. If you were to do cohorts by time of origination, is there recent kind of origination seeing different delinque ncy trends, not breaking cohort by quality, but by tim e, are you seeing any difference ?

Anindya Banerjee:

I think the markers we look at are more in terms of the characteristics of the customer and try and find , wherever , if we are able to look at delinquency in terms of the characteristics of the customer and see what kind of loan borrowers are contributing more to delinquency, not to do with time as such.



Chintan Joshi:

And if you do look at time, is it similar tren ds so far say a loan given at the end of COVID and versus kind of in the last six months?

Anindya Banerjee:

I don't think we have really commented on that.

Chintan Joshi:

The other question I had was on cost of deposits. It increased 19 bps quarter -on-quarter. You are indicating some more NIM pressure, but if I think about the exit run -rate, if I keep NIMs flat on FY24 versus FY23 basis, then it would be kind of 4.2, but I don't think that's what you're trying to imply. So, if I break that down a littl e bit more, could you give some color on how much more repricing is left on the deposit side that we can factor in?

Anindya Banerjee:

We've not given really how much more repricing on the deposit side. I think what we said is that there will be some more increase in the cost of deposits in Q4 and possibly a little bit into Q1 as well. It should be less than what we have seen and the NIM impact should also be less than what we have seen in this quarter .

Chintan Joshi:

Any indication on branch expansi on number for FY20 25?



Anindya Banerjee:

No, not really. I think this quarter we added about 123 branches. As we have said in the past, we follow a pretty bottom -up approach . I mean, people closest to the market who kind of recommend branch openings and then we do some assessment and open it. So,

we are not holding back on any branch opening, but we don't have a particular branch opening target either.

Mode rator:

Next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian:

On the average CASA ratio, if we look at it quarter -on-quarter, we are not seeing any let up in the pace at which this is moderating. So, any indication on where you see this say bottom -out, starting to pick up or do we have to wait for a much more looser liquidity environment like you were alluding to earlier?

Anindya Banerjee:

I think this is something you're seeing to varying degrees across the system, across all banks. I think , in our context, we are probably doing relatively bett er on the current account side. I think our payment products and payment platforms are contributing to higher float balances. On the SA side, I think it's much more a function of interest rates and consumption. So, I guess , I don't have an answer at the mo ment, I think we will have to wait for a couple of quarters and eventually see how things pan out next year as liquidity sort of normali ses in the system.



Param Subramanian:

Just one more question again around this. How are we geared towards say government spend coming back, how much is that ? If you can give some direction number as a percentage of our deposit say so when that comes back, how does that help you in terms of CASA as well as overall deposits?

Anindya Banerjee:

Our focus as far as the government is concerned is more from providing solutions which enable them to manage their cash flow and provide MIS, reconciliation, digital solution. So yes, the flow of that money through our system does create float. It is some part of our base, bu t one caveat is that the government is also becoming progressively more efficient in terms of the way in which it manages its finances. So, I don't think one can rely too much on idle government money lying with you in CASA form.

Moderator:

Ladies and gentlemen, we will take that as a last question. I now hand the conference over to the management for closing comments.

Anindya Banerjee:

Thank you very much for taking the time on a Saturday evening as always and happy to speak on any other clarificati on.

Moderator:

On behalf of ICICI Bank Limited, that concludes this c all. Thank you for joining us. You may now disconnect your lines.

# Call: Apr 2024

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Analyst call on April 27, 2024 : Opening Remarks

Certain statements in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward -looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Such forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ material ly from those in such forward -looking statements. These risks and uncertainties include, but are not limited to statutory and regulatory changes, international economic and business conditions , political or economic instability in the jurisdictions where w e have operations or which affect global or Indian economic conditions , increase in nonperforming loans, unanticipated changes in interest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand f or banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India's sovereign rating, as well as other risks detailed in the repo rts filed by us with the United States Securities and Exchange Commission. Any forward -looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to upda te forward -looking statements to reflect events or circumstances after the date thereof. Additional risks that could affect our future operating results are more fully described in our filings with the United States Securities and Exchange Commission. Thes e filings are available at www.sec.gov

This release does not constitute an offer of securities.

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Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q4 of FY202 4. Joining us today on this call are Sandeep Batra, Rakesh , Ajay, Anindya and Abhinek .

The Indian economy continues to remain resilient amidst international geopolitical tensions, with upward revision in the GDP growth estimate for first half of FY 2025 by RBI, reflecting the consistent actions and initiatives of the policymakers.

At ICICI Bank, o ur strategic focus continues to be on growing our core operating profit less provisions , i.e., profit before tax excluding treasury through the 360-degree customer centric approach and by serving opportu nities across ecosystems and micro markets . We continue to operate within our strategic framework to strengthen our franchise and expand our technology and digital offerings. Maintain ing high standards of governance, deepening coverage and enhancing deliver y capabilities are our focus areas for risk calibrated profitable growth .

The profit before tax excluding treasury grew by 19.2% year -on-year to 146.02 billion Rupees in this quarter and by 2 8.3% year -on-year to 54 4.79 billion Rupees in FY2024 . The core operating profit increased by 10.5% year -on-year to 153.20 billion Rupees in this quarter and by 18. 3% year -on-year to 58 1.22 billion Rupees in FY2024 . The profit after tax grew by 17.4% year -on-year to 107.08 billion Rupees in this quarter. For the fiscal year 202 4, the profit after tax grew by 28.2% year -on-year to 408.88 billion Rupees. The Board has recommended a dividend of 10 Rupees per share for FY202 4, subject to requisite approvals.

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Total deposits grew by 19.6 % year -on-year and 6.0% sequentially at March 31, 2024. Term deposits increased by 27.7 % year -on-year and 1.6% sequentially at

March 31, 202 4. During the quarter, the average current and savings account deposits grew by 7.0% year -on-year and 2.9% sequentially. The Bank's averag

e
liquidity coverage ratio for the quarter was about 123%.

The domestic loan portfolio grew by 16.8 % year -on-year and 3.2% sequentially at March 31, 202 4. The retail loan portfolio grew by 19.4% year -on-year and 3.7% sequentially. Including non -fund based outstanding, the retail portfolio was 46.8 % of the total portfolio. The business banking portfolio grew by 29.3 % year -on-year and 5.7% sequentially. The SME portfolio grew by 24.6 % year -on-year and 3.8% sequentially. The rural portfolio grew by 17.2% year -on-year and 4.5% sequentially. The domestic corporate portfolio grew by 10.0 % year -on-year and was flat sequentially. The overall loan portfolio including the international branches portfolio grew by 16.2 % year -on-year and 2.7% sequentially at March 31, 202 4.

The net NPA ratio was 0.42% at March 31, 202 4 compared to 0.44% at December 31, 2023 and 0.48% at March 31, 2023. During the quarter, there were net additions of 12.21 billion Rupees to gross NPAs, excluding write -offs and sale . The total provisions during the quarter were 7.18 billion Rupees or 4.7% of core operating profit and 0.24% of average advances. The provisioning coverage ratio on NPAs was 80.3 % at March 31, 202 4. In addition, t he Bank continues to hold contingency provisions of 131.00 billion Rupees or about 1.1% of total loans a t March 31, 202 4.

The capital position of the Bank continued to be strong with a CET -1 ratio of 15.60 % and total capital adequacy ratio of 16.33 % at March 31, 202 4, after reckoning the impact of proposed dividend .

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Looking ahead, we see many opportunities to drive risk calibrated profitable growth . We believe o ur focus on customer 360, extensive franchise and collaboration within the organi sation, backed by our digital offerings , process improvement s and service delivery initiatives will enable us to deliver holistic solutions to customers in a seamless manner and grow market share across key segments . We will continue to make investments in technology, people, distribution and building our brand . Operational resilience is a key area of focus for us and we continue to work towards enhancing the same. We will remain focused on maintaining a strong balance sheet with prudent provisioning and health y levels of capital . The principles of "Return of Capital", "Fair to Customer, Fair to Bank" and "One Bank, One Team " will continue to guide our operations. We remain focused on delivering consistent and predictable returns to our shareholders.

I now hand the call over to Anindya .

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Anindya 's opening remarks

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details, growth in digital offerings , portfolio trends and performance of subsidiaries.

A. Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 14.9 % year -on-year and 3.1% sequentially. A uto loans grew by 19.2% year -on-year and 2.3% sequentially. The commercial vehicles and equipment portfolio grew by 14.1 % year -on-year and 3.2% sequentially in the current quarter . Personal loans grew by 32.5 % year -on-year and 5.0% sequentially compared to 37.3% year -on-year and 6.4% sequentially at December 31, 2023. The Bank continued to work on increasing pricing, further refining credit parameters and optimising sourcing costs resulting in lower disbursements of personal loans during the quarter as compared to the previous quarter. The c redit card portfolio grew by 35.6% year -on-year and 6.5% sequentially. The personal loans and credit card portfolio were 9.9% and 4.3% of the overall loan book respectively at March 31, 202 4.

The overseas loan portfolio , in US dollar terms, declined by 3.4% year -on-year at March 31, 202 4. The overseas loan portfolio was about 2.8% of the overall loan book at March 31, 202 4. The non -I

ndia linked corporate portfolio declined by 10.1 % or
about 31 million US dollars on a year -on-year basis . Of the overseas corporate portfolio, about 91% comprises Indian corporates, 6% is overseas corporate s with Indian linkage, 2% comprises companies owned by NRIs or PIOs and balance 1% is non-India corporates.

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B. Credit quality

There were net additions of 12.21 billion Rupees to gross NPAs in the current quarter compared to 3.63 billion Rupees in the previous quarter. The sequential increase is primarily due to higher recoveries and upgrades from the corporate and SME portfolio during the previous quarter . The net additions to gross NPAs were 17.1 1 billion Rupees in the retail, rural and business banking portfolios and there were net deletions of gross NPAs of 4.90 billion Rupees in the corporate and SME portfolio.

The gross NPA additions were 51.39 billion Rupees in the current quarter compared to 57.14 billion Rupees in the previous quarter . Recoveries and upgrades from gross NPAs, excluding write -offs and sale, were 39.18 billion Rupees in the current quarter compared to 53.51 billion Rupees in the previous quarter.

The gross NPA additions from the retail , rural and business banking portfolio were 49.28 billion Rupees in the current quarter compared to 54.82 billion Rupees in the previous quarter . Recoveries and upgrades from the retail , rural and business banking portfolio were 32.17 billion Rupees compared to 31.80 billion Rupees in the previous quarter. The gross NPA additions from the corporate and SME portfolio were 2.11 billion Rupees compared to 2.32 billion Rupees in the previous quarter . Recoveries and upgrades from the corporate and SME portfolio were 7.01 billion Rupees compared to 21.71 billion Rupees in the previous quarter .

The gross NPAs written -off during the quarter were 17.07 billion Rupees. There was sale of gross NPAs of 3.27 billion rupees in the current quarter compared to 0.36 billion rupees in the previous quarter. The sale of NPAs includes about 0.21 billion rupees in cash and about 0.64 billion rupees of security receipts. As these NPAs were fully provided , we continue to hold provisions against the security receipts.

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The non -fund based outstanding to borrowers classified as non -performing was 36.71 billion Rupees as of March 31, 202 4 compared to 36.94 billion Rupees as of December 31, 2023 . The Bank holds provisions amounting to 20.90 billion Rupees against this non -fund based outstanding .

The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 30.59 billion Rupees or about 0.3% of the total loan portfolio at March 31, 202 4 from 33.18 billion Rupees at December 31, 2023 . Of the total fund based outstanding under resolution at March 31, 202 4, 25.45 billion Rupees was from the retail , rural and business banking portfolio and 5.14 billion Rupees was from the corporate and SME portfolio. The Bank holds provisions of 9.75 billion Rupees against these borrowers, which is higher than the req uirement as per RBI guidelines.

Moving on to the P&L details:

C. P&L d etails

Net interest income increased by 8.1% year -on-year to 190. 93 billion Rupees in this quarter . The net interest margin was 4.40 % in this quarter compared to 4.43% in the previous quarter and 4.90% in Q4 of last yea r. The net interest margin was 4.53% in FY2024.

The impact of interest on income tax refund on net interest margin was nil in Q4 of this year compared to 4 bps in the previous quarter and nil in Q4 of last year. The domestic NIM was 4.49 % this quarter compared to 4.52% in the previous quarter and 5.02 % in Q4 of last year. The cost of deposits was 4.82 % in this quarter compared to 4.72% in the previous quarter . Of the total domestic loans, interest rates on 49% of the loans are l

inked to the repo rate, 2% to other external benchmarks and
8
17% to MCLR and other older benchmarks. The balance 32% of loans have fixed interest rates.
Non-interest income, excluding treasury, grew by 15.7% year -on-year to 59.30 billion Rupees in Q4 of 202 4.

• Fee income increased by 12.6% year -on-year to 54.3 6 billion Rupees in this quarter . Fees from retail, rural, business banking and SME customers constituted about 77% of the total fees in this quarter

• Dividend income from subsidiaries and associates was 4.84 billion Rupees in this quarter compared to 2.73 billion Rupees in Q4 of last year. The year -on-year increase in dividend income was primarily due to higher dividend from ICICI Bank Canada , ICICI Prudential Asset Management Company and ICICI Securities Primary Dealership

On Costs: The Bank's operating expenses increased by 8.7% year -on-year in this quarter and 19.0% year -on-year in FY2024 . Excluding the one -off expense of 3.35 billion rupees in Q4 -2023 on account of change in certain assumptions for provisions for retirement benefit obligations, the Bank's operating expenses would have increased by 12.9% year -on-year in this quarter and 20. 3% year -on-year in FY2024 . Employee expenses increased by 9.4% year -on-year in this quarter , reflecting mainly the increa se in the employee base from fiscal 2023 onwards and impact of annual increments and promotions in FY2024 . Excluding the one -off expense in Q4 -2023, the Bank's employee expense would have increased by 21.3% year -on-year in this quarter. The Bank had about 141,000 employees at March 31, 202 4. The number of employee s has increased by about 12,000 in the last 12 months and by about 180 in the current quarter . Non-employee expenses increased by 8.3% year -on-year in this quarter primarily due to retail business related and technology expenses . Our branch count has increased by 623 in the last 12 months and by 152 in the current
9
quarter. We had 6,523 branches as of March 31, 202 4. The technology expenses were about 9.4% of our operating expenses in the year ended March 31, 202 4. As happens every year, t he operating expenses are expected to increase on account of annual increments and promotions during the first quarter of every fiscal year.

The core operating profit increased by 10.5% year -on-year to 153.20 billion Rupees in this quarter . The core operating profit increased by 18.3% year -on-year to 581.22 billion Rupees in FY202 4.

The total provisions during the quarter were 7.18 billion Rupees , or 4.7% of core operating profit and 0.24% of average advances compared to 10.50 billion Rupees in the previous quarter . The total provisions during FY202 4 decreased by 45.3 % year -on-year to 36.43 billion Rupees. The provisioning coverage on NPAs was 80.3 % as of March 31, 202 4. In addition, we hold 9.75 billion Rupees of provisions on borrowers under resolution . Further, the Bank continues to hold contingency provision of 131.00 billion Rupees as of March 31, 202 4. At the end of March , the total provisions , other than specific provisions on fund -based outstanding to borrowers classified as non -performing , were 234.5 9 billion Rupees or 2.0% of loans .

The profit before tax excluding treasury grew by 19.2 % year -on-year to 146.02 billion Rupees in Q4 of this year and by 28.3% year -on-year to 544.79 billion Rupees in FY2024 .

There was a treasury loss of 2.81 billion Rupees in Q4 compared to a loss of 0.40 billion Rupees in Q4 of the previous year due to the transfer of negative balance of 3.40 billion Rupees in Foreign Currency Translation Reserve related to Bank's Offshore Unit in Mumbai to profit and loss account in view of the proposed closure of the Unit .
10
The tax expense was 36.13 billion Rupees in this quarter compared to 30.85 billion Rupees in the corresponding quarter l

ast year. The profit after tax grew by 17.4%
year -on-year to 107.08 billion Rupees in this quarter . The profit after tax grew by 28.2% year -on-year to 408.88 billion Rupees in FY202 4.

## D. Growth in digital offerings

We continue to enhance the use of technology in our operations and to provide solutions to customers. iLens, the retail lending platform, is being upgraded on an ongoing basis, with personal loans and education loans now integrated in the platform along with mortgages. About 71% of trade transactions were done digitally in FY2024. The volume of transactions done through Trade Online platform grew by 29.2% year -on-year in FY2024. We have further simplified bank guarantee journeys with new enhancements. Smart BG Assist is a solution to enable digital execution of bank guarantees for creating and validating text, e -stamping, digital signatures among others.

## E. Portfolio information

We have provided details on our retail, business banking and SME portfolio in slides 24 to 31 of the investor presentation.

The loan and non-fund based outs tanding to performing corporate and SME borrowers rated BB and below was 55.28 billion Rupees at March 31, 202 4 compared to 58.53 billion Rupees at December 31, 2023 . This portfolio is about 0.47% of our advances at March 31, 202 4. Other than two account s, the maximum single borrower outstanding in the BB and below portfolio was less than 5.00 billion Rupees at March 31, 202 4. At March 31, 202 4, we held provisions of 9.03 billion Rupees on the BB and below portfolio compared to 9.25 billion Rupees at December

31, 202 3. This includes provisions held against borrowers under resolution included in this portfolio.

The total outstanding to NBFCs and HFCs was 770.68 billion Rupees at March 31, 2024 compared to 784.84 billion Rupees at December 31, 2023 . The total outstanding loans to NBFCs and HFCs were about 6.5% of our advances at March 31, 202 4.

The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 482.92 billion Rupees at March 31, 202 4 compared to 456.85 billion Rupees at December 31, 2023 . The builder portfolio is abou t 4.1% of our total loan portfolio. Our portfolio largely comprises well-established builders and this is also reflected in the sequential increase in the portfolio. About 2.7% of the builder portfolio at March 31, 202 4 was either rated BB and below internally or was classified as non -performing , compared to 3.1% at December 31, 2023 .

## F. Consolidated results

The consolidated profit after tax grew by 18.5 % year -on-year to 116.7 2 billion Rupees in this quarter. The consolidated profit after tax grew by 30.0 % year -on-year to 442. 56 billion Rupees in FY202 4.

The details of the financial performance of subsidiaries and key associates are covered in slides 39 to 41 and 60 to 65 in the investor presentation.

The annualised premium equivalent of ICICI Life was 90.46 billion Rupees in FY2024 compared to 86.40 billion Rupees in FY2023 . The value of new business was 22.27 billion Rupees in FY2024 compared to 27.65 billion Rupees in FY2023 . The value of new business margin was 24.6 % in FY2024 compared to 32.0 % in FY2023 . The profit after tax of ICICI Life was 8.52 billion Rupees in FY2024 compared to 8.11 billion

Rupees in FY2023 . The profit after tax was 1.74 billion Rupees in this quarter compared to 2.35 billion Rupees in Q4 of last year .

During the quarter, the Bank purchased equity shares of ICICI Lombard General Insurance Company Limited through secondary market transaction s. Consequently, the company is now a subsidiary of the Bank. Gross Direct Premium Income of ICICI General was 247.76 billion Rupees in FY2024 compared to 210.25 billion Rupees in

FY2023. The combined ratio stood at 103.3 % in FY2024 compared to 104.5 % in FY2

023. The profit after tax grew by 11.0% to 19.19 billion Rupees in FY2024 from 17.29 billion Rupees in FY2023 . Excluding the impact of reversal of tax provision in Q2-2023, PAT grew by 19.8% in FY2024. The profit after tax was 5.20 billion Rupees in this quarter compared to 4.37 billion Rupees in Q4 of last year .

The profit after tax of ICICI AMC , as per Ind AS was 5.29 billion Rupees in this quarter compared to 3.85 billion Rupees in Q4 of last year .

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 5.37 billion Rupees in this quarter compared to 2.63 billion Rupees in Q4 of last year.

ICICI Bank Canada had a profit after tax of 19.9 million Canadian dollars in this quarter compared to 15.6 million Canadian dollars in Q4 last year .

ICICI Bank UK had a profit after tax of 9.5 million US dollars this quarter compared to 5.0 million US dollars in Q4 of last year .

As per Ind AS, ICICI Home Finance had a profit after tax of 1.69 billion Rupees in the current quarter compared to 0.96 billion Rupees in Q4 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.



Moderator:

Thank you very much. We will now begin the question and answer session. We have the first question from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania:

I had three questions. So , my first question is on the accelerated deposit mobilization during the quarter. Now your LDR always looked comfortable relative to peers. So the 6% Q -o-Q deposit growth that was just business as usual because liquidity improved and more deposits were available or you would have a certain LDR in mind , which drove that?

Anindya Banerjee:

No, I think , it was very much a function of improvement in the flows that we saw, particularly on the CASA side. Of course, the period -end numbers do overstate the increase in the deposit base , but even on an average basis, I think we have given the average CASA growth numbers , definitely, the flows were stronger in Q4 relative to the previous couple of quarters. So, it's pretty much a function of that and nothing specific from our side as such.

Mahrukh Adajania:

Is the environment conducive enough to deliver, say, a high -teens growth over the next 1 year at least? I mean , I know beyond that, there's very little visibility.

Anindya Banerjee:

We don't really give an outlook, Mahrukh, in terms of growth. I think we have our risk framework , our distribution and our delivery system , whatever passes through that we'll be happy to take. I think, as you know, we have always been focused on organizing our business around micro markets and ecosystem s, and we believe that given our current market share in different micro markets and ecosystem s, there is sufficient room for us to grow. We will just take that as it comes. But I don't see any particular gro wth challenge sitting here today in the environment.

Mahrukh Adajania:

Got it. In terms of your cost -to-income ratio for the whole year, I know the one quarter seasonality, is it fair to assume that now it can hold below 40%?



Anindya Banerjee:

We don't really manage to that metric. We look at the overall risk -adjusted profitability. But , as we have been saying, we do expect some moderation in the level of cost growth and even as we continue to invest in the areas that require investment, and I think you've seen some of that coming through this quarter . That's the way we would look at it.

Mahrukh Adajania:

Okay. Any adverse remarks or qualifications on your CSITE audit from the regulator?

Anindya Banerjee:

Obviously, regulatory reports and interactions with the regulator are confidential. I could only say that , as we have always been saying and as Sandeep mentioned in his opening remarks as well, we attach great priority to operational resilien

ce and
are extremely responsive, we try to be , to any concerns expressed from any quarter . But in large and complex banks, there could always be issues now and then. I think , what we have to do is to take a quick corrective action and keep strengthening our systems, including our technology interfaces as well as our core infrastructure. That is what we try to do.
Moderator:
Next question is from the line of Kunal Shah from Citi Group.
Kunal Shah:
Again, just to touch up on the operating expenses side, if you can just highlight, obviously, we look at more in terms of the risk adjusted and not the ratios on cost to income or cost to assets. But what would have actually led to maybe the decline in the overall overhead cost? Or would there be any other element which are more of the one -offs during the quarter or provisioning reversals, which would have been done in the first nine months? Is there any such element out there? And , on the employee side jus t like you highlighted 180 , last time also it was hardly 1,7 00 employees getting added. So would the pace of employee addition be very modest and that can help in the overall employee cost for next year as well?


Anindya Banerjee:
There is no one -off in terms of past provision reversals etc. in the quarter. Otherwise, we would have brought that out , if it was of significance. As far as the employee headcount is concerned, I think , the net additions to the team size had started slowing from Q3. We had been saying that we definitely don't expect the headcount to increase at the pace at which it had increased over the previous 12 to 15 months. So, we will continue to open branches and expand the franchise. And for that, whatever employee base additions need to be done will happen, but it would be at a much more measured level than what it was over the la st 12 to 15 months.
I think one of areas , which I briefly touched upon in the context of when we were talking about personal loans, where we have optimized the cost is on the sourcing cost side. So that does reflect in the overheads. I think that plus the moderation in the increase in the employe e base are the two key things. Other expenses like business -related expenses, advertisement, sales promotion et c., there is some seasonality, as you know, in between, say, a festive quarter and a non -festive quarter.
Kunal Shah:
Sure. Fair to assume overall opex growth could be lower than the balance sheet growth going forward as larger part of the investments maybe employees also done, and we are optimizing the sourcing cost?
Anindya Banerjee:
We look at overall, what is the profit kind of trajectory of risk -adjusted PPOP and it is difficult to talk of , say, opex versus assets. I think , definitely, the pace of growth in opex has already moderated , it's quite visible, and we will probably see opex growth at a moderate pace from here on.
Kunal Shah:
Sure. Lastly, on deposit costs last time you highlighted that deposit costs, maybe the repricing would largely be reflected in Q4 and a very low running into Q1. So given 10 bps kind of an increase which has been there, is like larger part of the deposit repricing is now behind us?


Anindya Banerjee:
I mean, we did raise deposit rates by 10 bps in February on the retail side, which was not there at the time when we had our last call. So , some impact will be there, but I guess that will go through, it wouldn't be a very large impact.
Moderator:
Next question is from the line of Nitin Aggarwal from Motilal Oswal.
Nitin Aggarwal:
Congratulations on the strong performance. Sir, my first question is on margins. So can we say that now the NIMs have more or less bottomed out? How do you really compare the incremental spread on business sourced during the quarter to the outstanding spreads?
Anindya Banerjee:

As we had said and as we spoke in response to the last question also, we w

ill still
see some increase in deposit costs, both as the repricing comes through and given the increase in retail deposit rates during Q4 as well. So I guess we could see some furthe r moderation in the NIM, but I would expect it to be pretty range bound from here on for the next few quarters until a rate cut actually happens. So that's where you should see the NIM.

Nitin Aggarwal:

Okay. Anindya, I just also wanted to take your view on how do you really see the impact of this rate cut cycle getting delayed versus if suppose it had happened in the mid of the year, how do you really see that?

Anindya Banerjee:

I think what we would anyway have expected and were expecting was a fairly shallow rate cut cycle. So , we need to compare it to the rate hike cycle of 250 basis points in nine months. Here , what was being talked of was maybe 50 bps over a six-month s period, maybe starting in the second quarter, which now one could debate whether it will be 0 or 25 or whatever and at what point in time. So I don't think that it would be as meaningful as the hike cycle was. But of course, there will be some lead lag in the re pricing of assets and liabilities. To the extent that it is delayed, the



repricing of assets will also get delayed. But , at the same time, any reduction in deposit rates will also move forward . So, it will have that lead lag , timing will chang e, but beyond that not too much.

Nitin Aggarwal:

Okay. The other question that I have is on the rating profile of the corporate and SME advances, slide 26. There has been some moderation in the proportion of ‘A and above’ exposures. So any threshold like that you will look to maintain? Because over the last one year, there's almost a 600 basis point decline in that. So any particular level that you would want to maintain this?

Anindya Banerjee:

That change in mix is driven by 2 factors. I think , one is the growth in the business banking type of portfolio, which maps into BBB kind of a level. The credit performance of that portfolio in terms of the net additions to NPL has been very strong, so it doesn't really worry us from a credit portfolio quality perspective. On the corporate side, as we had mentioned last quarter also, we have been reducin g some of the very highly rated, finely priced kind of exposures, including in the NBFC space, where the capital charge also went up during the third quarter. So these are the 2 reasons. From an overall portfolio credit profile or credit stability perspective, we are very comfortable with this.

Nitin Aggarwal:

Right. One last question, if I can squeeze in. While I understand you don't share any guidance around credit growth, but how would you read the competitive intensity now with some of the other large private banks are either constrained on CD ratio and now more rec ently with this section on the digital sourcing from another bank. How do you look at the competitive intensity as an overall and therefore, growth outlook for the bank?

Anindya Banerjee:

Our sense is that in terms of the lending rates, there is some moderation in the competitive intensity over the last quarter, but we will have to keep seeing how it plays out through the year and calibrating our risk -reward trade -offs accordingly.



Moderator:

Next question is from the line of Piran Engineer from CLSA.

Piran Engineer:

Congrats on the quarter. My question is sort of similar to Nitin's out here that as HDFC Bank is now going slow on corporate loan growth, does that present an opportunity for you to double down on this business? Or you expect most of that to move to PSU ba nks? How are you really thinking about it? I'm asking because we used to grow in the high teens and now that growth has slowed down to 10%. So just wanted to understand your thought process behind it.

Anindya Banerjee:

On the corporate side, actually, our growth has been 10% to low double -digit kind

of for some time. See, we are very open. I mean, we have strong corporate

relationships and a strong funnel for business . Over the last few years, I think our view on lending rates and the way we look at overall profitability has kind of made us less competitive, perhaps , in some pockets of lending. So , we will look at it as the opportunities come . As long as it passes our risk filters, we are very open to it.
Piran Engineer:
Okay. Secondly, just on fee income, there has been sort of slower growth this time. Anything to read into it? I'm not referring only Q -o-Q, but Y -o-Y also is a little weaker.
Anindya Banerjee:
Nothing specific. I think relative to Q3, which was like a 19% growth, Q4 would be weaker because Q3 is the festive season. Overall, for the year, we have grown at about 15%, which we think is a good level.
Piran Engineer:
Okay. We shouldn't read it as , you are not sacrificing the retail loan yields, but you are giving up on the processing fees or something like that to maintain loan growth, it's like a trade -off between yields and fees. That's how I'm thinking, but am I thinking wrong?

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Anindya Banerjee:
No, no, not really.
Piran Engineer:
Okay. Fair enough. Just last question. One comment that you made on opex was that you'll have optimized sourcing cost in personal loans. So , just wanted to get a sense of what percentage happens externally because I would presume most of it are internal customers where sourcing cost is nil?
Anindya Banerjee:
I spoke about it in the context of personal loans, but I think , across all categories where there is an element of external sourcing we have optimized the sourcing costs. So, that is one of the levers that has played out to some extent on the opex side. Personal loans, I more talked about it as in the context of the disbursal volumes having come down.
Moderator:
Next question is from the Chintan Joshi from Autonomous.
Chintan Joshi:
Can I follow up on the lending yield side, a nice increase in the quarter. We've seen one of your major competitors try to increase their threshold rates. And it seems like benefit is flowing to other players as well. Would you recognize that there's some benefit flowing to you as well because of the actions of large competitors?
Anindya Banerjee:
One quarter is a relatively short time for it to play out. But , as I mentioned earlier, we do see some moderation in the competitive intensity on the lending side clearly over the last quarter, but we'll have to see how it plays out over the year.
Chintan Joshi:
Do you think it can stick as you go through the year? Or like what is your read at the moment ? Is it looking ?

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Anindya Banerjee:
I think it's a very dynamic environment and different banks and other lenders look at the market differently at different points in time. So very difficult to say. From our side, our endeavor is always to maintain yield discipline as far as we can.
Chintan Joshi:
On opex and on RWAs, there has been a reduction in quarter -on-quarter. You spoke a lot about opex. I just want to make sure that there are no funnies or one -offs in either items that we should bear in mind?
Anindya Banerjee:
In the operating expenses?
Chintan Joshi:
And in RWAs. Both items. So RWAs are down 8% quarter -on-quarter. Any reason for that?
Anindya Banerjee :
Which element of RWA?
Chintan Joshi:
I am looking at your slide number 37, standalone capital adequacy, December 31, INR13.25 trillion has fallen to INR12.2 trillion as of year -end.
Anindya Banerjee:

Yes, I'm sorry, I think there's been some misplacement of the number , we'll just correct that . You should compare the 13 ,253 to the 13 ,727, which has gone into the last row, we'll correct that.
Chintan Joshi:
Okay, that makes sense. Finally, credit cards, I mean, generally, there's a lot of regulatory scrutiny on tech, on KYC on other issues. Ther

e was this data breach that
happened. How should we think about this issue? What happened and do you think this will attract regulatory scrutiny?

Anindya Banerjee:
No, I think we had clarified that basically about 17,000 cards that have been issued in the last few days, while mapping it to the digital channels, they were mapped incorrectly. As soon as that came to our notice, we took the necessary corrective action in terms of blocking and issuing new cards and so on. So definitely, it's something we take very seriously and attach a lot of importance to operational resilience as Sandeep also mentioned. But once in a while, in banks, issues can happen. I think it's our job to have a quick recovery and to keep working on improving the quality of processes and the operational resilience, which we are doing.
Moderator:
Next question is from the line of Rahul Jain from Goldman Sachs.
Rahul Jain:
Congrats on good quarter. Just a couple of questions. First is on opex. Of course, much has been debated and discussed. Still, I would like to ask how much more scope is there for you to rationalize this cost? Because there is definitely competitive intens ity either in deposits or on loans that will remain over a period of time. And you rationalized on the PL side, but do we have enough capacity on the deposit side, on the branches side? Is there more scope to rationalize this? Or whatever we had to do kind of done, and this will now reflect the growth in deposits or loans or disbursals, how the business grows? So , I just wanted to understand more about this how it trends out in the couple of quarters over the next few years?
Anindya Banerjee:
We have to look at the various large elements of cost. I think one large part is on the employee base, where we have spoken about how that has trended. Of course, as I mentioned when I was speaking in the opening part of the call, we will see an increase there in the first quarter as the promotions, increments come through. But , in terms of the headcount, I would expect stability to moderate increase from here on. On the business -related expenses, I think we always look at optimizing and how much we can rel ate it directly to the revenue opportunities.
On the technology side, while we continue to spend fairly large amounts and while this may continue to grow at a somewhat faster pace than the overall opex, the rate of growth of the tech expense itself , given the large base that we now have , will

moderate compared to, say, the pace of growth that we had a couple of years ago. So I think in totality, as I said, we would expect the pace of growth of opex to be more moderate than we have seen in the last couple of years. That's about it.
Rahul Jain:
So essentially, productivity gains are coming through and that gives you confidence that it should essentially sustain , yes?
Anindya Banerjee:
Right. Right.
Rahul Jain:
All right. The other question was on slippages. So retail slippages kind of stabilized at around 2.5% versus last year also. So , is this the rate of slippages that we should expect given going forward? Or the normalization is still yet to fully play out?
Anindya Banerjee:
I guess, looking at it in terms of credit costs, we are still at sub -40 basis points for this quarter. I think , if you kind of adjust out one offs or if you take a more adjusted view, we would still be under 50 basis points. That may normalize upwards slightly, but I don't see anything very dramatic there.
Rahul Jain:
Okay. Got it. Just a small question. There were articles a month or 2 back about the top-up loans, and we do have a small portion of that in our loan book. So anything out there from the regulator's side that we need to watch out for on the top -ups?
Anindya Banerjee:
No, nothing.

Moderator:
Ladies and gentlemen, we'll take that as our last question. I will now hand the conference over to the manage

ment for closing comments.

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Anindya Banerjee:
Thank you all for joining the call, and we can take any other questions you have separately. Thank you.

Moderator:
Thank you very much. On behalf of ICICI Bank Limited, that concludes this conference. Thank you for joining us.

## Call: Jul 2024

Analyst call on July 27, 2024: Opening Remarks

Certain definitions in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward-looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Such forward-looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forwardlooking statements. These risks and uncertainties include, but are not limited to statutory and regulatory changes, international economic and business conditions, political or economic instability in the jurisdictions where we have operations or which affect global or Indian economic conditions, increase in nonperforming loans, unanticipated changes in interest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India’s sovereign rating, as well as other risks detailed in the reports filed by us with the United States Securities and Exchange Commission. Any forward-looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date thereof. Additional risks that could affect our future operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov

This release does not constitute an offer of securities.



Mr. Bakhshi’s opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q1 of FY2025. Joining us today on this call are Sandeep Batra, Rakesh, Ajay, Anindya and Abhinek.

The Indian economy continues to remain resilient as reflected by high frequency indicators showing growth momentum such as expansion in manufacturing and services PMI, higher tax collections, real estate buoyancy and pickup in rural demand, supported by the consistent actions and initiatives of the policymakers.

At ICICI Bank, our strategic focus continues to be on growing profit before tax excluding treasury through the 360-degree customer centric approach and by serving opportunities across ecosystems and micromarkets. We continue to operate within our strategic framework to strengthen our franchise. Maintaining high standards of governance, deepening coverage and enhancing delivery capabilities are focus areas for our risk calibrated profitable growth.

The profit before tax excluding treasury grew by 11.8% year-on-year to 140.80 billion Rupees in this quarter. The core operating profit increased by 11.0% yearon-year to 154.12 billion Rupees in this quarter. The profit after tax grew by 14.6% year-on-year to 110.59 billion Rupees in this quarter.



Total deposits grew by 15.1% year-on-year and 0.9% sequentially at June 30, 2024. Term deposits increased by 19.9% year-on-year and 3.1% sequentially at June 30, 2024. During the quarter, average deposits grew by 17.8% year-on-year and 3.3% sequentially and average current and savings account deposits grew by

9.7% year-on-year and 5.1% sequentially. The Bank's average liquidity coverage ratio for the quarter was about 123%.

The domestic loan portfolio grew by 15.9% year-on-year and 3.3% sequentially at June 30, 2024. The retail loan portfolio grew by 17.1% year-on-year and 2.4% sequentially. In

cluding non-fund based outstanding, the retail portfolio was 46.3% of the total portfolio. The business banking portfolio grew by 35.6% yearon-year and 8.9% sequentially. The SME portfolio grew by 23.5% year-on-year and 4.0% sequentially. The rural portfolio grew by 16.9% year-on-year and 3.4% sequentially. The domestic corporate portfolio grew by 10.3% year-on-year and 3.1% sequentially. The overall loan portfolio including the international branches portfolio grew by 15.7% year-on-year and 3.3% sequentially at June 30, 2024.

The net NPA ratio was 0.43% at June 30, 2024 compared to 0.42% at March 31, 2024 and 0.48% at June 30, 2023. During the quarter, there were net additions of 26.24 billion Rupees to gross NPAs, excluding write-offs and sale, reflecting mainly the seasonal higher additions in the kisan credit card portfolio and lower recoveries and upgrades compared to previous quarter. The total provisions during the quarter were 13.32 billion Rupees or 8.6% of core operating profit and 0.43% of average advances. The provisioning coverage ratio on NPAs was 79.7% at June 30, 2024. In addition, the Bank continues to hold contingency provisions of 131.00 billion Rupees or about 1.1% of total loans at June 30, 2024.

The capital position of the Bank continued to be strong with a CET-1 ratio of 15.92% and total capital adequacy ratio of 16.63% at June 30, 2024, including profits for Q1 of 2025.

Looking ahead, we see many opportunities to drive risk calibrated profitable growth. We believe our focus on customer 360 degree, extensive franchise and collaboration within the organisation, backed by our focus on enhancing delivery systems and simplifying processes will enable us to deliver holistic solutions to customers in a seamless manner and grow market share across key segments. We will continue to make investments in technology, people, distribution and building our brand. We are laying strong emphasis on strengthening our operational resilience for seamless delivery of services to customers. We will remain focused on maintaining a strong balance sheet with prudent provisioning and healthy levels of capital. The principles of "Return of Capital", "Fair to Customer, Fair to Bank" and "One Bank, One Team" will continue to guide our operations. We remain focused on delivering consistent and predictable returns to our shareholders.

I now hand the call over to Anindya.

Anindya's opening remarks

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details, growth in digital offerings, portfolio trends and performance of subsidiaries.

A.Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 14.2% year-onyear and 2.5% sequentially. Auto loans grew by 14.8% year-on-year and 1.7% sequentially. The commercial vehicles and equipment portfolio grew by 13.9% year-on-year and 2.2% sequentially. Personal loans grew by 24.9% year-on-year and 1.5% sequentially. The credit card portfolio grew by 31.3% year-on-year and 4.2% sequentially. The personal loans and credit card portfolio were 9.7% and 4.4% of the overall loan book respectively at June 30, 2024.

The overseas loan portfolio, in US dollar terms, grew by 5.4% year-on-year at June 30, 2024. The overseas loan portfolio was about 2.8% of the overall loan book at June 30, 2024. The non-India linked corporate portfolio declined by 9.0% or about 24.8 million US dollars on a year-on-year basis. Of the overseas corporate portfolio, about 92% comprises Indian corporates, 6% overseas corporates with Indian linkage, 1% comprises companies owned by NRIs or PIOs and balance 1% non-India corporates.

B.Credit quality

The gross NPA additions were 59.16 billion Rupees in the current quarter compared

to 51.39 billion Rupees in the previous quarter. There were gross NPA additions of about 7.21 billion Rupees from the kisan credit card portfolio in the current quarter. P a g e 6 | 24We typically see higher NPA additions from the kisan credit card portfolio in the first and third quarter of a fiscal year. Recoveries and upgrades from gross NPAs, excluding write-offs and sale, were 32.92 billion Rupees in the current quarter compared to 39.18 billion Rupees in the previous quarter. The net additions to gross NPAs were 26.24 billion Rupees in the current quarter compared to 12.21 billion Rupees in the previous quarter.

The gross NPA additions from the retail, rural and business banking portfolio were 57.32 billion Rupees in the current quarter compared to 49.28 billion Rupees in the previous quarter. These include the KCC NPAs mentioned earlier. Recoveries and upgrades from the retail, rural and business banking portfolio were 29.33 billion Rupees compared to 32.17 billion Rupees in the previous quarter. The net additions to gross NPAs in the retail, rural and business banking portfolios were 27.99 billion Rupees compared to 17.11 billion Rupees in the previous quarter.

The gross NPA additions from the corporate and SME portfolio were 1.84 billion Rupees compared to 2.11 billion Rupees in the previous quarter. Recoveries and upgrades from the corporate and SME portfolio were 3.59 billion Rupees compared to 7.01 billion Rupees in the previous quarter. There were net deletions of gross NPAs of 1.75 billion Rupees in the corporate and SME portfolio compared to 4.90 billion Rupees in the previous quarter.

The gross NPAs written-off during the quarter were 17.53 billion Rupees. There was sale of gross NPAs of 1.14 billion rupees in the current quarter compared to 3.27 billion Rupees in the previous quarter. The sale of NPAs includes about 1.02 billion Rupees in cash.

The non-fund based outstanding to borrowers classified as non-performing was 35.43 billion Rupees as of June 30, 2024 compared to 36.71 billion Rupees as of P a g e 7 | 24March 31, 2024. The Bank holds provisions amounting to 19.64 billion Rupees against this non-fund based outstanding.

The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 27.35 billion Rupees or about 0.2% of the total loan portfolio at June 30, 2024 from 30.59 billion Rupees at March 31, 2024. Of the total fund based outstanding under resolution at June 30, 2024, 23.25 billion Rupees was from the retail, rural and business banking portfolio and 4.10 billion Rupees was from the corporate and SME portfolio. The Bank holds provisions of 8.63 billion Rupees against these borrowers, which is higher than the requirement as per RBI guidelines.

Moving on to the P&L details:

C. P&L details

Net interest income increased by 7.3% year-on-year to 195.53 billion Rupees in this quarter. The net interest margin was 4.36% in this quarter compared to 4.40% in the previous quarter and 4.78% in Q1 of last year. The impact of interest on income tax refund on net interest margin was nil in the current and previous quarter and was 3 bps in Q1 of last year.

The domestic NIM was 4.44% in this quarter compared to 4.49% in the previous quarter and 4.88% in Q1 of last year. The cost of deposits was 4.84% in this quarter compared to 4.82% in the previous quarter. Of the total domestic loans, interest rates on 50% of the loans are linked to the repo rate, 2% to other external benchmarks and 17% to MCLR and other older benchmarks. The balance 31% of loans have fixed interest rates.

P a g e 8 | 24Non-interest income, excluding treasury, grew by 23.3% year-on-year to 63.89 billion Rupees in Q1 of 2025.

•Fee income increased by 13.4% year-on-year to 54.90 billion Rupees in this quarter. Fees from retail, rural, business banking and SME

customers
constituted about 78% of the total fees in this quarter.

•Dividend income from subsidiaries was 8.94 billion Rupees in this quarter compared to 2.91 billion Rupees in Q1 of last year. The year-on-year increase in dividend income was primarily due to dividend from ICICI Securities, ICICI Lombard General Insurance and ICICI Prudential Life Insurance in Q1 of this year compared to Q1 of last year.

On Costs: The Bank's operating expenses increased by 10.6% year-on-year in this quarter compared to 19.0% in FY2024. In Q4 of last year, the year-on-year increase was 12.9% adjusted for one-off in the previous year's base, as we had stated on the earnings call. Employee expenses increased by 12.5% year-on-year in this quarter, reflecting mainly the impact of annual increments and promotions that take place during the first quarter of every fiscal year. Non-employee expenses increased by 9.2% year-on-year in this quarter primarily due to retail business related and technology expenses. The technology expenses were about 9.3% of our operating expenses in this quarter. Our branch count has increased by 64 in the first quarter. We had 6,587 branches as of June 30, 2024.

The total provisions during the quarter were 13.32 billion Rupees, a year-on-year increase of 3.1% over the provisions of 12.92 billion rupees in Q1 of 2024. This includes the impact of release of AIF related provisions of 3.89 billion Rupees during the quarter, pursuant to clarity on the regulatory requirements.

P a g e 9 | 24The provisions during the quarter were 8.6% of core operating profit and 0.43% of average advances compared to 9.3% of core operating profit and 0.49% of average advances in Q1 of 2024. Adjusting for the AIF provision release and the seasonality of KCC provisioning which comes in only in Q1 and Q3, the credit cost to advances would be about 50 bps, which is the adjusted credit cost level we had spoken of in the earnings calls for the previous two quarters as well.

The provisioning coverage on NPAs was 79.7% as of June 30, 2024. In addition, we hold 8.63 billion Rupees of provisions on borrowers under resolution. Further, the Bank continues to hold contingency provision of 131.00 billion Rupees as of June 30, 2024. At the end of June, the total provisions, other than specific provisions on fund-based outstanding to borrowers classified as non-performing, were 234.03 billion Rupees or 1.9% of loans.

The profit before tax excluding treasury grew by 11.8% year-on-year to 140.80 billion Rupees in Q1 of this year.

Treasury gains increased to 6.13 billion Rupees in Q1 from 2.52 billion Rupees in Q1 of the previous year, primarily reflecting realised and mark-to-market gains in equities and security receipts.

As you are aware from the first quarter of this year, the revised investment guidelines have become applicable under which the mark-to-market gain on investments classified as fair value through P&L flows through the P&L, which was not getting recognized prior to the introduction of these guidelines, and hence, the future course of treasury gains will depend on these market movements.

The tax expense was 36.34 billion Rupees in this quarter compared to 31.99 billion Rupees in the corresponding quarter last year. The profit after tax grew by 14.6% year-on-year to 110.59 billion Rupees in this quarter.
P a g e 10 | 24
Sandeep earlier talked about the capital adequacy position with a CET-1 ratio, including profits for Q1 of 2025, of 15.92%, Tier 1 ratio of 15.92% and total capital adequacy ratio of 16.63% at June 30, 2024. These ratios include the impact of increase in risk-weighted assets for operational risk, which is computed in first quarter of every fiscal year and also the impact of implementing revised investment

guidelines from the beginning of this fiscal year.
Growth in digital off

erings

We continue to enhance the use of technology in our operations to provide simplified solutions to customers. The Bank has launched an industry-first initiative ‘SmartLock’ that empowers customers to instantly lock/unlock the key banking services such as UPI, Debit Cards, Credit Cards, with just one click on iMobile Pay. About 71% of trade transactions were done digitally in Q1-2025. The volume of transactions done through Trade Online platform grew by 21.5% yearon-year in Q1-2025.

D. Portfolio information

We have provided details on our retail, business banking and SME portfolio in slides 25 to 32 of the investor presentation.

The loan and non-fund based outstanding to performing corporate and SME borrowers rated BB and below was 52.86 billion Rupees at June 30, 2024 compared to 55.28 billion Rupees at March 31, 2024. This portfolio was about 0.43% of our advances at June 30, 2024. Other than two accounts, the maximum single borrower outstanding in the BB and below portfolio was less than 5.00 billion Rupees at June 30, 2024. At June 30, 2024, we held provisions of 8.49 billion Rupees on the BB and below portfolio compared to 9.03 billion Rupees at March 31, 2024. This includes provisions held against borrowers under resolution included in this portfolio.
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The total outstanding to NBFCs and HFCs was 854.12 billion Rupees at June 30, 2024 compared to 770.68 billion Rupees at March 31, 2024. The total outstanding loans to NBFCs and HFCs were about 7.0% of our advances at June 30, 2024. During the current quarter, the increase in NBFC portfolio was primarily due to
lending opportunities at better pricing to high rated borrowers and profitable opportunities in the bond market.

The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 521.30 billion Rupees at June 30, 2024 compared to 482.92 billion Rupees at March 31, 2024. The builder portfolio was about 4.3% of our total loan portfolio. Our portfolio largely comprises well-established builders and this is also reflected in the sequential increase in the portfolio. About 2.2% of the builder portfolio at June 30, 2024 was either rated BB and below internally or was classified as non-performing, compared to 2.7% at March 31, 2024.

E. Consolidated results

The consolidated profit after tax grew by 10.0% year-on-year to 116.96 billion Rupees in this quarter.

The details of the financial performance of subsidiaries and key associates are covered in slides 40 to 42 and 62 to 67 in the investor presentation.

The annualised premium equivalent of ICICI Life increased to 19.63 billion Rupees in Q1-2025 from 14.61 billion Rupees in Q1-2024. The value of new business increased to 4.72 billion Rupees in Q1-2025 from 4.38 billion Rupees in Q1-2024. The value of new business margin was 24.0% in Q1-2025 compared to 24.6% in fiscal 2024. The profit after tax of ICICI Life increased by 8.7% year-on-year to 2.25 billion Rupees in Q1-2025 compared to 2.07 billion Rupees in Q1-2024.

Gross Direct Premium Income of ICICI General was 76.88 billion Rupees in Q12025 compared to 63.87 billion Rupees in Q1-2024. The combined ratio stood at 102.3% in Q1-2025 compared to 103.8% in Q1-2024. The profit after tax was 5.80 billion Rupees in Q1-2025 compared to 3.90 billion Rupees in Q1-2024.

The profit after tax of ICICI AMC, as per Ind AS was 6.33 billion Rupees in this quarter compared to 4.74 billion Rupees in Q1 of last year.

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was

5.27 billion Rupees in this quarter compared to 2.71 billion Rupees in Q1 of last year.

ICICI Bank Canada had a profit after tax of 20.3 million Canadian dollars in this quarter compared to 16.4 million Canadian dollars in Q1 last year.

ICICI Bank UK h

ad a profit after tax of 7.7 million US dollars in this quarter compared to 9.4 million US dollars in Q1 of last year.

As per Ind AS, ICICI Home Finance had a profit after tax of 1.17 billion Rupees in the current quarter compared to 1.05 billion Rupees in Q1 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.



Moderator:
We will now begin the question-and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama Institutional Equities. Please go ahead.

Mahrukh Adajania:
My first question is on deposit and loan growth. So, incrementally everyone is complaining about tight deposits, there are some rate hikes that have happened as well. So, are you still comfortable with, say, maybe targeting a loan growth of mid-to-high teens? And would you be comfortable increasing your LDR, since it's already lower than peers or would deposits continue to grow in line with loans?

Anindya Banerjee:
Mahrukh, we don't target any particular level of loan growth, but we have grown our deposits quite comfortably during the quarter at 17% on an average basis and 15% plus on a period end basis. So, the deposit flows are quite healthy in terms of supporting the loan growth. As you said, the deposit rates continue to be tight, the wholesale deposit rates have not really come down during the first quarter as they usually do and of late there has been one or two hikes in the retail deposit rate also, although in one case it is at a longer tenor. So, we will have to see how the deposit market moves going ahead, but we don't feel that as a constraint in terms of the available lending opportunities. On the lending side also, I think there is a price competition the other way and we are seeing fair amount of competition particularly on the corporate side. So, we will keep calibrating both. As far as the LDR is concerned, I think this low-to-mid 80s is the level of domestic LDR that we have historically operated at and I don't see any big change in that, it may vary one quarter here up or down, but broadly it should be at that level. As far as both
deposit growth and loan growth are concerned, of course, over the next couple of quarters, we will also have to take into account the implications of the revised guidelines on LCR, the draft of which has come, which will have some impact on both deposit markets and loan markets. So, we will have to see that as we go along as well.

Mahrukh Adajania:
So, my other two questions, one is, if you have any rough calculation on LCR and can we assume that 90%, 95% of deposits would fall under the digitally-enabled tap? And the other question is just on retail recoveries, right. Do you see them

slowdown in your customer segments because there's a lot of discussion on customer leverage in some segments or the other, so in your set of customers, do you see the retail recoveries flowing in as smoothly as you saw last year, how does it play out?

Anindya Banerjee:
On the first one, I think it's a fairly easy calculation to do because the LCR disclosures are public and at least I think all the analyst reports that we've seen as of yesterday for the major banks talk about between a 10 to 15 percentage point impact and I think that's a fair estimate.

On the recoveries, I think we have been saying for some time that the pace of recoveries will vary and may not continue at the same pace, because we were still collecting out of the pool of NPAs that got created in fiscal ’21 and fiscal ‘22. So, that pace will come-off and therefore, the credit cost will also normalize upwards. But, as I mentioned earlier, finally, if we look at it, the credit costs are still at or below around 50 basis points and then NPL ratios, provisioning coverage are all fine. So, I thin

k that's the way we would look at it.

Moderator:
Next question is from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.

Nitin Agarwal:
I have two questions. First is on the cards portfolio. Like there in few other banks and NBFCs have reported acute stress in the segment and the system in general is seeing some rise in delinquencies. So, how do you see the asset quality outlook here? And if you can just also provide some color on the credit cost currently versus the long period average? Some qualitative color around that will also be helpful.

Anindya Banerjee:
As far as cards is concerned, it's less than 5% of our loan portfolio and whatever happens in the credit cost there has flowed into the overall numbers. I would say that we see it as a growth business and we are investing in growth in that business in terms of both products and distribution and our offerings. So, that's a business we would like to grow.

On the credit cost, if you're asking about on the overall basis, I think as I said, currently, we seem to be operating at about 50 bps. This, I would expect it to further normalise gradually, but what the long period average will be, in the kind of portfolio construct and the systemic construct that we have now, is difficult to say at this point, but I would say that it will be better than historical levels for sure.

Nitin Agarwal:
Also, this credit cost outlook on the cards, specifically like how do you compare versus long period average?

Anindya Banerjee:
We don't really call that out. As I said, it's about 5% of our book, but it is a book we would be very keen to grow.

Nitin Agarwal:
Other question is on the yield on advances, which has come down this quarter around eight basis points. So, how do you read, is it like that the yields have peaked out and will sustain around current levels?

Anindya Banerjee:
So, part of it would just be the impact of the non-accrual on the KCC portfolio, because it's a non-accrual of interest accrued over a slightly longer period. That could be one component and others there will be some small movements here and there, nothing really specific to call out. On lending rates per se, as I said, I think we continue to see a reasonable amount of competition, particularly on the corporate side.

Nitin Agarwal:

Just one clarification on the treasury gains also, which is a higher number this quarter versus the run rates that we have reported in the prior years. So, some details as to we are behind this game and how do we like see this moving?

Anindya Banerjee:
We would have made gains from our normal proprietary trading businesses which includes trade equities, fixed income and currency. We also had some gains on our security receipts portfolio, both realized gains because there were redemptions of the security receipts. The third component would largely be the mark-to-market on the fair value through P&L portfolio which earlier we had to only take the negative MTM impact, now under the new guidelines on the AFS portfolio, the MTM impact either positive or negative flows to the AFS reserve, and on the fair value through P&L portfolio, whether positive or negative, it flows through to the P&L and in this quarter, it would have been a positive impact. So, those would be the three impacts.
In the overall context, even at rupees 6 billion, the treasury profit number is a pretty small component of the P&L.

Moderator:
Next question is from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla:
Just going back to the yield on loans question, QoQ I appreciate that, but even if you look at YoY the yields are 9.86 to 9.8. During this period, the share of retail, SME and business banking has gone up, which I believe is higher yielding business, MCLR rates would be higher, GNPA pr

oportion is lower and yet the yield on advances have not gone up. What would explain that?

Anindya Banerjee:
I think the yield on advances really has been at a stable level over the last year. If you look at all the categories that you mentioned, there has been no real increase in market pricing which would have taken the yields up. In fact, if we look at for example, as you know, even on something like personal loans, the lending rates were at very low teens kind of lending rates, the mortgage market has been very competitive, as has been the corporate market. So, there was no real case for yields to go up. Also, on the SME and business banking side, I would guess most banks are operating at really the upper end of the quality spectrum. So, it's not in itself a high yield business in that sense. So, in that context, I think the yields are quite okay in terms of the yield movement reported.

Manish Shukla:
Secondly, opex growth for the full year, how should we really think about it relative to either balance sheet growth or income growth and if you could talk about it separately in terms of employee and non-employee expenses?

Anindya Banerjee:
We don't give guidance on expenses or different components of expenses, but as you would have seen, the opex growth has been coming down over the quarters and the adjusted growth for Q4 was also between 12% and 13%, this quarter it is 10%-odd. So, I would expect that should be a fair indicator. I don't think that there is anything that should take it up materially in our business as usual sense.

Moderator:
Next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka:
Three questions. One is in cards and PL. Do you think any additional tightening is needed or the current QoQ growth rates allow you to filter out enough risk and this kind of QoQ trend can continue?

Anindya Banerjee:
I don't think we are looking at really any material tightening. I mean there is minor tweaking and refinement that we keep doing. On PL, we had taken a number of actions last year and I think the growth rate has come off; if you look at the yearon-year growth, it has come from 40% to 24% and I am guessing by the time we end

this year it will be closer to 20% kind of number or lower. So, I don't think there is anything much to be done. Cards, it's an ongoing refinement, but as I said there we want to grow the business. So, to answer your question, I don't think anything needed.

Abhishek Murarka:
Second question is on corporate loans. Now, we have seen two banks growing corporate loans on a QoQ basis this quarter. Is it because there is now some bit of asset quality stress in the retail side and therefore moving to this side or there are P a g e 20 | 24better opportunities in this space, how do we read this and what's happening in that space, if you could give an update?

Anindya Banerjee:
It is nothing to do with the asset quality on the retail side. I think it really depends on what opportunities come at any point in time and what is the pricing available. So, if you look at, we've spoken of in this quarter also, we saw a growth in the NBFC portfolio and a growth in the real estate portfolio and some of this, of course is at decent pricing and as well as within our risk/reward thresholds. For a couple of quarters, our NBFC portfolio had gone down because of some prepayments, etc., So, that has not happened this quarter. So, I think if you look at for the last several quarters, our corporate book has grown at around 10%, it could be 8% to 9% in one quarter, it could be 11% to 12% in another and that is a pretty steady pace, no change in approach. Going forward, I think what we are currently seeing again is a fair amount of competitive intensity in that space. So, we will have to calibrate.

Abhishek Murarka:
And just quickly on LCR. So, just as

an approach, now, do you need to maintain
20%, 25% additional LCR over 100 on an ongoing basis or once you're reserving higher and anyway it is more stringent, you don't need to maintain that much surplus and that can be how you offset the impact of this new circular?

Anindya Banerjee:
I think we have to think all that through and I guess look at refining both the asset and liability side of the balance sheet. But we will have to think that through, not something we can respond as of now.

Moderator:
Next question is from the line of Piran Engineer from CLSA. Please go ahead.

P a g e 21 | 24Piran Engineer:
Just sort of getting back to some of the questions that were asked earlier on yield. Now, I'd be interested in your thoughts as to borrower demand has been strong for the last two years, the raw material cost for banks is going up, yet, not just you, but none of your peers have been able to pass it on to the borrowers. Why do you think that's the case really? Or, is it that because there is growth, you are sacrificing NIMs?

Anindya Banerjee:
No, it would not be correct to say that it has not been passed on at all. So, I think if you look at, for example, products even although it has been very competitive, but products like home loans, auto loans or a number of asset classes, yields have gone up between certainly FY'22, '23, that is not going up any further now. On the corporate side, I think in two markets I would say corporate and mortgages there are episodes of competitive intensity because I think different banks may have different motivations at various points of times.

Piran Engineer:
Is it also the case that within each product, the customer selection is getting better, just getting to like Manish's question that the product mix is changing, but then in each product you're getting to better types of customers. So, the effective yield does not change. Is that what has happened?

Anindya Banerjee:
So, I would say that for the quality customers, the banks are quite competitive in terms of yield. And I think broadly, banks are focused on the prime, I would say

more prime end of the spectrum.

Moderator:
P a g e 22 | 24Next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian:
Could you explain the quarter-on-quarter movement in net worth because it's up 15,600 crores whereas the profit for the quarter is 11,000 crores. So, is there something that I'm missing?

Anindya Banerjee:
Yes, the revised investment guidelines became applicable in the quarter and as we have disclosed in our stock exchange release, we recognized an AFS reserve plus retained earnings of about rupees 32 billion net of deferred tax and the AFS reserve would have increased a little bit further based on market movements between April and June. So, that would be the main component. In addition, some amount of capital and reserves gets added every quarter due to stock option exercises, but that's a smaller number.

Moderator:
Next question is from the line of Kaitav Shah from Anand Rathi Financial Service.

Kaitav Shah:
Thank you. All my questions have been answered. Thank you.

Anindya Banerjee:
Thank you.

Moderator:
Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah:
P a g e 23 | 24So, firstly, maybe if you can quantify the impact of the penal charges…

Moderator:
Kunal, sorry to interrupt you. Can you speak through the handset please?

Kunal Shah:
If you can just quantify the impact of penal charges circular which has come through, that would be helpful? And secondly, maybe with respect to recoveries, maybe if corporate recoveries are anticipated to be relatively lower, should we see the faster normalization we had seen in one of the peer banks that impacting the credit cost immediately in one single quarter? Do we expect such kind of volati

lity
or maybe for us as you mentioned it should be gradual inch-up or maybe gradual normalization, which will come through in the quarters?

Anindya Banerjee:
On the penal charges circular, we have not really put out any number. So, that's not something I can share. On the recoveries part, I would just say that overall, our credit costs have been quite steady, even in the last couple of quarters where for various reasons the reported numbers were pretty low, we had kind of said that the adjusted cost for the quarter would be around 50 bps and that is where it is. There will always be some ups and downs in terms of additions, recoveries, etc., but that's okay, not something that we would want to specifically comment on.

Kunal Shah:
And lastly, as you also indicated in terms of the retail, couple of players have hiked by almost like 20-odd basis points, how would we take a call, maybe are we looking to be equally competitive and increase the interest rates and even in terms of the branch expansion and changes compared to what you have earlier articulated in terms of the plan on an annual basis?

P a g e 24 | 24Anindya Banerjee:
On the rates, we will take a view. These are dynamic markets, so, as we go along,

we will take a view and based on both sort of our target, our kind of desired level of mobilization as also the maturity bucket which works for us. On the branch, no change as such.

Moderator: Ladies and gentlemen, we will take that as the last question. I'll now hand the conference over to the management for closing comments.

Anindya Banerjee:
Thank you all for taking time out on a Saturday as always. And if any other clarifications are required, please reach out. Thank you.

Moderator:
On behalf of ICICI Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Oct 2024

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Analyst call on October 26, 2024 : Opening Remarks

Certain definitions in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward -looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Such forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward -looking statements. These risks and uncertainties include, but are not limited to statutory and regulatory changes, international economic and business conditions, political or economic instability in the jurisdictions where we have operations or which affect global or Indian economic conditions, increase in nonperforming loans, unanticipated changes in interest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India's sovereign rating, as well as other risks detailed in the reports filed by us with the United States Securities and Exchange Commission. Any f orward -looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward -looking statements to reflect events or circumstances after the date thereof. Additional risks that could affect our future operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov

This release does not constitute an offer of securities.

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Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q2 of FY202 5. Joining us today on this call are Sandeep Batra, Rakesh , Ajay, Anindya and Abhinek .

The Indian economy remains resilient based on its long -term growth drivers and the actions and initiatives of the policymakers. The global and domestic inflation , liquidity and rate environment continue to evolve , and we would continue to monitor the same .

At ICICI Bank, o ur strategic focus continues to be on growing profit before tax excluding treasury through the 360-degree customer centric approach and by serving opportu nities across ecosystems and micromarkets . We continue to operate within our strategic framework to strengthen our franchise. Maintain ing high standards of governance, deepening coverage and enhancing deliver y capabilities are focus areas for our risk calibrated profitable growth .

The profit before tax excluding treasury grew by 7.9% year -on-year and 5.2% quarter -on-quarter to 148.10 billion Rupees in this quarter . The core operating profit increased by 12.1 % year -on-year and 4.1% quarter -on-quarter to 160.43 billion Rupees in this quarter. Excluding dividend income from subsidiaries and associates, the core operating profit increased by 13.4 % year -on-year and 6.8% quarter -on-quarter to 155.0 2 billion Rupees in this quarter. The profit after tax grew by 14.5 % year -on-year and 6. 2% quarter -on-quarter to 117. 46 billion Rupees in this quarter.

Total deposits grew by 15.7 % year -on-year and 5.0% sequentially at September

30, 202 4. Term deposits increased by 15.9 % year -on-year and 5.5% sequentially at September 30, 2024. During the quarter, average deposits grew by 15.6 % year -on-year and 3.6% sequentially and a verage current and savings account
3
deposits grew by 10.4% year -on-year and 1.8% sequentially. The Bank's average liquidity coverage ratio for the quarter was about 120%.

The domestic loan portfolio grew by 15.7 % year -on-year and 4.6% sequentially at September 30, 2024 . The retail loan portfolio grew by 14.2 % year -on-year and 2.9% sequentially. Including non -fund based outstanding, the retail portfolio was 44.9 % of the total portfolio. The rural portfolio grew by 16.5 % year -on-year and 1.7% sequentially. The business banking portfolio grew by 30.0% year -on-year and 10.7 % sequentially. The domestic corporate portfolio grew by 11.8% year - on-year and 4.9% sequentially . The overall loan portfolio including the international branches portfolio grew by 15.0 % year -on-year and 4.4% sequentially at September 30, 202 4. We have re vised the presentation of loans to reflect a consolidated view of the business banking portfolio, which Anindya will explain later on the call .

The net NPA ratio was 0.42 % at September 30, 202 4 compared to 0.43 % at June 30, 2024 and 0.43 % at September 30, 202 3. The total provisions during the quarter were 12.33 billion Rupees or 7.7% of core operating profit and 0.38 % of average advances. The provisioning coverage ratio on non-performing loans was 78.5% at September 30, 202 4. In addition, the Bank continues to hold contingency provisions of 131.00 billion Rupees or about 1.0% of total loans a t September 30, 2024 .

The capital position of the Bank continued to be strong with a CET -1 ratio of 15.96 % and total capital adequacy ratio of 16.66 % at September 30, 2024 , including profits for H1-2025 .

Looking ahead, we see many opportunities to drive risk calibrated profitable growth . We believe o ur focus on customer 360 degree , extensive franchise and collaboration within the organi sation, backed by our focus on enhancing delivery systems and simplifying process es will enable us to deliver holistic solutions to
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customers in a seamless manner and grow market share across key segments . We will continue to make investments in technology, people, distribution and building our brand . We are laying strong emphasis on strengthening our opera tional resilience for seamless delivery of services to customers. We will remain focused on maintaining a strong balance sheet with prudent provisioning and health y levels of capital . The principles of "Return of Capital", "Fair to Customer, Fair to Bank" and "One Bank, One Team " will continue to guide our operations. We remain focused on delivering consistent and predictable returns to our shareholders.

I now hand the call over to Anindya .

5
Anindya 's opening remarks

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details, growth in digital offerings , portfolio trends and performance of subsidiaries.

A. Loan growth

As Sandeep mentioned, we have revised the presentation of loans to reflect a consol idated view of the business banking portfolio. This comprises all bo rrowers with a turnover of upto 7.50 billion Rupees which was earlier reflected in the reported SME and business banking portfolios as well rural business credit forming part of the rural portfolio, dealer funding forming part of the retail portfolio and lending to mid -corporates forming part of the corporate portfolio. Over the past few years, the Bank has seen healthy loan growth in this category and has adopted an integrated approach to coverage, credit and delivery to these customers . Aligning with the same , we would be reporting the retail, rural, business banking and corporate portfolios on this revised basis. The comparable data for previous periods have been provided on slide 67 of the investor presentation.

Coming to the growth across retail products, the mortgage portfolio grew by 13.2 % year -on-year and 3.2% sequentially. A uto loans grew by 9.6% year -on-year and 0.8% sequentially. The commercial vehicles and equipment portfolio grew by 9.1% year -on-year and was flat sequentially. Personal

loans grew by
17.3 % year -on-year and 3.5% sequentially . The c redit card portfolio grew by 27.9 % year -on-year and 3.4% seque ntially. The personal loans and credit card portfolio were 9.6% and 4.3% of the overall loan book respectively at September 30, 2024 .

The overseas loan portfolio , in US dollar terms, declined by 6.9% year -on-year at September 30, 2024 . The overseas loan portfolio was about 2.6% of the overall

loan book at September 30, 2024 . Of the overseas corporate portfolio, about 92% comprises Indian corporates.

B. Credit quality

The gross NPA additions were 50.73 billion Rupees in the current quarter compared to 59.16 billion Rupees in the previous quarter. Recoveries and upgrades from gross NPAs, excluding write -offs and sale, were 33.19 billion Rupees in the current quarter compared to 32.92 billion Rupees in the previous quarter. The net additions to gross NPAs were 17.54 billion Rupees in the current quarter compared to 26.24 billion Rupees in the previous quarter.

The gros s NPA additions from the retail and rural portfolio s were 43.41 billion Rupees in the current quarter compared to 52.04 billion Rupees in the previous quarter . We typically see higher NPA additions from the kisan credit card portfolio in the first and third quarter of a fiscal year. Recoveries and upgrades from the retail and rural portfolio s were 25.92 billion Rupees compared to 25.32 billion Rupees in the previous quarter. The net additions to gross NPAs in the retail and rural portfolios were 17.49 billion Rupees compared to 26.72 billion Rupees in the previous quarter.

The gross NPA additions from the corporate and business banking portfolio s were 7.32 billion Rupees compared to 7.12 billion Rupees in the previous quarter. Recoveries and upgrades from the corporate and business banking portfolio s were 7.27 billion Rupees compared to 7.60 billion Rupees in the previous quarter. There were net addition s to gross NPAs of 0.05 billion Rupees in the corporate and business banking portfolio s compared to net deletion of 0.48 billion Rupees in the previous quarter.

The gross NPAs written -off during the quarter were 33.36 billion Rupees. There was sale of NPAs of 0.16 billion rupees for cash in the current quarter compared to 1.14 billion Rupees in the previous quarter.


The non -fund based outstanding to borrowers classified as non -performing was 33.82 billion Rupees as of September 30, 202 4 compared to 35.43 billion Rupees as of June 30, 2024 . The Bank holds provisions amounting to 19.11 billion Rupees against this non -fund based outstanding .

The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 25.46 billion Rupees or about 0.2% of the total loan portfolio at September 30, 202 4 from 27.35 billion Rupees at June 30, 2024 . Of the total fund based outstanding under resolution at September 30, 2024 , 21.29 billion Rupees was from the retail and rural portfolio s and 4.17 billion Rupees was from the corporate and business banking portfolio s. The Bank holds provisions of 8.12 billion Rupees against these borrowers, which is higher than the req uirement as per RBI guidelines.

Moving on to the P&L details:

C. P&L d etails

Net interest income increased by 9.5% year -on-year to 200.48 billion Rupees in this quarter . The net interest margin was 4.27 % in this quarter compared to 4.36 % in the previous quarter and 4.53% in Q2 of last yea r. The impact of interest on income tax re fund on net interest margin was nil in the current, previous quarter and no impact in Q2 of last year. The movement in net interest margin from Q1 to Q2 includes the impact of the higher number of days in the current quarter, which should seasonally reverse in Q4.

The domestic NIM was 4.34 % in this quarter compared to 4.44 %

in the previous
quarter and 4.61% in Q2 of last year. The cost of deposits was 4.88 % in this quarter compared to 4.84 % in the pre vious quarter . Of the total domestic loans, interest rates on 51% of the loans are linked to the repo rate, 1% to other external benchmarks and 16% to MCLR and other older benchmarks. The balance 32% of loans have fixed interest rates.
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Non-interest inco me, excluding treasury, grew by 10.8 % year -on-year to 64.96 billion Rupees in Q2 of 202 5.
■ Fee income increased by 13.3 % year -on-year to 58.94 billion Rupees in this quarter . Fees from retail, rural and business banking customers constituted about 78% of the total fees in this quarter .

■ Dividend income from subsidiaries and associates was 5.41 billion Rupees in this quarter compared to 6.48 billion Rupees in Q2 of last year. Dividend income from subsidiaries and associates was 14.35 billion Rupees in H1 of current year compared to 9.40 billion Rupees in H1 of last year.

On Costs: The Bank's operating expenses increased by 6.6% year -on-year in this quarter . Employee expenses increased by 11.0 % year -on-year and n on-employee expenses increased by 3.8% year -on-year in this quarter . The technology expenses were about 10% of our operating expenses in H1 of current year . Our branch count has increased by 90 in H1 of c urrent year . We had 6,613 branches as of September 30, 2024.

The total provisions during the quarter were 12.33 billion Rupees or 7.7 % of core operating profit and 0.4% of average advances compared to the provisions of 13.32 billion rupees in Q1 of 2025 . The provisions in Q1 of 2025 also include d the impact of release of AIF provisions of 3.89 billion Rupees, pursuant to clarity on the regulatory requirements .

The provisioning coverage on non-performing loans was 78.5 % as of September 30, 2024. In addition, we hold 8.12 billion Rupees of provisions on borrowers under resolution. Further, the Bank continues to hold contingency provision of 131.00 billion Rupees as of September 30, 2024. At the end of September , the total provisions, other than specific provisions on fund -based outstanding to borrowers classified as non -performing, were 231. 91 billion Rupees or 1.8% of loans.
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The profit before tax excluding treasury grew by 7.9% year -on-year to 148.10 billion Rupees in Q2 of this year.

Treasury gain s were 6.80 billion Rupees in Q2 as compared to a treasury loss of 0.85 billion Rupees in Q2 of the previous year , primarily reflecting realis ed and mark -to-market gains in equities and fixed income securities .

The tax expense was 37.44 billion Rupees in this quarter compared to 33.85 billion Rupees in the corresponding quarter last year. The profit after tax grew by 14.5 % year -on-year to 117.4 6 billion Rupees in this quarter .

Growth in digital offerings

We continue to enhance the use of technology in our operations to provide simplified solutions to customers. About 72% of trade transa ctions were done digitally in Q2 -2025. The volume of transactions done through Trade Online platform grew by 20.0% year -on-year in Q2 -2025.

D. Portfolio information

We have provided details on our retail , rural and business banking portfolio s on slides 29 to 32 of the investor presentation.

In line with the revised presentation of composition of the loan portfolio, we would be providing the BB and below corporate portfolio from the current quarter onwards. The loan and non-fund based outs tanding to performing corporate borrowers rated BB and below was 33.86 billion Rupees at September 30, 202 4 compared to 41.64 billion Rupees at June 30 , 2024 . This portfolio was about 0.3% of our advances at September 30, 2024 . Other than two account s, the maximum single borrower outstanding in the BB and below portfolio was less than 5.00 billion Rupees at September 30, 202 4. A

t September 30, 202 4, we held provisions
of 6.26 billion Rupees on the BB and below portfolio compared to 8.41 billion

Rupees at June 30 , 202 4. While the SME portfolio has been carved out from the rating -wise disclosure, the loan and non -fund based outstanding to performing SME borrowers rated BB and below also declined in the current quarter .

The total outstanding to NBFCs and HFCs was 880.2 7 billion Rupees at September 30, 2024 compared to 854.12 billion Rupees at June 30 , 2024 . The total outstanding loans to NBFCs and HFCs were about 6.9% of our advances at September 30, 202 4. The sequential increase in the outstanding to NBFCs and HFCs is mainly due to disbursement to enti ties having long vintage and entities owned by well -established corporate groups.

The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 542. 16 billion Rupees at September 30, 202 4 compared to 521.30 billion Rupees at June 30, 2024 . The builder portfolio was abou t 4.2% of our total loan portfolio. Our portfolio largely comprises well-established builders and this is also reflected in the sequential increase in the portfolio. About 1.9% of the builder portfolio at September 30, 202 4 was either rated BB and below internally or was classified as non -performing , compared to 2.1% at June 30 , 2024 .

E. Consolidated results

The consolidated profit after tax grew by 18.8 % year -on-year to 129.48 billion Rupees in this quarter.

The details of the financial performance of key subsidiaries are covered in slides 40 to 42 and 61 to 66 in the investor presentation.

The annualis ed premium equivalent of ICICI Life was 44.67 billion Rupees in H1 of this year as compared to 35.23 billion Rupees in H1 of last year . The value of new business was 10.58 billion Rupees in H1 of this year compared to 10.15 billion Rupees in H1 of last year. The value of new business margin was 23.7 % in

H1 of this year compared to 24.6 % in FY2024 and 28.8% in H1 of last year . The profit after tax of ICICI Life was 4.77 billion Rupees in H1 of this year compared to 4.51 billion Rupees in H1 of last year and 2.52 billion Rupees in Q2 -2025 compared to 2.44 billion Rupees in Q 2-2024.

Gross Direct Premium Income of ICICI General was 67.21 billion Rupees in Q2 -2025 compared to 60.86 billion Rupees in Q2 -2024 . The combined ratio stood at 104.5 % in Q2 -2025 compared to 103.9% in Q2 -2024. Excluding the impact of CAT losses of 0.94 billion Rupees in Q2 -2025 and 0.48 billion Rupees in Q2 -2024, the combined ratio was 102.6% and 102.8% respectively. The profit after tax was 6.94 billion Rupees in Q2 -2025 compared to 5.77 billio n Rupees in Q2 -2024 .

The profit after tax of ICICI AMC , as per Ind AS was 6.94 billion Rupees in this quarter compared to 5.01 billion Rupees in Q2 of last year .

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 5.29 billion Rupees in this quarter compared to 4.24 billion Rupees in Q2 of last year.

ICICI Bank Canada had a profit after tax of 19.1 million Canadian dollars in this quarter compared to 21.1 million Canadian dollars in Q2 last year .

ICICI Bank UK had a profit after tax of 8.0 million US dollars in this quarter compared to 3.3 million US dollars in Q2 of last year .

As per Ind AS, ICICI Home Finance had a profit after tax of 1.83 billion Rupees in the current quarter compared to 1.12 billion Rupees in Q2 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.



Moderator:
Thank you very much. We will now begin with the question -and-answer session. First question is from the line of Mahrukh Adajania from Nuvama Wealth. Please go ah ead.

Mahrukh Adajania:
My question is just related to general asset quality. So, your

slippages have done
very well this quarter. And you've been growing your unsecured loans though at a slower pace, but quite healthy. Your growth in mortgage and unsecure d loans on a QoQ basis is similar. And despite that, there's no sign of stress on your books while every other lender is seeing some stress one or the other on unsecured loans, either in credit cards or other unsecured loans. So, how do you think about your book going ahead? Will that divergent trend from the sector continue? And what is it that you think you're doing right relative to others?

Anindya Banerjee:
Mahrukh, first of all, I think we have also seen an increase in the delinquencies and NPL formation in unsecured loans over the last three to four quarters, both in credit cards and in personal loans. But during this period and even prior to that, we had been taking various steps to sort of improve the way we were underwriting and sourcing this portfolio in terms of customer segments and pricing and various other filters.

And therefore , as you would see on the personal loan side, the growth on a year -on-year basis has actually come off pretty significantly. Last year in the September quarter , the year -on-year growth was 40% and this year it is down to 17% or so. But in this portfolio , over a period of time , the slippages have gone up. I would say that in the current quarter , we have not seen them go up further on a sequential basis, but we will continue to watch.

On the credit card side, I think it's a little different from personal loans because that is a very core product when you look at a Bank custom er relationship and



sort of a high touch product. So, that's definitely a business we would want to continue to grow. But there also , over a period of time, we have taken various steps in terms of the sourcing pattern. And , while we have seen again, there also the delinquencies and credit costs go up, it continues to be a very profitable business and a growth business.

Overall, the unsecured piece, these two products put together are about 14% of the loan book. So, some increase in delinquency or credit costs in these segments has contributed to the path towards some kind of normalization of credit costs. But even after that, if you look at it, we are still in the 40 -50 basis point range on an overall basis. So, that's how we would manage going forward.

Mahrukh Adajania:
And just my second question is on funding costs. I know the deposit mix is also

kind of changing, but would funding costs have bottomed out now? I mean, peaked out now? Just some outlook on margins in terms of cost.

Anindya Banerjee:
If you look at the retail deposit rates, I think they have gone up in the current calendar year by about 15 bps or so, I think about 10 bps in Q4 and 5 bps in earlier this quarter . And that will feed into the increase in the cost of deposits by 1 basis poin t, 2 basis point over a period of time. But yes, I think the big increase in deposit rates had already by and large happened between the second half of fiscal 2023 and the second half of fiscal 2024. So, we would not expect retail deposit rates to go up to o much from here. On the wholesale side, I think the rates continue to be somewhat higher than what we would have otherwise expected. As we had mentioned perhaps last time, the kind of decline in wholesale rates that we usually see during a first quarter did not really happen and rates have continued to be a little bit on the higher side, if you look at one year plus kind of deposits. But I guess, with the liquidity situation having improved and the credit growth also coming off a little bit, that should hopefully will ease going forward, but we

will have to wait and see. Overall, we may see, I guess, marginal increase in the cost of term deposits. I think this quarter the overall cost of deposits went up by 4 basis points, which is a little bit of increa

se in the cost of term deposits and a
little bit of reduction in the average CASA ratio. And maybe to that extent some small increases we could still see.

Moderator:
Thank you. The next question is from the line of Rikin Shah from IIFL Securities. Please, go ahead.

Rikin Shah:
Two questions. First one is on margin and more specifically on yield on advances. So, the yield on advances have been softening since a couple of quarters. Probably this quarter would be a function of mix change, but if you could allude to what's driving slight pressure on the yields on advances and an outlook on that in the near term ? And the second question is on the treasury gains, if you could just provide some colo ur as to why the treasury gains have been high for the second quarter as well. 1Q you did mention a few reasons. If you could just provide more colo ur on that for this quarter as well.

Anindya Banerjee:
On the first one, I think as I mentioned, there are certain portfolios where we account the interest income on a 30/360 basis. So, in quarters which have higher number of days, the yield on advances just mathematically is reported a little lower. It evens out over the course of the year. Other than that, nothing specific on the yield on advances. I think in terms of market lending, we continue to see a fair amount of competitive intensity and we are trying to be as disciplined within that cont ext as we can be. On the overall, I would say on the margins, we would expect it to be broadly stable in H2 relative to H1 is the way we would look at it until a rate cut cycle starts.


On the treasury, actually, as you know from 1st of April, the revised investment guidelines came into force whereby a lot of the positions are mark -to-market now other than the HTM portfolio and most of , other than the SLR book and subsidiaries and things like that, most of the portfolio is held either in the AFS or fair va lue through P&L and the mark -to-market on the fair value through P&L portfolio reflects in the P&L for the quarter. So, this quarter, if I look at kind of the Rs. 6 odd billion, I would say a larger part did come from the treasury operations, the trading o perations that we do across both fixed income , equities and so on. But some component was there which reflected sort of the incremental mark -to-market positive over and above what the position was on June 30th on the fair value through P&L portfolio.

Mode rator:
Thank you. Next question is from the line of Piran Engineer from CLSA India. Please go ahead.

Piran Engineer:
You've done a good job in controlling opex. Can you just give us some glimpse of where this is coming from? Where are we getting these benefits from? What should we expect in the coming, say, FY25 -26?

Anindya Banerjee:
I think we have been talking maybe for the last four quarters that the kind of opex growth rate of 20% plus that we had been running in the four to six quarters or maybe a couple of years prior to that would moderate because now the cost base itself is fairly large and we have opportunities to optimize within that. So, that is basically what has driven the reduction in the cost growth. I think if I remember right for the fourth quarter , the adjusted cost growth was about 13% or so. For the first half this year, while the Q2 number is indeed year -on-year growth is very low at 6.6%, for the first half this year, it's about 8.5% or so. And it could be slightly higher in the se cond half, given all the festive season -related spends and other
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technology spends, etc., that we have planned out. But broadly, around this level, give or take a couple of percentage points is where we should see it in the near term.

Piran Engineer:
And your branch openings have also slowed down this year compared to the run rate that we are running at earlier. So, any particular reason ? And is this also a rea

son why opex growth has been trending a bit low er?

Anindya Banerjee:
No. I don't think that that's a very big driver, maybe there 's some contribution of that. So, on branches, as we have said in the past, we are not really fixated on a particular number, or that we have to open so many in such a period of time. It's a very bott om-up organic process based on the teams which are managing different markets, what is the branch addition that they need to do and it's always looked at within the overall current and potential PPOP kind of framework. So, based on that, we have not consci ously held back on opening any branches nor have we pushed any branch opening. It's just an organic process which happened. I would guess this number will be materially higher in H2 but it's not like we have any particular number that we want to achieve.

Piran Engineer:
Got it. And just lastly, if I can squeeze in your credit card delinquencies, any difference between the co -branded ones and the regular ones?

Anindya Banerjee:
We don't really give out this data.

Moderator:
Thank you. Next que stion is from the line of Saurabh from JP Morgan. Please go ahead.
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Saurabh :
Just two questions. One is on your CASA growth, especially on your savings account growth. You've done much better than all other banks. So, could you just throw some light as to why you are seeing a much better traction on CASA than others, especially on savings account? And the second is essentially on your slippages. How much will be coming from linked accounts? And will it be fair that in your cards and personal loan portfolio, the NPL increase will be higher in cards, or the write -off will be higher in cards versus PL, the stress you are seeing . And it will be mostly in the outs ide of the bank channel. These are the ones. Thank you.

Anindya Banerjee:
On the CASA side, I think the way we approach it is that we basically focus on what we call money -in-bank. So, we don't really push the distribution for that we want to do this much CA, this much SA or this much Term. Basically , what we are trying to achieve is that we should be having good customers and we should be

the primary banker having a good share of that customer's wallet , and customer ranges across retail and business banking and corporate. And then it's really up to the customer in what form they choose to keep the mone y. So, I think that is the way we are kind of trying. So, I think this money -in-bank concept and focusing the team's attention on the total wallet of the customer rather than driving any particular type of deposit at any point of time has helped as well as the focus on, I would say, quality customer acquisition.

On the NPL part, finally it doesn't really matter whether it is linked or unlinked. RBI guidelines require NPLs to be identified and reported on what we call the common borrower basis at a borrower level and not a particular loan account level. So, that is what we do , and that's been consistent practice for a fair amount of time now. We hav e not really given the comparative delinquencies between personal loans and cards or between different components of either portfolio. I think , as I mentioned earlier, it is fair to say that as was expected over the last 1 -

1.5 years, delinquencies in these portfolios and even overall , the NPL formation in retail have gone up. And we keep taking corrective actions in terms of sourcing. So, hopefully it is stabilizing, and we will see how we go on from here. But nothing really to call out between one or th e other. Of course, the personal loan and credit card products are different. Again, as we mentioned earlier, the credit card is a much more core part of the Bank customer relationship and a much higher touch product , and it has its own operational challen ges as well as kind of opportunities to differentiate. So, that's the way we would look at b

oth these businesses .

Moderator:
Thank you. Next question is from the line of Kunal Shah from Citi Group. Please go ahead.

Kunal Shah:
If you can just highlight in terms of, within the retail, how would be the proportion between the secured and unsecured in terms of the incremental formation and any change in last couple of quarters vis -à-vis the last year?

Anindya Banerjee:
We have not really given any breakup of that kind. I mean, at a broad level, as I said earlier, we have been saying for, I think, eight quarters that the retail NPL formation at a gross level and at a net level will move up, will normalize upwar ds. Within that, there has been an increase, of course, in the credit card and personal side. But finally, one has to look at it the overall portfolio and the overall numbers at a credit cost of 40 to 50 bps of advances, how much more breakups will one do.

Kunal Shah:
When we look at the overall credit cost still maybe below 40 odd basis points, not yet the normalized one. We would have seen some kind of a catch up on the unsecured side as well. But are we comfortable that maybe 40 to 50 would be

the broa d range for credit cost and maybe beyond 50 doesn't seem like any incremental data points would suggest or maybe the delinquency bucket suggests that it should cross 50 basis points of credit cost?

Anindya Banerjee:
It's very difficult to say with that k ind of precision. We have consistently been saying that there will be a gradual normalization, but it is anyway much below historical level and we will see it as it comes. I don't think there is anything today which is alarming us in terms of causing us to believe that it will go up very substantially, but could it inch up over a period of time? It could.

Kunal Shah:
And last data point, LCR you mentioned is 120?

Anindya Banerjee:
Yes.

Moderator:
Thank you. Next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal:
One question I have is on the rating distribution. The rating distribution of corporate portfolio has seen an improvement this quarter. So, unlike the trend that was there in the previous quar ters. So, do you maintain any thresholds here? And do you also benchmark yourself to peer on the mix of credit rating?

Anindya Banerjee:
As we have explained, because we have carved out the SME portion into business banking, now the corporate portfolio, basically comprising corporates above Rs. 7.5 billion in turnover and that is the rating cut we have given. So, I think earlier



there used to be some confusion because we were including SME and other players were not and so on and so forth. So, this hopefully is a more comparable cut. And the numbers for the previous periods are also there on the same slide. It's been a pretty stable trend. I guess, we do have certain internal limits in terms of cap on origination of loans in the lower rating bucket s, but those are sort of internal to us .

Moderator:
Thank you. Next question is from the line of Param Subramanian from Nomura. Please, go ahead.

Param Subramanian:
Firstly, just data, what is the recovery from written -off accounts in the quarter or the first half of the year?

Anindya Banerjee:
We don't give that number separately. It's already adjusted in the provisions line.

Param Subramanian:
Anindya, what is driving the higher write -off in this quarter? It doesn't seem to have come with any significant P&L impact, but so is this largely fully provided loans and technical?

Anindya Banerjee:
Yes, t hese were all 100% provided loans. And the way we do write -offs is that, on broadly retail portfolios, we have a days past due based write -off policy. Whereas on the corporate and SME portfolio, it's more on a case -by-case basis. And these were from relatively old, fully provided NPLs that we wrote off this quarter, techn

ical write -off. Of course, even in some of these, we would continue to pursue cash recovery efforts , that will come when it will come , but these are fully provided corporate NPAs of past year.



Param Subramanian:
And just one last question if I can. The NIM impact because of this longer quarter, any number you can highlight would be great.

Anindya Banerjee:
See the total impact on yield is seve n basis points or so. So, it will be something within that.

Moderator:
Thank you. Next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka:
Two questions. One is on business. One is on fees. On business, I would request for some comment around business banking, especially with regard to demand trends and yield. Is the growth coming at lower yields? And how do you see the sustainability of this growth? And on credit card and PL, you've taken a lot of

tightening measures earlier. But now your sequential run rate, is this like a BAU ? Or do you expect more impact of the tightening measures taken earlier to still show up in the sequential run rate? So, those are the two questions on business. One quick question on fees. So, if I look at fee to assets, now that your loan mix is changing and your PLCC, vehicle finance, all those are coming down in proportion , do you expect your 1.2% fee to assets also coming down? So, some understanding around that. Thanks, those were my two questions.

Anindya Banerjee:
On the business banking side, Abhishek, we were, maybe till eight or nine years back , not very large players in this segment. And I think over this period of time, we have invested a lot into building this business. I would say in terms of the credit underwriting models and capability, equipping many more virtually our

entire branch networ k to deal with this set of customers. And thirdly, I think our digital offerings have also helped and this period has also coincided with greater digital adoption in this segment born e out of various government initiatives or just the evolution of the mark et. So, that has been the basis on which we have grown this segment. And this is one segment where we really focus a lot on the customer 360, because in many cases we would be having a significant share of the wallet, not only across credit, but also acros s transaction banking, deposits, Fx, and so on. So, that we look at really for the portfolio, the profitability on an overall basis.

In terms of pure lending, it is competitive because I think particularly a couple of the other large private sector peers have , in fact , a longer sort of presence and history in this segment. So, I wouldn't characterize it as a high yield business by any stretch , but it is a profitable business because we are really looking at what all we are doing with the customer.

Abhishek Murarka:
Now it's been quite a few years that we have grown this business quite fast, gained quite a bit of market share. So, even today to be able to maintain a 10% sequential run rate, that's in itself a fairly difficult task. So, do you think it's still because your market share is still low, or this is going to slow down and this kind of sequential growth may not continue anymore?

Anindya Banerjee:
I don't want to talk about sequential growth numbers . But fundamentally, I don't think that our market share is saturated at all. I think we have a long way to go in terms of entities, we can tap and cover and reach. And there are lots of very large potential customer base out there, both in terms of people and t heir existing banking plus this is also a segment which is growing. I mean, the people are setting up new manufacturing units, they are setting up new service businesses. So, there is enough and more to be done. I don't see any challenge to the market

oppo rtunity for us in this segment at all. What was your second question? I t’s about

fee .

Abhishek Murarka :
Fees. On cards and PL?

Anindya Banerjee:
As I said, cards I th ink continue s to grow at a reasonably robust pace. PL, probably I don't think the disbursal volume may not, I don't have a sense, may not come down too much, but I think they are already down a fair amount from where they were 3 -4 quarters ago and repayments also kick in. So, on a portfolio growth perspective, as we mentioned that it ha s come down from 40% to 17% and you will see it trend -down further over the next couple of quarters definitely. On the fees question, we don't really manage to that metric. What we look at is kind of the overall PPOP and the credit cost. So, it's not that we have a particular fee to income number in mind. I think on fees also, there is more that we can do in terms of growth or in terms of increasing the fee income in areas like transaction banking and Fx in cards also and you know couple of other places as well. So, again on fees , the growth opportunity is there. I don't worry too much about PL

coming down and that depleting .

Abhishek Murarka:
These activities you are doing on the fee side to improve the fee growth, is it sort of showing up or it's like a long duration project and your fee to assets or fee to income will not be impacted in the next few quarters because of this?

Anindya Banerjee :
We don't really look at fee to income, fee to assets at all. I mean, we have an overall PPOP kind of aspiratio n and fee is one element of that. It is probably an element where we have scope for some lift.



Moderator:
Thank you. Next question is from the line of Rahul from Goldman Sachs. Please go ahead.

Rahul:
Just two questions. One is your Slide #31 talks abo ut the mix of two customers in PL and CC. 60 being existing -to-bank, 40 would imply being new -to-bank customers. So, just wanted to understand maybe qualitatively how the behavior in each of these buckets are you seeing on the delinquency side? And this is coming from the fact that we have seen reasonably higher degree of delinquency in the customer that may not necessarily be existing -to-bank or those who are open market customers for different entities. So, just wanted to get some color as to how you see the behavior in these two portfolios?

Anindya Banerjee:
I think as we said earlier, overall in these portfolios, credit costs have normalized upward, delinquencies have gone up. We have taken measures, hopefully, including in the case of PL bringing down the growth. Hopefully we will see stability and some improvement down the line. Nothing more than that to call out. This is put together 14% of the loan book and whatever is happening within this book is getting absorbed within the 40 to 50 basis points of credit cost.

Rahul:
So, the behavior would be similar? So, let's say argumentatively, if existing -to-bank is having X percent of delinquencies would new -to-bank would also be at X percent or they would be 1.2x 1.5x?

Anindya Banerjee:
It can vary, I mean an existing -to-bank customer which has been a not so great quality account sourced in the past may exhibit worse outcome than say quality account that is sourced today say in cards because as I mentioned it is a high -



touch product. So, it could vary a nd really from of course, we keep doing internal analyses on various cuts. I think most important is the sort of credit profile of the customer. And that can vary across these segments.

Rahul:
And, in terms of growth of this portfolio, the growth is now going to be more driven by, I would imagine existing -to-bank customers, or you would continue to hunt for customer outside of this banking relationships also?

Anindya Banerjee:
No, I think, say for example, if you look at the credit card, we have a large untapped base within our own customer base of quality customers who don't have a card, or even if they have our card, a

re not using it as much as you would
like them to. But at the same time, it's a lso a very good product to acquire a customer. So, for example if we are banking a large corporate or banking some MNC or something, I would be very happy to offer a credit card to their employees at a certain level or who pass the credit filter. So, I thi nk it's really about what is the quality of the customer that you're issuing to rather than getting caught up in existing versus new because that may give some false sense of comfort.

Rahul:
Alright, now I was asking just generally because of the environ ment. Fair enough. The second quick question was on the outlook on margin. So, it's been trending lower. You talked about cost of deposit being closer to bottoming and whatever the repricing had to happen has happened. But there will be some mix in element as well. So, what's the outlook on the margin that you envisage? I see you got comfort on the loan to deposit side as well. So, would you pull that lever to manage the margins, or do you think it is kind of okay where it is right now?



Anindya Banerjee:
No, I already said that we would expect margins to be broadly stable in the near term. And then when the rate cut cycle starts, of course, the lead -lag will play out on the reverse side with loans repricing faster than deposits. The general expectation i s of a relatively shallow cycle. So, we will have to manage through that as and when it happens.

Moderator:
Thank you very much. Ladies and gentlemen, we will take that as the last question. I now hand the conference back over to the Bank. Please go ahea d.

Anindya Banerjee:
Thank you for taking time on a Saturday afternoon. And wish you all a very, very happy Diwali from ICICI Bank in advance. Thank you.

Moderator:
Thank you very much. On behalf of ICICI Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank y ou.

## Call: Jan 2025

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ICICI Bank Limited
Earnings conference call - Quarter ended December 31, 202 4 (Q3-2025)
January 25, 2025

Certain definitions in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward -looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Such forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward -looking statements. These risks and uncertainties include, but are not limited to statutory and regulatory changes, international economic and business conditions, political or economic instability in the jurisdictions where we have operations or which affect global or Indian economic conditions, increase in nonperforming loans, unanticipated changes in interest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India's sovereign rating, as well as other risks detailed in the reports filed by us with the United States Securities and Exchange Commission. Any forward -looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward -looking statements to reflect events o r circumstances after the date thereof. Additional risks that could affect our future operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov

This release does not constitute an offer of securities.

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Moderator:
Ladies and gentlemen, good day and welcome to ICICI Bank Limited Q3 -FY2025 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '* ' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Bakhshi, Managing Director and CEO of ICICI Bank. Thank you and over to you sir.

Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q3 of FY202 5. Joining us today on this call are Sandeep Batra, Rakesh , Ajay, Anindya and Abhinek .

The operating environment for the banking system continues to be dynamic based on evolving global and domestic economic factors. We would continue to monitor domestic inflation, liquidity, rates and uncertainties in the global environment.

At ICICI Bank, o ur strategic focus continues to be on growing profit before tax excluding treasury through the 360-degree customer centric approach and by serving opportu nities across ecosystems and micromarkets . We continue to operate within our strategic framework to strengthen our franchise. Maintain ing high standards of governance, deepening coverage and enhancing deliver y capabilities are focus areas for our risk calibrated profitable growth .

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The profit before tax excluding treasury grew by 12.8% year -on-year and 3.2% quarter -on-quarter to 152.89 billion Rupees in this quarter . The core operating profit increased by 13.1 % year -on-year and 2.9% quarter -on-quarter to 165.16 billion Rupees in this quarter. Excluding dividend income from subsidiaries, the core operating profit increased by 14.7% year -on-year and 3.3% quarter -on-quarter to 160.07

billion Rupees in this quarter. The profit after tax grew by 14.8% year -on-year to 117. 92 billion Rupees in this quarter.

Total deposits grew by 14.1 % year -on-year and 1.5% sequentially at December 31, 202 4. During the quarter, average deposits grew by 13.7 % year -on-year and 2.1% sequentially and a verage current and savings account deposits grew by 12.6 % year -on-year and 2.3% sequentially. The Bank's average liquidity coverage ratio for the quarter was about 123%.

The domestic loan portfolio grew by 15.1 % year -on-year and 3.2% sequentially at December 31, 2024 . The retail loan portfolio grew by 10.5% year -on-year and 1.4% sequentially. Including non -fund based outstanding, the retail portfolio was 43.9 % of the total portfolio. The rural portfolio grew by 12.2% year -on-year and 0.9% sequentially. The business banking portfolio grew by 31.9 % year -on-year and 6.4% sequentially. The domestic corporate portfolio grew by 13.2 % year -on-year and 4.3% sequentially . The overall loan portfolio including the international branches portfolio grew by 13.9 % year -on-year and 2.9% sequentially at December 31, 202 4.

The net NPA ratio was 0.42 % at December 31, 202 4 compared to 0.42% at September 30, 2024 and 0.44% at December 31, 202 3. The total provisions during the quarter were 12.27 billion Rupees or 7.4% of core operating profit and 0.37% of average advances. The provisioning coverage ratio on non-performing loans was 78.2% at December 31, 202 4. In addition, the Bank continues to hold contingency provisions of 131.00 billion Rupees or about 1.0% of total loans a t December 31, 2024 .

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The capital position of the Bank continued to be strong with a CET -1 ratio of 15.93 % and total capital adequacy ratio of 16.60 % at December 31, 2024 , including profits for 9M-2025 .

Looking ahead, we see many opportunities to drive risk calibrated profitable growth . We believe o ur focus on customer 360 degree , extensive franchise and collaboration within the organi sation, backed by our focus on enhancing delivery systems and simplifying process es will enable us to deliver holistic solutions to customers in a seamless manner and grow market share across key segments . We will continue to make investments in technology, people, distribution and building our brand . We are laying strong emphasis on strengthening our opera tional resilience for seamless delivery of services to customers. We will remain focused on maintaining a strong balance sheet with prudent provisioning and health y levels of capital . The principles of "Return of Capital", "Fair to Customer, Fair to Bank" and "One Bank, One Team " will continue to guide our operations. We remain focused on delivering consistent and predictable returns to our shareholders.

I now hand the call over to Anindya .

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Anindya 's opening remarks

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details, technology initiatives, portfolio trends and performance of subsidiaries.

A. Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 11.4 % year -on-year and 2.1% sequentially. A uto loans grew by 6.6% year -on-year and 1.7% sequentially. The commercial vehicles and equipment portfolio grew by 7.4% year -on-year and 1.7% sequentially. Personal loans grew by 8.8% year -on-year and declined 1.3% sequentially . The c redit card portfolio grew by 17.9 % year -on-year and 2.8% seque ntially. The personal loans and credit card portfolio were 9.2% and 4.3% of the overall loan book respectively at December 31, 2024 .

The overseas loan portfolio, in US dollar terms, declined 21.2 % year -on-year at December 31, 2024. The overseas loan portfolio was about 2.4% of the overall loan book at December 31, 2024 . Of the overseas corporate portfolio, about 90% compris

es Indian corporates.

B. Credit quality

The gross NPA additions were 60.85 billion Rupees in the current quarter compared to 59.16 billion Rupees in the first quarter of the current fiscal year and 50.73 billion Rupees in the previous quarter i.e. second quarter of the current fiscal year . Recoveries and upgrades from gross NPAs, excluding write -offs and sale, were 33.92 billion Rupees in the current quarter compared to 32.92 billion Rupees in the first quarter of the current fiscal year and 33.19 billion Rupees in the previous quarter. The net additions to gross NPAs were 26.93 billion Rupees in

the current quarter compared to 26.24 billion Rupees in the first quarter of the current fiscal year and 17.54 billion Rupees in the previous quarter.

The gros s NPA additions from the retail and rural portfolio s were 53.04 billion Rupees in the current quarter compared to 52.04 billion Rupees in the first quarter of the current fiscal year and 43.41 billion Rupees in the previous quarter . We typically see higher NPA additions from the kisan credit card portfolio in the first and third quarter of a fiscal year. There were gross NPA additions of about 7.14 billion Rupees from the kisan credit card portfolio in the current quarter compared to 7.21 billion Rupees in the first quarter of the current fiscal year . Recoveries and upgrades from the retail and rural portfolio s were 27.86 billion Rupees compared to 25.32 billion Rupees in the first quarter of the current fiscal year and 25.92 billion Rupees in the previous quarter. The net additions to gross NPAs in the retail and rural portfolios were 25.18 billion Rupees compared to 26.72 billion Rupees in the first quarter of the current fiscal year and 17.49 billion Rupees in the previous quarter.

The gross NPA additions from the corporate and business banking portfolio s were 7.81 billion Rupees compared to 7.32 billion Rupees in the previous quarter. Recoveries and upgrades from the corporate and business banking portfolio s were 6.06 billion Rupees compared to 7.27 billion Rupees in the previous quarter. There were net addition s to gross NPAs of 1.75 billion Rupees in the corporate and business banking portfolio s compared to net addition of 0.05 billion Rupees in the previous quarter.

The gross NPAs written -off during the quarter were 20.11 billion Rupees. There was sale of NPAs of 0.58 billion Rupees for cash in the current quarter compared to 0.16 billion Rupees in the previous quarter.

The non -fund based outstanding to borrowers classified as non -performing was 31.60 billion Rupees as of December 31, 202 4 compared to 33.82 billion Rupees

as of September 30, 2024 . The provisions on this non-fund based outstanding declined to 17.12 billion Rupees at December 31, 2024 from 19.11 billion Rupees at September 30, 2024 , reflecting the decline in the outstanding itself .

The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 21.07 billion Rupees or about 0.2% of the total loan portfolio at December 31, 202 4 from 25.46 billion Rupees at September 30, 2024 . Of the total fund based outstanding under resolution at December 31, 2024 , 19.3 6 billion Rupees was from the retail and rural portfolio s and 1.71 billion

Rupees was from the corporate and business banking portfolio s. The Bank holds provisions of 6.91 billion Rupees against these borrowers, which is higher than the req uirement as per RBI guidelines.

Moving on to the P&L details:

C. P&L d etails

Net interest income increased by 9.1% year -on-year to 203. 71 billion Rupees in this quarter . The net interest margin was 4.25 % in this quarter compared to 4.27% in the previous quarter and 4.43 % in Q3 of last yea r. The impact of interest on income tax re fund on net interest margin was 1 basis point in current q

uarter, nil
in the previous quarter and 4 basis points impact in Q3 of last year.

The domestic NIM was 4.32 % in this quarter compared to 4.34% in the previous quarter and 4.52 % in Q3 of last year. The cost of deposits was 4.91 % in this quarter compared to 4.88% in the previous quarter . Of the total domestic loans, interest rates on 52% of the loans are linked to the repo rate, 16% to MCLR and other older benchmarks and 1% to other external benchmarks . The balance 31% of loans have fixed interest rates.

Non-interest inco me, excluding treasury, grew by 12.1% year -on-year to 66.9 7 billion Rupees in Q3 of 202 5.


• Fee income increased by 16.3% year -on-year to 61.80 billion Rupees in this quarter . Fees from retail, rural and business banking customers constituted about 78% of the total fees in this quarter .

• Dividend income from subsidiaries was 5.09 billion Rupees in this quarter compared to 6.50 billion Rupees in Q3 of last year. Dividend income from subsidiaries was 19.44 billion Rupees in 9M of current year compared to 15.89 billion Rupees in 9M of last year .

On Costs: The Bank's operating expenses increased by 5.0% year -on-year in this quarter . Employee expenses increased by 3.1% year -on-year and n on-employee expenses increased by 6.2% year -on-year in this quarter . Our branch count has increased by 129 in Q3 and 219 in 9M of current year . We had 6,742 branches as of December 31, 2024. The technology expenses were about 10 .5% of our operating expenses in 9M of current year.

The total provisions during the quarter were 12.27 billion Rupees or 7.4% of core operating profit and 0.37% of average advances compared to the provisions of 12.33 billion rupees in the previous quarter .

The provisioning coverage on non-performing loans was 78.2% as of December 31, 2024. In addition, we hold 6.91 billion Rupees of provisions on borrowers under resolution. Further, the Bank continues to hold contingency provision of 131.00 billion Rupees as of December 31, 2024. At the end of December , the total provisions, other than specific provisions on fund -based outstanding to borrowers classified as non -performing, were 225. 69 billion Rupees or 1.7% of loans.

The profit before tax excluding treasury grew by 12.8% year -on-year to 152. 89 billion Rupees in Q 3 of this year.


Treasury gain s were 3.71 billion Rupees in Q3 as compared to a treasury gain of 1.23 billion Rupees in Q3 of the previous year . As you are aware, the treasury gains for the current quarter vis -a-vis the same quarter last year, would not be comparable due to the implementation of the revised investment accounting guidelines from the first of April of the current year.

The tax expense was 38.6 8 billion Rupees in this quarter compared to 34.02 billion Rupees in the corresponding quarter last year. The profit after tax grew by

14.8% year -on-year to 117. 92 billion Rupees in this quarter .

D. Technology initiatives

We continue to enhance the use of technology in our operations to provide simplified solutions to customers. The Bank has introduced DigiEase, a digital platform designed to streamline the customer onboarding process for Business Banking. This enhances operational efficiency and customer experience by integrating multiple digital services into a single seamless workflow. iLens, the retail lending platform, is being upgraded on an ongoing basis, with retail credit cards now integrated in the platform along w ith mortgages, personal loans and education loans.

We continue to make investments in the computing infrastructure and upgrade digital channels to further strengthen system resilience and simplify processes for enhancing customer experience .

E. Portfolio infor mation

We have provided details on our retail , rural and business banking portfolio s on slides 25 to 28 of the investor presentat

ion.

The loan and non-fund based outs tanding to performing corporate borrowers rated BB and below was 21.93 billion Rupees at December 31, 202 4 compared

to 33.86 billion Rupees at September 30, 2024 . This portfolio was about 0.2% of our advances at December 31, 2024 . Other than one account, the maximum single borrower outstanding in the BB and below portfolio was less than 5.00 billion Rupees at December 31, 202 4. The Bank holds provision of 0.92 billion Rupees against this portfolio at December 31, 2024 .

The total outstanding to NBFCs and HFCs was 893.60 billion Rupees at December 31, 202 4 compared to 880.27 billion Rupees at September 30, 2024 . The total outstanding loans to NBFCs and HFCs were about 6.8% of our advances at December 31, 202 4.

The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 586.36 billion Rupees at December 31, 202 4 compared to 542.16 billion Rupees at September 30, 2024 . The builder portfolio was abou t 4.5% of our total loan portfolio. Our portfolio largely comprises well-established builders and this is also reflected in the sequential increase in the portfolio. About 1.7% of the builder portfolio at December 31, 202 4 was either rated BB and below internally or was classified as non -performing , compared to 1.9% at September 30, 2024 .

F. Consolidated results

The consolidated profit after tax grew by 16.6 % year -on-year to 128.83 billion Rupees in this quarter.

The details of the financial performance of key subsidiaries are covered in slides 36 to 38 and 57 to 62 in the investor presentation.

The annualis ed premium equivalent of ICICI Life was 69.05 billion Rupees in nine months ended December 31, 2024 compared to 54.30 billion Rupees in nine months of last year . The value of new business was 15.75 billion Rupees in nine

months ended December 31, 2024 compared to 14.51 billion Rupees in nine months of last year. The value of new business margin was 22.8 % in nine months ended December 31, 2024 compared to 26.7% in nine months of last year and 24.6 % in FY2024 . The profit after tax of ICICI Life was 8.03 billion Rupees in nine months ended December 31, 2024 compared to 6.79 billion Rupees in nine months of last year and 3.26 billion Rupees in current quarter compared to 2.27 billion Rupees in Q3 of last year .

Gross Direct Premium Income of ICICI General was 62.14 billion Rupees in current quarter compared to 62.30 billion Rupees in Q3 of last year . The combined ratio stood at 102.7% in current quarter compared to 103. 6% in Q3 of last year . The profit after tax was 7.24 billion Rupees in current quarter compared to 4.31 billio n Rupees in Q3 of last year . With effect from October 1, 2024 , long-term products are accounted on 1/n basis, as mandated by IRDAI, hence Q3 numbers are not fully comparable.

The profit after tax of ICICI AMC , as per Ind AS was 6.32 billion Rupees in this quarter compared to 5.46 billion Rupees in Q3 of last year .

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 5.04 billion Rupees in this quarter compared to 4.66 billion Rupees in Q3 of last year.

ICICI Bank Canada had a profit after tax of 19.6 million Canadian dollars in this quarter compared to 15.9 million Canadian dollars in Q3 last year .

ICICI Bank UK had a profit after tax of 5.1 million US dollars in this quarter compared to 6.7 million US dollars in Q3 of last year .

As per Ind AS, ICICI Home Finance had a profit after tax of 2.03 billion Rupees in the current quarter compared to 1.86 billion Rupees in Q3 of last year.
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With this, we conclude our opening remarks and we will now be happy to take your questions.

Moderator:
Thank you very much. We will now begin with the question and answer session. The first q

uestion is from the line of Mahrukh Adajania from Nuvama Wealth.
Please go ahead.

Mahrukh Adajania:
My first question is on provisioning. So, what would be the utilisation or reversal of provisions this quarter? Because provisions in your non -fund have gone down and you explained that , that's because the exposure has only gone down and then restructuring or resolution provisions have also gone down. So, what would be the number? Or it's just the two of these ?

Anindya Banerjee:
We don't give the number of write -back separately. I think what we are seeing overall on the credit cost side is that on the retail business banking portfolio, it continues to be quite stable. On the corporate portfolio, incrementally, there is practically no credit cost or NPL formation , but we are seeing continuous improvement in the quality of the portfolio s that we have been calling out over the years , such as the non -fund outstanding to NPAs or restructured assets or the ‘BB and below ’ portfolio. We also continue to see some recoveries from accounts written off in the past. So, I think that's contributing to the provision line.

Overall, as we have been saying, the provisions do vary a little bit from quarter -to-quarter, both because of the loan book and other factors. For example, over the last, maybe not the last quarter, but previous two -three quarters, we had ups and downs in, for example, the AIF -related provisioning. But I think overall, we
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continue to be within sort of the 50 bps that we have been talking of in previous calls , the reported number for this quarter being 37 bps.

Mahrukh Adajania:
Got it. Fair enough. And just on deposit growth, so the sequential run rate is a bit softer this time. That is just because of the liquidity environment or any comments there?

Anindya Banerjee:
I think it's because of the funding requirement, you know, so if you see system

loan growth did slow down a little bit, which is to a lesser extent reflected in our portfolio as well. There was a CRR cut effective the middle of December. And we also saw so me reduction if you look at our investor presentation in our RIDF portfolio and so on. So, it's really a function of the requirement.

We also were able to take in some very cost -effective refinance borrowings. We continue to maintain very strong liquidity. Our LCR actually went up slightly this quarter. Average for the quarter was 123%. So, it's more driven by the requirement than anything else.

Mahrukh Adajania:
Okay. I just wanted one last clarification. So, you have called out gross farm slippages. I mean, you always do call out. So, thank you for that. But would there be a comparable number for second quarter or it's just first and third only? Like if you want to?

Anindya Banerjee:
Largely it comes in the first and third only.

Moderator:
Thank you. Next question is from the line of Rikin Shah from IIFL. Please go ahead.
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Rikin Shah:
Just one question, and it's on operating cost, operating expenses. So, they have been flattish for the last three quarters and this is despite the tech expenses that you have been incurring. Just wanted to understand how much further flex do we have to man age the opex at the current levels or alternatively when do you see that kind of picking up in line with your business growth? And data keeping question would be, what would be the outstanding employee headcount as of end of December?

Anindya Banerjee:
You know, the head count does keep evolving in line with our requirements , how we want to staff the Bank and what is the requirement at any point in time. We continue to invest in branches. As you would have seen, we have added 129 in the current quarter.

Overall, when we look at costs, I think the way we feel is that we do have a large cost base, and there are always opportunities for bringing in efficiencies in that cost base by stream

lining our internal processes, integrating workflows, and removing redundancies which are not required.

So, I think that's an ongoing journey, both in terms of how do we sort of leverage the cost base much better , and at the same time, we continue to invest in the growth requirements of the business as well as in things like IT security and reliability. So, that's a process which goes on.

I would think that our aim would be to continue to leverage the cost base better. And we don't think that there needs to be a sort of linear relationship with the top line.

Rikin Shah:
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Very helpful. And would you be able to quantify the outstanding headcount as of December?

Anindya Banerjee:
We give that number on an annual basis now. So, we have not been giving it.

Moderator:
Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah:
Firstly , on the yield side, so last time you indicated the impact of number of days

also being there. So, this time when we look at the over declining yields of 8 odd basis points, is it primarily on account of KCC or there has been any impact of the days? And wou ld it be fair to assume that this day count would entirely unwind in 4Q and there should be a positive bias towards the yields?

Anindya Banerjee:
So, as far as the movement from Q2 to Q3 is concerned, you are right, it's largely the impact of the KCC because there a longer period of interest accrual gets reversed in that one quarter. As far as the day count etc. as we had said, I think last quarter , that Q4 has a lesser number of days, so just mathematically you would see some unwinding.

Kunal Shah:
So, that should be there. And secondly , on the corporate banking side, generally maybe we are more focused in terms of the risk -return approach. This quarter , we have seen a decent level of growth on the corporate side , while retail , there is some slowdown because of the unsecured lending . But otherwise , maybe is the pricing intensity easing over there? Would it be slightly margin dilutive? We have not seen the impact this quarter. So, how should we look at the overall corporate banking growth?
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Anindya Banerjee:
I wouldn't say it is going to be margin dilutive and so on. The way we look at it is we look at the overall relationship with the corporate. I think we don't want to take very chunky, finely priced, long -term exposures just for the sake of loan growth. Tha t's not our approach at all.

But we do have an ongoing relationship with corporates where there could be periodic working capital requirements or short -term lending requirements or longer -term requirements where indeed it does meet our overall sort of P&L aspirations.

So, we keep looking, I think we have a very active franchise and engagement with corporate clients across the spectrum , and we keep taking advantage of those opportunities to work with them as and when they come up and fit our sort of approach.

Kunal Shah:
And there was an increase also in ‘BBB and above ’, okay, by almost like 210 odd basis points. So, this is maybe incremental growth coming in from there or maybe business banking. How should we read that?

Anindya Banerjee:
I think it could largely be an upgrade from the BB because as you can see the BB portfolio has reduced.

Kunal Shah:
Yes, that's 60 basis points. Yes.

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Anindya Banerjee:
That will reflect partly in the increase in the BBB. Of course, we could be doing incremental BBB lending also. I mean, it's investment grade for us. But we have limits on how much of that we would do.

Moderator:
Thank you. Next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer:
Congrats on another steady quarter. Just firstly on retail products, a couple of ones on mortgages, we were growing at 16 -17% , now down to 11%. Is that more a function of pric

ing in the industry or just overall slowdown? And same for
vehicle loans. We understand that this year was a slowdown, but what's your house outlook for next year?

Anindya Banerjee:
So, in mortgages, of course, I think there is an element of price competition which is there and which has been there over a period of time. But there has been, I would say, the incremental disbursements have not been growing as much. They continue to hold up. As you are aware, overall, there seems to be continued momentum in the mid and higher segments of the market and maybe some softening in the more affordable type of segment.

On vehicle loans, I think it's more a function of the underlying sort of asset class itself, because we are primarily in new car financing. And there I think we had, if you look at actually last year or early part of this year, we had a pretty good run, maybe more recently the market has slowed. I think it will go through its ups and downs as customers replace or as new models come, which typically create their sort of wave of excitement in the market . I guess , you will see it go from a good quarter to a bad quarter. That's the way it will work.


Piran Engineer:
Secondly, just on business banking now, this has been a product that you all, as well as your peers, have gone really strong on. What really can go wrong for the industry two years later? Because today everything looks hunky -dory but is there some part whi ch we are missing here because it seems like almost a fairy tale business?

Anindya Banerjee:
So, I think if you look at the bigger picture of the way this business has evolved over the last few years. I think at the customer level, I think that there has been a great deal of formalisation, introduction of GST , digiti sation of the business and a fairly high degree of digital adoption by this customer segment itself and a reasonable level of credit discipline. I think in India , we are one of the countries where you have the commercial bureau as well. So that certainly helps. So, I think that there is a fair degree of formali sation , digiti sation , and credit discipline. That helps banks like us for whom this segment becomes much more underwritable.

Also, we look at this segment from a holistic perspective, we have a very strong customer 360 focus in this segment, and we really look at not just the lending piece but also all the transaction banking and the liability piece as well. So, in that sense, i t's a segment which we want to focus on.

From a credit perspective, two, three things , I think. One is that it's a reasonably well-secured segment. So, you do get, particularly in the more granular sections of the portfolio, you do have collateral as well. Second, the portfolio itself is quite granular and quite diversified. So, it will hopefully behave more like a retail portfolio rather than a corporat e portfolio where a single borrower or a couple of borrowers can create more damage. And of course, it's a portfolio where you have to keep monito ring, and you have to have a very close eye on what is happening with the borrowers. A lot of it is working capital which also helps because you

see the way that the account is being operated and how it is behaving. So, it has to be tightly managed in terms of not just the initial underwriting, but also keeping a close eye on borrower behavior through the appropriate portfolio monitoring mechanism. I think as of now, we are very comfortable with the quality of the portfolio.

Piran Engineer:
And it's fair to say that the credit cost in this business is lower than your retail book. Right?

Anindya Banerjee:
Yes, currently that would be the case. Yes.

Moderator:
Thank you. Next question is from the line of Nitin Agarwal from Motilal Oswal.

Please go ahead.

Nitin Agarwal:
So, I have a few questions. First is on the fee income. We have seen a good traction

in fee income this quarter. So, now with the margins being constantly like under pressure and likely to remain so as the cycle turns, is it fair to say that fee income wil l continue to gain share as a percentage of total income? And what kind of opportunities in particular are we looking at in respect to transaction banking over the years?

Anindya Banerjee:
So, we don't really get into the proportion piece. I think we have an overall PPOP objective, and we look at what is the way to sort of maximize that. I think specifically on fees, as we have said, we believe that our transacting platforms are pretty strong and the whole objective is to get more and more adoption of those by our existing customers and acquire more and more new customers on
20
the strength of those platforms across the entire spectrum from large corporates to small businesses.

Cards and payments is also a focus area , which is doing well for us. So, I would say we have seen a pretty decent growth across cards and payments, transaction banking, the Fx and derivatives part of transaction banking, as well as the pure lending -linked fees that are related to loan disbursals or renewals or sanctions and so on.

So, I think we will continue to look at that and try to drive adoption of our platforms as much as possible.

Nitin Agarwal:
And the second question is on the trade -off between say growth and the focus around asset quality. Because if I see while Bank has done a very good job in navigating through this environment and yet delivering one of the better growth amongst the larger ba nks. But if I look at in context to that the slippages have also been just 6% Y -o-Y growth in slippages and the slippage rate has actually come down. So, how are we like assessing this asset quality situation and strategizing on growth? Because it's a very sort of a fine way to maintain between the two. So, are we tightening too much or how are we actually reading that on the growth part?

Anindya Banerjee:
So, as I spoke, I don't think concerns on asset quality are really holding us back from growth. I mean, we definitely see growth, a good growth opportunity. As I mentioned , on the corporate sector continues to do, which is 20% of our portfolio continues to do very well. And at the margin, we are actually continuing to see some clawbacks of past provisioning or losses that we may have taken. Again, now close to 20%, 17 -18% of the portfolio now is the whole business banking
21
space, which we talked about in some detail. So, we certainly see very good growth opportunity there.

On the retail side, I would say that on the secured side, I think the slippages have been quite stable. You know, they will keep going up in absolute terms as the portfolio grows and seasons, but I think our credit experience has been pretty stable.

Unsecured, as we have commented in the past, we have seen, as has the whole system, some increase in delinquencies and NPL additions over the last maybe six quarters or six to seven quarters and we have taken corrective actions on that because of which, for example, you see the personal loan portfolio flattening out this quarter, but I think there also the trend has stabilized and hopefully as these actions feed through more maybe a c ouple of quarters down the line, we should start seeing some improvement.

But even for the moment I think they are quite stable and all of these are anyway getting absorbed in a very healthy credit cost number. So, as of today, I don't think we see that trade -off and to the extent we needed to make that trade -off, particularly on the PL side , I think we have made it.

Moderator:
Next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian:
Congratulations on another great quarter. Firstly on CASA, so if I look at both your daily average CASA which you report and the period end, for the

last three
quarters both these numbers have actually been in a band, which is not the case for the rest of the system and especially your SA growth i s pretty healthy at 13%.

I think most of your peer group would be at a low single -digit sort of number. So, what is driving this outperformance?

Anindya Banerjee:
So, I guess, the way we approach this is that we don't really pursue any particular type of deposit. I think what we want to achieve is that we should increase our share of business with existing customers and acquire new good customers and they should do as much of their banking as possible through us. And whatever shape that takes, it could be CA or SA or a fixed deposit, we would want a bigger portion of that share. So, we don't really therefore drive any particular number in this regard.

I think this approach has worked well because I think probably the conversation with the customer is really about doing more banking with us rather than getting a particular deposit or type of deposit. I think our digital platforms do help because once the customer becomes digitally active and starts using those platforms, the stickiness and therefore , the balances tend to go up.

Param Subramanian:
Got it, Anindya, but it's not any change in the product offering or pricing or any such thing at all, right?

Anindya Banerjee:
No, no, none at all.

Param Subramanian:
Secondly, Anindya, I don't know if you mentioned this earlier, but just on the employee cost, the absolute number is down for two quarters in a row now. So, what is driving that?


Anindya Banerjee:
So that, you know, there are many variables, for example, provisions for retir als and things like that, which do impact it on a sequential basis.

Param Subramanian:
And headcount reduction as well, the gross number?

Anindya Banerjee:
That is something, as I said, that's a moving number. There could be in a quarter some reduction and then it will come back up later as and when we hire to meet our requirements.

Moderator:
Thank you. Next question is from the line of Chintan Joshi from Autonomous. Please go ahead.

Chintan Joshi:
Hi, Anindya. Two questions. If I can pick up your comment about kind of the provisioning cost, you are indicating that the underlying level is comfortable

around 50 basis points. Should we think about this also in the context of the next year? And the reas on to ask the question is mainly because you recycled about 30 basis points of provisions. Actually, that's incorrect. Your provisions to loan number has come down from 2% to 1.7% and we are not sure how much of that is recycled through the P&L. So, just trying to understand what could be a sustainable level as we look into the next 12 -18 months.

Anindya Banerjee:
No, there is nothing called recycling. I mean, we give that absolute number. As you are aware, in part of that number is the Rs. 131 billion of contingency provision, which is really sort of a fixed number that we, I think, reached that level
24
by March of 2023. And thereafter, we have not been making further contingency provisions.

As I said, apart from the retail provisioning and so on, on the corporate side, there are always some releases which come, which are really reflective of improvement in the quality of the portfolio or recoveries that we have made. So, that's the way it wor ks. The numbers are all there.

We don't really give an outlook for next year, but as we have always been saying, these numbers could inch up, but we don't see anything which worries us particularly or where we see any dramatic increase.

Chintan Joshi:
And then the second question was on the RIDF. Your requirements, your RIDF number has been coming down for a while now. I am just wondering, are there any shortfalls building up on the balance sheet that RBI may ask you to increase this balance down the li ne or take

on some more PSLC or are you very
comfortably placed even in the more difficult segments of the PSL? Just wondering how much of this is sustainable or if we should factor some increase down the line?

Anindya Banerjee:
So, the number is so small now that even if you factor some increase, I don't think it will have too much of an impact. We , of course do significant PSLC purchases, particularly for the small farmer category, while on most other categories we are in a surplus position. So, that's a cost that has been getting reflected in the P&L over the years. Hopefully, we will be able to st ill meet the compliance targets, but at a Rs. 17,000 crore portfolio on this balance sheet now, it's Rs. 15,000 crore portfolio actually , it's not too relevant a number even if it goes up somewhat.

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Chintan Joshi:
And a quick data question. How much of the business banking book is unsecured?

Anindya Banerjee:
So, we don't split that out. It could be largely secured.

Moderator:
Thank you very much. Ladies and Gentlemen, we will take that as the last question. I will now hand the conference over to the management for closing comments.

Anindya Banerjee:
As always, thank you for taking time out on a Saturday evening and we can take any other questions you have offline. Thank you very much.

Moderator:
Thank you very much. On behalf of ICICI Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Thank you.

# Call: Apr 2025

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BSE Limited
Listing De
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Phiroze Jeejeebhoy Towers Dalal Street Mumbai 400 001 National Stock Exchange of India Limited Listing Department
Exchange Plaza, 5
th floor
Plot No. C/1, G Block
Bandra-Kurla Complex Bandra (East), Mumbai 400 051
Dear Sir/Madam,
Please find attached the transcripts of the call with media and of earnings call with
an
alysts and investors on the financial results for the quarter and financial year ended
March 31, 2025.
The same has also been uploaded on the website of the Bank and can be accessed at
t
he below links:

| Sr. No | Particulars | Link |
|---|---|---|
| 1. | Transcript of the Media Conference Call | https://www.icici bank.com/about-us/article/interaction-with-media-on-icici-bank-financial-performance-in-the-quarter-ended-march-31-2025 |
| 2. | Transcript of the Earnings Call with Analysts and Investors | https://www.icicibank . com/about-us/qfr |

This is for your records and information.
Yours sincerely,
For ICICI Bank Limited
Vivek Ranjan
Associate Leadership Team
Encl.: as above
Copy to-
(i) New York Stock Exchange (NYSE)
(ii) Singapore Stock Exchange
(iii) Japan Securities Dealers Association
(iv) SIX Swiss Exchange Ltd.


ICICI Bank Limited Media conference call for quarter ended March 31, 2024
on April 19, 2025

Certain statements in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward -looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Such forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward -looking statements. These risks and uncertainties include, but are not limited to statutory and regulatory changes, internati onal economic and business conditions; political or economic instability in the jurisdictions where we have operations, increase in non -performing loans, unanticipated changes in interest rates, foreign exchange rates, equity prices or other rates or price s, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India 's sovereign ra ting, as well as other risks detailed in the reports filed by us with the United States Securities and Exchange Commission. Any forward -looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this rel ease. ICICI Bank undertakes no obligation to update forward -looking statements to reflect events or circumstances after the date thereof. Additional risks that could affect our future operating results are more fully described in our filings with the Unite d States Securities and Exchange Commission. These filings are available at www.sec.gov. This release does not constitute an offer of securities.

Moderator:

Ladies and gentlemen, we welcome you all to ICICI Bank's Results Conference Call with Mr. Sandeep Batra, Executive Director, ICICI Bank and Mr. Anindya Banerjee , Group Chief Financial Officer, ICICI Bank. Mr. Batra will now give you an overview of the results, which will be followed by a Q&A session.

Thank you and over to you, sir .



Sandeep Batra:

Good evening everyone. Thank you all for joining us today.

The Indian economy continues to be supported by a series of structural reforms implemented over the

past years and continuing policy measures. The authorities are taking various steps to maintain macroeconomic stability and support growth in the context of global headwinds and a volatile external environment. In this backdrop, we continue to remain focused on our long -term strategy, aligned with India's evolving economic landscape and growth potent ial, while being mindful of risks.

At ICICI Bank, our strategic focus continues to be on growing profit before tax excluding treasury through the 360 -degree customer centric approach and by serving opportunities across ecosystems and micromarkets. We conti nue to operate within our strategic framework to strengthen our franchise. Maintaining high standards of governance, deepening coverage and enhancing delivery capabilities are focus areas for our risk calibrated profitable growth.

Our Board has today appro ved the financial results of ICICI Bank for the quarter and year ended March 31, 2025. I would like to highlight some key numbers:

First of all on profit and capital

A. Profit and capital

1. Net interest income increased by 11.0% year -on-year to ■21,193 crore in Q4-2025
2. Net interest margin was 4.41% in Q4 -2025 compared to 4.25% in Q3 -2025 and 4.40% in Q4 -2024. The net interest margin was 4.32% in FY2025 compared to 4.53% in FY2024
3. Fee income grew by 16.0% year -on-year to ■6,306 crore in Q 4-2025
4. Core operating p rofit grew by 13.7% year -on-year to ■17,425 crore in Q 4-2025
5. Provisions (excluding provision for tax) were ■891 crore in Q4 -2025. The Bank, on a prudent basis, continues to hold provision against the security receipts guaranteed by the government, which wi ll be reversed on actual receipt of recoveries or approval of claims, if any.



6. Profit before tax excluding treasury grew by 13.2% year -on-year to ■16,534 crore in Q4 -2025
7. Profit after tax grew by 18.0% year -on-year to ■12,630 crore in Q4 -2025 and grew by 1 5.5% year -on-year to ■47,227 crore in FY 2025
8. Consolidated profit after tax grew by 15.7% year -on-year to ■13,502 crore in Q4-2025 and grew by 15.3% year -on-year to ■51,029 crore in FY 2025
9. The Board has recommended a dividend of ■11 per share for FY2025. Th e declaration and payment of dividend is subject to requisite approvals
10. At March 31, 2025, the Bank had a net worth over ■2.92 lakh crore. After reckoning the impact of proposed dividend, CET -1 ratio was 15.94% and total capital adequacy ratio was 16.55%

Moving on to deposit growth.

B. Deposit growth

1. Total period -end deposits increased by 14.0% year -on-year to ■16,10,348 crore at March 31, 2025
2. Average deposits increased by 11.4% year -on-year to ■14,86,635 crore during Q4-2025
3. Average current account deposits increased by 9.6% year -on-year
4. Average savings account deposits increased by 10.1% year -on-year

5. The Bank opened 241 branches during Q4 -2025, 460 branches in the last 12 months and had a network of 6,983 branches and 16,285 ATMs and cash recycling machines at March 31, 2025

Moving to loan growth

C. Loan growth

1. The domestic loan portfolio grew by 13.9% year -on-year and 2.2% sequentially at March 31, 2025
2. The retail loan portfolio grew by 8.9% year -on-year and 2.0% sequentially. Including non -fund outstanding, the retail loan portfolio was 43.8% of the total portfolio. The personal loan portfolio grew by 4.2% year -on-year and 0.6%



sequentially. The credit c ard portfolio grew by 11.7% year -on-year and 0.9% sequentially. The business banking portfolio grew by 33.7% year -on-year and 6.2% sequentially. The rural portfolio grew by 5.1% year -on-year and declined by 1.5% sequentially. Growth in the domestic corpora te portfolio was 11.9% year - on-year and declined by 0.4 % sequentially at March 31, 2025

3. 74.8% of the corporate loan portfolio was rated A - and above at March 31, 2025

D. Technology initi

atives

We continue to enhance the use of technology in our operations t o provide simplified solutions to customers and making investments in our digital channels. We expect to further strengthen system resilience and simplify processes.

Moving to asset quality.

E. Asset Quality

1. Net NPA ratio was 0.39 % at March 31, 2025 compared to 0.42 % at December 31, 2024 and 0.42% at March 31, 2024
2. During Q4 -2025, there were net additions to gross NPAs of ■1,325 crore
3. Gross NPA additions were ■5,142 crore in Q4 -2025. Recoveries and upgrades of NPAs, excluding write -offs and sale, we re ■3,817 crore in Q 4-2025
4. Gross NPAs written off were ■2,118 crore in Q 4-2025
5. There was sale of NPAs of ■2,786 crore in the current quarter. The sale of NPA consists of ■1,605 crore of security receipts and ■314 crore in cash. The Bank continues to hold 100% provisions against these security receipts
6. Provisioning coverage ratio on non -performing loans was 76.2% at March 31, 2025
7. Total fund based outstanding to all borrowers under resolution as per the various extant regulations declined to ■1,956 crore or 0.1% of total advances at March 31, 2025 from ■2,107 crore at December 31, 2024. The Bank holds provisions amounting to ■643 crore against these borrowers under resolution, as of March 31, 2025



8. Loans and non -fund based outstanding to performing corporate borrowers rated BB and below were ■2,854 crore at March 31, 2025 compared to ■2,193 crore at December 31, 2024
9. The total provisions during Q4 -2025 were ■891 crore or about 5.1% of core operating profit and about 0.27% of average advances. The Bank continue s to hold contingency provisions of ■13,100 crore at March 31, 2025

Going forward, we will continue to operate within our strategic framework while focussing on micromarkets and ecosystems. The principles of “Fair to Customer, Fair to Bank”, “One Bank, One Team” and “Return of Capital ” will guide our operations. We focus on building a culture where every employee in the Bank serves customers with humility and upholds the values of brand ICICI. We aim to be the trusted financial services provider of choice f or our customers and deliver sustainable returns to our shareholders. With this, I conclude my opening remarks. I will be happy to take your questions.

Moderator:

Thank you very much , sir. We will now begin the Q&A session with Mr. Batra and Mr. Banerjee.

Anyone who wishes to ask a question may press “*” and “1” on their telephone. If you wish to remove yourself from the question, you may press “*”and “2”. Today's announcement is on th e Bank's financial performance. Hence, we would like to request you to ask questions related to that. Please write to the Corporate Communications team

separately for any other queries.
Due to time constraints, I request all of you to ask two questions at a time. If you have additional queries, you may join the queue again if time permits. Thank you.
The first question is from the line of Vishwanath Nair from NDTV Pro fit. Please go ahead.
Vishwanath Nair:
Good evening, Mr. Batra. Just wanted to get a sense on t his net interest margin number, the sudden jump of 4.41%, what is contributing to this?


And the second one: you talked about an uncertain global environment. Looking at your corporate portfolio, is there anything that you're looking at doing specifically at the Bank , which may protect the book against any undue volatility?
Sandeep Batra:
Thank you, Vishwanath. As you are aware, the net interest margin was 4.41% in this quarter, compared to about 4.25% in the previous quarter. The movement in NIM from Q3 to Q4 was primarily due to impact of day count, which we had in a way highlighted earlier, CRR reduction in Q 3 and some interest on tax refunds. And of course, this was partly offset by repo rate and increase in cost of funds.
And from our overall

long -term perspective, if you recall, NIM was around 4% , prior to commencement of rate cycle in FY22. And with increa se in repo rates and NIM movement to the level, we had moved it about 4.5% over the last two years before it has declined to about 4.3% during the current year.
In the near term, we will follow by and large what's happening in the banking system. And these margins would be impacted by repo rate cuts. And we do expect more repo rates to happen. And as you are aware, the deposits reprice happened with a lag. So, we will continue to look at various ways to maximise the opportunities to increase our risk - calibrated profits on a 360 basis.
To your second question around the volatile environment, specifically in the context of the book that we have built, we are very confident of the quality of the book that we have built. Of course, we will continue to watch the portfolio very carefully and we will see how it goes. There could be opportunities also during this period. But our approach has always been to maintain a risk -calibrated growth, and be focused on a return of capital principle, and that continues to be th e same.
Vishwanath Nair:
Thank you.


Moderator:
Thank you. Next question is from Kshipra Petkar from Informist Media. Please go ahead.
Kshipra Petkar :
Sir, just a couple of questions. One, on your loan growth and deposit growth, are you expecting them to grow in the same pattern? Or are you expecting loan growth to be higher than deposit growth?
Sandeep Batra:
So, Kshipra, both these growths have to grow in tandem. If you see, we grew our loan portfolio by 13.9% for the year against the Bank, about 11% . And while we will see competitive intensity in pricing, but we do expect these growths will be a function of overall market. And our loan growth and deposit growth have to largely move in tandem. And if you see over last year also, they have grown in tan dem. From our perspective, whenever we see opportunities, we have not been constrained by deposit growth.
Kshipra Petkar :
Right, sir. The other thing was on slippages. Where are you seeing the slippages coming from? And also, are you seeing any stress in any particular portfolio in any segment?
Sandeep Batra:
If I look at the slippages for the quarter, we had a total gross additions to NPAs of about ■5,100 crore. Out of which retail and rural w as about ■4,300 crore, and corporate and business banking were ■803 crore. Along with this, there have been recoveries, upgrades. The retail and rural portfolio, they were recoveries of about ■3,000 crore, and corporate and business banking, we had a recovery of about ■778 crore. So, net-net, the net additions have been just about ■1,300 crore.
So, we continue to remain focused on both the quality of our customers, and that strategy continues to remain unchanged. We are not seeing any specific trends per se, but we will

be closely monitoring our portfolio to identify any buildup of early stress. But at this point of time, the portfolio is quite stable.
Kshipra Petkar :
Okay. Thank you so much, sir.
Moderator:
Thank you. Next question is from the line of Siddhi Nayak from Thomson Reuters. Please go ahead.
Siddhi Nayak :
Hi, sir. Good evening. Just wanted some clarity on the numbers front. What percentage of your total retail book comprises of unsecured as of March 31?
Sandeep Batra :
Out of a total retail portfolio, our personal loan is about 16.9%, and credit cards is about 8%.
Anindya Banerjee :
No. Total is 13.4%.
Sandeep Batra :
Of the total book or of the retail book? Of the total book, it's about 13%.
Siddhi Nayak :
13%, right? And credit cards specifically is how much?
Anindya Banerjee :
4%.


Sandeep Batra:
Credit card is about 4%.
Siddhi Nayak :
4%. Okay. So, I just wanted to get a sense on what trends are you seeing, especially in the unsecure

d book, in terms of the bounce rates, etc. What are the trends that are
emerging and how would you want to plan to grow this unsecured book in the coming quarters?
Sandeep Batra:
If you see our rate of growth in personal loan and credit card has slowed down. Year -on-year, our personal loan has grown by about 4.2% and credit cards is about 11.7%. We really do not have a target and we largely look at customer segments, as long as we are comfortable with the quality of the credit that we are happy to lend to these segments. These principles we have been talking for a long time. I mean, we fundamentally follow the principles of return of capital and assess cash flows. We are not focused on any particular segment or a product. And we always focus on known and accessible customers, try to deepen the existing relationships, which provide us liability information and credit assessments. These considerations have been helping us over the year s and the strategy continues to remain the same. Based on current overdue trends and delinquency levels, the credit quality portfolio in this segment is quite stable. And of course, as I mentioned, even on the corporate side , even here, we will continuousl y monitor these portfolios to identify any early buildup of stress.
Siddhi Nayak :
Okay, sir, I'll come back.
Moderator:
Thank you. The next question is from the line of Shayan Ghosh from Mint. Please go ahead.


Shayan Ghosh :
Hi, Mr. Batra. I had a question on CASA. Do you see an impact of this recent savings deposit rate cut on your CASA ratio, which anyway has been declining in the last couple of quarters? That's one.
The second question is, corporate loans have grown faster than retail. That was the case last quarter also. Are these fresh loans or would it be largely refinanced? And if you could give us an outlook on how these two segments, corporate and retail, how do you see them in the next financial year, in FY26? Thank you.
Sandeep Batra:
Thank you, Shayan. First of all, on your questions around CASA, we have been seeing a healthy growth of deposits, with average total deposits grew by 11.4% year -on-year and CASA has grown by about 10%. The period end deposit was, of course, about 14% when the banking system grew at about 10%. Our focus is essentially around overall quantum and cost of deposit mobilisation. And of course, CASA and retail term performance play

an important part of it.
We focus on overall relationships. We focus on money in banks. And we do not, frankly, drive any particular kind of deposits, whether CA , SA or term deposits. Our objective is to serve the customers and do 360 -degree banking. We are comfortable, and we would certainly like to be a primary b ank for the customers. And that's an area of our focus and we will continue to remain with that.
Moving to your questions around retail and wholesale loans. As we have articulated earlier, we do not have any product mix targets. We continue to assess risks and whatever falls within our risk framework, we are happy to lend in that basis. Based on this, we have built our portfolio. The allocation between retail, business banking, rural and wholesale is an outcome rather than a specific strategy. We focus on c ustomers as opposed to focussing on segments. So, that continues to remain.


Shayan Ghosh :
Okay. Thank you.
Moderator:
Thank you. We'll take our next question from the line of Lalatendu Mishra from Hindu. Please go ahead.
Lalatendu Mishra :
Good evening, Mr. Batra. In continuation with Vishwanath's question, I would like to know what would be the overall impact of the trade war , and the likely disruptions to supply chain globally, if you can please elaborate. I'll ask the second question later.
Sandeep Batra:
It's very difficult for us to make that assessment. I'm sure the authorities are on top of it. As a bank, we will continue to

support our customers in this direction. So, we would want
to have a resilient balance sheet. We will continue to strengthen our capital position. We do have liquidity.
And both the Government and the Reserve Bank of India are seized of these, and they are taking proactive steps to mitigate the challenging environment at this point of time. I think, corporate India will respond appropriately. The re will be challeng es, there is no doubt about it. But there could well be opportunities for us as a country, and we will see how it goes.
See as a bank, we will continue to focus on monitoring this portfol io and developments very, very carefully. We will be focused on our risk -calibrated strategy, which we have articulated. It has paid us well over the years, and we will continue to remain focused there.


Lalatendu Mishra :
Okay, okay. Sir have you already done the transmission of the repo rate cut in two tranches ?
Sandeep Batra:
That happens immediately . For at least the retail as well as the business banking, whatever is linked to the external benchmarks, it resets within a period of about 3 months. So, that happens automatically.
Lalatendu Mishra :
Both on interest rate as well, on the borrowers as well?
Sandeep Batra:
On the lending side, yes. Sorry, there's nothing on the deposit side. Did you say deposits?
Lalatendu Mishra :
No, I didn't know the lending side.
Sandeep Batra:
On the lending side, it is just fairly automatic. It's the regulation around it. Transmission happens within a period of 3 to 6 months. Largely 3 months, actually.
Lalatendu Mishra :
Thank you so much, sir. Thank you.
Sandeep Batra:
Thank you.

Moderator:
Thank you. We'll take our next question from the line of V. Narayanan from Financial Express. Please go ahead.
V. Narayanan :
Good evening, sir. The retail loan portfolio growth has sharply come down from 19% like - to-like basis last year to just 9%. So, what contributed to this slowdown? That's my first question. And also, you are proposing to sell entire stake in NIIT Institute of Finance and Banking. If you can give what is the consideration there?
Sandeep Batra:
Two separate questions. Okay, one, the loan growth has primarily slowed down in the unsecured segment, where the loan growth for the year on personal loan was just about 4.2%, and credit card was 11.7%. As we have been talking, our approach has been more a risk-calibrated growth. And, of course, during this period, we have seen strong competition intensity in pricing of mortgages and corporate loans. And given the expectations of eminent rate cut, we were focused on appropriate spreads over our benchmark during the quarter and were focused more on sustainable profitability. So, that is essentially what it is.
We drive our business largely from a fairness to customers and a fairn ess to bank. And our objective is essentially to maximise our profit before tax. So, within that framework, both based on risk and profitability, we do our pricing. So, frankly, we are not really concerned about between retail, wholesale, as I mentioned ea rlier. We would like to grow our overall book in a risk -calibrated fashion. And that is what it is. If you see, the overall loan growth for the year has been about 13.3%. And that is also very much in line with what our deposit growth is. So, we look at ev erything as an overall thing.
The stake sale is a very small amount. We had had a JV with NIIT, which was set up, somewhere in 2006. And over the period, we are just wanting to rationalise and simplify our own portfolio where we want to remain focused on. And as part of that, we are doing the same.


V. Narayanan :
Thank you.
Moderator:
Thank you. Next question is from the line of Hamsini Karthik from Money control. Please go ahead.
Hamsini Karthik :
Hi. Good evening, Mr. Batra. Just like to un

derstand a couple of things. The CASA ratio has now fallen well below around 40%. I'm sorry I don't have the final numbers with me, because the presentation is not up yet. And you guys have also reduced your rates on SA. Given that there is still a reasonable sight for deposits in the market, how much do you believe there is a scope for you to tinker with the overall deposit rates, and particularly more for SA? Do you believe that 2.7 % is the rock bottom that we've hit, or you would want to re visit this number at subs equent ALCOs?
Sandeep Batra:
We largely respond to what is happening on the policy side. If you see, there has been a sharp reduction in the repo rate, two rate cuts have already happened. And with further rate cuts expected in the horizon, we were of the view it is an appropriate time to make a reduction in the savings account deposit rate.
So, this is something that we evaluate , given the macro environment. So, from our overall perspective, the CASA ratio for the current quarter was about 38.4%. Now this has very much been stable at around this level. Last year in March it was about, again, 38.9 %, so it's marginally lower.
So, as I did mention earlier, we are looking at the overall deposit. Our overall average deposits has grown by about 11.4%, and about 1.9% sequentially. We are focused on the overall quantum and cost of deposit mobilisation and not necessarily individually on CASA and retail deposits.


Our focus has been on money in bank concepts, as I mentioned earlier, and that is where we will be. We would like to be the primary banker of our customers offering complete 360-degree solutions, and probably try to maximise our sha re within the customer's wallet and try to serve them as best as we can. So, that is essentially where we are.
Hamsini Karthik :
Perfect sir. There is also a notion that money might move out of SA to liquid funds which offer better rates. I know it's a lit tle too early. We've just been about 10 -15 days since the

rate adjustments. But are you seeing any initial signs of it? And is it something as a trend that you would possibly be very watchful of, given that bulk deposits also matter quite significantly to large banks, including yours?
Sandeep Batra:
That is one way to look at it. There are all kinds of customers. Banking is largely a transacting account. Liquid funds have been around for a very long period of time, and across various cycles. Whatever money remains, money largely retains within the banking system. So, our focus is to maximise whatever the customer needs. Our focus is on our customers trying to deliver whatever he or she wants. And we will remain focused on that. And we do hope once we are able to deliver 360 - degree, and being a complete banking suite, we will have the deposits that we need. So, as I said, we are not really focused on. If a customer wants to invest in liquid funds, we are happy to support that as well.
Hamsini Karthik:
Perfect sir. On the loan side, there has been a deceleration in growth on a sequential basis on rural banking. And it's also seen the weakest y-o-y growth, 5.1% or so. Earlier today, another bank also indicated that some sort of stress building u p there. What really led to you slowing down? And if you could give a little more colour in terms of the quality of pressure that you're facing there in rural banking , both in terms of asset quality as well as challenges on the growth front ?


Sandeep Batra:
No, Our growth is largely a function of risk -calibrated approach that we take. I don't think so in our assessment there is any specific stress which I need to call out. We have had a growth of about 5.1% during the course of the year. That's on the rural loans and they contribute about 6% of our overall book.
We are happy with the quality of the book that we have built over here. And we will continue to expand it in a ris

k-calibrated fashion. So there is nothing specific that I want to call out her e.
Hamsini Karthik :
So just one small request before I leave. Request, if you could please put in your presentation so that our questions can be a lot more informed. I mean, what are we doing is based on the basic questions, not helping our case much.
Sandeep Batra:
Yes, we will just do that shortly. Thank you.
Moderator:
Thank very much. Our next question comes from the line of Ashish Agashe from PTI. Please go ahead.
Ashish Agashe:
Thank you so much, sir. I hope I'm audible. So what percentage of your book would be linked to external benchmark and how much would be to others?
Sandeep Batra:
Our fixed loan book is about 31%, 53% is linked to repo, and about 15% is linked to MCLR.


Ashish Agashe:
53% to repo, right sir?
Sandeep Batra:
53% is to repo, 15% to MCLR, and 31% is fixed. Broadly, that is how the split is.
Ashish Agashe:
Okay, so given 53 % is a repo, what sort of outlook do you keep on the margin front going ahead? You just mentioned that okay. It would be in sync with the industry, but do you expect sort of a sharper movement down or what sort of outlook do you keep this?
Sandeep Batra:
No, I think from an outlook and a business str ategy perspective, we are focused on PB T and NIM is of course an important lever as part of that. There are product mixes and there are levers as repo rate cut happens. There is also a corresponding actions that we can take on the deposit side. As you are aware, we have reduced our savings bank account interest. And over a period of time, depending on competition etc., we will continue to look at even the fixed deposit rates. As you are aware, the repricing of the loan book happens much faster than deposits. To that extent, there will be some kind of a match. So, beyond that, as a bank, we are clearly focused on, as I mentioned, to the

profit before tax. And of course, NIM is an important component of that.
Ashish Agashe:
Okay, sir. And has there been any review undertaken at the Bank side say on derivative rates and other things, especially after considering some difficulties at a peer bank?
Sandeep Batra:
No, we continuously do that review. I mean, both, I mean, between from internal audit etc. Based on our reviews, we are very comfortable with the accounting treatment and


the book that we have built over here. So there is nothing to worry about on this count at all.
Ashish Agashe:
Thank you so much sir.
Moderator:
Thank you. We'll take the next question from Ram Kumar from Hindu Business Line. Please go ahead.
Ram Kumar:
Yes. Good evening. So your board today took a decision on buying back securities. So I just wanted to understand how much of the securities will you be buying and what will be the effect of this buyback of the securities actually? What is the purpose of this purchase?
Anindya Baner jee:
So it is just enabling approval that we take annually to do any buyback of debt securities . You know there are opportunities in the market , if markets are dislocated . But it's more of an enabling approval and there is no specific plan.
Ram Kumar:
Okay, it is not with a view to I mean to say refinancing because older securities would have contracted at a higher rate so anyway rates are coming down in the market, so maybe you are replacing the older securities with the newer securities actually. Is tha t the way you are looking at?
Anindya Banerjee :
Typically, it wouldn't work that way because the holder of the higher yielding securities would not want to give them up. So these are only if there are market dislocations of


some kind. Sometimes there are o pportunities. But typically, we are not looking. It's more of an enabling approach. There's no specific plan.
Ram Kumar:
And also, you pointed out about this capital strengthening

, actually. So what is the kind of capital and the strengthening exercise you are undertaking here? Any plans to raise money through probably equity, through 81 bonds? What exactly is your plan?
Sandeep Batra:
No, we don't. Even the tier 1 and 81 approvals that we have got, these are enabling in nature. So there is no specific plans done. And whenever we see an opportunity or a need, both from a pricing point of view, we will do that.
Ram Kumar:
And can you give us an outlook on the deposit and credit growth? This time it has grown by 14%. Do you expect it to be higher than thi s or lower than this? What exactly is the position?
Sandeep Batra:
Ram, it's very difficult to point this out. A lot of it depends on macros, how RBI looks at it. It is an environment you are all familiar with. So we will try to continue to remain nimble and react to both opportunities and risks in an appropriate fashion.
Ram Kumar:
Yes, and one last question about branch addition. This year, how many branches will you be adding?
Sandeep Batra:
So during the last year, we added a little over 400 branches . We do expect to add a similar number of branches during the next year.


Ram Kumar:
Thank you.
Moderator:
Thank you very much. Next question is from line of Advait from Bloomberg. Please go

ahead.
Advait:
Hi, good evening, sir. Just wanted to know, give n that sequentially the retail loan growth has come down, is there less demand for loans or is it probably from your credit assessment? Even though inflation is down, and the economy has rebounded, do you expect consumption to be weak or from a retail loan side? And also, corporate loan side, given that tariff is a bit of a mixed basket as to the impact on specific sectors, but the Bank taken any sector al stance in terms of trade finance, supply chain finance, export -oriented companies?
Sandeep Batra:
No, we can't. I think that two, three parts of it. Our approach has been having a risk calibrated growth. You've seen the numbers for both corporate and retail. On the business banking side, we continue to see a healthy growth. We do have an integrated approach covering coverage, credit delivery to our customers. Our corporate portfolio is about 20% of our overall portfolio and it is doing well. The business banking portfo lio is also doing very well. We look at customer from a 360 degree and assess the total relationship value with the customers and ecosystems. So I think, as I did mention, given all the impact on tariffs, while this environment externally will remain volat ile, we will continue to remain nimble. We will continue to remain focused. And for the segments that we are comfortable and which meets our risk threshold, we are happy to grow the segment also. We do believe while there will be risks, there will also be opportunities during the course of the year and we will be mindful of both.


Advait:
On the retail side, I think sequentially it's sub 1% is what is reflected. People aren't borrowing as much as they should. I mean, whether they could or should we just se e that credit started coming to you through the Bank?
Sandeep Batra:
No, I don't think so. We look at a customer and in case there is a need, and we are more than happy to lend. I don't think so there is any specific segment which I can really call out whether customers are borrowing or not borrowing. Every customer who is bankable, we are happy to lend to that segment.
Moderator:
Thank you. We'll take the next question from line of Anupreksha Jain from Business Standard. Please go ahead.
Anupreksha Jain:
So my first question is regarding, so how do you see tariffs impacting the international business given that the volatility has increased in global markets. And second, I want to know about how's the attrition rate so far and where are we seeing on retaining people or employees. And thirdly, gr

owth guidance on NIM. Just want to know these three points.
Sandeep Batra:
That's lots of questions, Anupreksha. Let me try to answer them. Coming on the tariffs, I have in a way sort of answered it. There is an uncertain global environment. And of course, it will put pressure on long -term growth. And we will continue to prioriti se resilience. And we will continue to look at the customer segments, which we believe are strong and which meet our risk threshold, s o that is a strategy. As I mentioned, we will continue to remain nimble and focused. The second question was on the attrition rate. These rates, we will give it as a headcount. We will probably give it as part of our annual report. And the third question was around . Sorry, what was the question?


Anupreksha Jain:
Growth guidance on NIM.
Sandeep Batra:
NIM as I did mention, I mean, there are many moving parts, such as extent and timing of further repo cards, quantum and timing of decline of both retail and wholesale deposits, competition intensity, global uncertainty and liquidity. While the quantum of rate cuts expected has increased, we have also seen moderation in retail and wholesale deposits. So the NIM trajectory over a longer term, it's difficult to call out, but in the past, NIM was around 4% prior to the current rate hike cycle which started at the end of FY22. When the rate increase happened, our NIMS moved from about 4% to about 4.5% in FY23 and 24, before declining to about 4.3% during the curren t year. So in the near term, by and large, we will be in line with the banking system. We will, of course, our margins will get

impacted by repo rate cuts because a fair bit of loans are linked to the external benchmarks, which reprice pretty fast within a three to six months period and deposits reprice to the lag. So from our perspective, we will continue to look at ways to leverage the overall franchise to maximi se the risk calibrated profits and look at all the levers of which NIM is one of them.
Anuprek sha Jain:
Thank you.
Moderator:
Thank you. We'll take the next question from Falaknaaz Syed from Deccan Chronicle. Please go ahead.
Falaknaaz Syed:
Slippages are more from the retail book. Are there any segments that you will focus on and which are the segments you will want to stay away from? And the other question is on MCLR rates. It is almost three months, two rate cuts have happened. This EVLR rates


has fallen, but we are not seeing anything on the MCLR rates. When do you see MCLR rates falling for the banking sector and also for your own bank?
Sandeep Batra:
So Falak, I think we will be watchful of the situation. I don't have any specific guidance on deposits. As I think we have already explained that this is all external linked. On MCLR, it's form ula based. I don't think so we have too much of flexibility. There is a whole formula prescribed by Reserve Bank of India. And based on that, it is more linked to the deposit repricing. And as I did mention, deposits reprice with a lag. As the deposit rate s reprice, the MCLR also will go down. So that is on the deposit side. Your first question was on?
Falaknaaz Syed:
Slippages are mostly from the retail book?
Sandeep Batra:
Falak, I don't think so we are focused on any segment, as I've been talking about. We are focussing more on a customer. And if a customer is good, the segment that you see is more an outcome of the quality of customers that we have onboarded. There is no specific area or sub segment within a retail that we need to call out. And I think if you see the overall numbers, they are well within our thresholds and we are quite comfortable with the quality of book that we have built.
Falaknaaz Syed:
Can you give a breakup of the retail slippages?
Sandeep Batra:
I did mention it, but proba bly I will read out for your benefit.
Falaknaaz Syed:
So ■4,300 crore is retai

l?


Sandeep Batra:
That's right.
Falaknaaz Syed:
So can you give of that how much more? Mostly it has come from which segment?
Sandeep Batra:
Falak, we don't give further splits. This is retail and rural combined. So out of this ■4,300 crore, ■3,000 crore was also there were recoveries and upgrades happened.
Falaknaaz Syed:
Thank you.
Moderator:
The next question is from the line of Benn from New Indian Express. Please go ahead.
Benn:
Good evening, Mr. Batra. Hello. Can you hear me?
Sandeep Batra:
Yes, Benn, go ahead.
Benn:
Mr. Batra, this is pertained to the trade war issues. I don't know whether you'll give a breakup. What is your total co rporate book? How much is your trade finance? Can you give that number? Just to know the impact, whether it goes for a toss, what will be if the trade war gets worse than what it is today?

Sandeep Batra:
No, we do not give that split. I mean, it's very d ifficult to give that kind of a split. I think corporate India is strong and they are taking effective steps to steer the challenges that have emerged at this point of time. And we will see how it goes.
Benn:
And my last question is, there are reports abo ut credit card delinquency pricing . How is your book, these two books, is the total of the total slippages, can you put a percentage to that, whether it came more from these two books?
Sandeep Batra:
No, of course, I mean, the credit card is a product whi ch has a relatively higher provisions, which is the nature of the product. But we have built our overall retail portfolio on the fundamental premises of capital and cash flow assessment. So we try to work with borrowers who are known and accessible. We con tinue to remain focused. The delinquencies on unsecured portfolio have been marginally higher over the last one year. They are low in the overall context. So as you are aware, over the last 12 to 15 months, we have strengthened our credit parameters, which is a combination of profile, track records, bureau score, leverage etc. And we have sort of strengthened these areas. The overall loan growth, based on that, the personal loan growth has declined by about 32.5%, which was there in Q4 of 2024, to about 4.2 % in the current quarter. So we have taken effective steps to reduce the growth rate, which is in line with our assessment of the opportunities and risks that we see in the portfolio. But overall, we see the unsecured portfolio stabili sing. And as it does, we'll be happy to grow that portfolio.
Benn:
And how big is your PL book and the CC in terms of overall assets outstanding?
Sandeep Batra:
So, the overall credit card, sorry, you're talking of credit cards or CC?


Benn:
Credit card and as well as the personal loan, unsecured personal loan, the book size.
Sandeep Batra:
The credit card is about ■57,000 crore. The personal loan is ■ 1,21,000 crore.
Benn:
■1,21,000 crore. Okay, thank you so much .
Moderator:
Thank you very much.
Sandeep Batra:
Thank you so much and hope for have a good evening and thank you for being with us today afternoon.
Moderator:
Thank you very much. This brings the conference call to an end. On behalf of ICICI Bank, we thank you all for joining us and you may now disconnect y our lines. Thank you.
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ICICI Bank Limited
Earnings conference call - Quarter ended March 31, 202 5 (Q4-2025)
April 19, 2025

are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov

This release does not constitute an offer of securities.

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Moderator:

Ladies and gentlemen, good day and welcome to ICICI Bank Limited Q 4-FY2025 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sandeep Bakhshi, Managing Director and CEO of ICICI Bank. Thank you and over to you sir.

Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q4 of FY202 5. Joining us today on this call are Sandeep Batra, Rakesh , Ajay, Anindya and Abhinek .

At ICICI Bank, o ur strategic focus continues to be on growing profit before tax excluding treasury through the 360-degree customer centric approach and by serving opportu nities across ecosystems and micromarkets . We continue to operate within our strategic framework to strengthen our franchise. Maintain ing high standards of governance, deepening coverage and enhancing deliver y capabilities are focus areas for our risk calibrated profitable growth .

The profit before tax excluding treasury grew by 13.2 % year -on-year to 165.34 billion Rupees in this quarter and by 11.4% year -on-year to 607.13 billion Rupees in FY2025. The core operating profit increased by 13.7% year -on-year to 174.25 billion Rupees in this quarter and by 12.5% year -on-year to 653. 96 billion Rupees in FY2025. The profit after tax grew by 18.0 % year -on-year to 126.30 billion Rupees in this quarter. For the fiscal year 2025, the profit after tax grew by 15.5% year -on-year to 472.27 billio n Rupees . The consolidated profit after tax grew by 15.7% year -on-year to 135.02 billion Rupees in this quarter and by 15.3% year -on-year to 510.29 billion Rupees in FY2025. The Board has recommended a dividend of 11 Rupees per share for FY2025, subject to requisite approvals.

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Total deposits grew by 14.0% year -on-year and 5.9% sequentially at March 31, 202 5. During the quarter, average deposits grew by 11.4 % year -on-year and 1.9% sequentially and a verage current and savings account deposits grew by 10.0 % year -on-year and 0.5% sequentially. The Bank's average liquidity coverage ratio for the quarter was about 126%.

The domestic loan portfolio grew by 13.9 % year -on-year and 2.2% sequentially at March 31, 202 5. The r

etail loan portfolio grew by 8.9% year -on-year and 2.0% sequentially. Including non -fund based outstanding, the retail portfolio was 43.8 % of the total portfolio. The rural portfolio grew by 5.1% year -on-year and declined by 1.5% sequentially. The business banking portfolio grew by 33.7% year -on-year and 6.2% sequentially. The domestic corporate portfolio grew by 11.9 % year -on-year and declined by 0. 4% sequentially . The overall loan portfolio including the international branches portfolio grew by 13.3 % year -on-year and 2.1% sequentially at March 31, 202 5.

The net NPA ratio was 0.39 % at March 31, 202 5 compared to 0.42% at December 31, 2024 and 0.42 % at March 31, 2024. The total provisions during the quarter were 8.91 billion Rupees or 5.1% of core operating profit and 0.27% of average advances. The provisioning coverage ratio on non-performing loans was 76.2% at March 31, 202 5. In addition, t he Bank continues to hold contingency provisions of 131.00 billion Rupees or about 1.0% of total advances at March 31, 202 5.

The capital position of the Bank continued to be strong with a CET -1 ratio of 15.94 % and total capital adequacy ratio of 16.55 % at March 31, 202 5, after reckoning the impact of proposed dividend.

Looking ahead, we see many opportunities to drive risk calibrated profitable growth . We believe o ur focus on customer 360 degree , extensive franchise and collaboration within the organi sation, backed by our focus on enhancing delivery systems and simplifying process es will enable us to deliver holistic solutions to customers in a seamless manner and grow market share across key segments . We will continue to make investments in technology, people, distribution and building our brand . We are laying strong emphasis on strengthening our opera tional resilience for seamless delivery of services to customers. We will remain focused on maintaining a strong balance sheet with prudent



provisioning and health y levels of capital . The principles of "Return of Capital", "Fair to Customer, Fair to Bank" and "One Bank, One Team " will continue to guide our operations. We remain focused on delivering consistent and predictable returns to our shareholders.

I now hand the call over to Anindya .

Anindya 's opening remarks

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details, technology initiatives, portfolio trends and the performance of subsidiaries.

A. Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 11.0 % year -on-year and 2.8% sequentially. A uto loans grew by 4.6% year -on-year and 0.4% sequentially. The commercial vehicles and equipment portfolio grew by 7.0% year -on-year and 2.9% sequentially. Personal loans grew by 4.2% year -on-year and 0.6% sequentially . The credit card portfolio grew by 11.7 % year -on-year and 0.9% sequentially. The personal loans and credit card portfolio were 9.1% and 4.3% of the overall loan book respectively at March 31, 202 5.

The overseas loan portfolio, in US dollar terms, declined 10.2% year -on-year at March 31, 202 5. The overseas loan portfolio was about 2.3% of the overall loan book at March 31, 202 5. Of the overseas corporate portfolio, about 91% comprises Indian corporates.

B. Credit quality

The gross NPA additions were 51.42 billion Rupees in the current quarter compared to 60.85 billion Rupees in the previous quarter. Recoveries and upgrades from gross NPAs, excluding write -offs and sale, were 38.17 billion Rupees in the current quarter compared to 33.92 billion Rupees in the previous quarter. The net additions to gross NPAs were 13.25 billion Rupees in the current quarter compared to 26.93 billion Rupees in the previous quarter.



The gros s NPA additions from the retail and rural portfolio s were 43.39 billion Rupees in the

current quarter compared to 53.04 billion Rupees in the previous quarter . Recoveries and upgrades from the retail and rural portfolio s were 30.3 9 billion Rupees compared to 27.86 billion Rupees in the previous quarter. The net additions to gross NPAs in the retail and rural portfolios were 13.00 billion Rupees compared to 25.18 billion Rupees in the previous quarter.

The gross NPA additions from the corporate and business banking portfolio s were 8.03 billion Rupees compared to 7.81 billion Rupees in the previous quarter. Recoveries and upgrades from the corporate and business banking portfolio s were 7.78 billion Rupees compared to 6.06 billion Rupees in the previous quarter. There were net addition s to gross NPAs of 0.25 billion Rupees in the corporate and business banking portfolio s compared to net addition s of 1.75 billion Rupees in the previous quarter.

The gross NPAs written -off during the quarter were 21.1 8 billion Rupees. Further, t here was sale of NPAs of 27.86 billion Rupees in the current quarter compared to 0.58 billion

Rupees in the previous quarter. These were fully provided NPAs, and in lieu of sale, the Bank received 16.05 billion Rupees of security receipts and 3.14 billion Rupees in cash , with the balance 8.67 billion Rupees being written -off, which is in addition to the write - offs mentioned earlier . The Bank continue s to hold 100% provisions against the se security receipts.

The non -fund based outstanding to borrowers classified as non -performing was 30.75 billion Rupees as of March 31, 202 5 compared to 31.60 billion Rupees as of December 31, 2024 . The provisions on this non-fund based outstanding was 16.60 billion Rupees at March 31, 202 5 compared to 17.12 billion Rupees at December 31, 2024 .

The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 19.56 billion Rupees or about 0.1% of the total loan portfolio at March 31, 202 5 from 21.07 billion Rupees at December 31 , 2024 . Of the total fund based outstanding under resolution at March 31, 202 5, 17.55 billion Rupees was from the retail and rural portfolio s and 2.01 billion Rupees was from the corporate and



business banking portfolio s. The Bank holds provisions of 6.43 billion Rupees against these borrowers, which is higher than the req uirement as per RBI guidelines.

Moving on to the P&L details:

C. P&L d etails

Net interest income increased by 11.0 % year -on-year to 211. 93 billion Rupees in this quarter . The net interest margin was 4.41 % in this quarter compared to 4.25% in the previous quarter and 4.40% in Q4 of last yea r. The impact of interest on tax refund was about 2 basis points in the current quarter compared to about 1 basis point in the previous quarter and nil in Q4 of last year. The net interest margin was 4.32 % in FY2025.

The domestic NIM was 4.48 % in this quarter compared to 4.32 % in the previous quarter and 4.49% in Q4 of last year. The cost of deposits was 5.00 % in this quarter compared to 4.91% in the previous quarter . Of the total domestic loans, interest rates on about 53% of the loans are linked to the repo rate, 15% to MCLR and other older benchmarks and 1% to other external benchmarks . The balance 31% of loans have fixed interest rates.

Non-interest inco me, excluding treasury, grew by 18.4 % year -on-year to 70.21 billion Rupees in Q4 of 202 5.

• Fee income increased by 16.0 % year -on-year to 63.0 6 billion Rupees in this quarter . Fees from retail, rural and business banking customers constituted about 80% of the total fees in this quarter .

• Dividend income from subsidiaries was 6.75 billion Rupees in this quarter compared to 4.84 billion Rupees in Q4 of last year. Dividend income from subsidiaries was 26.1 9 billion Rupees in FY2025 compared to 20.73 billion Rupees in FY2024 . The year

-on-
year increase in dividend income was primarily due to higher dividend from ICICI Bank Canada, ICICI Prudential Asset Management Company and ICICI Securities Primary Dealership.



On Costs: The Bank's operating expenses increased by 11.2% year -on-year in this quarter and 8.3% year -on-year in FY2025 . Employee expenses increased by 10.3 % year - on-year and n on-employee expenses increased by 11.7% year -on-year in this quarter . Our branch count has increased by 241 in Q4 and 460 in FY2025 . We had 6,983 branches as of March 31, 202 5. The technology expenses were about 10.7 % of our operating expenses in FY2025 .

The total provisions during the quarter were 8.91 billion Rupees or 5.1% of core operating profit and 0.27% of average advances compared to the provisions of 12.27 billion rupees in the previous quarter . The total provisions during FY2025 increased by 28.5% year -on- year to 46.83 billion Rupees. The Bank, on a prudent basis, continues to hold provision against the security receipts guaranteed by the government , which will be reversed on actual receipt of recoveries or approval of claims, if any.

The provisioning coverage on non-performing loans was 76.2% as of March 31, 202 5. In addition, we hold 6.43 billion Rupees of provisions on borrowers under resolution. Further, the Bank continues to hold contingency provision of 131.00 billion Rupees as of March 31, 202 5. At the end of March , the total provisions, other than specific provisions on fund -based outstanding to borrowers classified as non -performing, were 226.51 billion Rupees or 1.7% of loans.

The profit before tax excluding treasury grew by 13.2 % year -on-year to 165.34 billion Rupees in Q 4 of this year and by 11.4% year -on-year to 607.13 billion Rupees in FY2025.

Treasury gain s were 2.39 billion Rupees in Q4 as compared to a treasury loss of 2.81 billion Rupees in Q4 of the previous year . The treasury loss in Q4 of previous year includes the transfer of negative balance of 3.40 billion Rupees in Foreign Currency Translation Reserve related to Bank's Offshore Banking Unit in Mumbai to profit and loss account in view of the proposed closure of the Unit.

The tax expense was 41.43 billion Rupees in this quarter compared to 36.13 billion Rupees in the corresponding quarter last year. The profit after tax grew by 18.0 % year -on-year to 126.30 billion Rupees in this quarter . The profit after tax grew by 15.5% year -on-year to 472.27 billion Rupees in FY2025.



D. Technology initiatives

We continue to enhance the use of technology in our operations to provide simplified solutions to customers and mak e investments in our digital channels. We expect to further strengthen system resilience and simplify our processes.

E. Portfolio information

We have provided details on our retail , rural and business banking portfolio s on slides 25 to 28 of the investor presentation.

The loan s and non-fund based outs tanding to performing corporate borrowers rated BB and below were 28.54 billion Rupees at March 31, 202 5 compared to 21.93 billion Rupees at December 31, 2024 . This portfolio was about 0.2% of our advances at March 31, 202 5. Other than two account s, the maximum single borrower outstanding in the BB and below portfolio was less than 5.00 billion Rupees at March 31, 202 5. The Bank holds provision of 4.38 billion Rupees against this portfolio at March 31, 202 5.

The total outstanding to NBFCs and HFCs was 918.38 billion Rupees at March 31, 202 5 compared to 893.60 billion Rupees at December 31, 2024 . The total outstanding loans to NBFCs and HFCs were about 6.8% of our advances at March 31, 202 5.

The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 616. 24 billion Rupees at March 31, 202 5 compared to 586.36 billion Rupees at December 31, 2024 . The build

er portfolio was abou t 4.6% of our total loan portfolio. Our portfolio largely comprises well-established builders and this is also reflected in the sequential increase in the portfolio. About 1.7% of the builder portfolio at March 31, 202 5 was either rated BB and below internally or was classified as non -performing , compared to 1.7% at December 31, 2024 .



F. Consolidated results

The consolidated profit after tax grew by 15.7 % year -on-year to 135.02 billion Rupees in this quarter. The consolidated profit after tax grew by 15.3 % year -on-year to 510.29 billion Rupees in FY2025.

The details of the financial performance of key subsidiaries are covered in slides 36 to 38 and 57 to 62 in the investor presentation.

The annualis ed premium equivalent of ICICI Life was 104.07 billion Rupees in FY2025 compared to 90.46 billion Rupees in FY2024 . The value of new business was 23.7 0 billion Rupees in FY2025 compared to 22.27 billion Rupees in FY2024 . The value of new business margin was 22.8 % in FY2025 compared to 2 4.6% in FY2024 . The profit after tax of ICICI Life was 11.89 billion Rupees in FY2025 compared to 8.52 billion Rupees in FY2024 and was 3.86 billion Rupees in current quarter compared to 1.74 billion Rupees in Q4 of last year .

Gross Direct Premium Income of ICICI General was 268.33 billion Rupees in FY2025 compared to 247.76 billion Rupees in FY2024 . The combined ratio stood at 102.8 % in FY2025 compared to 103. 3% in FY2024 . Excluding the impact of CAT losses of 0.94 billion Rupees in FY2025 and 1.37 billion Rupees in FY2024, the combined ratio was 102.4% and 102.5% respectively. The profit after tax was 25.08 billion Rupees in FY2025 compared to 19.19 billio n Rupees in FY2024 . The profit after tax was 5.10 billion Rupees in this quarter compared to 5. 19 billion Rupees in Q4 of last year.

The profit after tax of ICICI AMC , as per Ind AS was 6.92 billion Rupees in this quarter compared to 5.29 billion Rupees in Q4 of last year .

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 3.81 billion Rupees in this quarter compared to 5.37 billion Rupees in Q4 of last year. Pursuant to the Scheme of Arrangement amongst ICICI Bank Limited and ICICI Securities Limited and their respective shareholders, ICICI Securities Limited has been delisted from stock exchanges on March 24, 2025 and became a wholly -owned subsidiary of the B ank.



ICICI Bank Canada had a profit after tax of 12.5 million Canadian dollars in this quarter compared to 19.9 million Canadian dollars in Q4 last year .

ICICI Bank UK had a profit after tax of 6.0 million US dollars in this quarter compared to 9.5 million US dollars in Q4 of last year .

As per Ind AS, ICICI Home Finance had a profit after tax of 2.41 billion Rupees in the current quarter compared to 1.69 billion Rupees in Q4 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.

Moderator:
Thank you very much. The first question is from the line of Mahrukh Adajania from Nuvama Wealth Management. Please go ahead.

Mahrukh Adajania:
First of all, congratulations on a very strong set. I just had a few questions. Firstly, on loan growth . So, have you tightened or have you been cautious on some segments, especially PLCC, overall retail, corporate growth? Because while the loan growth is good, it's a tad lower than your last few quarters. So, is there any cautious approach? And if there is why ? Or is this the general demand that the Bank is presented with? So , that's my first question and then I have another question on deposit s.

Anindya Banerjee:
So as far as the loan growth is concerned, I don't think anything specific incrementally in terms of caution on the credit side. I think we are pretty comfortable with what we are underwriting. Of course, on pe

rsonal loans and cards, as you know, we had ti ghtened a
few quarters ago, and that is showing up in the volumes over the last couple of quarters and the loan growth. But other than that, no specific caution on the credit side. I would say it's largely a function of what is happening in the system. And also, I guess, on the pricing side, some consciousness given that during this quarter, we were at the sort of cusp of the downward movement in benchmark rates. So, we had to be a little more

disciplined in terms of the spreads etc. that we were charging over the benchmark. But other than that no specific caution on the credit side.

Mahrukh Adajania:
Okay, thanks. And on deposit growth, my question was that obviously banks are cutting

deposit rates to transmit policy rates. But there has been a lot of tightness in deposits, not recently, but over the last one and a half years. So , with the liquidity situation improving, is there confidence that a sustained deposit growth will now flow through?

Anindya Banerjee:
I guess that's reflected in what is happening. We have seen liquidity improve substantially over the last couple of months with all the measures that the central bank has taken. And deposit growth for us has continued to be quite strong. You would have seen the numbers for the fourth quarter have also been pretty strong for us. And as the repo rate has fallen by 50 bps , so that will start to see a transmission into deposit rates, which is what has started. So , I think that's in the natural course of things.

Mahrukh Adajania:
Thanks a lot. Thank you.

Moderator:
Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah:
Hello. So , the question was on margin. When we look at it in terms of the yields particularly, there has been 21 basis points expansion. So partly, obviously, there could be some elements of lower reversals on KCC. But besides that, anything else to look into this? Was there maybe in the recovery, there was any one -off interest or something which was there besides the interest on income tax refund? Was there any other one -off in the yield on advances?



Anindya Banerjee:
So, there was no one -off in the yield on advances. I think probably the largest component driving up the yield was what we had spoken of in, I think, Q2 and Q3 last year, which is the benefit of the day count, which brought down the yield in Q2 vis -a-vis Q1. And we had mentioned at that time that this would reverse out largely in Q4, which has happened. So that is one factor. The second factor is what you alluded to, the absence of the KCC non -accrual in Q4 relative to Q3. We did speak about the 2 bps of inter est on tax refund. Other than that, I think nothing one -off in that sense. There would be some better returns on liquidity deployment, a little better interest collection on NPLs, things like that, but no single item that requires to be called out, I would say.

Kunal Shah:
Yes, so this derecognition would be then significant component of it because it was thought to be like earlier when you indicated it seemed like there is a benefit of 3 to 4 odd basis points which is coming in margin. But then it seems like that component was quite high.

Anindya Banerjee:
I'm sorry, what component?

Kunal Shah:
This derecognition.

Anindya Banerjee:
Yes, I think the larger number is really on account of the day count convention. So, as we had said, I think, the margin number to focus on in our mind is really the 4.3% for the full year. That would be a more representative number.

Kunal Shah:
And in terms of also going forward, in fact, you have always been indicating that maybe if it's a shallow rate -cut cycle, we should be able to manage the margins. But now if we expect like say 100 bps kind of a repo rate -cut over say 4 MPCs, would you stil l believe it to be shallow rate? A

nd maybe from here on in terms of the margin trajectory, if we



have to look at it, how do we see it on the repricing of the yields? Do we follow like a monthly reset and business banking happens immediately and maybe that will entirely flow through? And are there any levers available to improve margins or maybe to tak e care of the EBLR repricing impact?

Anindya Banerjee:
So, whether the rate -cut was relatively less or more, there would be some impact on margins because the deposit rates would, the deposit repricing would occur with a lag while the loan repricing would be immediate. Indeed, the expectations of the rate cut have gone up compared to where they were, say, a couple of months ago and a higher level of rate-cut is now expected. At the same time, as we spoke earlier, the deposit rates have also started falling. So , we will have to see as we go along how we manage through this. But there would be an impact on margins definitely. What that will be, we will have to see as we go through the year, because there are a number of factors that will come into play. I think, overall, we have to look at the overall risk adjusted PPOP and what are all the levers starting with growth , margins and other aspects that we have to optimi se and that's what we will keep continuing to do.

Kunal Shah:
Thanks and all the best.

Moderator:
Thank you. The next question is from the line of Anand Swaminathan from Bank of America. Please go ahead.

Anand Swaminathan:
I had a couple of questions. One is on the elasticity of savings rate cuts. What, according to you, is the kind of modeling you have done in going ahead with the concerted all banks have done at 25 bps rate cut? And is there theoretically a base limit that we should think about for savings rate cuts? Or can it kind of continue to mirror the repo rate cuts over the next few quarters? That's my first question.



Anindya Banerjee:
We will have to see as we go along. I don't think we can say that there is sort of any kind of direct relationship. I would say the repo rate has fallen by 25 bps and significant actions have also happened on liquidity in the system. And we will have to see how it goes on f rom here. I don't think that there is any direct relation in that sense, which is quantifiable at this stage.

Anand Swaminathan:
Okay, theoretically there is no limit to how much savings rate can go down from here?

Anindya Banerjee:
It's a rate which each bank can set for itself in that sense. So , it can move as per what a bank thinks is optimal.

Anand Swaminathan:
Okay, my second question is on the business banking side. The loan growth has been exceptionally good, especially it seems to have accelerated in the last few quarters. Can you help us understand what is the risk in this business? How are you assessing the incremental risk? Like how much riskier is it versus your corporate book? If you can give us something in terms of how much is the self -funded nature of the business? Is it going to contribute to a slightly higher average credit cost down the line? Some c olor on this to get a better understanding would be good. Thank you.

Anindya Banerjee:
I think last quarter we had a fairly extensive commentary on this in the earnings call. So , the way we have built this business over the last several years, I think we have invested in, I would say, three aspects, one certainly in the distribution, so equipping more and more of our branches to deal with the business banking or self -employed segm ent customers. Second, investing in our credit underwriting models and processes for this segment to be able to understand and assess the credit and deliver credit i n a timely manner. And third, I think on the digital side, because our technology offerings, digital offerings, and transaction banking capabilities for this segment have been pretty good. And that has driven growth in

the business, I would say holisticall y, both on the lending side as well as on the fee and current account side.
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And in terms of, I would say, the risk profile of this business, it is a fairly granular portfolio and pretty well diversified geographically and industry -wise and so on. Secondly, I think, it's not in that sense a particularly high yield business. So , this is not the sort of mid -teens lending rate kind of business. It's pretty at the higher end of the quality spectrum and pretty much competed for amongst the banks. But it's also a business where we have a very much better scope to do the customer -360, beca use you are really doing a lot of things for the business and the owner. In terms of the credit performance, it has actually been quite good. In fact, if we look back five years, I think at the onset of the pandemic, when of course we were also, the portfolio was relatively more recently built for us. This would have been one of the portfolios that we would have been most concerned about, but it is probably the portfolio which surprised significantly on the upside. Even if you look at a systemic level, ECLG S utilization and so on, relative to this portfolio has been marginal. So , it has behaved well. Currently, credit costs are pretty low, I would say almost mirroring what we are seeing on the corporate side. But of course, it is something that has to be tightly monitored as we go along. So , we will keep monitoring it and managing the portfolio dynamically.

Anand Swaminathan:
And what will be the average yield on this business versus your corporate business just to understand how much more profitable this is?

Anindya Banerjee:
We don't really give the segment -wise yield. It would be somewhat higher. But I think more importantly, it is the holistic P&L of the business in terms of the full customer -360, the liability side and the transaction banking and the ability to manage deliv ery cost and credit cost which yields the bigger benefit. And of course, the granularity of it.

Moderator:
Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all the participants, please limit your question to two per participant. If you have a follow -up question, I would request you to rejoin the queue. Th e next question is from the line of Nitin Aggarwal from Motilal Oswal Financial Services. Please go ahead.
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Nitin Aggarwal:
Good evening, everyone and congratulations on a very strong performance. So , first question is around asset quality. If I look back, the normalisation trend that started at the beginning of the year has reached a fair degree of stability. So just wanted to know your views, how comfortable you feel about asset quality now versus ho w the situation was six months back? And how is that trending now in unsecured retail products?

Anindya Banerjee:
Actually, we were always quite comfortable. So , we were never too worried. But I would say that what we have been saying holds true. I think the corporate portfolio continues to behave extremely well as does business banking. On the retail side, the secured products, I think, are behaving quite well. O n unsecured, I think that generally the NPL formation has broadly stabili sed. We would hope for it to come down, but let us wait for that to happen. Maybe it will take another couple of quarters. And all of th at is getting absorbed in the credit costs that we are reporting. This quarter, of course, we had a very low credit cost of some 30 basis points. But even if we kind of were to try and adjust out the fact that there were KCC provisions in the previous quar ter and we had some writeback this quarter and so on, it will still be just about 40 odd bps or so. So , things are quite stable. Of course, as we go into the year, I think what happens to the overall economy globally and in India and this whole trade relat ed issue

s is something we will
have to watch out for. But as of today, we are very comfortable with the portfolio.

Nitin Aggarwal:
Right. And I mean, the second question is around growth again. So , we have seen a very healthy growth, continued growth across business banking, but the retail growth has moderated if you compare over the prior years. Now looking forward with other banks becoming more and more aggressive in lending in certain products, w here ICICI Bank is?

So, how do you see the trend about the overall loan growth? Will it remain skewed in favor of select products which are PPOP and the profitability thresholds or one can expect more broad based growth?

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Anindya Banerjee:
So we are really focused on the risk adjusted PPOP and of course I think as we focus on that, if we want to make tactical calls on pricing etc. in a particular customer or segment or product for a particular period of time , I think our funding franchise gives us the flexibility to do that. But overall, we are quite focused on the overall PPOP. I think we would continue to see pretty healthy growth on the business banking side as things currently stand. Retail, we will see ho w the market evolves. And I think a s the rate environment stabilises during the year, pricing may also stabilise. So , that's where I would look at it. On the unsecured side, probably the growth has bottomed -out. And we may see some improved growth from here is what we feel.

Nitin Aggarwal:
And lastly on the PSL frontline, I see there's stronger growth in business banking, but slightly toned -down growth in retail and rural. How is the Bank faring on the PSL front?

Anindya Banerjee:
So, I think it's pretty similar to what we have seen in past quarters. We meet our overall PSL requirement. We also meet our MSME requirement. In fact, overall and MSME, we have some surplus in the some of the categories like the small farmer and weaker se ction etc., we do have shortfalls which we have addressed through either buyouts or through purchase of the PSLC certificates. So pretty much the same continues.

Nitin Aggarwal:
Okay, sure. Thanks so much and wish you all the best.

Moderator:
Thank you. The next question is from the line of MB Mahesh from Kotak Securities. Please go ahead.

MB Mahesh:
Hi, a couple of questions. First one is on the income, if any, which moves on the interest income line on recovery of bad loans. Let us say the security receipts have come in on cash -basis. Does anything of it move to the interest income line as well?
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Anindya Banerjee:
So that the cash, the cash portion of the NPA sale would be reflected as a writeback in provisions, not as interest income.

MB Mahesh:
And there is nothing there in the interest income line from...

Anindya Banerjee:
There will always be some interest recovery on NPLs in any quarter. It may vary a little quarter to quarter, but it will always be there.

MB Mahesh:
So the second one is on the current differential that exists on, let's say, some of the benchmark loans between, let's say, private sector banks and public sector banks. How much does it hurt you right now? Some color on, because the transmission seems to be a bit clear from the private sectors bank side in comparison to public banks atleast?

Anindya Banerjee:
Are you talking about competition, I mean the lending rates?

MB Mahesh:
Yes. Because when I look at some of the housing...

Anindya Banerjee:

Yes, clearly it is an issue. I think in retail, it's not just about pricing because you really need the distribution scale, processing capacity to back up your pricing. So , I wouldn't say it's just about pricing. But certainly there are very large, capable competitors who are also priced meaningfully below us. It does create some challenges in terms of growth, but I guess that's part of life. So , we will have to keep dealing with it as we go alo

ng and
look at how we can drive other levers to continue to maintain profitable growth.

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MB Mahesh:
And one clarification, unsecured loans, today you would say that you have well passed the peak in terms of fresh slippages?

Anindya Banerjee:
I would say it has, it's broadly stable. We are yet to see it coming down meaningfully. But I think more importantly, the behavior of portfolios originated more recently, say what we originated post making some of the credit changes, which we did maybe 18 months ago , the behavio ur of those portfolios gives us a fair degree of comfort on building the portfolio incrementally.

Moderator:
Thank you. The next question is from the line of Harsh Modi from JP Morgan. Please go ahead.

Harsh Modi:
Thanks for the opportunity to ask question. I just want to understand on RWA growth, it's 17% year -on-year for growth of around 13 %. Could you please explain what drove the faster growth in risk -weighted assets? I have a follow -up question after that. Thank you.

Anindya Banerjee:
It is an evolving mix of the different categories of loans and how one classifies them, what you can justify, in which risk -weight category. In the year end, I think market risk also went up because we did take some larger positions as the interest rate en vironment turned favorable for taking trading positions.

Harsh Modi:
Got it. Thanks. The follow up is on just the use of capital. You have significant capital generation. CET -1 is at 15.94. And the way it seems, your incremental RWA of 2.4 trillion growth versus profit of almost half a trillion. So , let's say over the next two to three years, how do you see the use of capital at the Bank, assuming, given your competitive position
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and the modes, you may be able to generate significant amount of capital over next two to three years? Thank you.

Anindya Banerjee:
Two, three things. One, clearly I think that there is a certain expectation among stakeholders, market etc. of the level of capital that a large private sector bank should be maintaining. And I think our capital levels are not out of line with most of our peers in that context. And as far as the capital generation that will happen in future and how much of that is absorbed by growth, we will see as we go along. B ut I think that maintaining a certain level of capital is important from a strategic perspectiv e and a market confidence perspective.

Harsh Modi:
Right. Thanks for that. That was exactly my question that organically seems growth would be you're already doing quite well, focused on, as you said, risk -adjusted PPOP. And given the excess capital generation, because right now your RWA growth is just 5x of your net profit. So , is there any possibility of for strategic purposes, what are the places that you may incrementally allocate capital over the next two to three years?

Anindya Banerjee:
We will, I think, believe that our franchise gives us sufficient opportunity to grow and leverage the capital. If at a stage we feel that we are, we can always look at other things like maybe increasing payouts or things like that. But for the time being, I think we believe

that given the franchise that we have, we have a lot of runway for growth.

Harsh Modi:
Got it . Thank you.

Moderator:
The next question is from the line of Param Subramanian from Investec Capital. Please go ahead.

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Param Subramanian:
Thanks for taking my question. Firstly, on the net -worth movement in the quarter, so it's up Rs. 20,000 crore quarter -on-quarter, which is higher than the PAT. So, is that the AFS mark to market that's happened?

Anindya Banerjee:
One of the main items this quarter would be the issue of shares, the recording of the additional investment in ISec. So , we would have issued shares to the minority shareholders of ISec that would have, while it's capital neutral , it would have increased

the net -worth by a substantial amount. That would be the biggest item.

Param Subramanian:
Okay, not as much as that. Secondly, broadly the outlook on CASA, right? So , over the last year, the CASA ratio for the Bank is almost flat YoY, which is a great outcome given the context. But if you compare with, say, the pre -covid period, CASA used to be 48%, 49%, we are lower. And we are looking at, like you pointed out, a very accommodative RBI on liquidity. Do you think this has legs to go up going ahead, seeing the scenario as it is building up, say, from a macro perspective?

Anindya Banerjee:
Yes, I think that we basically have to look at the total quantum and cost of funding that is available to us. And that should be superior to our competitors because CASA trends will not vary very widely across the large banks. So , that is the right way to look at it rather than , I think , too much about what is going to be the CASA growth for us. I think we have to really look at what is the total quantum of funding and the cost of that funding and its deployab ility because very volatile CASA may not help also and its deployability and really lo ok at it from that perspective, which is what we do. And not really, we wouldn't have a specific outlook on CASA per se.

Param Subramanian:
Okay. Would you think that the worst of the CASA pressures for yourself and the sector are largely behind?

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Anindya Banerjee:
Logically, that should be so.

Param Subramanian:
Okay, perfect. Thanks, Anindya. All the best. Thank you.

Moderator:
Thank you. The next question is from the line of Piran from CLSA. Please go ahead.

Piran:
Hi team, congrats on the quarter. Firstly, just on the previous question of Param, why do you say that the CASA pressure is over? Sorry, I missed that.

Anindya Banerjee:
I said logically that should be so given the monetary easing, the improvement in system liquidity and to the extent that it was a factor, the sort of some calm in capital markets, but it's something we will have to see as we go ahead.

Piran:
Okay, okay, that's the reason. Just moving on to my questions, firstly on vehicle growth

slowdown, how do we really interpret this? Is this just a function of more competition at the counter or are you all intentionally scaling back due to asset quality or pricing or is it just something else?

Anindya Banerjee:
I think it's more the underlying demand and maybe at the margin a little bit on the pricing side, nothing on asset quality per se.

Piran:
Okay. And Anindya, just on cost of deposit, it was inching up 2 -3 bps a quarter, which was understandable. This quarter's up almost 10 bps and the CASA ratio probably, or the drop in CASA ratio explains maybe 2 -3 bps of that. What explains the rest?



Anindya Banerjee:
Yes, it would be partly a number of days.

Piran:
Okay. And just my last question, out of your buildup portfolio of Rs. 60,000 crores, how much would be LRD?

Anindya Banerjee:
We have not given that breakup. There will be some component of LRD there.

Piran:
But would it be significant or more minor?

Anindya Banerjee:
I don't think it'll be minor, but we have not given the breakup. I mean, it'll be a reasonable number.

Piran:
Okay, fair enough. That's all from my end. And if I could just squeeze in one humble suggestion, if we could move our calls and our results releases to either a weekday or a Saturday morning, it would be great. You know, times like this when it's literally clashing and in a minute, we've got an HDFC Bank call, it doesn't do justice to either of the banks. So, if you could take that suggestion, it would be great. Yes, I'm done. Thank you.

Moderator:
Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Anindya Banerjee:
Thank you everyone and we w

ill be happy to take any other questions offline. Thank you.



Moderator:
On behalf of ICICI Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: Jul 2025

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ICICI Bank Limited
Earnings conference call - Quarter ended June 30, 202 5 (Q1-2026)
July 19, 202 5

Certain definitions in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward -looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Such forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward - looking statements. These risks and uncertainties include, but are not limited to statutory and regulatory changes, international economic and business conditions, political or economic instability in the jurisdictions where we have operations or which affect global or Indian economic conditions, increase in nonperforming loans, unanticipated changes in interest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India's sovereign rating, as well as other risks detailed in the reports filed by us with the United States Securities and Exchange Commission. Any forward -looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward -looking statements to reflect events o r circumstances after the date thereof. Additional risks that could affect our future operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov .

This release does not constitute an offer of securities.

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Moderator:
Ladies and gentlemen, good day and welcome to ICICI Bank Limited Q 1-FY2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '* ' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Bakhshi, Managing Director and CEO of ICICI Bank. Thank you and over to you sir.

Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q1 of FY202 6. Joining us today on this call are Sandeep Batra, Rakesh , Ajay, Anindya and Abhinek .

At ICICI Bank, o ur strategic focus continues to be on growing profit before tax excluding treasury through the 360-degree customer centric approach and by serving opportu nities across ecosystems and micromarkets . We continue to operate within the framework of our values to strengthen our franchise.
Maintain ing high standards of governance, deepening coverage and enhancing deliver y capabilities with a focus on simplicity and operational resilience , are key drivers for our risk calibrated profitable growth .

The profit before tax excluding treasury grew by 11.4% year -on-year to 156.90 billion Rupees in this quarter. The core operating profit increased by 13.6% year - on-year to 175.05 billion Rupees in this quarter. The profit after tax grew by

15.5% year -on-year to 127.68 billion Rupees in this quarter.

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Total deposits grew by 12.8 % year -on-year and were flat sequentially at June 30 , 2025. During the quarter, average deposits grew by 11.2 % year -on-year and 3.1% sequentially and a verage current and savings account deposits grew by 8.7% year -on-year and 3.9% sequentially. The Bank's averag

e liquidity coverage
ratio for the quarter was about 128%.

The domestic loan portfolio grew by 12.0 % year -on-year and 1.5% sequentially at June 30, 202 5. The retail loan portfolio grew by 6.9% year -on-year and 0.5% sequentially. Including non -fund based outstanding, the retail portfolio was 43.2% of the total portfolio. The rural portfolio declined by 0.4% year -on-year and 1.5% sequentially. The business banking portfolio grew by 29.7% year -on-year and 3.7% sequentially. The domestic corporate portfolio grew by 7.5% year -on-year and declined by 1.4% sequentially . The overall loan portfolio including the international branches portfolio grew by 11.5 % year -on-year and 1.7% sequentially at June 30, 2025 . The overseas loan portfolio was about 2.4% of the overall loan book at June 30, 2025.

The net NPA ratio was 0.41% at June 30, 2025 compared to 0.43% at June 30 , 2024. During the quarter, there were net additions of 30.34 billion Rupees to gross NPAs, excluding write -offs and sale. The total provisions during the quarter were 18.15 billion Rupees or 10.4% of core operating profit and 0.53% of average advances. The provisioning coverage ratio on non-performing loans was 75.3% at June 30, 2025 . In addition, t he Bank continues to hold contingency provisions of 131.00 billion Rupees or about 1.0% of total advances at June 30, 2025 .

The capital position of the Bank continued to be strong with a CET -1 ratio of 16.31 % and total capital adequacy ratio of 16.97 % at June 30, 2025 , including profits for Q1 of FY2026 .

Looking ahead, we see many opportunities to drive risk calibrated profitable growth and grow market share across key segments . We remain focused on
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maintaining a strong balance sheet, prudent provisioning and healthy levels of capital while delivering sustainable and predictable returns to our shareholders.

I now hand the call over to Anindya .

Anindya 's opening remarks

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details and the performance of subsidiaries.

A. Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 10.3% year -on-year and 1.9% sequentially. A uto loans grew by 2.2% year -on-year and declined by 0.7% sequentially. The commercial vehicles and equipment portfolio grew by 5.9% year -on-year and 1.1% sequentially. Personal loans grew by 1.4% year -on-year and declined by 1.3% sequentially . The c redit card portfolio grew by 1.5% year -on-year and declined by 5.4% seque ntially. The personal loans and credit card portfolio were 8.8 % and 4.0% of the overall loan book respectively at June 30, 2025 .

Within the corporate portfolio:

• The total outstanding to NBFCs and HFCs was 874.17 billion Rupees at June 30, 2025 compared to 918.38 billion Rupees at March 31, 2025. The total outstanding loans to NBFCs and HFCs were about 6.4% of our advances at June 30, 2025.

• The builder portfolio including construction finance, lease rental discounting,

term loans and working capital was 628.33 billion Rupees at June 30, 2025
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compared to 616.24 billion Rupees at March 31, 2025. The builder portfolio was about 4.6% of our total loan portfolio. Our portfolio largely comprises well-established builders and this is also reflected in the sequential increase in the portfolio. About 1 .9% of the builder portfolio at June 30, 2025 was either rated BB and below internally or was classified as non -performing.

B. Credit quality

The gross NPA additions were 62.4 5 billion Rupees in the current quarter compared to 59.16 billion Rupees in Q1 of last year . There were gross NPA additions of about 7.67 billion Rupees from the kisan credit card portfolio in the current quarter. We typically see higher NPA additions from the kisan credit card portfolio in the first and third quarter of

a fiscal year. Recoveries and upgrades
from gross NPAs, excluding write -offs and sale, were 32.11 billion Rupees in the current quarter compared to 32.92 billion Rupees in Q1 of last year . The net additions to gross NPAs were 30.34 billion Rupees in the current quarter compared to 26.24 billion Rupees in Q1 of last year .

The gross NPA additions from the retail and rural portfolio s were 51.9 3 billion Rupees in the current quarter compared to 52.04 billion Rupees in Q1 of last year . These include the KCC NPAs mentioned earlier . Recoveries and upgrades from the retail and rural portfolio s were 25.2 5 billion Rupees in the current quarter compared to 25.32 billion Rupees in Q1 of last year . The net additions to gross NPAs in the retail and rural portfolios were 26.6 8 billion Rupees in the current quarter compared to 26.72 billion Rupees in Q1 of last year .

The gross NPA additions from the corporate and business banking portfolios were 10.52 billion Rupees in the current quarter compared to 7.12 billion Rupees in Q1 of last year . Recoveries and upgrades from the corporate and business banking portfolios were 6.86 billion Rupees in the current quarter compared to 7.60 Rupees in Q1 of last year . There were net additions to gross NPAs of 3.66
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billion Rupees in the current quarter in the corporate and business banking portfolios compared to net deletions of 0.48 billion Rupees in Q1 of last year .

The gross NPAs written -off during the quarter were 23.59 billion Rupees. Further, there was sale of NPAs of 1.08 billion Rupees in the current quarter compared to 1.14 billion Rupees in Q1 of last year . The sale of NPA includes about 0.60 billion Rupees in cash in the current quarter .

The non -fund based outstanding to borrowers classified as non -performing was 32.98 billion Rupees as of June 30, 2025 compared to 30.75 billion Rupees as of March 31, 2025 and 35.43 billion Rupees as of June 30, 2024 .

The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 17.88 billion Rup ees or about 0.1% of the total loan portfolio at June 30, 2025 from 19.56 billion Rupees at March 31, 2025 and 27.35 billion Rupees at June 30, 2024 . Of the total fund based outstanding under resolution at June 30, 2025 , 16.22 billion Rupees was from the retail and rural portfolios and 1.66 billion Rupees was from the corporate and business banking portfolios.

The loans and non -fund based outstanding to performing corporate borrowers rated BB and below were 29.95 billion Rupees at June 30, 2025 compared to 28.54 billion Rupees at March 31, 2025 and 41.64 billion Rupees at June 30, 2024. This portfolio was about 0.2% of our advances at June 30, 2025. Other than two accounts, the maximum single borrower outstanding in the BB and below portfolio was less than 5.00 billion Rupees at June 30, 2025.

At the end of June , the total provisions, other than specific provisions on fund - based outstanding to borrowers classified as non -performing, were 226.64 billion Rupees or 1.7% of loans . This includes the contingency provisions of 131.00 billion Rupees as well as general provision on standard assets, provisions held for non

fund based outstanding to borrowers classified as non performing, fund and non -
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fund based outstanding to standard borrowers under resolution and the BB and below portfolio.
Moving on to the P&L details:

C. P&L d etails

Net interest income increased by 10.6% year -on-year to 216. 35 billion Rupees in this quarter . The net interest margin was 4.34 % in this quarter compared to 4.41% in the previous quarter and 4.36 % in Q1 of last yea r. From Q1 -2026, the Bank has changed its convention of computation of NIM and other return ratios from actual number of days to number of months . While the full year NIM would remain unchanged, the revised convention el

iminates the quarter -to-quarter volatility in
NIM computation due to difference in the number of days . This impact on reported ratios in this quarter was negligible. The impact of interest on tax refund was about 7 basis points in the current quarter compared to about 2 basis points in the previous quarter and nil in Q1 of last year.

Of the total domestic loans, interest rates on about 53% of the loans are linked to the repo rate, 15% to MCLR and other older benchmarks and 1% to other external benchmarks. The remaining 31% of loans have fixed interest rates. In comparison to the first quarter, the impact of transmission of repo rate cuts on external benchmark linked loans is expected to be higher in the second quarter. This impact would be partially set off by reduction in saving s' account interest rates in May and June and gradual repricing of term deposits .

The domestic NIM was 4.40% in this quarter compared to 4.48% in the previous quarter and 4.44 % in Q1 of last year . The cost of deposits was 4.85 % in this quarter compared to 5.00 % in the previous quarter and 4.84% in Q1 of last year .

Non-interest inco me, excluding treasury, grew by 13.7% year -on-year to 72.64 billion Rupees in Q1 of FY2026.

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• Fee income increased by 7.5% year -on-year to 59.00 billion Rupees in this quarter . Fees from retail, rural and business banking customers constituted about 79% of the total fees in this quarter .

• Dividend income from subsidiaries was 13.36 billion Rupees in this quarter compared to 8.94 billion Rupees in Q1 of last year. The year -on-year increase in dividend income was primarily due to higher dividend from ICICI Securities , ICICI Prudential Asset Management and ICICI Lombard General Insurance and receipt of dividend from ICICI Securities Primary Dealership in the current quarter compared to Q2 of last year .

On Costs: The Bank's operating expenses increased by 8.2% year -on-year in this quarter compared to 8.3% in FY2025 . Employee expenses increased by 8.5% year -on-year in this quarter, reflecting mainly the impact of annual increments and promotions that take place during the first quarter of every fiscal year. Non-employee expenses increased by 8.0% year -on-year in this quarter . Our branch count has increased by 83 in the first quarter . We had 7,066 branches as of June 30, 2025 . The technology expenses were about 1 0.7% of our operating expenses in this quarter. We continue to enhance the use of technology in our operations to provide simplified solutions to customers and make investments in our digital channels. We continue to further strengthen system resilience and simplify our processes.

The total provisions during the quarter were 18.15 billion Rupees as compared to the provisions of 13.32 billion Rupees in Q1 of last year. Provisions in Q1 of last year include d the impact of release of AIF related provisions of 3.89 billion Rupees.

The provisions during the quarter were 10. 4% of core operating profit and 0.5 3% of average advances. Adjusting for the seasonality of KCC provisioning which

occurs only in Q1 and Q3, the credit cost to advances would be about 50 b asis points.
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The profit before tax excluding treasury grew by 11.4% year -on-year to 156.90 billion Rupees in Q 1 of this year .

Treasury gain s were 12.41 billion Rupees in Q1 of current year as compared to 6.13 billion Rupees in Q1 of the previous year , primarily reflecting realised and mark -to-market gains in fixed income securities and equities .

The tax expense was 41.63 billion Rupees in this quarter compared to 36.34 billion Rupees in the corresponding quarter last year. The profit after tax grew by 15.5% year -on-year to 127.68 billion Rupees in this quarter .

D. Consolidated results
The consolidated profit after tax grew by 15.9 % year -on-year to 135.58 billion Rupees in this quarter.

The details

of the financial performance of key subsidiaries are covered in slides 34 to 35 and 54 to 59 in th e investor presentation.

The annualis ed premium equivalent of ICICI Life was 18.64 billion Rupees in Q1-2026 compared to 19.63 billion Rupees in Q1-2025 . The value of new business was 4.57 billion Rupees in Q1-2026 compared to 4.72 billion Rupees in Q1-2025 . The value of new business margin was 24.5 % in Q1-2026 compared to 22.8 % in FY2025 . The profit after tax of ICICI Life was 3.02 billion Rupees in Q1-2026 compared to 2.25 billion Rupees in Q1-2025 .

Gross Direct Premium Income of ICICI General increased to 77.35 billion Rupees in Q1-2026 from 76.88 billion Rupees in Q1-2025 . The combined ratio stood at 102.9 % in Q1-2026 compared to 10 2.3% in Q1-2025 . The profit after tax increased to 7.47 billion Rupees in this quarter from 5.80 billion Rupees in Q 1 of last year. With effect from October 1, 2024, long -term products are accounted on
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1/n basis, as mandated by IRDAI, hence Q1 numbers are not fully comparable with prior periods.

The profit after tax of ICICI AMC , as per Ind AS was 7.82 billion Rupees in this quarter .

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 3.91 billion Rupees in this quarter compared to 5.27 billion Rupees in Q1 of last year.

ICICI Bank Canada had a profit after tax of 7.8 million Canadian dollars in this quarter compared to 20.3 million Canadian dollars in Q1 last year .

ICICI Bank UK had a profit after tax of 5.9 million US dollars in this quarter compared to 7.7 million US dollars in Q1 of last year .

As per Ind AS, ICICI Home Finance had a profit after tax of 2.14 billion Rupees in the current quarter compared to 1.17 billion Rupees in Q1 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.

Moderator:
Thank you very much. We will now begin with the question and answer session. The first question is from the line of Mahrukh Adajania from Nuvama Wealth. Please go ahead.

Mahrukh Adajania:
My first question was on margins regarding the change in method. Now fourth quarter is the quarter where you see the biggest positive impact of the old method. So your margin decline even adjusted for the interest on tax refund

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appears to be just four to five basis points. Is that a correct assessment? That is my first question. Or if you could give a like -to-like comparison of margins for the fourth quarter, that would be even better. And then my second question is on growth bec ause that is an obvious challenge for the sector and nothing seems to be growing much other than low yield corporate loans . In home loans, there is intense competition. When do you see growth reviving and where do you see ICICI's loan growth to settle ? Would mid -teens still be possible? Yes. Those are my questions.

Anindya Banerjee:
Thanks, Mahrukh. On the first one, yes, the reported margin for Q4 would have been a few basis points lower. So, the kind of range that you spoke of is probably correct. But equally, the same Q3 to Q4 spike will not happen in the current year. We will have a more even spread of reported margin through the year.

On the growth side, I think as you know, in the first quarter , there have been a number of global events, etc., which I guess had some impact on the sentiment. But the substantial monetary easing that has taken place starting from Q4 particularly and carry ing through into Q1, will also have some positive impact hopefully as we go along. So, I think it is too early to say. We will have to wait for another quarter to really form a view about how it is going to go.

Mahrukh Adajania:
Okay. Thanks a lot.

Moderator:
We will take our next question from the line of Kunal Shah from Citigroup. Please go ahead.

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Kunal Shah:
So, sorry again to tou

ch upon on margin. Fair to say maybe the unwinding which
was expected to come in the first q uarter , maybe because of this day benefit that would not have been there in this particular quarter. Otherwise, any which way was like we are comparing 4.41 % to 4.34 %. So, maybe like four -five basis points of unwinding is not really there in this quarter and thereafter maybe adjusting for interest on income tax refund, we have seen like 14 bps kind of a decline in NIMs on a quarter -on-quarter basis. Would that be correct?

Anindya Banerjee:
No, that would not be correct because there is no unwinding in the first quarter . NIM typically declines from Q4 to Q1 because of the higher number of days in Q1 and then there is a pickup again in Q4. So, the Q4 NIM, if we had used an equal month basis would have been lower than the reported number of 4.41%. But I think that is why e ven in our previous calls we have focused attention on the previous year's full year NIM of 4.3% as the anchor for further discussion. But we thought that it would also be good to eliminate that one confusion point.

Kunal Shah:
Yes. So, the only thing was maybe unwinding I just meant to say that the benefit which was there in the fourth quarter that have been relatively lower in the first quarter by say four -five basis points, which goes away, which is not there in the computation now?

Anindya Banerjee:
No. If you look at , for example , the reported margins for this year and on the new basis and Q1 last year on the old basis are almost the same. There is no real impact. That impact largely comes later in the year. So, the first q uarter is not impacted at all. If you are looking at a sequential analysis, then on a like -to-like basis, the reported margin for Q4 would have been a little bit lower.

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Kunal Shah:
Yes. So, would that have been like eight -nine basis points, how much it would

have been lower?

Anindya Banerjee:
I think I answered that. The range that Mahrukh quoted was probably the correct range.

Kunal Shah:
Okay. Got it. Perfect. Yes. And secondly, with respect to the credit cost, so we have been indicating that it would normalize in a gradual manner. This quarter would have KCC slippages. But ex cluding that when we look at the credit cost, so would we say like now we have reached or maybe there is a further normal graduali sation, which has still to happen from the current levels adjusting for KCC? Because we are already seeing like 50, there would be some impact of KCC. So, do we expect further normalization ? Or maybe this is more like clean credit cost, which we are seeing now?

Anindya Banerjee:
I think we have always said that currently , the underlying level would be more like about 50 basis points. Can that inch up? It could, but I don't see any major movement.

Kunal Shah:
Okay. Got it. Thanks. Yes.

Moderator:
Next question is from the line of Harsh Modi from JP Morgan. Please go ahead.



Harsh Modi:
A couple of questions. First is, if I see your mix on corporate creditors, the AA - mix has been reducing over the last few years and BBB - has been increasing. Is that the sweet spot on RORWA, that 's why you are doing it? And any risks around that? That is the first one.

The second one is on business banking. Very good numbers. What went right? And going forward, if you think about the mix of credit growth over the next , let's say, a couple of years, where should we see the incremental delta coming from ? Any granularity you can provide would be great.

Anindya Banerjee:
So, on the first question, I think the decline in the proportion of the very high rated is partly a function of demand and partly a function of pricing. And in some cases, we may have in earlier periods of very easy liquidity built up some portfolio there and that has gradually run off as the funding environment got tighter. Currently, of course , as you

would know that overall credit growth itself has come down.
And in this particular segment, there is fairly high price competition. So, we would really look at this segment as we look at all the other corporate borrowers from a Customer 360 perspective and look at the totality of our relationship with the borrower. And in that context, if lending makes sense, we would do it.

As far as the increase in the proportion, I think we are comfortable with the entire A bucket. So, to answer your question, that is probably the segment where you do have the right balance of risk -reward, although we have competition in those segments also. I think on the lower -rated origination in BBB and below , we have fairly tight controls and limits on how we approach that segment and it is quite calibrated. So, overall, I think the reduction in the proportion of the high rated is really a function of d emand and pricing.



On your second question on business banking, I think we have spoken about it in the past couple of calls. To keep it short, I would say it 's a combination of distribution, process and technology, the digital interfaces and capabilities that we offer to the customers and also a fairly tight focus on monitoring of the credit and managing the portfolio in a disciplined way.

The last part of your question was around mix going forward. I think basis the visibility and the market share opportunity, one would expect the business banking piece to grow faster than the overall loan book and therefore that proportion should gradually go up.

Harsh Modi:
Right. And one more is on the liability side. It seems you have been gaining market share on CASA deposits nationwide . Now with rate cuts, how do you see behavio ur changing , any early signs of higher degree of competition, more preponderance of sweep accounts and so on and so forth? So, do you see market share stabilizing or you still see CASA market share growing for the Bank over the next, let us say, 12 months period?

Anindya Banerjee:
So, the current account is purely the result of presence in the transaction flows of corporates, businesses, capital markets players and so on. The savings account is the result of being sort of the primary bank or the transacting bank of the retail customer. And that is how money comes in, goes out and some level of float stays in those accounts. I do not think that there is any particular change in the competitive scenario. If you see in the quarter, I think rate actions taken by all t he large banks have been more or less in the same line given the decline in the overall interest rates and the policy environment. And we would continue to focus on this segment through increasing customer acquisition, increasing our share of the customers' wallet and trying to become the primary banker. So, we would hope that we will continue to do reasonably well.

Moderator:
Next question is from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal:
Congrats on another set of good numbers. I have three questions. One is around the decline in cost of deposits that we have reported in the quarter. So, it seems fairly sharp 15 basis points decline. So, is it like the unwinding that we have done in respect to the high cost deposits that has resulted in this kind of decline and has it played out fully or this will continue along with the SA cut benefits in Q2 also?

Anindya Banerjee:
There is no unwinding. As I said, the impact of the equal month convention on the reported NIM for the quarter and other ratios for the quarter is negligible. So, as far as the decline in deposit s cost, it is clearly the reduction in the savings account deposit rate, large part of it was 25 basis points that was there in April, the benefit of that has been there for pretty much the full quarter. And then on the higher value deposits, there was another cut in May, which also helped. In addi

tion, of course, for the retail term deposit s also gradually, the incremental rates repricing would reflect. Plus during the quarter, we saw a reasonable reduction in our wholesale deposit book given the continued strong growth in CASA and retail term deposits and the high liquidity that we were runn ing. The runoff of the wholesale deposit book also helped in the funding cost.

Nitin Aggarwal:
Yes. Actually I was referring to the wholesale deposit unwinding that we have done. So, the benefit of that has played out fully in this quarter or do you expect that to continue?


Anindya Banerjee:
It is difficult to really say. We have not been aggressively raising wholesale deposits. So, as I said in the opening remarks, we would continue to see a gradual benefit of deposit s cost repricing in Q2. But there will also be a higher impact of the 50 bps repo cut of June.

Nitin Aggarwal:
Right. And second question, Anindya, is around the unsecured retail growth. So, how are we looking at that segment? Because while we have been able to deliver

healthy growth, but because of the systemic softness in the overall credit demand, the overall growth has come down as well. And our unsecured retail segments have not been able to contribute as you know. So, how are we seeing at those segments given the asset quality has seen some stabili sation . So how do we look at those segments in terms of their c ontribution going forward?

Anindya Banerjee:
We can do more on both personal loans and credit cards. In personal loans, I think as we may have commented in the past, we are quite comfortable with the quality of origination done over the last 12 to 15 months. So, I think we can see volumes pick up and see some better growth there. And similarly, on cards also going forward, maybe some better customer acquisition is also something we can see. So, I think we are quite focused on both the segments. We could do better there than what we have done in Q1.

Nitin Aggarwal:
Right. And lastly, on the business banking, that is a segment which has been growing very well for us and very good yields. But how do you really ensure that we don't go on to see some challenges in respect to asset quality because the kind of growth on a very decent base that the segment is at now, so how do we ensure that we do n't get into sort of asset quality challenges in the segment ? Any tightening that we have done in the recent quarters? So, we have talked about

the underwriting being tightened in the past. Are we looking at this on a continuous basis as the environment is getting tougher around some of these segments?

Anindya Banerjee:
As I said, we monitor the portfolio continuously. Just to put the numbers in context, if you look at the gross NPA additions to the corporate and business banking portfolios in the quarter were about 10 billion Rupees on an aggregate portfolio of about 5.6 trillion. The business banking portfolio alone is now about 2.7 trillion. So, I think the current sort of credit behavio ur and asset quality is extremely benign. And we will probably see some increase going forward, but credit costs today are negligible. So, they may go up slightly. But the portfolio is granular and tightly monitored.

Nitin Aggarwal:
Right. Thanks, Anindya. This is really helpful.

Moderator:
We will take our next question from the line of MB Mahesh from Kotak Securities. Please go ahead.

MB Mahesh:
Anindya, on this question on margins, just on the yield side, with the drop of 25 basis points that you have seen, is it possible to kind of quantify how much of the repo rate cuts have flown through the loan book?

Anindya Banerjee:
We have not quantified it. If you look at the February cut, I think it would have largely flown through almost entirely. The April cut also would have substantially flown through. Maybe we have a little bit more to happen in Q 2. The June cut

, I
would say has not flown through much and most of that will come through in Q2.

MB Mahesh:
Sorry, just to answer the previous question, you said that the bulk of the benefit on the cost of deposit side has come from the savings account given that the contribution of wholesale is fairly small?

Anindya Banerjee:
That is just computable, 25 bps cut on the portfolio that would have yielded a reasonable benefit.

MB Mahesh:

And the second question is on the demand environment. When you say that you are ready to accelerate, portfolio is good, is it a question of demand being an issue on the ground or is it a problem with pricing?

Anindya Banerjee:
I think maybe there is some pricing, but probably we also need to focus a little more on the distribution and the throughput. I would not say that in some of these segments, it is purely demand , if you are talking about PL and cards. In other segments, of course, overall loan growth in the system is what it is. So that reflects some softness in demand.

MB Mahesh:
Perfect. And last one question. Are you allowed to restructure any standard assets let's say, in a default book in the SMA -0, 1 and 2, are you allowed to restructure it and classify it as standard?

Anindya Banerjee:
No.


MB Mahesh:
Okay. Thank you.

Moderator:
Next question is from the line of Piran Engineer from CLSA.

Piran Engineer:
Congrats on the quarter. Just firstly a couple of clarifications on previous question. So, Nitin's question on 15 bps reduction in cost of deposits , that also includes the number of days thing, right ? Like core deposit cost would not have gone down 15 bps, correct QoQ?

Anindya Banerjee:
As I said, the margins for the first q uarter on both basis , there would be a negligible difference, which is what we have mentioned in our opening remarks. Relative to the fourth quarter, the decline in margins would have been somewhat lower on a comparable basis.

Piran Engineer:
But then, Anindya, how do I think about it in the context of you versus peers where your margins are down, say, 5-6 bps, core NIM . HDFC, Axis are down 12 -13 bps. Is it just a more delayed pass -through of the repo rate cuts, is that how I should simplistically put it? Because all of you all have cut SA rates at approximately the same time and by the same amount.

Anindya Banerjee:
I cannot really comment on others. I think , to begin with , we have been always saying that we have to look at the full year margin of last year of 4.3% and the repo rate cut and the lagged repricing of deposits will create some pressure on that. In the first q uarter , I think we had the upfront benefit of the savings deposit rate cut, and we also had 6-7 basis points of the benefit of interest on income tax

refund. As we go into Q2, the full impact of the 50 bps repo cut of June will come into effect. We will also have some continuing repricing of term deposits as well as the benefit of the savings rate cut that happened in May and June. And then in Q3, I guess , unless there is any change in the policy stance, the benefit of the CRR cut will also kick in.

Piran Engineer:
Okay. That is helpful. Just secondly, if I have to compare retail term deposits today versus wholesale term deposits today and even adjusted for the outflow rate and the LCR competition, would wholesale rates be similar to TD rates now or lower?

Anindya Banerjee:
No, lower. They would be lower.

Piran Engineer:
It will be lower, right? So, then why are we trimming wholesale deposits when it is lower? That is what I look at.

Anindya Banerjee:
I think it is a function of the overall liquidity that we are carrying if you look at the CASA and the term deposits. What has gone down is the deposits that were raised in the past at higher rates. If we get deposits at the rates we are quoting now, we wi ll take them.

Piran Engineer:
Lastly

on vehicle loans , I mean, our growth has gone down to 2% -3%, of course, demand has slowed down , there is no doubt about it. But it’s not slowed down so much also. Is this more a function of us just being cautious on pricing and that ’s why we are choosing not to grow here?

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Anindya Banerjee:
So, the price competition has always been a part of it and of course, the underlying asset class also is not growing at that pace.

Piran Engineer:
Okay, Got it. Thank you.

Moderator:
Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Anindya Banerjee:
Thank you very much for taking time on a Saturday, and we are happy to clear any other doubts offline. Thank you.

Moderator:
Thank you. On behalf of ICICI Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Oct 2025

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ICICI Bank Limited
Earnings conference call - Quarter ended Septem ber 30, 2025 (Q 2-2026)
October 18 , 2025

Certain definitions in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward -looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Such forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward - looking statements. These risks and uncertainties include, but are not limited to statutory and regulatory changes, international economic and business conditions, political or economic instability in the jurisdictions where we have operations or which affect global or Indian economic conditions, increase in nonperforming loans, unanticipated changes in interest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India's sovereign rating, as well as other risks detailed in the reports filed by us with the United States Securities and Exchange Commission. Any forward -looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward -looking statements to reflect events o r circumstances after the date thereof. Additional risks that could affect our future operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov .

This release does not constitute an offer of securities.

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Moderator:
Ladies and gentlemen, good day and welcome to ICICI Bank Limited Q2 -FY2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing " *" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Bakhshi – Managing Director and Chief Executive Officer of ICICI Bank. Thank you, and over to you, sir.

Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q2 of FY202 6. Joining us today on this call are Sandeep Batra, Rakesh , Ajay, Anindya and Abhinek .
At ICICI Bank, o ur strategic focus continues to be on growing profit before tax excluding treasury through the 360-degree customer centric approach and by serving opportu nities across ecosystems and micromarkets . We continue to operate within the framework of our values to strengthen our franchise.
Maintain ing high standards of governance, deepening coverage and enhancing deliver y capabilities with a focus on simplicity and operational resilience , are key drivers for our risk calibrated profitable growth .

The profit before tax excluding treasury grew by 9.1% year -on-year to 161.64 billion Rupees in this quarter. The core operating profit increased by 6.5% year - on-year to 170. 78 billion Rupees in this quarter. The profit after tax grew by 5.2% year -on-year to 123.59 billion Rupees in this quarter.

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Average deposits grew by 9.1% year -on-year and 1.6% sequentially and a verage current and savings account deposits grew by 9.7% year -on-year and 2.7% sequentially in this quarter . Total deposits grew by 7.7% year -on-year and 0.3% sequentially at September

30, 2025 . The Bank's average liquidity coverage ratio for the quarter was about 127%.

The domestic loan portfolio grew by 10.6% year -on-year . The quarter -on-quarter growth in domestic loan portfolio was 3.3% at September 30, 2025 compared to 1.5% at June 30, 2025. The retail loan portfolio grew by 6.6% year -on-year and 2.6% sequentially. Including non -fund based outstanding, the retail portfolio was 42.9 % of the total portfolio. The rural portfolio declined by 1.3% year -on-year and grew by 0.8% sequentially. The business banking portfolio grew by 24.8% year -on-year and 6.5% sequentially. The domestic corporate portfolio grew by 3.5% year -on-year and 1.0% sequentially . The overall loan portfolio including the international branches portfolio grew by 10.3 % year -on-year and 3.2% sequentially at September 30, 2025 . The overseas loan portfolio was 2.3% of the overall loan book at September 30, 2025 .

The net NPA ratio was 0.39 % at September 30, 2025 compared to 0.41% at June 30, 2025 and 0.42 % at September 30, 202 4. During the quarter, there were net additions of 13.86 billion Rupees to gross NPAs, excluding write -offs and sale. The total provisions during the quarter were 9.14 billion Rupees or 5.4% of core operating profit and 0.26% of average advances. The provisioning coverage ratio on non-performing loans was 75.0 % at September 30, 2025 . In addition, t he Bank continues to hold contingency provisions of 131.00 billion Rupees or about 0.9% of total advances at September 30, 2025 .

The capital position of the Bank continued to be strong with a CET -1 ratio of 16.35% and total capital adequacy ratio of 17.00% at September 30, 2025 , including profits for H1-2026 .

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Looking ahead, we see many opportunities to drive risk calibrated profitable growth and grow market share across key segments . We remain focused on maintaining a strong balance sheet, prudent provisioning and healthy levels of capital while delivering sustainable and predictable returns to our shareholders.

I now hand the call over to Anindya .

Anindya 's opening remarks

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details and the performance of subsidiaries.

A. Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 9.9% year -on-year and 2.8% sequentially. A uto loans grew by 1.4% year -on-year and remained flat sequentially. The commercial vehicles and equipment portfolio grew by 6.4% year -on-year and 0.5% sequentially. Personal loans declined by 0.7% year -on-year and grew by 1.4% sequentially . The c redit card portfolio grew by 6.4% year -on-year and 8.4% sequentially.

Within the corporate portfolio:

• The total outstanding to NBFCs and HFCs was 794.33 billion Rupees at September 30, 2025 compared to 874.17 billion Rupees at June 30, 2025 . The total outstanding loans to NBFCs and HFCs were about 4.4% of our advances at September 30, 2025.

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• The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 635.8 3 billion Rupees at September 30, 2025 compared to 628.33 billion Rupees at June 30 , 2025 . The builder loan portfolio was 4.1% of our total loan portfolio. Our portfolio largely comprises well-established builders and this is also reflected in the sequential increase in the portfolio. About 1.3% of the builder portfolio at September 30, 2025 was either rated BB and below internally or was classified as non - performing.

B. Credit quality

The gross NPA additions were 50.34 billion Rupees in the current quarter compared to 62.45 billion Rupees in the previous quarter and 50. 73 billion Rupees in Q2 of last year . Recoveries and upgrades from gross NPAs, excluding write - offs and sale, were 36.48 billion Rupees in the current quarte

r compared to 32.11 billion Rupees in the previous quarter and 33.19 billion Rupees in Q2 of last year . The net additions to gross NPAs were 13.86 billion Rupees in the current quarter compared to 30.34 billion Rupees in the previous quarter and 17.54 billion Rupees in Q2 of last year .

The gross NPA additions from the retail and rural portfolio s were 40.49 billion Rupees in the current quarter compared to 51.93 billion Rupees in the previous quarter and 43.41 billion Rupees in Q2 of last year . We typically see higher NPA additions from the kisan credit card portfolio in the first and third quarter of a fiscal year. Recoveries and upgrades from the retail and rural portfolio s were 26.10 billion Rupees in the current quarter compared to 25.25 billion Rupees in the previous quarter and 25.92 billion Rupees in Q2 of last year . The net additions to gross NPAs in the retail and rural portfolios were 14.39 billion Rupees in the current quarter compared to 26.68 billion Rupees in the previous quarter and 17.49 billion Rupees in Q2 of last year .

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The gross NPA additions from the corporate and business banking portfolios were 9.85 billion Rupees in the current quarter compared to 10.52 billion Rupees in the previous quarter and 7.32 bi llion Rupees in Q2 of last year . Recoveries and upgrades from the corporate and business banking portfolios were 10.38 billion Rupees in the current quarter compared to 6.86 Rupees in the previous quarter and 7.27 billion Rupees in Q2 of last year . There were net deletions of gross NPAs of 0.53 billion Rupees in the current quarter in the corporate and business banking portfolios compared to net additions of 3.66 billion Rupees in the previous quarter and 0.05 billion Rupees in Q2 of last year .

The gross NPAs written -off during the quarter were 22.6 3 billion Rupees. Further, there was sale of NPAs of 0.06 billion Rupees mainly for cash in the current quarter.

The non -fund based outstanding to borrowers classified as non -performing declined to 23.22 billion Rupees as of September 30, 2025 from 32.98 billion Rupees as of June 30, 2025 and 33.82 billion Rupees as of September 30, 2024.

The loans and non -fund based outstanding to performing corporate borrowers rated BB and below increased to 36.61 billion Rupees at September 30, 2025 from 29.95 billion Rupees at June 30, 2025 and 33.86 billion Rupees at September 30, 2024. This portfolio was about 0.3% of our advances at September 30, 2025. The increase during the quarter was due to upgrade of certain borrowers having non-fund outstanding from non -performing to performing status.

The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 16.24 billion Rupees or about 0.1% of the total loan portfolio at September 30, 2025 from 17.88 billion Rupees at June 30, 2025 and 25.46 bill ion Rupees at September 30, 2024. Of the total fund based outstanding under resolution at September 30, 2025, 14.84 billion Rupees was from the retail and rural portfolios and 1.40 billion Rupees was from the corporate and business banking portfolios.

At the end of September , the total provisions, other than specific provisions on fund -based outstanding to borrowers classified as non -performing, were 226. 20 billion Rupees or 1.6% of loans . This includes the contingency provisions of 131.00 billion Rupees as well as general provision on standard assets, provisions held for non fund based outstanding to borrowers classified as non performing, fund and non-fund based outstanding to standard borrowers under resolution and the BB and below portfolio.

Moving on to the P&L details:

C. P&L d etails

Net interest income increased by 7. 4% year -on-year to 215. 29 billion Rupees in this quarter . The net interest income was 216.35 billion Rupees in the previous quarter wh

ich included interest on tax refund of 3.61 billion Rupees. The net interest margin was 4.30% in this quarter compared to 4.34% in the previous quarter and 4.27% in Q2 of last yea r. The benefit of interest on tax refund was nil in the current quarter compared to 7 basis points in the previous quarter and nil in Q 2 of last year. The margins for the quarter reflect the benefit from the reduction in deposit rates and cost of borrowings as well as the impact of repricing of external benchmark linked loans and investments .

Of the total domestic loans, interest rates on about 55% of the loans are linked to the repo rate and other external benchmarks , 14% to MCLR and other older benchmarks and t he remaining 31% of loans have fixed interest rates.


The domestic NIM was 4.37 % in this quarter compared to 4.40% in the previous quarter and 4.34% in Q2 of last year . The cost of deposits was 4.64 % in this quarter compared to 4.85 % in the previous quarter and 4.8 8% in Q 2 of last year .

Non-interest inco me, excluding treasury, grew by 13.2% year -on-year and 1.3% sequentially to 73.56 billion Rupees in Q2 of FY2026.

• Fee income increased by 10.1 % year -on-year and 10.0 % sequentially to 64.91 billion Rupees in this quarter . Fees from retail, rural and business banking customers constituted about 78% of the total fees in this quarter .

• Dividend income from subsidiaries was 8.10 billion Rupees in this quarter compared to 13.36 billion Rupees in the previous quarter and 5.41 billion Rupees in Q2 of last year . The timing of receipt of final dividend depends on Annual General Meeting of the respective subsidiaries which are generally held in first quarter of a fiscal year. The year -on-year increase in dividend income was primarily due to receipt of interim dividend from ICICI Securities and ICICI Venture .

On Costs: The Bank's operating expenses increased by 12.4% year -on-year and 3.6% sequentially in this quarter . Employee expenses increased by 5.0% year -on-year and declined by 8.5 % sequentially in this quarte r mainly due to lower provisioning requirements for retiral benefits . Non-employee expenses increased by 17.3 % year -on-year and 12.2% sequentially in this quarter . The year -on-year and sequential increase in non -employee expenses reflects retail business -related expen ses and festive season related marketing spends . Our branch count has increased by 263 in H1 of the current year . We had 7,246 branches as of September 30, 2025 . The technology expenses we re about 11% of our operating expenses in H1 of the current year .

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The total provisions during the quarter were 9.14 billion Rupees or 5.4% of core operating profit and 0.26% of average advances compared to the provisions of 18.15 billion Rupees in Q1 of 2026 and 12.33 billion Rupees in Q2 of last year . The sequential decline in provisions reflects the impact of KCC seasonality and healthy asset quality across segments . The annualised credit cost was about 40 basis points in H1 of the current year similar to that in H1 of last year .

The profit before tax excluding treasury grew by 9.1% year -on-year and 3.0% sequentially to 161. 64 billion Rupees in this quarter.

Treasury income were 2.20 billion Rupees in Q2 of current year as compared to 12.41 billion Rupees in Q1 of current year and 6.80 billion Rupees in Q2 of the previous year . The lower treasury income during this quarter primarily reflects the increase in yields on fixed income securities.

The tax expense was 40.2 5 billion Rupees in this quarter compared to 37.44 billion Rupees in the corresponding quarter last year. The profit after tax grew by 5.2% year -on-year to 123.59 billion Rupees in this quarter .

D. Consolidated results

The consolidated profit after tax grew by 3.2% year -on-year to 133.57 billion Rupees in this quarter.

The details

of the financial performance of key subsidiaries are covered in slides 33 to 34 and 53 to 58 in th e investor presentation.

The annualis ed premium equivalent of ICICI Life was 42.86 billion Rupees in H1 of this year compared to 44.67 billion Rupees in H1 of last year . The value of new

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business was 10.49 billion Rupees in H1 of this year compared to 10.58 billion Rupees in H1 of last year . The value of new business margin was 24.5 % in H1 of this year compared to 22.8 % in FY2025 and 23.7% in H1 of last year . The profit after tax of ICICI Life was 6.01 billion Rupees in H1 of this year compared to 4.77 billion Rupees in H1 of last year and 2.99 billion Rupees in this quarter compared to 2.52 billion Rupees in Q2 of last year .

Gross Direct Premium Income of ICICI General was 65.96 billion Rupees in this quarter compared to 67.21 billion Rupees in Q2 of last year . The combined ratio stood at 105.1 % in this quarter compared to 104.5 % in Q2 of last year . Excluding the impact of CAT losses of 0.73 billion Rupees in this quarter and 0.94 billion Rupees in Q2 of last year , the Combined ratio was 103.8% and 102.6% respectively. The profit after tax increased to 8.20 billion Rupees in this quarter compared to 6.94 billion Rupees in Q2 of last year . With effect from October 1, 2024, long -term products are accounted on 1/n basis, as mandated by IRDAI, hence Q 2 numbers are not fully comparable with prior periods.

The profit after tax of ICICI AMC , as per Ind AS, was 8.35 billion Rupees in this quarter .

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 4.25 billion Rupees in this quarter compared to 5.29 billion Rupees in Q2 of last year.

ICICI Bank Canada had a profit after tax of 6.3 million Canadian dollars in this quarter compared to 19.1 million Canadian dollars in Q2 of last year .

ICICI Bank UK had a profit after tax of 6.4 million US dollars in this quarter compared to 8.0 million US dollars in Q2 of last year .

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As per Ind AS, ICICI Home Finance had a profit after tax of 2.03 billion Rupees in the current quarter compared to 1.83 billion Rupees in Q2 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.

Moderator:
Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama . Please go ahead.

Mahrukh Adajania:
Hi, c ongratulations. My first question was on growth. Do you already see green shoots on growth? Do you see growth accelerating after so many measures taken by the government? And , will we reach like close to mid -teens by the end of the year? Is that an assessment we can make right now? That's my first question.

Anindya Banerjee:
So, I think whatever we have seen in the quarter, certainly, growth has picked up. So, if you see the sequential growth in Q2 across all the retail portfolio s certainly has picked up, business banking growth continues to be strong, and we hope that these trends will sustain.

We are positive on the growth outlook. We would not really be giving a specific year -end loan growth number. But certainly, both in terms of what is happening in the market and our own continuing investment in distribution and allocating capacity to the higher growth opport unities , that continues, and we continue to focus on that.



Mahrukh Adajania:
And would you see corporate picking up? Any comments on the corporate loan growth environment?

Anindya Banerjee:
I think corporate India is well funded. They have strong balance sheets, and have access to many forms of funding. So, banks are just one of the areas that they look at. And we will take it as it comes. We are focused on the overall risk - calibrated PPOP journey, and that is how we will look at it.

We are very act

ive in the corporate space, but that may reflect more in our transaction banking income or the flows through current accounts, et c., and not necessarily in terms of loan growth per se.

Mahrukh Adajania:
Got it. And my next question is on margins that they have held up pretty well compared to expectations. So, this is the bottom, right? And from here on, do they stay stable without rate cuts or they can actually improve?

Anindya Banerjee:
So, I would say that you are right. Margins have done better than expectations, of course, quarter -on-quarter . But I think broadly through the cycle where we are now after the large part of the rate cuts have played out, they have done well, which has been aided by the systemic liquidity and the continued healthy funding profile as well as, I would say, the disci pline on pricing that we have had consistently over several years.

From here on, our expectation is that margins should be more or less range - bound. We don't expect any major movements either way.



Mahrukh Adajania:
Got it. But there would still be deposit repricing left, right?

Anindya Banerjee:
It will move from quarter to quarter. So, if we look at Q3, there will be some deposit repricing. There will also be the full CRR reduction, which will take effect. At the same time, it will be a KCC quarter, as we call it. So, the level of non -accrual s will also go up. And of course, there are continuing competitive dynamics in the market. So, all taken together, I would say that over the next couple of quarters, we see it being range -bound.

Mahrukh Adajania:
Thanks a lot. Thank you.

Moderator:
Thank you. Next question is from the line of Harsh Modi from JPMorgan. Please go ahead.

Harsh Modi :
Hi. Thanks for this and f antastic set of numbers, congratulations. The question is on CASA. Your CASA market share has been improving, if I look at on the average balance basis. Could you talk a bit about how much of visibility do you have in this continued market share gains on C ASA? And what are the 2 or 3 areas where you expect relative advantage to sustain over, let's say, next 12, 18 months?

Anindya Banerjee:
I think where the CASA growth has improved from over the last few years because these things really take root over a period of time , I would say 3 things: One is the steady expansion in distribution over a period of time. Second, I think our digital platforms do help. Certainly, they are something that attracts



customers to the bank and offers convenience to the customers and encourages flows t hrough the bank. And third, there are specific segments that we have been focusing on over a period of time. I think business banking is a great example, where while the loan growth is visible, the CASA growth also in business banking has been a contributor.

Going forward, I think we certainly see the whole transaction banking space as something where we can do more given our distribution and our platforms. In the corporate space, where we have corporate relationships, we can further deepen the synergy of what we are doing on the retail side across both the deposit side and the loan side in the corporate ecosystem.

And the synergy with the ICICI Direct through the 3 -in-1 platform is another area where we could do a lot more. So, these are some of the levers that we have, which we believe will sustain the CASA growth going forward, which would be our objective.

Harsh Modi:
Yes, makes sense, especially for SME liability. The second bit is on your capital adequacy, 16.1 %, CET1 where if you include the profits. How do we think about the payout ratios with such a solid stock and flow of CET1? Thank you.

Anindya Banerjee:
So, including profit s at September, it was 16.35 %. I think this is kind of currently the level at which most of the large private sector banks, some of them are there, some may be a little

higher. So, no specific plan on payouts. Our view would be
to maintain a strong balance sheet at all times and to leverage the capital for growth. That is what we will try to do.



Harsh Modi:
Thank you.

Moderator:
Thank you. Next question is from the line of Anand Swaminathan from Bank of America. Please go ahead.

Anand Swaminathan:
Hello, thank you. Sir, a couple of questions. Sandeep, first question to you, are you in a position to kind of give us any colo ur on your intention to continue for another term? I think investors kind of have been looking for some clarity around that. Any colour on that would be great.

Number two, in terms of the trade -off between growth and profitability, we have now kind of sustainably developed the 30 -40 bps ROA difference versus even the next best peer. Are we kind of giving up some growth as part of it? Is there a scenario where we could accept a 10 -20 bps lower ROAs and go for higher growth? And where are we in that thought process now? Any colo ur would be great.

Anindya Banerjee:
So, I will take both the questions, Anand. As far as the position of CEO is concerned, you are aware that there is still a year to go and the Board will take a view and decide and disclosure will be made at the appropriate time.

On the growth trade -off point, we don't really look at it as a trade -off between growth and profitability. Our aim is and what we operate to is the risk -adjusted PPOP and that has to be done in a framework which is sustainable, and we have to have an appropriate framewo rk for pricing and then we can always tactically do trade -offs, keeping the overall opportunity in mind.


But by and large, we don't think about it in terms of a trade -off between growth and profitability. We think about it in terms of a sustainable sort of accretion to the PPOP over a period of time. And the ROA is more of an outcome. We have never targeted t hat we will have a 2.3% ROA or something like that. It's basically been an outcome of the way the business has evolved.

Anand Swaminathan:
Sure. It makes sense. So, in your kind of mind, you are not leaving any growth on the table to achieve these ROAs. That's the point you are making.

Anindya Banerjee:
I am saying I don't think we are leaving any long -term PPOP growth on the table. We could always do a little bit more. Obviously, we certainly believe that we are not doing that as much as the franchise can deliver and it should deliver more over a period of time. But we would rather think of it in terms of the risk-adjusted PPOP opportunity, rather than loan growth per se.

Anand Swaminathan:
Sure. Makes sense. Thanks, sir. Thanks a lot.

Moderator:
Thank you. We will take our next question from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah :
Hi. again say, on the growth side, but particularly looking at the various segments of retail like, say, vehicle, obviously, the industry -wide volumes were down, but with the GST cuts, we have seen the momentum. So, should we expect any uptick out there on the vehicle loans, how has been the initial maybe 15, 20 days of feedback?


Plus personal loans, are we comfortable on the overall credit cost? When should we start to see the growth out there? It's been just flat on both year -on-year and a quarter -on-quarter basis. And even on the mortgages, obviously, it's competitive and not PPOP -accretive to an extent, but how should we look at the overall mortgage growth going forward?

Anindya Banerjee:
So, as I said, overall, if you see the loan growth has picked up from 1% sequentially in the previous quarter to 3% in this quarter. And we are positive on growth , both in terms of the market opportunity and the way we are continuing to gear up our distribution and allocate resources to growth segments and growth markets. So, we would hope to see a growth in these se

gments.

As far as the question on personal loans is concerned, if you look at the overall retail NPL, the additions have declined , both year -on-year and sequentially despite the growth in the balance sheet. And we do see, I think, healthy asset quality across all the segments. As we have said in the past, we had taken a number of corrective actions on personal loans in 2022 -2023 and the cohorts of origination post that, we are quite happy with the performance.

So, we are increasing our disbursements there. It may take a little while to show up in book growth because obviously, there's a runoff as well. But in terms of doing more, we are quite happy to do, and we are moving on that front.

Kunal Shah:
And then on the deposit side, so like LDRs have been expanding past couple of quarters, almost like 400 -odd basis points kind of an expansion in the LDR. The pace on loan growth still seems to be higher than the deposit growth. It has helped to manage margins as well.


How would we look at it from here on, maybe the pressure on the repricing on the margins would be relatively low now at almost 87 -plus LDR. How should we see this ratio settling? So, maybe on the term deposit side, would we garner more of the term deposits , just to make sure that it is in line with the loan growth from here on?

Anindya Banerjee:
So, I don't think that it's really right to compare the September LDR with the June LDR. First of all, LDR is just a quarter -end measure, whereas what happens on the balance sheet depends on what happens on an average basis.

I think for most of the large banks, to the extent I have seen, LDRs would have gone up in Q2 because most of the large banks would have seen relatively lower growth and good deposit inflows and been carrying higher liquidity at the end of Q1. So, I think LDRs have expanded across the system and at overall system level as well. In fact, I would think that as the CRR cuts take effect in Q3, LDRs, the natural corollary would be that LDRs will go up further , because that is what would happen when liquidity get s released.
From our perspective, we are quite comfortable where we are. I think our retail deposit growth in term of CASA is pretty good. We are quite comfortable with the current levels, and we have ability to grow further.

On the wholesale side, we do optimize between various types of funding and that's the way we look at it. I think the current levels of LDR , may be even slightly higher with a lower CRR requirement , are quite sustainable.

Kunal Shah:
And lastly, in terms of the RBI directions, any initial commentary in terms of the impact which we could see on account of ECL or maybe the risk weight benefit


which would come in, say, in the various rating of the corporates plus the home loans and the MSME?

Anindya Banerjee:
On the capital side these segments will give a benefit. There are other segments where risk weights are being proposed to be increased where that would take away some of that benefit. But net -net, I guess, for most banks, it would be a

positive.

The guideline is still open for comments. So, we will have to wait to see what is the final guideline that RBI issues after whatever submissions they receive. Similar is the case with ECL. It's again open for comment, and we will have to see what final guidelines come out.

On ECL as far as the transition point is concerned, I think given the level of provisioning that we hold on the balance sheet, we should be okay. On what credit costs will look like under an ECL regime on an ongoing basis is something we have to still work out and assess.

Kunal Shah:
Got it. So, contingency would be utilized at that point in time?

Anindya Banerjee:
I think we have to just say that given the overall , because we also provide, for example, on a pretty accelerated basis against NPLs. We have other provisions as we

ll, and there is the contingency provisions. So, all of it we will have to reassess at that point in time, given the totality of the provisioning on the balance sheet, and what the base ECL plus prudential floor suggest under the draft guidelines, we don't expect any impact as such.



Kunal Shah:
Sure. Got it. Got it. Thanks and all the best.

Moderator:
Next question is from the line of Rikin Shah from IIFL Capital. Please go ahead.

Rikin Shah :
Thanks for the opportunity. Few ones. First on opex , with festival -related non -salary expenses coming in 2Q this year, should one expect a sequential decline in opex in the 3rd Quarter given that these expenses could have been front -ended?

Anindya Banerjee:
So, I guess in that line item, you see a decline. I am not sure I want to say that there will be a decline in overall opex , because we continue to invest, and we are quite focused on the growth of the business. I don't expect sequential increases of the kind that we have seen in this quarter.

Rikin Shah :
Got it. Second is on retail asset quality. Until now, you have been saying that it has been stable for us. But if we look at the slippages, in absolute terms, they are down almost 7% Y -o-Y when your rural plus retail book has grown 6%. So, clearly, a huge delta. So, are we in a position to now say that the retail slippage or the slippages or the overall asset quality environment has started to improve and not only just stabilize?

Anindya Banerjee:
So, I guess, as a starting point is that we don't think it was particularly bad at any point of time. I mean , for the last several years, banks ha ve been reporting pretty


good asset quality. If I look at the secured retail, I think it has been pretty stable, maybe getting marginally better for the last, I would say, 8 or 9 quarters.

We did have some spike in the unsecured in the personal loans and cards . And there the regulator took several actions, and I think individual banks like us would also have taken action, where I think that the benefit of those actions is starting to show up, which is why we are now growing those portfolios again.

Rikin Shah :

Got it. And lastly, for one of the peer banks, we saw some PSL classification problem on the crop loans. Just wanted to understand how do you track the end use of the crop loans that you give out? And has there been any discussion around this on your portf olio as well with the regulator?

Anindya Banerjee:
We have our processes for the PSL classification and those get reviewed, regulator can always examine and have a view, but nothing specific to call out at this point in time.

Rikin Shah :
All right. Perfect. Thanks. And again, wishing you and the broader team, Happy Diwali .

Anindya Banerjee:
Thank you so much.

Moderator:
Next question is from the line of Piran Engineer from CLSA. Please go ahead.



Piran Engineer :
Congrats on a good set of numbers. And Happy Diwali. So, firstly, just on NIM . Anindya, why do you say they will be largely range -bound for the next 2 quarters? I understand next quarter, you are talking about the interest reversals in kisan credit card, but why should n't the NIMs improve consistently for the next 4 to 6 quarters?

Anindya Banerjee:
I think I would say, we have navigated the cycle reasonably well and the NIMs have come in at this level. Over the next few quarters, we will see, there are too many moving parts in terms of monetary policy, the competitive dynamic, loan mix and so on. So, we will see it as it comes. We have not really taken a view on next year. For the next couple of quarters, it should be range -bound.

Piran Engineer :
Let me harp on this in another way. Out of your INR 9.5 lakh crore term deposit book, how much was acquired in the last 6 months?

Anindya Banerjee:
We don't really give data of that kind. On the NIM ques

tion, we have given our perspective.

Piran Engineer :
Fair enough. Secondly, just moving on to this provision for retiral benefits. This was because of higher G-Sec yields or what caused this sudden drop?

Anindya Banerjee:
So, if you look at it every year, there is some decline from Q1 to Q2 because in Q1, when the increments et c. are given , the gratuity -related provisions and so on , we true them up. A nd we also have certain employees who are on pensions , mainly



retired colleagues who were earlier working with some of the acquired entities. And there, they are entitled to dearness allowance . And this year, there has been no increase in the dearness allowance . So, those would be the 2 main factors.

Piran Engineer :
So, then if I have to think of modeling this going forward, clearly, 2Q should not be the current base to model growth.

Moderator:
Piran, I am sorry, your voice was breaking.

Anindya Banerjee:
But we don’t have a sense of what kind of increments et c. will happen. We can't really model it for you. But as I said, over the next couple of quarters, I don't expect overall opex to increase at the pace at which it has in the current quarter.

Piran Engineer :
Got it. Fair enough. And just lastly, getting back to Rikin's question on slippages. Now slippages are down meaningfully even if you adjust for the KCC portfolio, is all of that improvement attributable to PLCC or are we seeing improvement in other retail segments also?

Anindya Banerjee:
So, we have given, first of all, the breakup between retail and rural and corporate and business banking. So, there is a small net dilution in corporate and business banking. But I would say you are right across most of the other retail segment s.

Piran Engineer :
No, I am referring only to retail and rural, Anindya. So, it's about INR 1,200 crore improvement...


Anindya Banerjee:
In most of the other retail portfolios also there has been some improvement sequentially.

Piran Engineer :
Got it. that answers all my questions. Thank you. Wish you Happy Diwali . And also, just one request and I have made this in the past, if you could please do something about the Saturday results. It just gets too much for all of us. And I understand you all want to keep your data secret and no leakage and all of that. Maybe if you could release results on Friday night and then 9 a.m. on Saturday keep a con-call, that just helps us a lot. But please, just try to look into it.

Moderator:
Thank you. Next question is from the line of Chintan Joshi in Autonomous. Please go ahead.

Chintan Joshi :
Can I come back on the capital points? Just the credit risk reduction seems substantial, you highlighted it's a net positive. Your CET1 ratios are also very high. I understand that's where the larger banks operate. But isn't there an opportunity here to gr ow at the pace you want to grow or take the opportunity that is on the table and yet improve payouts?
Because from our vantage point, the top 3 banks in the system are swimming in capital. Just want to get some thoughts on how this might play out as these guidances and the draft reports become more concrete?

Anindya Banerjee:
So, we will take a view at that point in time. This is any way going to kick in 1.5 years from now. And really a lot of it depends on what is the position of the balance sheet at that point in time, and which are the segments where we have


seen growth. So, overall, capital is not constraining us from growing. We are continuing to focus on the kind of growth that we want.

Chintan Joshi :
Yes. In fact, your retained earnings is enough to grow already. On ECL, could you give us some colo ur? From your last submission, you said there is no impact for you. So, I am assuming there's no impact, including the other provisions you have on the balance sheet. So, you would assume that the

y will be utilized when you
see no impact?

Anindya Banerjee:

I guess, it depends on what form the final guidelines take, but we have to look at the total provisions on the balance sheet in totality, including NPL and other provisions and we don't expect that there should be any impact.

Chintan Joshi :
So, it could even be positive because from what I can see, you have more than enough provisions on your balance sheet and they will come back into your CET1 if they are excessive. So, shouldn't this become almost CET1 -accretive at some point?

Anindya Banerjee:
Yes. we will have to see. It's very difficult to say it now. In any case, this is something, again, which will really depend upon the balance sheet at the point of transition.

Chintan Joshi :
And then final point, you are 1 of the 2 large players in salaried accounts. How much of your salaried accounts come from the IT services area? There's so much


hype around AI. Just wondering if there are kind of unemployment in that section, how much would it impact you? How do you think about that?

Anindya Banerjee:
Not just for us for any bank with salaried accounts, the IT services sector and similar sectors would account for a good share of the salary accounts , because they are a good share of employment in the country, salaried employment in the country. So, far, we have not seen any impact.

Chintan Joshi:
Thank you.

Moderator:
Ladies and gentlemen, we will take that as a last question for today. I now hand the conference over to Management for closing comments. Over to you, sir.

Anindya Banerjee:
Thank you very much, and wish you all a very, very Happy Diwali. Thank you.

Moderator:
Thank you. On behalf of ICICI Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Jan 2026

January 22, 2026
BSE Limited
Listing Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot No. C/1, G Block
Bandra-Kurla Complex
Bandra(East
Mumbai 400 051
Dear Sir/Madam,
Please find attached the transcripts of the call with media and of earnings call with analysts and investors on the financial results for the quarter and nine months ended December 31, 2025.
The same have also been uploaded on the website of the Bank and can be accessed at the below links:
Sr. No Particulars Link
1.Transcript of the
Media Conference
Callhttps://www.icici.bank.in/about -us/news -
room/2026/interaction-with-media-on-icici-bank-financial-
performance-in-the-quarter-ended-december-31-2025
2. Transcript of the
Earnings Call with
Analysts and
Investors https://www.icicibank.com/about -us/qfr
This is for your records and information.
Yours sincerely,
For ICICI Bank Limited
Vivek Ranjan
Associate Leadership Team
Copy to-
(i) New York Stock Exchange (NYSE)
(ii) Singapore Stock Exchange
(iii) Japan Securities Dealers Association
(iv) SIX Swiss Exchange Ltd

Media conference call for quarter ended December 31, 2025
On January 17, 2026
Certain definitions in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward -looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Su ch forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward -looking statements. These risks and uncertainties include, but are not limited to statutory and regula tory changes, international economic and business conditions, political or economic instability in the jurisdictions where we have operations or which affect global or Indian economic conditions, increase in nonperforming loans, unanticipated changes in in terest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India's sovereign rating, as well as other risks detailed in the reports filed by us with the United States Securities and Exchange Commission. Any forward -looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward -looking statements to reflect events or circumstances after the date thereof. Additional risks that could affect our futu re operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov This release does not constitute an offer of securities.
Moderator:
We are going to start ICICI Bank's Results Conference Call now with Mr. Sandeep Batra's Opening Remarks. You can ask questions at the end of his remarks. Should you need assistance during this conference call, you may signal the operator by pressing '*' th en '0' on your phone.

Ladies and gentlemen, we welcome you all to ICICI Bank's Results Conference Call with Mr. Sandeep Batra – Executive Director, ICICI Bank; and Mr. Anindya Banerjee – Group Chief Financial Officer, ICICI Bank.

Mr. Batra will now give you an overview of the Results which will be followed by a Q&A session. Thank you and over to you, sir.

Sandeep Batra:

Good evening everyone. Thank you all for joining us today.

The Indian economy continues to be resilient, supported by a series of structural reforms implemented over the past

years and continuing policy measures taken by government

and regulators. We continue to remain focused on our long -term strategy, aligned wi th India’s evolving economic landscape and growth potential, while being mindful of global risks and volatilities.

Page 2 of 20

At ICICI Bank, our strategic focus continues to be on growing profit before tax excluding treasury through the 360 -degree customer centric approach and by serving opportunities across ecosystems and micromarkets. We continue to operate within the framework of our values to strengthen our franchise. Maintaining high standards of governance, deepening coverage and enhancing delivery capabilities with a focus on simplicity and operational resilience, are key drivers for our risk calibrated profitable growth.

Our Board has today approved the financial results of ICICI Bank for the quarter ended December 31, 2025. I would like to highlight some key numbers:

First, moving on to profit and capital

A. Profit and capital

1. Net interest income increased by 7.7% year -on-year to ■21,932 crore in Q3 - 2026
2. Net interest margin was 4.30% in Q3 -2026 compared to 4.30% in Q2 -2026
3. Fee income grew by 6.3% year -on-year to ■6,572 crore in Q3 -2026
4. Operating expenses increased by 13.2% year -on-year to ■11,944 crore in Q3 - 2026. This includes the impact of additional operating expenses of ■145 crore provisions on an estimated basis pursuant to the new Labour Codes
5. Core operating profit grew by 6.0% year -on-year to ■17,513 crore in Q3 -2026
6. Provisions (excluding provision for tax) were ■2,556 crore in Q3 -2026. Following its annual supervisory review, RBI has directed the Bank to make a standard asset provision of ■1,283 crore in respect of a portfolio of agricultural priority sector credit facilities wherein the terms of the facilities were found to be not fully compliant with the regulatory requirements for classification as agricultural priority sector lending. Th ere is no change in asset classification or in the terms and conditions applica ble to the borrowers or in the repayment behaviour of borrowers as per these terms. The Bank has been originating this portfolio since 2012 and will work to bring it in conformity with regulatory expectations. This additional standard asset provision will continue until the loans are repaid or renewed in conformity with the PSL classification guidelines. Excluding the additional standard asset provision, the total provisions were ■1,273 crore in Q3-2026
7. Profit before tax excluding treasury was ■14,957 crore in Q3 -2026
8. Profit after tax was ■11,318 crore in Q3 -2026
9. Adjusting for additional standard asset provisioning, the profit before tax excluding treasury would have increased by 6.2% year on year to ■16,240 crore and similarly, profit after tax would have increased by 4.1% year on year to ■12,280 crore in Q3 -2026
10. At December 31, 2025, the Bank had a net worth over ■3.23 lakh crore. Including profits for 9M -2026, CET -1 ratio was 16.46% and total capital adequacy ratio was 17.34%

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Moving on to deposit growth

B. Deposit growth

1. Average deposits increased by 8.7% year -on-year to ■15,86,088 crore during Q3 - 2026
2. Average current and savings account deposits increased by 8.9% year -on-year
3. The Bank continued to see healthy growth in current account deposits and individual term and savings deposits
4. Total period -end deposits increased by 9.2% year -on-year to ■16,59,611 crore at December 31, 2025

5. The Bank opened 402 branches during 9M -2026 and had a network of 7,385 branches and 11,983 ATMs and cash recycling machines at December 31, 2025
Moving on to loan growth
C. Loan growth
1. The domestic loan portfolio grew by 11.5% year -on-year at December 31, 2025
2. The retail loan portfolio grew by 7.2% year -on-year. Including non -fund outstanding, the retail loan portfolio was 42.2% of the

total portfolio. The mortgage portfolio grew by 11.1% year -on-year. The business banking portfolio grew by 22.8% year -on-year. G rowth in the domestic corporate portfolio was 5.6% year -on-year at December 31, 2025
3. About 71% of the corporate loan portfolio was rated 'A - and above' at December 31, 2025
Moving on to asset quality
D. Asset Quality
1. Net NPA ratio was 0.37 % at December 31, 2025 compared to 0.39 % at September 30, 2025
2. During Q3 -2026, there were net additions to gross NPAs of ■2,074 crore
3. Gross NPA additions were ■5,356 crore in Q3 -2026. Recoveries and upgrades of NPAs, excluding write -offs and sale, were ■3,282 crore in Q3 -2026
4. Gross NPAs written off were ■2,046 crore in Q3 -2026
5. There was sale of NPAs of ■120 crore for cash in the current quarter
6. Provisioning coverage ratio on non -performing loans was 75.4% at December 31, 2025
7. Total fund based outstanding to all borrowers under resolution as per the various extant regulations was ■1,666 crore or about 0.1% of advances at December 31, 2025
8. Loans and non -fund based outstanding to performing corporate borrowers rated BB and below were ■3,392 crore at December 31, 2025 or about 0.2% of advances at December 31, 2025
9. The total provisions during Q3 -2026 were ■2,556 crore or about 14.6% of core operating profit and about 0.71% of average advances. Excluding the additional standard asset provision, the total provisions were ■1,273 cror e or 7.3% of core operating profit and 0.36 % of average advances

10. The Bank continues to hold contingency provisions of ■13,100 crore at December 31, 2025

Customers are at the heart of what we do and providing them a safe environment is paramount. I would like to share some of the recent initiatives on our customer centricity.
1. Banking with Care for Senior Citizens : To empower senior citizen customers with knowledge and confidence in their daily banking, we continue to engage with them through SMS, emails, social media videos, and on -ground awareness sessions. In Q3 alone, we conducted over 250 awareness programmes in housing societies nationwide, helping them recognise prevalent frauds and safeguard their accounts. We also provide them the convenience of digital banking services, including online submission of Form 15H, Life Cer tificates, and digital Interest Certificates.

2. Secured Banking for Customers: The Bank has introduced SmartLock on iMobile, a unique safety feature that empowers customers to lock or unlock access to internet banking, UPI, credit and debit cards, with a single click. This puts convenience and control directly in their hands while e nsuring stronger protection. In addition, the Bank has launched a new domain - www.icici.bank.in – in line with regulatory guidelines. The domain enhances authenticity, safeguards customers from fake websites, and delivers a seamless digital banking experience with added layers of security. To further protect customers from fraud, the Bank has begun using 1600 -series phone numbers for out -bound calls. This initiative helps customers to easily identify genuine communication from the Bank and avoid responding to fraudulent calls, thereby reducing the risk of scams.

3. Digital Lending Enhancement: Existing Loan Against Securities customers can now increase overdraft limits entirely online and pledge shares seamlessly through the Bank's digital channels. This significantly reduces turnaround time and enhances the customer -friendly lending experience .

Through these continuous innovations in service quality, digital security, and awareness, we strive to safeguard our customers, promote awareness, and design thoughtful solutions that meet their needs.
Going forward, we will continue to operate within our strategic framework while focusing on micromarkets and ecosystems. The principles of “Fair to Customer, Fair to Bank”, “One Bank, One

Team” and “Return of Capital” will guide our operations. We focus on building a culture where every employee in the Bank serves customers with humility and upholds the values of brand ICICI. We aim to be the trusted financial services provider of choice for our customers and deliver sustainable returns to our shareholders.
With this, I conclude my opening remarks. I will be happy to take your questions.



Moderator:

Thank you very much, sir. We will now begin the Q&A session with Mr. Batra and Mr. Banerjee. Anyone who wishes to ask a question may press ‘*’ and ‘1’ on the telephone. If you wish to remove yourself from the question queue, you may press ‘*’ and ‘2’.
Today's announcement is on the Bank's financial performance. Hence, we would like to request you to ask questions related to that. Please write to the Corporate Communications team separately for any other queries.
Due to time constraints, I request all of you to ask two questions at a time. If you have additional queries, you may join the queue again, if time permits. Thank you.
We will take our first question from Ritu Singh from CNBC -TV18. Please go ahead.

Ritu Singh:

Hi. Thank you very much for taking our questions. Mr. Batra, first, that additional provision that you had to make, are RBI directing the bank to make this ■1,283 crore provision for the agriculture portfolio, where some of the facilities were found to be non - compliant with the PSL classification norms . Could you first, just simply explain what the bank was doing and what RBI required them to do differently? What has prompted this kind of a change? And secondly, are you re -looking at this portfolio? Is it a one-time thing or do you think there could be additional provisions you would have had to make as you go through this?
Secondly, if you could also explain to us, Mr. Bakhshi getting a two-year extension, it was long awaited by the Street, but why specifically only the two-year term? Typically, we have seen the Bank go with three -year terms.
And if you could clarify your slippages, there's a seasonality factor and agriculture slippages that the Bank typically sees in the third quarter. What else has led to the contribution to this ■5,356 crore gross slippage number , where has it come from and any topics you may want to call out ,, specifically with MSME for instance, with any U.S. tariff threats, or the unsecured book , what are the signs you see? Thank you.

Sandeep Batra:

Ritu, that is four questions. So, let me still try to take all of them.
First of all, RBI, as you are aware, does an annual inspection as part of the cycle. We have been doing this portfolio since 2012, and RBI has made an assessment that the terms of the facilities were not fully in compliance with the regulatory requirement for PSL. I also want to categorically state there is no change of asset classification , or in terms and conditions applicable to the borrowers , or in repayment behaviour of the borrower as per these terms. So, we are very comfortable with the quality of th e book that we have done. We will work towards repayment and renewal of these loans to make them in conformity with the PSL guidelines, and our endeavour would be to minimi se the PSL and provisioning impact.



Coming on to Mr. Bakhshi's reappointment. I think there was a discussion with the Board along with the MD, and it was felt appropriate that a two-year term is what it is at. But just wanted to clarify, it is nearly three years from today. It is starting from October of '26 and goes on till October '28. So, it is nearly three years from now .
The other question was around gross slippages. The gross slippages are actually fine. There was something around business banking. I think our business banking portfolio continues to do well, and we have grown that portfolio by about 22% during the quarter. In terms of slippages, I think if you see t

he numbers, they have actually gone down compared to Q3 of 2025. The gross additions in the current quarter were ■5,356 crore as against ■6,085 crore. In fact, the recoveries are largely at a similar level. It was ■3,392 crore in Q3 -2025. Now they are ■3,282 crore in Q3 -2026 . So, the net addition s, in this quarter , is about ■2,074 crore as against ■2,693 crore in Q3 -2025 , if you are comparing

with Q2 of 2026, that is the seasonal impact of rural slippages. Beyond that, I think we are very happy with the numbers over here.
Ritu Singh:
But Mr. Batra, the question was also whether you have evaluated your MSME book? What kind of exposure they have to the U.S. because of the tariff issue, if there could be any stress ? and unsecured what you are seeing … And, to what you responded on the agriculture PSL provisions. Just to clarify again, this is a one -time activity. You do not expect any further provisions that the bank will have to make on this portfolio .
Sandeep Batra:
On this portfolio, this was an exercise done for the period ended March 2025. RBI does annual exercises. For this period, we have made an assessment, and I have already made my comments relating to that.
On business banking, the portfolio continues to do well. We are very happy with the quality of the book that we have done, and we have grown that book.
We continue to assess our portfolio. As you are aware, India is largely a domestically focused economy, and we made an assessment of the impact of US tariffs. Of course, when we are assessing our customers, we prioriti se resilience through strong balance sheet from a customer perspective, and we continue to leverage these … we continue to believe that the quality of book that we have built is very comfortable.
I think the impact of US tariffs is a little… Sorry, go ahead, Ritu.
Ritu Singh:
No, please go ahead. And if you could also add , because of ECL as well, have you made an assessment of the additional provision you will have to make?


Sandeep Batra:
ECL is still an internal assessment. Whenever the regulations come into place, we will be compliant with that. So, that is something the future.
Ritu Singh:
Okay sure sir.
Sandeep Batra:
Okay? Thank you, Ritu.
Moderator:
Thank you.
We will take our next question from Vishwanath Nair from NDTV Profit. Please go ahead.
Vishwanath Nair:
Hi, Mr. Batra. Just following up on what Ritu was pointing out about the provision factor as well . Is your 4% dip on the net profit , largely because of this one -time hit? And again, is there an expected hit that is going to follow in the fourth quarter? That is question number 1.
Question number 2, I want to take that question about the CEO forward. See , the reason we are asking that is because three years is what one is usually used to , whenever the Board recommends a term for a CEO's extension. So, two years seems like we are preparing the system for a potential change. So, is that something that we should watch out for at all? Thank you.
Sandeep Batra:
The Board , in its wisdom , in discussion with the Managing Director decided that two years , and I just wanted to clarify again , that it's an extension from October 2026. So, it is nearly three years at this point of time. So, we have informed the market well in advance. And secondly, I thought I will just clarify, in case if this specific provision was not there, instead of a minus 4%, we would have had a plus 4.1% on PAT.
Vishwanath Nair:
Okay. The quick question also is on the net interest margin, NIM has more or less stabili sed around this 4.2% -4.3% level. But the impact of the December rate -cut is likely to flow in again, during the current quarter. Do you expect any moderation going ahead?
Sandeep Batra:
Looking ahead, we do expect NIMs to remain more or less range bound, reflecting the repricing of the external benchmarks on loans and investments

, as you rightly pointed
out. And of course, competition intensity. This would get offset by retail term repricing

and we will continue to watch the market conditions , and if there are any further changes in monetary policy, that will impact the NIM trajectory. From our perspective, we are focused on maximi sing all levers of profits, and where NIM is certainly one of the important levers.
Vishwanath Nair:

Sorry, just to close us off, 11.5% is still close to the system on the advances growth. Is this the level that we are expecting for this financial year or because that growth has been a question for ICICI Bank .

Sandeep Batra:

No, you have to look at the overall franchise, the way it has been growing. We do believe that our recent policy is supportive. We do believe that we will continue to evaluate customers , we do not give any specific targets of what we are going to be growing. Our focus is to maximize PBT in a risk calibrated fashion, and that is what we will continue to do.

Vishwanath Nair:

Thank you.

Moderator:

Thank you. Next question is from Shayan Ghosh from Mint. Please go ahead.

Shayan Ghosh:

Hi, Mr. Batra. Two questions. One is, what is the size of this portfolio that RBI has said it's not fully compliant and was it some sort of a misclassification because you said it's been there since 2012. Did RBI find that the classification that you have made is not what it would like it to be?

Second is on the two-year term, I know you have answered, but is it because Mr. Bakhshi doesn't want a full term? Because under regulation, he still has up to 70. So, why the two-year term is what we were wondering? I know you said three years .

Sandeep Batra:

I will repeat what I said. The Board, in its wisdom, in consultation with the Managing Director, decided to give a two-year term ..

Moving to the point about the size of the portfolio, the standard asset provisions, the total portfolio required to be reviewed from an agriculture priority sector lending was in the region of about ■20,000 crore to ■25,000 crore. The Bank has been originating this portfolio, as I said, since 2012. And we will work towards bringing this in conformity with regulatory expectations.



I repeat, these loans are standard and secured in nature. And the standard asset provisions will continue until the assets are repaid or renewed in conformity with the PSL guidelines. So, from a customer angle, we are very happy. As you are aware, the prov isioning requirement for a PSL portfolio is slightly different from normal. It is about classification thereof; it does not in any way reflect the quality of the borrower.

Shayan Ghosh:

All right. And because you have been on this portfolio for 13 -14 years, has it ever been pointed out earlier? Or because something changed in FY25 , is what I am trying to understand.

Sandeep Batra:

Shayan, this is an annual exercise which RBI does and the discussions with them are confidential. As I said, this portfolio, we have been having it for long period of time , and we are happy with the quality of the book.

Shayan Ghosh:

Okay. All right. Thanks.

Moderator:

Thank you. Next question is from the line of Priyasmita Dutta from the Informist. Please go ahead.

Priyasmita Dutta:

Hello.

Moderator:

Yes, we can hear you. Please go ahead.

Priyasmita Dutta:

Yes. Hi. Thank you for the opportunity. My question is with regards to the treasury loss of ■157 crore that we saw in the December quarter, I just wanted to know what can we expect from the treasury income head in Q4 and if you can give your view on how you see it progressing in FY27, given the review in mind? And secondly, I just wanted to understand one thing , I may have missed it when it was mentioned before , that is for how long do you have to hold these additional provisions ? Thank you.

Sandeep Batra :

First on the treasury, I think the

treasury loss of ■157 crore against a gain of about ■220 crore in the Q2 of current year is primarily reflecting the mark -to-market movements. Going forward, I think you will also have to see the numbers in the context of the NIM that we earned. We look at economic returns over a longer period of time, rather than

booking gains from an accounting point of view. The second question was again on, I mean, this is a standard asset provisions and as I said earlier, we will continue to work towards repayment and renewal of these loans in conformity with the PSL classification guidelines , and our endeavo ur would be to minimi se the PSL and provisioning impact.
Moderator:
Priyasmita, does that answer your question?
Priyasmita Dutta:
Yes, thank you.
Moderator:
Thank you. Next question is from Subrata Panda from Business Standard. Please go ahead.
Subrata Panda:
Hi, thank you for taking my question. My question is again on Mr. Bakhshi's re - appointment. Are we to understand this is Mr. Bakhshi's last term as the MD -CEO of ICICI Bank and if so, has the Bank formed a committee to look at internal candidates or external candidates for his successor?
Sandeep Batra:
This is three years away , and I have already answered this question . There are no further comments on this.
Subrata Panda:
No, we understand what you have said, but just as we need a bit more clarity as to, if the bank is looking for a successor?
Sandeep Batra:
This is the maximum clarity I can provide at this point of time. We are very clear. The Bank has got enough strength at this point of time and there is enough continuity from that perspective.
Anindya Banerjee:
I think maybe just to add, as Sandeep mentioned, his present term itself is till October and this is a two-year term on top of that, which takes it to almost three years from now , and there is no need to speculate so far into the future.
Subrata Panda:
Understood. Thank you.

Moderator:
Thank you. Next question is from Joel Rebello from Economic Times. Please go ahead.
Joel Rebello:
I just want to clarify, if you cure whatever the infirmities in this agriculture portfolio, will you be able to write back the provisions or how does it work? I just wanted to understand that.
Sandeep Batra:
As I already mentioned, we would be working towards repayment or renewal of these loans to make them in conformity with PSL classifications, and our endeavo ur, as I said, is to minimi se the impact of this provision.
Joel Rebello:
So, which means that if it is in conformity, you can write back the provisions later?
Sandeep Batra:
Yes.
Joel Rebello:
Is my understanding correct?
Sandeep Batra:
Yes.
Joel Rebello:
The second question is on the terms of margin, sir. You are one of the few banks who have been able to maintain your margins. It is better than last year, and I think it is at the same level as the previous quarter. What is behind this? Is it that you all have been able to manage your cost of funds better? Can you give us some perspective?
Sandeep Batra:
We have a disciplined approach on this, Joel. We focus on averages; we focus on working with customers. I think that is part of our overall strategy . I do believe our digital offerings also help . We grow our book in a fairly disciplined manner . I think that strategy has been working for us very well. And incidentally, internally, we drive PBT as a metric, of course, meeting the customer's needs and ensuring the customer services of the highest order. Within that framework, we look at it more as long -term economic relationships , and accounting becomes less important in the overall scheme of things. And there are multiple factors over here , trying to have a more efficient treasury, having a product mix which meets both the customer requirements , and also having a risk calibrated

approach.

We have been doing this for some time, and we will continue to be on this path.

Joel Rebello:

Sir, one question on corporate banking. Retail has been the growth engine for banks for many months now. What is the outlook on the corporate side? What are you seeing on the corporate side?

Sandeep Batra:

We have seen a bit of an increase on the corporate side in the current quarter. As you are aware, there has been some significant pickup. We focus on corporate clients and if you are aware, corporate clients have got multiple options including getting money from equity and they also have a very healthy internal accruals . We work with them on a 360 basis and from our point of view, we do not target any particular mix. Wherever we are able to get opportunities, we are happy to grow. If you see, we have been g rowing our business banking book, which is also in a way , includes small and medium corporates . That book , during the current quarter itself , has grown by about 22.8%. Retail book has been growing well. And as you rightly pointed out, we have had an increase of 5.6% on the domestic corporate side. So, wherever we get opportunities in a risk calibrated basis and it meets our profitability thresholds, we are happy to live.

Joel Rebello:

Thank you, sir. All the very best. Thank you.

Moderator:

Thank you. Next question is from Ira Dugal from Reuters. Please go ahead.

Ira Dugal:

Sir, I am sorry to dwell on this, but your comments are just not clear on this priority sector loans. Firstly, just repeat the size of the loan portfolio where there is misclassification. The numbers are pretty large, and it would be a significant share of your outstanding agriculture portfolio, if you could share that. I have a follow up question on that. But first, I just want to make sure we all have the numbers right.

Sandeep Batra:

No, we shared the numbers.

Ira Dugal:

So, what did you say? Can you just repeat that number? The size of the loan book?



Sandeep Batra:

The size of the loan book was about ■20,000 -■25,000 crore approximately. We are not getting into that.

Ira Dugal:

That would be a significant share of your agriculture book, right? Because your rural loans are how much? About three times, a little bit more than that, maybe?

Sandeep Batra:

It is what it is. The rural book is about ■83,000 crore.

Ira Dugal:

That is a significant amount. Then, I mean the way you have…

Sandeep Batra:

We have been doing this since 2012 and we have made these provisions, and I again repeat, I mean, I think it is important to note that there is no change in the asset class.

Ira Dugal:

No, we get that these are standard assets. We completely understood that. I understand that absolutely. But what is not clear is the way you are framing it, that this is the provision for this period or the period the RBI assessed. So, it is not clear to me that you have made all the provisions req uired on this entire ■20,000 -■25,000 crore book , which is not being classified accurately or will more follow?

Anindya Banerjee:

So, the provisioning amount of ■12.83 billion is as directed by the Reserve Bank of India and that is the provision we have made in this quarter.

Ira Dugal:

Not for this year, on the entire portfolio going back to whatever is existing on here. So, this is fully outstanding ?

Anindya Banerjee:

The provisioning amount is as directed by the Reserve Bank of India. A s we have said quite clearly that we are following the supervisory review —the regulator has directed that this provision be made , which we have made.

Ira Dugal:
Anything you can tell us on … what these loans were , that so far back more than 10 years, you said you have been doing this business since then. So, it suggests that it has been

misclassified since then ? It seems like a really long period, and it is difficult to understand why it wo

uldn't have been caught earlier and corrected .
Sandeep Batra:
Ira, we have got no further comments on this.
Ira Dugal:
Okay, sure.
Moderator:
Thank you. We will take our next question from Hamsini Karthik from Money control. Please go ahead.
Hamsini Karthik:
Yes, thank you. I am going to ask a question which would possibly sit a little polite with you first , and then press on a point which has been spoken about earlier. You have added another ■500 crore of equity into ICICI Home Finance this quarter that makes it the second infusion possibly into the subject in the last two years. I just wanted to understand , what is the rationale for the infusion? How is the health of ICICI Home Finance? It did have a bit of an NPA -related issue , where do we stand on that? And I will go with my next question , sir.
Sandeep Batra:
I think ICICI Home Finance has been doing exceedingly well . We are happy to infuse the capital to meet the regulatory requirement and expansion that is required from their business point of view. So, it is an important subsidiary. They have improved their NPA provisions , and just to maintain a healthy capital adequacy ratio over there . We are happy… this, we will continue to invest in this business. So, that is fine. Whenever they will need capital, we will be happy to support them , because the business is profitable and they have substantially addressed the NPA issue, which was there in the past.
Hamsini Karthik:
So, even if adjusted for the RBI -led provisioning, PAT growth at 4%, as you mentioned earlier, for a very long time, we are seeing ICICI come out with single -digit PAT growth. Is size catching up with you all? Are you comfortable with this pace of growth? It has been oscillating between 4% and 9% , in a very good quarter, 10%. Are you happy with these numbers internally?
Sandeep Batra:
Of course, we can do much better. I hope we do much better. So, to that extent, we are never happy with the results that we get. We would like to do more , and of course, this year's growth has to be structurally seen in the context of RBI reprice, the monetary policy which has taken place, as you are aware, over the last year or so, the repo rate

has been cut by 125 basis points and a very large book is linked to external benchmarks. I think we have guided this almost a year back that , whenever the interest rate cycle changes —which has changed —there would be an impact, which is sort of playing out. Once this settles in, we should be back to a better growth of profits , but as I said, we are focused on ensuring few things —one, we have a customer -centric approach ; two, ensuring that we are fair to our customers and fair to the Bank—and within that fram ework, we will grow our profits. So, it has to be on a risk calibrated basis. The strategy, as I am probably repeating this for the Nth time, the strategy is working with us, and to give a short answer to your question —can we do better? We can obviously always do better.
Anindya Banerjee:
Maybe if I could just add that , we primarily focus on the operating numbers and related outcomes. So, if you look at, for example, the current quarter, we have not been booking significant treasury gains , so, the PAT is really an outcome of the operating performance of the Bank. Similarly, we continue to hold significant additional provisions on the balance sheet. Even apart from what has been mandated this quarter, we hold about ■131 billion of contingency provisions. So, I think the earnings growth is a reflection of the operating performance without being dependent on capital market or fixed income market , a while maintaining an extremely strong balance sheet.
Hamsini Karthik:
Lovely. Last question, sir.
Sandeep Batra:
We have got a healthy ROA. It is over 2%. Even after adjusting for this, we are going to report 2.11% ROA , in Q3 -2026. Taking this one -off, it

will move to about 2.29% in 9M - 2026 . It is a healthy number .

Hamsini Karthik:

On the CEO appointment, in one of the questions , Mr. Batra's response was that the board in consultation with Mr. Bakhshi felt that it would be appropriate to give a two-year tenure or felt appropriate that a two-year term would be good. Was this decision also taken to ensure that the second level of leaders are also given the opportunity to rise up? What was the thought process, sir?

Sandeep Batra:

We have already shared what ever we needed to share. I do not have any more comments to give on this.

Moderator:

Thank you. Next question is from Benn from the New Indian Express. Please go ahead.



Benn:

No, I am passing the question. I am done. Thank you.

Moderator:

Thank you. We will take our next question from the line of Hersh Sayta from ET Now. Please go ahead.

Hersh Sayta:

Hi. Thank you. Just wanted to understand and maybe delve in further, what is the duration of the Agri -PSL book?

Anindya Banerjee:

These are largely in the nature of working capital limits. So, these are not term loans in that sense.

Hersh Sayta:

Understood , and they are fully secured, I hear?

Anindya Banerjee:

Yes.

Hersh Sayta:

Perfect. And does anything change …So, I gather from you that you all are completely comfortable with the way the book is behaving otherwise. I am trying to understand whether anything changes for you in terms of recognition, even from an ECL or from a conservativeness standpoint ? Does it at all , change the way you all recogni se the provisioning —maybe trying to be more conservative going forward in this book?

Sandeep Batra:

One, from a conservative point of view, our provisioning norms are slightly tighter than what RBI prescribes. We also hold large contingency provisions of ■13,100 crore, which we have talked about. As far as this thing is concerned, this provision is coming because the provision requirement for this category is different from normal. Based on the revised understanding with RBI, they treated this as normal and accordingly , additional provision was made. As I said, it doesn't affect the asset classification a t all.

Hersh Sayta:

Yes, I fully gather that. Again, I am sorry, I am not trying to understand your conversations with the RBI , I am trying to understand the way you all recogni se provisioning in this book , and how it changes for you , going forward. I don't think so, basis whatever you all are saying .



Sandeep Batra:

As long as it is a PSL book, it will get classified in a certain fashion. If it is a non -PSL book, it will get classified as certain other categories. That is about the only thing. We are very much in compliance with the regulatory requirement in both the cases.

Hersh Sayta:

Perfect. Thank you so much. Very helpful.

Sandeep Batra:

Thank you.

Moderator:

Thank you. Next question is from Ashish Agashe from PTI. Please go ahead.

Ashish Agashe:

Just a small bit on this PSL front. So, does it change anything on your PSL commitment?

Sandeep Batra:

Not at all , not in the least manner. We will continue to work to meeting our PSL requirements and whe rever there is a need, and in fact, the rural economy is doing well, and if opportunity is there, we will continue to pursue them.

Ashish Agashe:

And sir, will there be ? Because you are carrying a bit of book ahead as well, and there would be right classification from here on, so, would there be more provisioning to do for

the Agri -book here on, sir? This is not about the past assets, but in the future as well.
Sandeep Batra:
No, the additional provisions will continue until the loans are repaid or renewed in conformity with the PSL classification guidelines. This is what I mentioned , and we will work towards the same. Based on our current assessments, we do not see any major incremental provisions going fo

rward.
Ashish Agashe:
Sir, this second question is based a bit on the perception. And especially given whatever has been happening in the banking sector in the past, especially you have to do with private sector leadership appointment, was there a consideration that, okay, let us have the three -year appointment in mind so that we convey the right message rather than leading to a lot of other questions by restricting it to two years, sir?


Sandeep Batra:
I have got no further comments on what I have already said . Mr. Bakhshi was appointed in 2018 . It has been a sufficiently long period of time. As I did mention, the board in consultation with him has made a decision and which we have conveyed to the exchange and yourself.
Ashish Agashe:
Thank you so much.
Moderator:
Thank you. We will take our next question from Ram Kumar from Hindu Business Line. Please go ahead.
Ram Kumar:
I just wanted to understand , PSL loans for which you have made standard asset provisioning . Were they originated by the Bor they have been like, direct assignment or PTCs or co -lending model? How did you get these loans actually on board?
Anindya Banerjee:
These would have been direct origination.
Ram Kumar:
Direct origination by the Bank?
Anindya Banerjee :
Yes.
Ram Kumar:
All of it?
Anindya Banerjee :
Yes, pretty much, I think, yes.
Ram Kumar:
And sir, coming to this point …a gap between deposit growth and credit growth , persists . In your case, it is over 200 basis points. So, what are you doing to manage this gap, or to bridge this gap?
Anindya Banerjee:
In the current quarter, as you are aware, there was a reduction in the CRR requirement. So, you would have seen the credit -deposit ratio go up across the system , and for most

banks , for who se numbers are available , barring maybe one or two. So, that is a very natural thing to happen. From our perspective, I think we are comfortably funded with healthy retail deposit growth. So, we do n't have any concerns on that account.
Ram Kumar:
Okay. And this 15% capital adequacy ratio that you have —is it good enough to support further growth in loans ? Or you will have to hit the market again for raising capital?
Sandeep Batra:
No, this is very much adequate.
Anindya Banerjee:
Actually, including profits for the quarter, we are at a total capital adequacy of about 17.3 %, which is including profits for April to December. We are at a total capital adequacy of 17.3 %, which is very comfortable.
Ram Kumar:
Yes. Thank you so much.
Moderator:
Thank you. Next question is from Falaknaaz Syed from Deccan Chronicle. Please go ahead.
Falaknaaz Syed:
Sir, have you acquired the pension fund business from your subsidiary?

Sandeep Batra:
Yes, we have.
Falaknaaz Syed:
Sir, what is the idea and what is the strategy plan of action for that business , which is a subsidiary of your subsidiary ?
Sandeep Batra:
It was a step -down subsidiar y. We explained this, I think, about two quarters back when we made the decision. We do believe that the synergy with the Bank will be better and the business will be able to expand in a much better fashion. So, it is essentially about synergizing with the banking set of customers and which we hope to achieve in the coming quarter.
Falaknaaz Syed:
Thank you.

Moderator:
Thank you.
Sandeep Batra:
Thank you very much for being with us on a Saturday afternoon.
Moderator:
This brings the conference call to an end. On behalf of ICICI Bank, we thank you all for joining us. You may now disconnect your lines. Thank you again.
ICICI Bank Limited
Earnings conference call - Quarter ended December 31, 2025 (Q 3-2026)
January 17, 2026

Certain definitions in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are f

orward -looking statements intended to
qualify for the 'safe harbor' under applicable securities law s including the US Private Securities Litigation Reform Act of 1995. Such forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward -looking statements. These risks and uncertainties include, but are not limited to statutory and regulatory changes, international economic and business conditions, political or economic instability in the jurisdictions where we have operations or which affect global or Indian economic conditions, increase in nonperforming loans, unanticipated changes in interest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India's sovereign rating, as well as other risks detailed in the reports filed by us with the United States Securities and Exchang e Commission. Any forward -looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward -looking statements to reflect events or circumstan ces after the date thereof. Additional risks that could affect our future operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov .

This release does not constitute an offer of securities.

Moderator:

Ladies and gentlemen, good day and welcome to ICICI Bank Limited Q 3-FY2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Bakhshi – Managing Director and

Chief Executive Officer of ICICI Bank. Thank you, and over to you, sir.

Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q3 of FY2026. Joining us today on this call are Sandeep Batra, Rakesh, Ajay, Anindya and Abhinek.

At ICICI Bank, our strategic focus continues to be on growing profit before tax excluding treasury through the 360 -degree customer centric approach and by serving opportunities across ecosystems and micro -markets. We continue to operate within the framewor k of our values to strengthen our franchise. Maintaining high standards of governance, deepening coverage and enhancing delivery capabilities with a focus on simplicity and operational resilience, are key drivers for our risk calibrated profitable growth.

The core operating profit increased by 6.0% year -on-year and 2.5% quarter -on-quarter to 175.13 billion Rupees in this quarter. The total provisions during the quarter were 25.56 billion Rupees. This includes additional standard asset provision of 12.83 bil lion Rupees made pursuant to Reserve Bank of India's annual supervisory review, which Anindya will explain later on the call. The profit before tax excluding treasury was 149.57 billion Rupees in this quarter compared to 152.89 billion Rupees in Q3 of last year. The profit after tax was 113.18 billion Rupees in this quarter compared to 117.92 billion Rupees in Q3 of last year.

Average deposits grew by 8.7% year -on-year and 1.8% sequentially and average current and savings account deposits grew by 8.9% year -on-year and 1.5% sequentially in this quarter. The Bank continued to see healthy growth in c

urrent
account deposits and indi vidual term and savings deposits. Total deposits grew by 9.2% year -on-year and 2.9% sequentially at December 31, 2025. The Bank's average LCR for the quarter was about 126%.

The domestic loan portfolio grew by 11.5% year -on-year and 4.0% sequentially at December 31, 2025 compared to 10.6% and 3.3% at September 30, 2025. The retail loan portfolio grew by 7.2% year -on-year and 1.9% sequentially. Including non-fund based outstand ing, the retail portfolio was 42.2% of the total portfolio. The rural portfolio grew by 4.9% year -on-year and 7.2% sequentially. The business banking portfolio grew by 22.8% year -on-year and 4.7% sequentially. The domestic corporate portfolio grew by 5.6% year-on-year and 6.5% sequentially. The overall loan portfolio including the international branches portfolio grew by 11.5% year -on-year and 4.1% sequentially at December 31, 2025. The overseas loan portfolio was 2.4% of the overall loan book at December 31, 2025.

The net NPA ratio was 0.37% at December 31, 2025 compared to 0.39% at September 30, 2025 and 0.42% at December 31, 2024. During the quarter, there were net additions of 20.74 billion Rupees to gross NPAs, excluding write -offs and sale . The provisioning coverage ratio on non -performing loans was 75.4% at December 31, 2025. In addition, the Bank continues to hold contingency provisions of 131.00 billion Rupees or about 0.9% of total advances at December 31, 2025.

The capital position of the Bank continued to be strong with a CET -1 ratio of 16.46% and total capital adequacy ratio of 17.34% at December 31, 2025, including profits for 9M -2026.

Looking ahead, we see many opportunities to drive risk calibrated profitable growth and grow market share across key segments. We remain focused on maintaining a strong balance sheet, prudent provisioning and healthy levels of capital while delivering sust ainable and predictable returns to our shareholders.

I now hand the call over to Anindya.

Anindya's opening remarks

Thank you, Sandeep. Let me first talk about the additional standard asset provisions.

Following its annual supervisory review, RBI has directed the Bank to make a standard asset provision of 12.83 billion Rupees in respect of a portfolio of agricultural priority sector credit facilities wherein the terms of the facilities were found to be n ot fully compliant with the regulatory requirements for classification as agricultural priority sector lending. There is no change in asset classification or in the terms and conditions applicable to the borrowers or in the repayment behaviour of borrowers as per these terms. The Bank has been originating this portfolio over some years and will work to bring it in conformity with regulatory expectations. This additional standard asset provision will continue until the loans are repaid or renewed in conformi ty with the PSL classification guidelines.

I will now talk about loan growth, credit quality, P&L details and the performance of subsidiaries.

A. Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 11.1% year -on-year and 3.2% sequentially. A uto loans grew by 0.7% year -on-year and 0.9% sequentially. The commercial vehicles and equipment portfolio grew by 7.9% year-on-year and 3.2% sequentially. Personal loans grew by 2.4% year -on-year and 1.7% sequentially. The credit card portfolio declined by 3.5% year -on-year and 6.7% sequentially. During the quarter, we saw improved g rowth trends across the mortgage, rural and corporate portfolios. The sequential decline in the credit card portfolio was due to high festive spends towards the end of the previous quarter, which had resulted in high sequential book growth in that quarter, and saw repayments in the current quarter.

Within the corporate portfolio:

• The total outs

tanding to NBFCs and HFCs was 791.18 billion Rupees at December 31, 2025 compared to 794.33 billion Rupees at September 30, 2025. The total outstanding loans to NBFCs and HFCs were about 4.3% of our advances at December 31, 2025.

• The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 680.83 billion Rupees at December 31, 2025 compared to 635.83 billion Rupees at September 30, 2025. The builder loan portfolio was 4.3% of ou r total loan portfolio. Our portfolio largely comprises well -established builders and this is also reflected in the sequential increase in the portfolio. About 1.1% of the builder portfolio at December 31, 2025 was either rated BB and below internally or w as classified as non -performing.

B. Credit quality

The gross NPA additions were 53.56 billion Rupees in the current quarter compared to 60.85 billion Rupees in Q3 of last year. Recoveries and upgrades from gross NPAs, excluding write -offs and sale, were 32.82 billion Rupees in the current quarter compared to 33.92 billion Rupees in Q3 of last year. The net additions to gross NPAs were 20.74 billion Rupees in the current quarter compared to 26.93 billion Rupees in Q3 of last year.

The gross NPA additions from the retail and rural portfolios were 42.77 billion Rupees in the current quarter compared to 53.04 billion Rupees in Q3 of last year. There were gross NPA additions of about 7.36 billion Rupees from the kisan credit card portfo lio in the current quarter compared to 7.14 billion Rupees in Q3 of last year. We typically see higher NPA additions from the kisan credit card portfolio in the first and third quarter of a fiscal year. Recoveries and upgrades from the retail and rural por tfolios were 25.39 billion Rupees in the current quarter compared to

27.86 billion Rupees in Q3 of last year. The net additions to gross NPAs in the retail and rural portfolios were 17.38 billion Rupees in the current quarter compared to 25.18 billion Rupe es in Q3 of last year.

The gross NPA additions from the corporate and business banking portfolios were 10.79 billion Rupees in the current quarter compared to 7.81 billion Rupees in Q3 of last year. Recoveries and upgrades from the corporate and business banking portfolios were 7.43 billion Rupees in the current quarter compared to 6.06 billion Rupees in Q3 of last year. There were net additions to gross NPAs of 3.36 billion Rupees in the current quarter in the corporate and business banking portfolios compared to 1.75 billion Ru pees in Q3 of last year.

The gross NPAs written off during the quarter were 20.46 billion Rupees. Further, there was sale of NPAs of 1.20 billion Rupees for cash in the current quarter.

The non -fund based outstanding to borrowers classified as non -performing was 22.29 billion Rupees as of December 31, 2025.

The loans and non -fund based outstanding to performing corporate borrowers rated BB and below was 33.92 billion Rupees at December 31, 2025. This portfolio was about 0.2% of our advances at December 31, 2025.

The total fund based outstanding to all standard borrowers under resolution as per various guidelines were 16.66 billion Rupees or about 0.1% of the total loan portfolio at December 31, 2025.

At the end of December, the total provisions, other than specific provisions on fund-based outstanding to borrowers classified as non -performing, were 226.57 billion Rupees or 1.5% of loans. This includes the contingency provisions of 131.00 billion Rupees as well as general provision on standard assets, provisions held for non-fund based outstanding to borrowers classified as non -performing, fund and non-fund based outstanding to standard borrowers under resolution and BB and below portfolio. These provisi ons do not include additional standard asset provision as directed by RBI in respect of a portfolio of agricultural priority sector credit fac

ilities.

Moving on to the P&L details:

C. P&L details

Net interest income increased by 7.7% year -on-year and 1.9% sequentially to 219.32 billion Rupees in this quarter. The net interest margin was 4.30% in this quarter compared to 4.30% in the previous quarter and 4.25% in Q3 of last year. The cost of deposit s was 4.55% in this quarter compared to 4.64% in the previous quarter and 4.91% in Q3 of last year. The benefit of interest on tax refund was 1 basis point in the current quarter compared to nil in the previous quarter and 1 basis point in Q3 of last year.

Of the total domestic loans, interest rates on about 56% of the loans are linked to the repo rate and other external benchmarks, 13% to MCLR and other older benchmarks and the remaining 31% of loans have fixed interest rates.

Non-interest income, excluding treasury, grew by 12.4% year -on-year and 2.3 % sequentially to 75.25 billion Rupees in Q3 of FY2026.

• Fee income increased by 6.3 % year-on-year and 1.2% sequentially to 65.72 billion Rupees in this quarter. Fees from retail, rural and business banking customers constituted about 78% of the total fees in this quarter.

• Dividend income from subsidiaries was 6.81 billion Rupees in this quarter compared to 8.10 billion Rupees in the previous quarter and 5.09 billion Rupees in Q3 of last year. The year -on-year increase in dividend income was primarily due to receipt of inter im dividend from ICICI Securities

On Costs: The Bank’s operating expenses increased by 13.2% year -on-year and

1.2% sequentially in this quarter. Employee expenses increased by 12.5% year -on-year and 1.8% sequentially in this quarter, including the impact of 1.45 billion Rupees of provisions on an estimated basis pursuant to the new Labour Codes. Non-employee expenses increased by 13.6% year -on-year and 0.8% sequentially in this quarter. Our branch count has increased by 402 in 9M of the current year. We had 7,385 branches as of December 31, 2025. The technology expenses were about 11% of our operating expenses in 9M of the current year.

The total provisions during the quarter were 25.56 billion Rupees. Excluding the additional standard asset provision, the total provisions were 12.73 billion Rupees or 7.3% of core operating profit and 0.36% of average advances compared to the provisions of 12.27 billion Rupees in Q3 of last year.

The profit before tax excluding treasury was 149.57 billion Rupees in this quarter compared to 152.89 billion Rupees in Q3 of last year.

There was a treasury loss of 1.57 billion Rupees in Q3 of the current year as compared to gain of 2.20 billion Rupees in Q2 of current year and gain of 3.71 billion Rupees in Q3 of the previous year primarily reflecting market movements.

The tax expense was 34.82 billion Rupees in this quarter compared to 38.68 billion Rupees in the corresponding quarter last year. The profit after tax was 113.18 billion Rupees in this quarter compared to 117.92 billion Rupees in Q3 of last year.

Adjusting for additional standard asset provisioning, the profit before tax excluding treasury would have increased by 6.2% year on year to 162.40 billion Rupees and similarly, profit after tax would have increased by 4.1% year on year to 122.80 billion Ru pees in this quarter. Return on average assets and standalone RoE would have been 2.3% and 15.5% respectively in this quarter.

D. Consolidated results

The consolidated profit after tax was 125.38 billion Rupees in this quarter compared to 128.83 billion Rupees in Q3 of last year.

The details of the financial performance of key subsidiaries are covered in slides 33 to 36 and 55 to 60 in the investor presentation.

The annualised premium equivalent of ICICI Life was 68.11 billion Rupees in nine months ended December 31, 2025 compared to 69.05 billion Rupees in nine months of last year. The value of new business increased to 16.64 billion Rup

ees
in nine months ended December 31, 2025 from 15.75 billion Rupees in nine months of last year. The value of new business margin was 24.4% in nine months ended December 31, 2025 compared to 22.8% in FY2025 and in nine months of last year. The profit after tax of ICICI Life was 9.92 billion Rupees in nine months ended December 31, 2025 compared to 8.03 billion Rupees in nine months of last year and 3.90 billion Rupees in this quar ter compared to 3.26 billion Rupees in Q3 of last year.

Gross Direct Premium Income of ICICI General increased to 70.41 billion Rupees in this quarter from 62.14 billion Rupees in Q3 of last year. The combined ratio stood at 104.5% in this quarter compared to 102.7% in Q3 of last year. The profit after tax was 6.59 billion Rupees in this quarter compared to 7.24 billion Rupees in Q3 of last year.

The profit after tax of ICICI AMC, as per Ind AS, was 9.17 billion Rupees in this quarter compared to 6.32 billion Rupees in Q3 of last year.

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 4.75 billion Rupees in this quarter compared to 5.04 billion Rupees in Q3 of last year.

ICICI Bank Canada had a profit after tax of 5.4 million Canadian dollars in this quarter compared to 19.6 million Canadian dollars in Q3 of last year.

ICICI Bank UK had a profit after tax of 5.0 million US dollars in this quarter compared to 5.1 million US dollars in Q3 of last year.

As per Ind AS, ICICI Home Finance had a profit after tax of 1.95 billion Rupees in the current quarter compared to 2.03 billion Rupees in Q3 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.

Moderator:
Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania:
My first question is on the standard asset provision. So, what is the size of the portfolio on which these provisions were to be made? And what will be the impact on operating expenses now that you have that much lower priority portfolio? Also, what was the classification issue? As in, I mean, what was non -compliant about the classification? So, that's my first question. And my second question is on margins. So, obviously, margins are he ld steady. There is a rate cut and there is again aggressive competitio n in mortgage pricing. So, how do you view your margins from here on? Is there some amount of deposit repricing still left , which will help hold up margins at these levels in the near future? So, those were my questions.

Anindya Banerjee:
So, coming to the first set of questions, I think, as we have said, following the supervisory review, the regulator has directed us to make this provision of Rs. 12.83 billion , and that is what has been communicated and we have made it. The underlying portfolio that we need to work out and resolve in terms of ensuring conformity with the PSL guidelines would be between, Rs. 200 to 250 billion or so.

And as far as the cost aspect is concerned, we will be working to bring this portfolio into conformity with the regulatory expectations and thereby minimize both the provisioning and the PSL impact. On the underlying issues, I think those are really observations made by the regulator as part of its inspection process. So, we wouldn't want to go into those details , but the outcomes are what we have reported.

Coming to your next question on margin, as you rightly said, if we look at the current quarter , Q3, which has gone by, we did have the impact of repricing of loans, both on account of repo and MCLR. And we also had the seasonally higher non-accrual impact on the KCC NPAs. This was offset by some amount of deposit repricing and also the benefit of th e CRR cut. If we look ahead into Q4, I think that level of non -accrual will not be there. We w

ill see the impact of the repo repricing
as well as MCLR on the flo ating rate loan book, the repo cut which happened in December in particular. But at the same time, we should continue to see some amount of repricing of the retail deposits. So, overall, we would stay with our view that the NIM should be range -bound from h ere on.

Mahrukh Adajania:
Okay. Thank you. Thanks a lot.

Moderator:
Thank you. We'll take our next question from the line of Rikin Shah from IIFL Capital. Please go ahead.

Rikin Shah:
I had three questions. So, the first one is on, I just wanted to understand, was there any additional PSL cost due to the declassification of this agri -loans as non - PSL? Was there any cost in the P&L this quarter or any potential cost in operating expenses in the quarters to come? So, that's first.

The second one is on the growth. So, just wanted to get a sense, are you seeing any momentum of growth improving, i.e., even on month -on-month basis during Q3? And would you expect now the growth to improve from the current levels, within the constraints of your quality and risk framework?

And the third one, specifically on the credit card. So, what is weighing on the overall credit card book growth? Is it merely a decline in the share of transactor loans following the festive pick -up in Q2, or there is more to read into it? Those are my questions.

Anindya Banerjee:
So, first, in general , the cost of PSL compliance has been going up. We do meet a part of our PSL obligations by buying the priority sector lending certificates, and the cost of those has steadily gone up over the last few quarters. So, part of the increase, for example, or the level of operating expenses over the last couple of quarters has been due to that. But I would say that is not being done specifically in the context of this regulatory observation. That is something we keep looking at on a totality basis and analy sing what is the most efficient thing to do in terms of meeting the priority sector lending requirements.

As far as this particular observation is concerned, as I said, we would be working to kind of bring this portfolio into conformity with the regulatory expectations and thereby minimize the impact. And so, I would not want to call out any additional cost, etc. at this juncture. We will assess it in totality and see where we go , and try to absorb it in the P&L. So, that was the first one.

Your second question was on growth. So, clearly we have seen a pickup in the sequential growth rate in the fourth quarter vis -à-vis the third quarter, despite the rundown in cards, which I will come to separately, certainly there has been a pickup in moment um. And we see that momentum sustaining into the fourth quarter as well. Even the year -on-year growth rate, which is impacted by the trailing four quarters has picked up in the current quarter, reflecting more recent trends. And I would expect that to con tinue into Q4 as well.
On the credit card specifically, we had a very strong book growth sequentially in Q2 because of the last week festive spends, which were billed and repaid in the current quarter. So, that is the main reason for the movement in the current quarter. We feel that the book should grow from here on.

In both credit cards and PL, one thing, as we have been saying, that the quality of credit has certainly improved. So, if you look at our aggregate retail NPLs, excluding the KCC, have come down in terms of NPL formation. And we are pretty comfortable with the quality now across secured and unsecured.

In personal loans also, a very small uptick, but there has been an uptick in Q3 on the year -on-year growth and the sequential growth. So, we are quite positive on what we are underwriting. And it's a question of leveraging our franchise to grow these businesses. Of course, there is price competition across the board, but that's something we wi

ll have to keep optimizing and managing.

Rikin Shah:
So, just a clarification on the first one. While you are not calling out any additional operating expenses -related costs due to this regulatory observation, there would be this Rs. 200 billion -250 billion of the loans which are now declassified as PSL. So, to meet that shortfall, would you be requiring to do more of RIDF bonds or PSLC? Or do you think that the organic PSL generation itself will take care of the shortfall and hence no additional cost impact?

Anindya Banerjee:
So, the first step is that we will work to bring this portfolio into conformity with the PSL requirements. And that is how we will minimize the shortfall and the impact thereof. That would be the first objective. Thereafter, we will assess overall, as we d o in any case on an ongoing basis, that to the extent after organic and inorganic generation of priority sector loans, whether we should buy PSLCs or we can live with some amount of RIDF call, that is an analysis that we anyway

do on an ongoing basis. And over the years, we have improved our PSL compliance. So, our RIDF book outstanding currently , on a relatively larger balance sheet , is down to one -third of its peak level s.

Rikin Shah:
Got it, sir. Thank you. And congratulations, Mr. Bak hshi, for the appointment. Thank you.

Sandeep Bakhshi:
Thank you.

Moderator:
Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah:
A couple of questions, sorry, again, to harp upon on the credit card side. But even now, when we look at the portfolio, it is almost at a similar level to where we were in June. In fact, like hardly any growth out there over and above June. And this kind of a trend we had not seen in the earlier years during the festive wherein it tends to run down. So, any particular cohort or maybe like the transactor proportion significantly going up, which is leading to this?

Anindya Banerjee:
So, the transactor portion has gone up for across most players. In our case, there is nothing specific other than the fact that we had an unusually strong growth in Q2, and that has got an offset in Q3.

Kunal Shah:
But how should we compare it with first quarter or maybe Q4 end? Because since Q4 end also, there is a decline in the portfolio, and even from first quarter, it has just been flat over two quarters, despite this trend going up?

Anindya Banerjee:
See, as we have said in the past, we are not looking at credit card just as a product portfolio in itself, but really as part of an overall customer offering , and most of our new launches are aimed at enriching the offering to attract good customers and really be able to bank them on a 360 basis. But as I said, in this quarter, the book decline is more one -off and we should see it gradually improve from here on.

Kunal Shah:
Sure. And secondly, on the corporate side, so significant traction on a quarter -on-quarter basis. And within the risk framework or maybe on a risk -calibrated operating profit level, earlier it was thought that maybe PSU entities would not be giving us that kind of a benefit or operating profit. And we are seeing the increase in the BBB proportion as well. No doubt you have earlier alluded that , that's because of the business banking. But is the larger part of the growth on the corporate also coming in that segment of BBB or not really?

Anindya Banerjee:
No. If we look at our approach to the corporate sector - to the corporate loan growth, one, corporates are well -funded and have multiple sources of funding, to the extent that they are accessing bank funding, we are very happy to participate. It has been very price competitive. So , we do look at what is the overall relationship with the corporate. And wherever we have a franchise and we want to build a franchise, we do participate quite actively.

One of the things

that has changed maybe relative to the past couple of quarters
is kind of the settling of the benchmark because a lot of the lending is happening at external benchmark linked rates. So, the settling of the benchmark kind of gives us more c onfidence to price and lend.

From a credit quality perspective, we are quite comfortable with these rating grades. And, we have our own limits on BBB, for example, origination both in terms of aggregate and in terms of borrower size , and we are within those frameworks. So, we are quite comfortable with the quality.

Kunal Shah:
Sure. And lastly, on overall operating expenses growth, now getting closer to like, say, 13% odd, we had seen operating expenses growth being contained almost in a single digit. So, you indicated some cost of compliance being there , but is there any other element ? And would we see cost almost settling in a similar level? Or there are maybe cost containment levers which are available and it should grow below the balance sheet growth?

Anindya Banerjee:
We will see whatever is necessary to maximize kind of the overall PPOP. I don't expect, cost to go up at the pace at which they had gone up maybe till a couple of quarters ago. If you would see, sequentially this quarter, other than the impact of the Labour Code, costs would have come down marginally on an absolute basis. So , we will work towards maximizing the PPOP and not really cutting costs per se but definitely leveraging it as well as we can. Of course, one thing is that, as far as the Labour Code is concerned , what we have accounted for is really the additional estimates of liability as they stand today. On an ongoing basis , for all companies and banks, the code will marginally increase the recurring operating costs, but that's something we'll have to just absorb as we go forward.

Kunal Shah:
Okay. Got it. And congratulations Bak hshi sir for the reappointment.

Sandeep Bakhshi:
Thank you.

Moderator:
Thank you. Next question is from Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal:
Hi. Good evening and thanks for the opportunity. I have a few questions. One is on the BB segment. And if I look at the growth in the business banking has been like moderating for quite some time now. We have earlier already talked about that it is a conscious kind of a moderation that we are showing to while the quality overall remains strong. But how are we looking at this on an incremental basis? Do we now look to relax some filters? Has the growth rate now bottomed out? Some color around this?

Anindya Banerjee:
No, business banking, we are at full steam . Actually, the moderation in the growth rate is really just a function of the base. Even this quarter , on a year -on-year basis, we have grown at 22% , and even the accretion this quarter is close to the accretion we've seen on the corporate side probably. The portfolio in itself now is actually larger than the corporate portfolio slightly. So , we are not holding back, and we believe that there is enough untapped space for us to do. As the portfolio grows, the growth rate, will normally moderate. The portfolio quality has also held up well. So , we are quite happy with growing this portfolio.

Nitin Aggarwal:
Okay. And likewise on the unsecured, Anindya when you said that growth rates in credit card and PL will get better. Do you see this like now moving above the overall loan growth or it will just be a recovery from where we are? Because we are currently at a very, very muted levels. Some colors to that?

Anindya Banerjee:
I think that will take some time. When overall loan growth is 11.5 % and personal

loan is growing at 2 %, it would be foolhardy to say that it will cross that level , but we definitely believe it should pick up from these levels.

Nitin Aggarwal:
Right. And one on this standard provision that has happened , like earlier also

we
have seen this happening in another bank. So just curious to know, like, are large private banks more vulnerable to this RBI directive? I mean, whatever led to this directive from the RBI, are large private banks more vulnerable? Or you can see some things happening for PSU banks also?

Anindya Banerjee:
I really can't comment. We have to take the observation that has been given to us, comply with it and resolve it as best as we can.

Nitin Aggarwal:
Okay, great. Thank you so much.

Moderator:
Thank you. Next question is from MB Mahesh from Kotak Securities. Please go ahead.

MB Mahesh:
There are just two questions. One is on this low growth in deposits on the savings account side. If you could just kind of comment what's happening there?

Anindya Banerjee:
Yes. So actually, over the last two quarters, our growth in the retail savings account, the individual savings account has continued to be quite strong, adjusted for seasonality. That growth typically is much better in the first and second quarters because the salary accounts see a pickup in terms of the year - end payments and so on. But we, even in this quarter, have seen a pretty strong growth in the retail savings account. Over the last two quarters, we have seen a reduction in balances in what we call th e institutional banking savings accounts, which is essentially the government entities, the government schemes or departments that we bank. There the floats, the amounts have come down in absolute terms, which has resulted in a lower growth or flat on the overall savings. But the retail savings continues to do quite well. In fact, both the retail savings and the retail term, as well as the c urrent account, all have done we are quite happy with the way they are performing. The institutional SA has proved a bit of a dampener on the overall numbers. That's not that large a proportion of our deposit base , and hopefully , this impact will moderate going forward , but it has been an issue in the last couple of quarters.

MB Mahesh:
Okay. When you say the corporate deposits are not a large number, it's more than a double -digit number that we are talking about here?

Anindya Banerjee:
Yes, the institutional savings account would be 10% -12% now or definitely less than 15% of the average SA base.

MB Mahesh:
Okay. The second question is the share of AA and let's say, the high investment grade, how much are you willing to take it lower as per your internal expectations?

Anindya Banerjee:
See, we are quite comfortable with the A family and above. I think that historically , those ratings have proved to be reasonably stable and that is also where we find better risk -adjusted return. So , we are not hung up particularly on the AA, AAA part of it. And as I said, on the BBB, we have to do it selective ly and really look at the counterparty carefully and operate within our limit framework.

MB Mahesh:
Okay, sir. Thanks a lot.

Moderator:
Thank you. We'll take our next question from the line of Param Subramanian from Investec. Please go ahead.

Param Subramanian:
Congratulations to Mr. Bak hshi. But my first question is related to that. So , what is the thought process behind the Board seeking a two -year extension as opposed to a full three -year extension? Because there is nothing holding us back from a regulatory perspective. So how should the stakeholders read into that? Yes, that's my first question.

Anindya Banerjee:
So, I think the Board in consultation with the CEO have decided on a two -year appointment. As you know the current term itself ends in October 2026. So, from now till the end of the renewed term is almost three years. And nothing really further to add to that.
Param Subramanian:
Fair enough. So just if I can follow up on that. So, one might read into it that this might be his last term. So that's sort of, that's the sort of sign

al that comes
through. So, anything you want to add to that?

Anindya Banerjee:
No, as we said, we have three years to go. So, in a lighter vein, we ’ve hopefully addressed the speculation around October ‘26. And I think it's too early to speculate about October ‘28.

Param Subramanian:
Okay. Thank you. Very helpful answer. Second question, this is on the results. So , we saw a quarter -on-quarter yield on advances decline of about 21 basis points. Is this almost entirely the KCC reversal impact? This quarter impact would have been minimal.

Anindya Banerjee:
No, there would have been multiple thing s. So, for example, if you look at the repo cut, which happened in June, while all loans would have repriced some in July, some in August, and some in September, the portion which repriced in September would have seen only one month of impact in Q2 and two months of impact or the full impact in Q3. Similarly, our MCLRs have also come down. We are down by about 75 basis points in this rate cut cycle. So, that would also have progressively impacted the portfolio as it repriced. So, those would be equally relevant as far as the yield on advances is concerned.

Param Subramanian:
Fair enough. Thanks, Anindya. So, it means the KCC is not as much?

Anindya Banerjee:
As we said, just to be clear, to avoid confusion, the RBI observation on standard asset provisioning has no impact on asset classification. On a regular basis in Q1 and Q3 of every year, we see seasonally higher NPLs on the rural product, which is what leads to the non -accrual, and that has happened this year in Q3 as it happened in Q1 and as it happened in Q3 and Q1 of last year at the normal level. In addition, of course, we have had this whole repricing impact of the loan book, both the external benchmar k-linked book and the MCLR linked book.

Param Subramanian:
Got that, Anindya. Very clear. Last question, if I may, on the fees, right? So, I mean, core fee has been sort of soft at 6% YoY. So, how should we look at it? Will this pick up when the retail loan growth eventually starts picking up ? Or is unsecured or credit cards the number to track?

Anindya Banerjee:
So, in this quarter, the cards and payments piece has been something which has been a bit of a drag in terms of year -on-year growth in this number , that we hope will pick up. Loan growth also should contribute, although a lot of the loan related fees, the processing fees and so on are under some competitive pressure. But hopefully, we would want to grow this number from here on. One good thing is that it's an extremely granular number. As we have said, 78% of the fees even in this quarter were from the reta il, rural and business banking portfolios. And even the corporate fees are transaction banking -oriented fee s.

Param Subramanian:
Fair enough. Thank you so much. Congrats on the quarter.

Anindya Banerjee:
Thank you.

Moderator:
Thank you. We'll take our next question from the line of Suresh Ganapathy from Macquarie Capital. Please go ahead.

Suresh Ganapathy:
Yes, Anindya, what is your LCR this quarter?

Anindya Banerjee:
126%.

Suresh Ganapathy:
Okay. And post the new April 2026 guidelines , would it go up or go down?

Anindya Banerjee:
It will be kind of similar.

Suresh Ganapathy:
Okay. Flattish kind of a level. So, would you want to maintain around current levels LCR or what exactly do you guys consider? I mean, the normative level.

Anindya Banerjee:
I think that we kind of have a certain funding structure and we maintain a certain amount of liquidity as a cushion. And that results in this number. So, can it go up down 2-3 percentage points? It could. This is, of course, the number that we report is th e average for the quarter. So, in every month, there would be periods when it, for example, goes down to 120 or something like that. But yes, at an average level,

this is probably an okay level, somewhere above 120 or higher. We don't have a strict policy on that, but that's where we've been operating.

Suresh Ganapathy:
Okay. So, my final question is related to this , because if you look at it on a YoY basis, the deposit growth has lagged loan growth. We have seen a rising LDR. So, is LDR a constraint or is just a mere outcome ? As long as you maintain all these ratios intact, even if it goes up, it doesn't matter for the management or the Board. Is that the way we should look at it?

Anindya Banerjee:
See, LDR is a function of what is the liability structure on the balance sheet and banks with higher capital ratios, higher capital levels, higher net worth as a proportion of loans can afford a higher LDR. And it's also a function of the regulatory pre-emption . So, this quarter, for the entire system and for us and most banks, the LDR would have gone up because of the CRR cut. Given the current level of capital that we hold and the regulatory requirements of liquidity, this is an okay level. I don't see it going up from here. It can moderate marginally, but we are quite comfortable at this level. In terms of our funding side, as we always say, we want to maximize the retail deposits and CASA. And then we look at the

different types of wholesale funding available, which could be refinance, bonds, wholesale deposits and so on. And our reliance on wholesale deposits is pretty moderate.

Suresh Ganapathy:
Okay. Thank you, it’s clear.

Moderator:
Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference back to management for closing comments. Over to you, sir.

Anindya Banerjee:
Thank you very much for joining us on a Saturday evening, and we'll be available to take other questions. Thank you.

Moderator:
Thank you. On behalf of ICICI Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Jan 2026

ICICI Bank Limited
Earnings conference call - Quarter ended December 31, 2025 (Q 3-2026)
January 17, 2026



Moderator:

Ladies and gentlemen, good day and welcome to ICICI Bank Limited Q 3-FY2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Bakhshi – Managing Director and Chief Executive Officer of ICICI Bank. Thank you, and over to you, sir.

Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q3 of FY2026. Joining us today on this call are Sandeep Batra, Rakesh, Ajay, Anindya and Abhinek.

At ICICI Bank, our strategic focus continues to be on growing profit before tax excluding treasury through the 360 -degree customer centric approach and by serving opportunities across ecosystems and micro -markets. We continue to operate within the framewor k of our values to strengthen our franchise. Maintaining high standards of governance, deepening coverage and enhancing delivery capabilities with a focus on simplicity and operational resilience, are key drivers for our risk calibrated profitable growth.

The core operating profit increased by 6.0% year -on-year and 2.5% quarter -on-quarter to 175.13 billion Rupees in this quarter. The total provisions during the quarter were 25.56 billion Rupees. This includes additional standard asset provision of 12.83 bil lion Rupees made pursuant to Reserve Bank of India's annual supervisory review, which Anindya will explain later on the call. The profit before tax excluding treasury was 149.57 billion Rupees in this quarter compared to 152.89 billion Rupees in Q3 of last year. The profit after tax was 113.18 billion Rupees in this quarter compared to 11

7.92 billion Rupees in Q3 of last year.

Average deposits grew by 8.7% year -on-year and 1.8% sequentially and average current and savings account deposits grew by 8.9% year -on-year and 1.5% sequentially in this quarter. The Bank continued to see healthy growth in current account deposits and indi vidual term and savings deposits. Total deposits grew by 9.2% year -on-year and 2.9% sequentially at December 31, 2025. The Bank's average LCR for the quarter was about 126%.

The domestic loan portfolio grew by 11.5% year -on-year and 4.0% sequentially at December 31, 2025 compared to 10.6% and 3.3% at September 30, 2025. The retail loan portfolio grew by 7.2% year -on-year and 1.9% sequentially. Including non-fund based outstand ing, the retail portfolio was 42.2% of the total portfolio. The rural portfolio grew by 4.9% year -on-year and 7.2% sequentially. The business banking portfolio grew by 22.8% year -on-year and 4.7% sequentially. The domestic corporate portfolio grew by 5.6% year-on-year and 6.5% sequentially. The overall loan portfolio including the international branches portfolio grew by 11.5% year -on-year and 4.1% sequentially at December 31, 2025. The overseas loan portfolio was 2.4% of the overall loan book at December 31, 2025.

The net NPA ratio was 0.37% at December 31, 2025 compared to 0.39% at September 30, 2025 and 0.42% at December 31, 2024. During the quarter, there were net additions of 20.74 billion Rupees to gross NPAs, excluding write -offs and sale . The provisioning coverage ratio on non -performing loans was 75.4% at December 31, 2025. In addition, the Bank continues to hold contingency provisions of 131.00 billion Rupees or about 0.9% of total advances at December 31, 2025.

The capital position of the Bank continued to be strong with a CET -1 ratio of 16.46% and total capital adequacy ratio of 17.34% at December 31, 2025, including profits for 9M -2026.

Looking ahead, we see many opportunities to drive risk calibrated profitable growth and grow market share across key segments. We remain focused on maintaining a strong balance sheet, prudent provisioning and healthy levels of capital while delivering sust ainable and predictable returns to our shareholders.

I now hand the call over to Anindya.

Anindya's opening remarks

Thank you, Sandeep. Let me first talk about the additional standard asset provisions.

Following its annual supervisory review, RBI has directed the Bank to make a standard asset provision of 12.83 billion Rupees in respect of a portfolio of agricultural priority sector credit facilities wherein the terms of the facilities were found to be n ot fully compliant with the regulatory requirements for classification as agricultural priority sector lending. There is no change in asset classification or in the terms and conditions applicable to the borrowers or in the repayment behaviour of borrowers as per these terms. The Bank has been originating this portfolio over some years and will work to bring it in conformity with regulatory expectations. This additional standard asset provision will continue until the loans are repaid or renewed in conformi ty with the PSL classification guidelines.

I will now talk about loan growth, credit quality, P&L details and the performance of subsidiaries.

A. Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 11.1% year -on-year and 3.2% sequentially. A uto loans grew by 0.7% year -on-year and 0.9% sequentially. The commercial vehicles and equipment portfolio grew by 7.9% year-on-year and 3.2% sequentially. Personal loans grew by 2.4% year -on-year and 1.7% sequentially. The credit card portfolio declined by 3.5% year -on-year and 6.7% sequentially. During the quarter, we saw improved g rowth trends across the mortgage, rural and corporate portfolios. The sequential declin

e in the
credit card portfolio was due to high festive spends towards the end of the previous quarter, which had resulted in high sequential book growth in that quarter, and saw repayments in the current quarter.

Within the corporate portfolio:

• The total outstanding to NBFCs and HFCs was 791.18 billion Rupees at December 31, 2025 compared to 794.33 billion Rupees at September 30, 2025. The total outstanding loans to NBFCs and HFCs were about 4.3% of our advances at December 31, 2025.

• The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 680.83 billion Rupees at December 31, 2025 compared to 635.83 billion Rupees at September 30, 2025. The builder loan portfolio was 4.3% of ou r total loan portfolio. Our portfolio largely comprises well -established builders and this is also reflected in the sequential increase in the portfolio. About 1.1% of the builder portfolio at December 31, 2025 was either rated BB and below internally or w as classified as non -performing.

B. Credit quality

The gross NPA additions were 53.56 billion Rupees in the current quarter compared to 60.85 billion Rupees in Q3 of last year. Recoveries and upgrades from gross NPAs, excluding write -offs and sale, were 32.82 billion Rupees in the current quarter compared to 33.92 billion Rupees in Q3 of last year. The net additions to gross NPAs were 20.74 billion Rupees in the current quarter compared to 26.93 billion Rupees in Q3 of last year.

The gross NPA additions from the retail and rural portfolios were 42.77 billion Rupees in the current quarter compared to 53.04 billion Rupees in Q3 of last year. There were gross NPA additions of about 7.36 billion Rupees from the kisan credit card portfo lio in the current quarter compared to 7.14 billion Rupees in Q3 of last year. We typically see higher NPA additions from the kisan credit card portfolio in the first and third quarter of a fiscal year. Recoveries and upgrades from the retail and rural por tfolios were 25.39 billion Rupees in the current quarter compared to 27.86 billion Rupees in Q3 of last year. The net additions to gross NPAs in the retail and rural portfolios were 17.38 billion Rupees in the current quarter compared to 25.18 billion Rupe es in Q3 of last year.

The gross NPA additions from the corporate and business banking portfolios were 10.79 billion Rupees in the current quarter compared to 7.81 billion Rupees in Q3 of last year. Recoveries and upgrades from the corporate and business banking portfolios were 7.43 billion Rupees in the current quarter compared to 6.06 billion Rupees in Q3 of last year. There were net additions to gross NPAs of 3.36 billion Rupees in the current quarter in the corporate and business banking portfolios compared to 1.75 billion Ru pees in Q3 of last year.

The gross NPAs written off during the quarter were 20.46 billion Rupees. Further, there was sale of NPAs of 1.20 billion Rupees for cash in the current quarter.

The non -fund based outstanding to borrowers classified as non -performing was 22.29 billion Rupees as of December 31, 2025.

The loans and non -fund based outstanding to performing corporate borrowers rated BB and below was 33.92 billion Rupees at December 31, 2025. This portfolio was about 0.2% of our advances at December 31, 2025.

The total fund based outstanding to all standard borrowers under resolution as per various guidelines were 16.66 billion Rupees or about 0.1% of the total loan portfolio at December 31, 2025.

At the end of December, the total provisions, other than specific provisions on fund-based outstanding to borrowers classified as non -performing, were 226.57 billion Rupees or 1.5% of loans. This includes the contingency provisions of 131.00 billion Rupees as well as general provision on standard assets, provisions held for non-fund based outstanding to borrowers classified as non -per

forming, fund and
non-fund based outstanding to standard borrowers under resolution and BB and below portfolio. These provisi ons do not include additional standard asset provision as directed by RBI in respect of a portfolio of agricultural priority sector credit facilities.

Moving on to the P&L details:

C. P&L details

Net interest income increased by 7.7% year -on-year and 1.9% sequentially to 219.32 billion Rupees in this quarter. The net interest margin was 4.30% in this quarter compared to 4.30% in the previous quarter and 4.25% in Q3 of last year. The cost of deposit s was 4.55% in this quarter compared to 4.64% in the previous quarter and 4.91% in Q3 of last year. The benefit of interest on tax refund was 1 basis point in the current quarter compared to nil in the previous quarter and 1 basis point in Q3 of last year.

Of the total domestic loans, interest rates on about 56% of the loans are linked to the repo rate and other external benchmarks, 13% to MCLR and other older benchmarks and the remaining 31% of loans have fixed interest rates.

Non-interest income, excluding treasury, grew by 12.4% year -on-year and 2.3 % sequentially to 75.25 billion Rupees in Q3 of FY2026.

• Fee income increased by 6.3 % year-on-year and 1.2% sequentially to 65.72 billion Rupees in this quarter. Fees from retail, rural and business banking customers constituted about 78% of the total fees in this quarter.

• Dividend income from subsidiaries was 6.81 billion Rupees in this quarter compared to 8.10 billion Rupees in the previous quarter and 5.09 billion Rupees in Q3 of last year. The year -on-year increase in dividend income was primarily due to receipt of inter im dividend from ICICI Securities

On Costs: The Bank's operating expenses increased by 13.2% year -on-year and 1.2% sequentially in this quarter. Employee expenses increased by 12.5% year - on-year and 1.8% sequentially in this quarter, including the impact of 1.45 billion Rupees of provisions on an estimated basis pursuant to the new Labour Codes. Non-employee expenses increased by 13.6% year -on-year and 0.8% sequentially in this quarter. Our branch count has increased by 402 in 9M of the current year. We had 7,385 branches as of December 31, 2025. The technology expenses were about 11% of our operating expenses in 9M of the current year.

The total provisions during the quarter were 25.56 billion Rupees. Excluding the additional standard asset provision, the total provisions were 12.73 billion Rupees or 7.3% of core operating profit and 0.36% of average advances compared to the provisions of 12.27 billion Rupees in Q3 of last year.

The profit before tax excluding treasury was 149.57 billion Rupees in this quarter compared to 152.89 billion Rupees in Q3 of last year.

There was a treasury loss of 1.57 billion Rupees in Q3 of the current year as compared to gain of 2.20 billion Rupees in Q2 of current year and gain of 3.71 billion Rupees in Q3 of the previous year primarily reflecting market movements.

The tax expense was 34.82 billion Rupees in this quarter compared to 38.68

billion Rupees in the corresponding quarter last year. The profit after tax was 113.18 billion Rupees in this quarter compared to 117.92 billion Rupees in Q3 of last year.

Adjusting for additional standard asset provisioning, the profit before tax excluding treasury would have increased by 6.2% year on year to 162.40 billion Rupees and similarly, profit after tax would have increased by 4.1% year on year to 122.80 billion Ru pees in this quarter. Return on average assets and standalone RoE would have been 2.3% and 15.5% respectively in this quarter.

D. Consolidated results

The consolidated profit after tax was 125.38 billion Rupees in this quarter compared to 128.83 billion Rupees in Q3 of last year.

The details of the financial performance of key subsidiaries are covered in slides 33 to 36 and 55 t

o 60 in the investor presentation.

The annualised premium equivalent of ICICI Life was 68.11 billion Rupees in nine months ended December 31, 2025 compared to 69.05 billion Rupees in nine months of last year. The value of new business increased to 16.64 billion Rupees in nine months ended December 31, 2025 from 15.75 billion Rupees in nine months of last year. The value of new business margin was 24.4% in nine months ended December 31, 2025 compared to 22.8% in FY2025 and in nine months of last year. The profit after tax of ICICI Life was 9.92 billion Rupees in nine months ended December 31, 2025 compared to 8.03 billion Rupees in nine months of last year and 3.90 billion Rupees in this quar ter compared to 3.26 billion Rupees in Q3 of last year.

Gross Direct Premium Income of ICICI General increased to 70.41 billion Rupees in this quarter from 62.14 billion Rupees in Q3 of last year. The combined ratio stood at 104.5% in this quarter compared to 102.7% in Q3 of last year. The profit after tax was 6.59 billion Rupees in this quarter compared to 7.24 billion Rupees in Q3 of last year.

The profit after tax of ICICI AMC, as per Ind AS, was 9.17 billion Rupees in this quarter compared to 6.32 billion Rupees in Q3 of last year.

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 4.75 billion Rupees in this quarter compared to 5.04 billion Rupees in Q3 of last year.

ICICI Bank Canada had a profit after tax of 5.4 million Canadian dollars in this quarter compared to 19.6 million Canadian dollars in Q3 of last year.

ICICI Bank UK had a profit after tax of 5.0 million US dollars in this quarter compared to 5.1 million US dollars in Q3 of last year.

As per Ind AS, ICICI Home Finance had a profit after tax of 1.95 billion Rupees in the current quarter compared to 2.03 billion Rupees in Q3 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.

Moderator:
Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania:
My first question is on the standard asset provision. So, what is the size of the portfolio on which these provisions were to be made? And what will be the impact on operating expenses now that you have that much lower priority portfolio? Also, what was the classification issue? As in, I mean, what was non -compliant about the classification? So, that's my first question. And my second question is on

margins. So, obviously, margins are he ld steady. There is a rate cut and there is again aggressive competitio n in mortgage pricing. So, how do you view your margins from here on? Is there some amount of deposit repricing still left , which will help hold up margins at these levels in the near future? So, those were my questions.

Anindya Banerjee:
So, coming to the first set of questions, I think, as we have said, following the supervisory review, the regulator has directed us to make this provision of Rs. 12.83 billion , and that is what has been communicated and we have made it. The underlying portfolio that we need to work out and resolve in terms of ensuring conformity with the PSL guidelines would be between, Rs. 200 to 250 billion or so.

And as far as the cost aspect is concerned, we will be working to bring this portfolio into conformity with the regulatory expectations and thereby minimize both the provisioning and the PSL impact. On the underlying issues, I think those are really observations made by the regulator as part of its inspection process. So, we wouldn't want to go into those details , but the outcomes are what we have reported.

Coming to your next question on margin, as you rightly said, if we look at the current quarter , Q3, which has gone by, we did have the impact of repricing of loans, both on accou

nt of repo and MCLR. And we also had the seasonally higher non-accrual impact on the KCC NPAs. This was offset by some amount of deposit repricing and also the benefit of th e CRR cut. If we look ahead into Q4, I think that level of non -accrual will not be there. We will see the impact of the repo repricing as well as MCLR on the flo ating rate loan book, the repo cut which happened in December in particular. But at the same time, we should continue to see some amount of repricing of the retail deposits. So, overall, we would stay with our view that the NIM should be range -bound from h ere on.

Mahrukh Adajania:
Okay. Thank you. Thanks a lot.

Moderator:
Thank you. We'll take our next question from the line of Rikin Shah from IIFL Capital. Please go ahead.

Rikin Shah:
I had three questions. So, the first one is on, I just wanted to understand, was there any additional PSL cost due to the declassification of this agri -loans as non - PSL? Was there any cost in the P&L this quarter or any potential cost in operating expenses in the quarters to come? So, that's first.

The second one is on the growth. So, just wanted to get a sense, are you seeing any momentum of growth improving, i.e., even on month -on-month basis during Q3? And would you expect now the growth to improve from the current levels, within the constraints of your quality and risk framework?

And the third one, specifically on the credit card. So, what is weighing on the overall credit card book growth? Is it merely a decline in the share of transactor loans following the festive pick -up in Q2, or there is more to read into it? Those are my questions.

Anindya Banerjee:
So, first, in general , the cost of PSL compliance has been going up. We do meet a part of our PSL obligations by buying the priority sector lending certificates, and the cost of those has steadily gone up over the last few quarters. So, part of the increase, for example, or the level of operating expenses over the last couple of quarters has been due to that. But I would say that is not being done specifically in the context of this regulatory observation. That is something we keep looking at on a totality basis and analy sing what is the most efficient thing to do in terms of meeting the priority sector lending requirements.

As far as this particular observation is concerned, as I said, we would be working to kind of bring this portfolio into conformity with the regulatory expectations and thereby minimize the impact. And so, I would not want to call out any additional cost, etc. at this juncture. We will assess it in totality and see where we go , and try to absorb it in the P&L. So, that was the first one.

Your second question was on growth. So, clearly we have seen a pickup in the sequential growth rate in the fourth quarter vis -à-vis the third quarter, despite the rundown in cards, which I will come to separately, certainly there has been a pickup in moment um. And we see that momentum sustaining into the fourth quarter as well. Even the year -on-year growth rate, which is impacted by the trailing four quarters has picked up in the current quarter, reflecting more recent trends. And I would expect that to con tinue into Q4 as well.
On the credit card specifically, we had a very strong book growth sequentially in Q2 because of the last week festive spends, which were billed and repaid in the current quarter. So, that is the main reason for the movement in the current quarter. We feel that the book should grow from here on.

In both credit cards and PL, one thing, as we have been saying, that the quality of credit has certainly improved. So, if you look at our aggregate retail NPLs, excluding the KCC, have come down in terms of NPL formation. And we are pretty comfortable with the quality now across secured and unsecured.

In personal loans also, a very small uptick, but there has been an uptick in Q

3 on
the year -on-year growth and the sequential growth. So, we are quite positive on what we are underwriting. And it's a question of leveraging our franchise to grow these businesses. Of course, there is price competition across the board, but that's something we will have to keep optimizing and managing.

Rikin Shah:
So, just a clarification on the first one. While you are not calling out any additional operating expenses -related costs due to this regulatory observation, there would be this Rs. 200 billion -250 billion of the loans which are now declassified as PSL. So, to meet that shortfall, would you be requiring to do more of RIDF bonds or PSLC? Or do you think that the organic PSL generation itself will take care of the shortfall and hence no additional cost impact?

Anindya Banerjee:
So, the first step is that we will work to bring this portfolio into conformity with the PSL requirements. And that is how we will minimize the shortfall and the impact thereof. That would be the first objective. Thereafter, we will assess overall, as we d o in any case on an ongoing basis, that to the extent after organic and inorganic generation of priority sector loans, whether we should buy PSLCs or we can live with some amount of RIDF call, that is an analysis that we anyway do on an ongoing basis. And over the years, we have improved our PSL compliance. So, our RIDF book outstanding currently , on a relatively larger balance sheet , is down to one -third of its peak level s.

Rikin Shah:
Got it, sir. Thank you. And congratulations, Mr. Bak hshi, for the appointment. Thank you.

Sandeep Bakhshi:
Thank you.

Moderator:
Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah:
A couple of questions, sorry, again, to harp upon on the credit card side. But even now, when we look at the portfolio, it is almost at a similar level to where we were in June. In fact, like hardly any growth out there over and above June. And this kind of a trend we had not seen in the earlier years during the festive wherein it tends to run down. So, any particular cohort or maybe like the transactor

proportion significantly going up, which is leading to this?

Anindya Banerjee:
So, the transactor portion has gone up for across most players. In our case, there is nothing specific other than the fact that we had an unusually strong growth in Q2, and that has got an offset in Q3.

Kunal Shah:
But how should we compare it with first quarter or maybe Q4 end? Because since Q4 end also, there is a decline in the portfolio, and even from first quarter, it has just been flat over two quarters, despite this trend going up?

Anindya Banerjee:
See, as we have said in the past, we are not looking at credit card just as a product portfolio in itself, but really as part of an overall customer offering , and most of our new launches are aimed at enriching the offering to attract good customers and really be able to bank them on a 360 basis. But as I said, in this quarter, the book decline is more one -off and we should see it gradually improve from here on.

Kunal Shah:
Sure. And secondly, on the corporate side, so significant traction on a quarter -on-quarter basis. And within the risk framework or maybe on a risk -calibrated operating profit level, earlier it was thought that maybe PSU entities would not be giving us that kind of a benefit or operating profit. And we are seeing the increase in the BBB proportion as well. No doubt you have earlier alluded that , that's because of the business banking. But is the larger part of the growth on the corporate also coming in that segment of BBB or not really?

Anindya Banerjee:
No. If we look at our approach to the corporate sector - to the corporate loan growth, one, corporates are well -funded and have multiple sources of funding, to the extent that they are accessing bank fund

ing, we are very happy to participate.
It has been very price competitive. So , we do look at what is the overall relationship with the corporate. And wherever we have a franchise and we want to build a franchise, we do participate quite actively.

One of the things that has changed maybe relative to the past couple of quarters is kind of the settling of the benchmark because a lot of the lending is happening at external benchmark linked rates. So, the settling of the benchmark kind of gives us more c onfidence to price and lend.

From a credit quality perspective, we are quite comfortable with these rating grades. And, we have our own limits on BBB, for example, origination both in terms of aggregate and in terms of borrower size , and we are within those frameworks. So, we are quite comfortable with the quality.

Kunal Shah:
Sure. And lastly, on overall operating expenses growth, now getting closer to like, say, 13% odd, we had seen operating expenses growth being contained almost in a single digit. So, you indicated some cost of compliance being there , but is there any other element ? And would we see cost almost settling in a similar level? Or there are maybe cost containment levers which are available and it should grow below the balance sheet growth?

Anindya Banerjee:
We will see whatever is necessary to maximize kind of the overall PPOP. I don't expect, cost to go up at the pace at which they had gone up maybe till a couple of quarters ago. If you would see, sequentially this quarter, other than the impact of the Labour Code, costs would have come down marginally on an absolute basis. So , we will work towards maximizing the PPOP and not really cutting costs per se but definitely leveraging it as well as we can. Of course, one thing is that,

as far as the Labour Code is concerned , what we have accounted for is really the additional estimates of liability as they stand today. On an ongoing basis , for all companies and banks, the code will marginally increase the recurring operating costs, but that's something we'll have to just absorb as we go forward.

Kunal Shah:
Okay. Got it. And congratulations Bak hshi sir for the reappointment.

Sandeep Bakhshi:
Thank you.

Moderator:
Thank you. Next question is from Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal:
Hi. Good evening and thanks for the opportunity. I have a few questions. One is on the BB segment. And if I look at the growth in the business banking has been like moderating for quite some time now. We have earlier already talked about that it is a conscious kind of a moderation that we are showing to while the quality overall remains strong. But how are we looking at this on an incremental basis? Do we now look to relax some filters? Has the growth rate now bottomed out? Some color around this?

Anindya Banerjee:
No, business banking, we are at full steam . Actually, the moderation in the growth rate is really just a function of the base. Even this quarter , on a year -on-year basis, we have grown at 22% , and even the accretion this quarter is close to the accretion we've seen on the corporate side probably. The portfolio in itself now is actually larger than the corporate portfolio slightly. So , we are not holding back, and we believe that there is enough untapped space for us to do. As the portfolio grows, the growth rate, will normally moderate. The portfolio quality has also held up well. So , we are quite happy with growing this portfolio.

Nitin Aggarwal:
Okay. And likewise on the unsecured, Anindya when you said that growth rates in credit card and PL will get better. Do you see this like now moving above the overall loan growth or it will just be a recovery from where we are? Because we are currently at a very, very muted levels. Some colors to that?

Anindya Banerjee:
I think that will take some time. When overall loan growth is

11.5 % and personal
loan is growing at 2 %, it would be foolhardy to say that it will cross that level , but we definitely believe it should pick up from these levels.

Nitin Aggarwal:
Right. And one on this standard provision that has happened , like earlier also we have seen this happening in another bank. So just curious to know, like, are large private banks more vulnerable to this RBI directive? I mean, whatever led to this directive from the RBI, are large private banks more vulnerable? Or you can see some things happening for PSU banks also?

Anindya Banerjee:
I really can't comment. We have to take the observation that has been given to us, comply with it and resolve it as best as we can.

Nitin Aggarwal:
Okay, great. Thank you so much.

Moderator:
Thank you. Next question is from MB Mahesh from Kotak Securities. Please go ahead.

MB Mahesh:
There are just two questions. One is on this low growth in deposits on the savings account side. If you could just kind of comment what's happening there?

Anindya Banerjee:
Yes. So actually, over the last two quarters, our growth in the retail savings account, the individual savings account has continued to be quite strong, adjusted for seasonality. That growth typically is much better in the first and second quarters because the salary accounts see a pickup in terms of the year - end payments and so on. But we, even in this quarter, have seen a pretty strong growth in the retail savings account. Over the last two quarters, we have seen a reduction in balances in what we call th e institutional banking savings accounts, which is essentially the government entities, the government schemes or departments that we bank. There the floats, the amounts have come down in absolute terms, which has resulted in a lower growth or flat on the overall savings. But the retail savings continues to do quite well. In fact, both the retail savings and the retail term, as well as the c urrent account, all have done we are quite happy with the way they are performing. The institutional SA has proved a bit of a dampener on the overall numbers. That's not that large a proportion of our deposit base , and hopefully , this impact will moderate going forward , but it has been an issue in the last couple of quarters.

MB Mahesh:
Okay. When you say the corporate deposits are not a large number, it's more than a double -digit number that we are talking about here?

Anindya Banerjee:
Yes, the institutional savings account would be 10% -12% now or definitely less than 15% of the average SA base.

MB Mahesh:
Okay. The second question is the share of AA and let's say, the high investment grade, how much are you willing to take it lower as per your internal expectations?

Anindya Banerjee:
See, we are quite comfortable with the A family and above. I think that historically , those ratings have proved to be reasonably stable and that is also where we find better risk -adjusted return. So , we are not hung up particularly on the AA, AAA part of it. And as I said, on the BBB, we have to do it selective ly and really look at the counterparty carefully and operate within our limit framework.

MB Mahesh:
Okay, sir. Thanks a lot.

Moderator:
Thank you. We'll take our next question from the line of Param Subramanian from Investec. Please go ahead.

Param Subramanian:
Congratulations to Mr. Bak hshi. But my first question is related to that. So , what is the thought process behind the Board seeking a two -year extension as opposed to a full three -year extension? Because there is nothing holding us back from a regulatory perspective. So how should the stakeholders read into that? Yes, that's my first question.

Anindya Banerjee:
So, I think the Board in consultation with the CEO have decided on a two -year appointment. As you know the current term itself ends in October 2026. So, from now till

the end of the renewed term is almost three years. And nothing really further to add to that.

Param Subramanian:
Fair enough. So just if I can follow up on that. So, one might read into it that this might be his last term. So that's sort of, that's the sort of signal that comes through. So, anything you want to add to that?

Anindya Banerjee:
No, as we said, we have three years to go. So, in a lighter vein, we 've hopefully addressed the speculation around October '26. And I think it's too early to speculate about October '28.

Param Subramanian:
Okay. Thank you. Very helpful answer. Second question, this is on the results. So , we saw a quarter -on-quarter yield on advances decline of about 21 basis points. Is this almost entirely the KCC reversal impact? This quarter impact would have been minimal.

Anindya Banerjee:
No, there would have been multiple thing s. So, for example, if you look at the repo cut, which happened in June, while all loans would have repriced some in July, some in August, and some in September, the portion which repriced in September would have seen only one month of impact in Q2 and two months of impact or the full impact in Q3. Similarly, our MCLRs have also come down. We are down by about 75 basis points in this rate cut cycle. So, that would also have progressively impacted the portfolio as it repriced. So, those would be equally relevant as far as the yield on advances is concerned.

Param Subramanian:
Fair enough. Thanks, Anindya. So, it means the KCC is not as much?

Anindya Banerjee:
As we said, just to be clear, to avoid confusion, the RBI observation on standard asset provisioning has no impact on asset classification. On a regular basis in Q1 and Q3 of every year, we see seasonally higher NPLs on the rural product, which is what leads to the non -accrual, and that has happened this year in Q3 as it happened in Q1 and as it happened in Q3 and Q1 of last year at the normal level. In addition, of course, we have had this whole repricing impact of the loan book, both the external benchmar k-linked book and the MCLR linked book.

Param Subramanian:
Got that, Anindya. Very clear. Last question, if I may, on the fees, right? So, I mean, core fee has been sort of soft at 6% YoY. So, how should we look at it? Will this pick up when the retail loan growth eventually starts picking up ? Or is unsecured or credit cards the number to track?

Anindya Banerjee:
So, in this quarter, the cards and payments piece has been something which has been a bit of a drag in terms of year -on-year growth in this number , that we hope will pick up. Loan growth also should contribute, although a lot of the loan related fees, the processing fees and so on are under some competitive pressure. But hopefully, we would want to grow this number from here on. One good thing is that it's an extremely granular number. As we have said, 78% of the fees even in this quarter were from the reta il, rural and business banking portfolios. And even the corporate fees are transaction banking -oriented fee s.

Param Subramanian:
Fair enough. Thank you so much. Congrats on the quarter.

Anindya Banerjee:
Thank you.

Moderator:
Thank you. We'll take our next question from the line of Suresh Ganapathy from Macquarie Capital. Please go ahead.

Suresh Ganapathy:
Yes, Anindya, what is your LCR this quarter?

Anindya Banerjee:
126%.

Suresh Ganapathy:
Okay. And post the new April 2026 guidelines , would it go up or go down?

Anindya Banerjee:
It will be kind of similar.

Suresh Ganapathy:
Okay. Flattish kind of a level. So, would you want to maintain around current levels LCR or what exactly do you guys consider? I mean, the normative level.

Anindya Banerjee:
I think that we kind of have a certain funding structure and we maintain a certain amount of liquidity as a cushion. And that results in this number. S

o, can it go up
down 2-3 percentage points? It could. This is, of course, the number that we report is th e average for the quarter. So, in every month, there would be periods when it, for example, goes down to 120 or something like that. But yes, at an average level, this is probably an okay level, somewhere above 120 or higher. We don't have a strict policy on that, but that's where we've been operating.

Suresh Ganapathy:
Okay. So, my final question is related to this , because if you look at it on a YoY basis, the deposit growth has lagged loan growth. We have seen a rising LDR. So, is LDR a constraint or is just a mere outcome ? As long as you maintain all these ratios intact, even if it goes up, it doesn't matter for the management or the Board. Is that the way we should look at it?

Anindya Banerjee:
See, LDR is a function of what is the liability structure on the balance sheet and banks with higher capital ratios, higher capital levels, higher net worth as a proportion of loans can afford a higher LDR. And it's also a function of the regulatory pre-emption . So, this quarter, for the entire system and for us and most banks, the LDR would have gone up because of the CRR cut. Given the current level of capital that we hold and the regulatory requirements of liquidity, this is an okay level. I don't see it going up from here. It can moderate marginally, but we are quite comfortable at this level. In terms of our funding side, as we always say, we want to maximize the retail deposits and CASA. And then we look at the different types of wholesale funding available, which could be refinance, bonds, wholesale deposits and so on. And our reliance on wholesale deposits is pretty moderate.

Suresh Ganapathy:
Okay. Thank you, it’s clear.

Moderator:
Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference back to management for closing comments. Over to you, sir.

Anindya Banerjee:
Thank you very much for joining us on a Saturday evening, and we'll be available to take other questions. Thank you.

Moderator:
Thank you. On behalf of ICICI Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Apr 2026

April 24, 2026
BSE Limited
Listing Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot No. C/1, G Block
Bandra-Kurla Complex
Bandra(East Mumbai 400 051
Dear Sir/Madam,
Please find attached the transcripts of the call with media and of earnings call with analysts and investors on the financial results for the quarter and financial year ended March 31, 2026.
The same have also been uploaded on the website of the Bank and can be accessed at the below links:
Sr.
No Particulars Link
1.Transcript of the Media
Conference Callhttps://www.icici.bank.in/about -us/news -
room/2026/interaction-with-media-on-icici-
banks-financial-performance-in-the-quarter-
ended-march-31-2026
2. Transcript of the Earnings Call
with Analysts and Investors https://www.icici.bank.in/about -us/qfr
This is for your records and information.
Yours sincerely,
For ICICI Bank Limited
Vivek Ranjan
Leadership Team
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(ii)Japan Securities Dealers Association ( (iv)SIX Swiss Exchange Ltd.
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ICICI Bank Limited
Media conference call for quarter ended March 31, 2026
On April 18 , 2026
Certain definitions in this release relating to a future period of time (including inter alia concerning our future business plans or growth prospects) are forward -looking statements intended to qualify for the 'safe harbor' under applicable securities laws including the US Private Securities Litigation Reform Act of 1995. Su ch forward -looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward -looking statements. These risks and uncertainties include, but are not limited to statutory and regula tory changes, international economic and business conditions, political or economic instability in the jurisdictions where we have operations or which affect global or Indian economic conditions, increase in nonperforming loans, unanticipated changes in in terest rates, foreign exchange rates, equity prices or other rates or prices, our growth and expansion in business, the adequacy of our allowance for credit losses, the actual growth in demand for banking products and services, investment income, cash flow projections, our exposure to market risks, changes in India’s sovereign rating, as well as other risks detailed in the reports filed by us with the United States Securities and Exchange Commission. Any forward -looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward -looking statements to reflect events or circumstances after the date thereof. Additional risks that could affect our futu re operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov This release does not constitute an offer of securities.
Moderator:
We are going to start ICICI Bank's results conference call now with Mr. Sandeep Batra's opening remarks. You can ask questions at the end of his remarks. Should you need assistance during this conference call, you may signal the operator by pressing ‘*’ then ‘0’ on your phone.
Ladies and gentlemen, we welcome you all to ICICI Bank's results conference call with Mr. Sandeep Batra – Executive Director, ICICI Bank, and Mr. Anindya Banerjee – Group Chief Financial Officer, ICICI Bank.
Mr. Batra will now give you an overview of the results, which will be followed by a Q&A

session. Thank you and over to you, sir.
Sandeep Batra:
Good evening everyone. Thank you all for joining us today.
Amidst the global uncertainties, the Indian economy has continued to show resilience, supported by timely and effective m

easures taken by the Government and regulators.
We continue to monitor the developments closely and remain focussed on our long -term strategy, aligned with India’s evolving economic landscape.
At ICICI Bank, our strategic focus continues to be on growing profit before tax excluding treasury through the 360 -degree customer centric approach and by serving opportunities across ecosystems and micromarkets. We continue to operate within the framework of our values to strengthen our franchise. Maintaining high standards of

governance, deepening coverage and enhancing delivery capabilities with a focus on simplicity and operational resilience, are key drivers for our risk calibrated profitable growth.
Our Board has today approved the financial results of ICICI Bank for the quarter and year ended March 31, 2026. I would like to highlight some key numbers:
First, moving on to profit and capital
A. Profit and capital
1. Net interest income grew by 8.4% year -on-year to ■22,979 crore in Q4 -2026
2. Net interest margin was 4.32% in Q4 -2026 compared to 4.30% in Q3 -2026
3. Fee income grew by 7.5% year -on-year to ■6,779 crore in Q4 -2026
4. Operating expenses grew by 12.0% year -on-year to ■12,089 crore in Q4 -2026
5. Core operating profit grew by 5.1% year -on-year to ■18,305 crore in Q4 -2026
6. Provisions (excluding provision for tax) were ■96 crore in Q4 -2026 reflecting healthy asset quality and higher recoveries and write -backs.
7. Profit before tax excluding treasury grew by 10.1% year -on-year to ■18,209 crore in Q4-2026 and grew by 7.1% year -on-year to ■65,021 cror e in FY2026
8. Profit after tax grew by 8.5% year -on-year to ■13,702 crore in Q4 2026 and grew by 6.2% year -on-year and was above ■50,000 crore in FY2026
9. Consolidated profit after tax grew by 9.3% year -on-year to ■14,755 crore in Q4 - 2026 and grew by 6.2% year -on-year to ■54,208 crore in FY2026
10. The Board has recommended a dividend of ■12 per share for FY2026. The declaration and payment of dividend is subject to requisite approvals
11. At March 31, 2026, the Bank had net worth of about ■3.4 lakh crore. After reckoning the impact of proposed dividend, CET -1 ratio was 16.35% and total capital adequacy ratio was 17.18%
Moving on to deposit growth
B. Deposit growth
1. Total period -end deposits increased by 11.4% year -on-year and 8.1% quarter -on-quarter at March 31, 2026
2. Average current and savings account deposits increased by 11.3% year -on-year
3. The Bank opened 126 branches during Q4 -2026 and 528 branches in the last 12 months and had a network of 7,511 branches and 12,087 ATMs and cash recycling machines at March 31, 2026
Moving on to loan growth
C. Loan growth
1. The total loan portfolio grew by 15.8% year -on-year and 6.0% quarter -on-quarter at March 31, 2026
2. The retail loan portfolio grew by 9.5% year -on-year. Including non -fund outstanding, the retail loan portfolio was 41.7% of the total portfolio. The mortgage portfolio grew by 13.2% year -on-year. The business banking portfolio

grew by 24.4% year -on-year. Growth in the domestic corporate portfolio was 9.3% year -on-year at March 31, 2026
3. About 71.9% of the corporate loan portfolio was rated ‘A - and above’ at March 31, 2026
Moving on to asset quality
D. Asset Quality
1. Net NPA ratio was 0.33% at March 31, 2026 compared to 0.37% at December 31, 2025
2. During Q4 -2026, there were net additions to gross NPAs of ■1,174 cror e
3. Gross NPA additions were ■4,242 crore in Q4 -2026. Recoveries and upgrades of NPAs, excluding write -offs and sale, were ■3,068 crore in Q4 -2026
4. Gross NPAs written off were ■1,768 crore in Q4 -2026

5. There was sale of NPAs of ■112 crore in the current quarter
6. Provisioning coverage ratio on non -performing loans was 75.8% at March 31, 2026
7. Total fund based outstanding to all borrowers under resolution as per the various extant regulations was ■1,496 crore
8. Loans and non -fund based outstanding to performing corporate borrowers rated BB and below were ■3,519 crore at March 31, 2026
9. The total provisions during Q4 -2026 were ■96 crore or about 0.5% of core operating profit and 0.03% of average advances
10. The Bank continues to hold contingency provisions of ■13,100 crore at March 31, 2026

Customers are at the heart of what we do and providing them a safe environment is paramount. I would like to share some of the recent initiatives on our customer centricity approach .

Enhancing our digital banking platforms:

We have refined our digital platforms to better align with customer needs. In our mobile banking app, iMobile, the ‘My Loans’ section has been redesigned for a more streamlined experience. Customers can now view all loans and statements in one place, check overdues, and access the no objection or no dues certificates and income tax certificates with ease. Blogs and FAQs have also been added for additional guidance.

We have revamped the user interface of InstaBIZ, our mobile banking app for businesses, and our Corporate Net Banking platform. The redesigned interfaces, simplify navigation, and provide a more comprehensive view of all the sections. On InstaBIZ, role -based dashboards for makers and checkers help speed up transaction approvals and improve traceability.

Making banking more convenient for NRI customers:

NRI customers can now access Money2India, our money transfer platform, through the iMobile app. This feature is available in the USA, UK, Canada, Europe, and UAE, making cross border banking more accessible.



We have also launched iMobile Global, a unifie d banking app for NRI customers. It is currently available in the UK and will soon be expanded to other international geographies. The app provides a consolidated view of both domestic and NRO/NRE savings accounts.

As part of our initiatives to further simplify banking, we have introduced various features in iMobile. Customers can now instantly access, download and share their digital cancelled cheque directly from the app, without the need of a physical chequebook. It makes account verification and payment setup effortless. We have also enhanced the inward remittance experience. All the key details a recipient in India needs to share with an overseas sender, including purpose and currency, are now consolidated in a s ingle document, with an option to download and share.

Through these initiatives, we continue to take meaningful steps to improve service quality and support customers in their everyday banking needs.

Going forward, we will continue to operate within our strategic framework while focussing on micromarkets and ecosystems. The principles of “Fair to Customer, Fair to Bank”, “One Bank, One Team” and “Return of Capital” will guide our operations. We focus on building a culture where every employee in the Bank serves customers with humility and upholds the values of brand ICICI. We aim to be the trusted financial services provider of choice for our customers and deliver sustainable returns to our shareholders .

With this, I conclude my opening remarks, and will be happy to take your questions.

Moderator:

Thank you very much. We will now begin the Q&A session with Mr. Batra and Mr. Banerjee. Anyone who wishes to ask a question may press ‘*’ and ‘1’ on the telephone. If you wish to remove yourself from the question queue, you may press ‘*’ and ‘2’.

Today's announcement is on the Bank's financial performance. Hence, we would like to request you to ask questions related to that. Please write to the Corporate Communications team separately for any other queries.

Due to time constraints, I request all of you to ask two questions at a time. If you have additional queries, you may join the queue again , if time permits. Thank you.

We will take our first question from Mayur Shetty from Times of India. Please go ahead.

Mayur Shetty:

Hello. Congratulations on the milestone profits. I had a couple of questions. Firstly, did you all have to make any losses on account of these RBI measures to put limits on the forex transactions? And secondly, there was a report that ICICI Bank is facilitating payments to Iran. Just wanted to check , would that expose you to any kind of risks , since there is a sanction?

Sandeep Batra:

I will just answer the first question. There has been a treasury loss of about ■106 crore in Q4 compared to a loss of about ■157 crore in the previous quarter and a gain of ■239



crore in Q4 of the previous year. This primarily reflects market movements. Of course, the Bank had some open positions on onshore market , which were required to be reduced as per RBI guidelines. And treasury income of this ■109 crore loss, does reflect the impact of the widening of spread , post issuance of this guideline.

Kausik Datta:

Mayur, Kausik here. On the second question about the Iranian oil, I would rather request you to concentrate on today's topic, which is the quarterly numbers. We can discuss other questions separately. Thanks. Next question.

Mayur Shetty:

Thank you.

Moderator:

Thank you. We will take the next question from Joel Rebello from The Economic Times. Please go ahead.

Joel Rebello:

Thank you. Sir, I just want clarification before I ask my question. There is a 90% drop in provisions year -on-year. I just wanted to understand because that is a huge drop. Can you explain why that 90% drop has happened? I know asset quality is good and everything, but if you can explain because , it is a huge drop .

Sandeep Batra:

Yes, the total provisions during this quarter ha ve been less than ■100 crore , compared to ■891 crore in the previous quarter. We have seen some improvement in quality of the portfolio and also certain corporate recoveries which have come from written -off accounts. We have also not utili sed the contingency provisions. So , I think we are very careful about our asset quality , but adjusted for these one -offs, and normali sing for agri loans, our credit cost has been under 50 basis points for FY2026. So , we will s ee how it goes forward, but we do expect to maintain a healthy trend line, and we are monitoring the current economic environment very carefully. There is nothing specific to call out during this quarter.

Joel Rebello:

So basically, if I say that the drop in provisions was mainly because of asset quality being good. Is that correct? My understanding is...

Sandeep Batra:

Which is one of the aspects. The second is, we had certain recoveries from the written - off account. So, it is both .

Joel Rebello:

Okay. My second question is to do with deposits, sir. We have seen deposit rates falling quite substantially in the last six months or so. With the current situation that we are in,



liquidity and everything taken into account, how do you foresee deposit rates going? Do you think that the rates could go up?

Sandeep Batra:

It is very difficult to make this …both lending rate and deposit rate move in tandem . Of course, some of it happens with a lag. So , as far as we are concerned, we are just focussed on money in the Bank. So, we try to get both current account, savings account, and deposit accounts. Our focus has been largely around quality customers , and try to become the primary banker , and try to get a good share of customer's wallet. So, we do hope that continues , and this happens across the range of customers, whether from retail banking or corporate banking. How the interest rate moves , is largely dependent on macros, and given the uncertainty at this point of time, it is very difficult to make a long - term call on this.

Joel Rebello:

All the very best, sir.

Moderator:

Thank you. Next question is from Ankur Mishra from ET Now Swadesh . Please go ahead.

Ankur Mishra:

Good evening, gentlemen. I want to get your comment on the net profit numbers per se, which has grown 8.5% Y -o-Y. How much is driven by low provisions versus core income growth?

Sandeep Batra:
Sorry, come again? You are talking about the?
Ankur Mishra:
Just wanted to talk on the NIM.
Sandeep Batra:
Our core operating profit for the year is grown by about 7.7% and for the quarter at about 5.1%. The profit before tax for the year grew by 7.1% and the profit after tax for the year grew by about 6.2%. I am just talking o n the yearly numbers. For the quarter, you will see that the core operating profit grew by 5.1%. There has been a decline in provisions, which I just talked about, by 89% and profit before tax, excluding treasury, has been about 10%. So there has been hardl y any change on the treasury income line.
Ankur Mishra:
On the NIMs, you have maintained 4.32%. Have margins actually peaked in this cycle? And overall, on the growth , also including advances, growth in the current scenario, you think that will be sustainable?


Sandeep Batra:
Of course, we have been able to maintain margins. Very difficult to say about the future . Given the fact that the NIM trajectory will depend on number of factors, including geopolitical developments on the domestic economy, liquidity, deposit rates, and of course, competitive intensity. We do expect NIMs to be range -bound in FY27.
From our perspective, we continue to focus on risk -calibrated operating profit, which we have been saying for a long period of time. As the Indian economy continues to grow, we do have the liquidity, and the capital to leverage our franchise for good quality customers. We will remain focussed on this. But at the same time, we are mindful of the developments that are happening on geopolitical side. We will keep a close watch on this. So, our approach on risk -calibrated growth will continue as it has been in the past , and within this framework, we do see reasonable opportunities coming our way.
Moderator:
Thank you. We will move on to the next question from Piyush Shukla from NDTV Profit. Please go ahead.
Piyush Shukla:
Good evening, Mr. Batra. I have two queries for you. First is on the momentum of your…you have posted a strong loan growth in Q4. What would be your guidance in terms of both loans and deposit growth in FY27? The other q uestion, I wanted to understand, you are the second largest private bank and have a fair view of how macros will be impacted, the second and third order impact from the Middle East conflict on the banks' balance sheet . Can you give us some colo ur? There are expectations that the petroleum pr ices may rise, input costs may rise, there could be supply chain issues. Eventually, it will end up on the layman, the end customer. Do you see a material impact on the banking industry in the next financial year in terms of asset quality , and what are the pain points?
Sandeep Batra:
Piyush, very difficult to make a forecast in this day , where forecast validity is not even a day at this point of time. But given the overall scenario, there has been an immediate impact on market yields which you are aware of. There has been an impact on currency, equity prices and some of this is reflected in the numbers for Q4. Of course, during Q4, there was a very little period of the West -Asian conflict. We will continue to monitor these indicators. The impact on economic growth and potential credit demand will depend on the duration of the conflict. Of course, even RBI has mentioned that there is some amount of uncertainties on account of supply shocks. We do hope things become better soon er. As far as we are concerned, we do have a strong balance sheet in terms of liquidity, provisioning, capital , and a good technology architecture . We will continue to leverage our franchise and grow within our risk parameters, an

d we will continue to monitor
developments across. So , given this scenario , we look at risks, we look at profitability, we look at good quality customers and what falls within our framework, we w ill continue to grow within that area.


Moderator:
Thank you. We have our next question from Hamsini Karthik from Moneycontrol. Please go ahead.
Hamsini Karthik:

Good afternoon. Two questions from my end. One is that , for most of the gone -by fiscal s, FY2026, we have witnessed the revenue growth in single digit and profit growth in single digit. Should we assume that these growth levels are the new normal for ICICI, considering the operating environment we are in?
My second question is on SME loans. The business banking segment particularly, this has been growing at a healthy 17% plus runway for most quarters of last fiscal. Given the geopolitical tension and this is a segment where people are saying given tariffs an d the war impact, etc ., one needs to watch out for asset quality. What is your commentary on the business banking segment? How do you expect this particular business to shape up in FY27? These are my two questions. Thank you.
Sandeep Batra:
Hamsini, I just want to mention that we continue to see strong growth on the asset si ze and deposit mobili sations. The profit growth is also a function of the interest rate cycles , as you are aware. That aside , if coming back to the advances that you really talked about , I think the advances reflect the strong momentum of economic activity in the country which has been supported by policy measures and a fairly stable policy rate. So, within this framework, we have seen growth in mortgages, we have seen in rural portfolio, we have also seen some pickup in personal loans. During this quarter, we are seeing even some pickup in corporate loan.
Yes, we have seen healthy growth in business banking. From our point of view, we look at a completely integrated approach. We look at coverage, we look at delivery, we look at technology and for good quality customers, there are opportunities . From our perspective, we look at customers on a 360 -degree angle and a total relationship value. So, within that framework , and our risk thresholds, we are happy to grow within the overall environment. Of course, and as you rightly said , there are developments and the impacts, as and when they become more visible, we will be cogni sant of it and take appropriate action , both in terms of growth as well as our risk measures. So , we keep track of these developments very closely.
Hamsini Karthik:
Is pricing in the favo ur of the Bank right now, sir ? Both on the corporate as well as on the retail front? Does pricing power continue to vest with bankers or are customers able to negotiate better deals on certain instances?
Sandeep Batra:
No, it is a competitive environment and within the competition, you have to find the right price. From our perspective, whenever we get, we need to ensure that we get a good quality customer and a fair pricing. As long as both of these are met, we are happy to grow.

Hamsini Karthik:
Thank you.
Moderator:
Thank you. Next question is from Shayan Ghosh from Mint. Please go ahead .
Shayan Ghosh:
Hi, Mr. Batra. The first question is, are you witnessing your corporate customers , delay investment s, as a result of the uncertain situation? Are they holding back on investments?
Sandeep Batra:
Shayan, it is too early to call ou t. I mean, just look at the quarter gone by. Most of the developments have happened in the month of April. If I just go back to what has happened on West -Asia, I think we have to remember that the long -term story of India remains intact. We cannot deny that the developments of West -Asia will have some impact, overall. But given the overall framework, I think corporate India will get back to growth. You can see that reflected in all the

forecast by RBI or even IMF. Will there be a
bit of an impact on the GDP growth in FY27? The answer is yes, but it is still going to be growing and within that , there will be enough opportunities for both corporate India and for us to grow.
Shayan Ghosh:
Okay. The second is on your co -lending arrangements. What I wanted to understand is the NPA ratio there is much higher than your other portfolio, regular portfolio, which is slightly above 1%. Here , it is close to 5%.
Sandeep Batra:
I do not think so we give co -lending NPA ratio separately.
Shayan Ghosh:
You have given the total portfolio and have given the amount of NPA there , which is on page 8 of the financials?
Sandeep Batra:

Sorry where are we …I think we can get back to you separately.
Shayan Ghosh:
It is just there on page 8 of the exchange filing .
Sandeep Batra:
Our total overall net NPA ratio , it is 0.33% , and gross NPA ratio is 1.4%. If I just look at it what it was in year back, our gross NPAs was 1.67 %, it is down to 1.4 %. Net was 0.39 % and it is down to 0.33 %. So, I think our NPA ratios are pretty healthy.


Shayan Ghosh:
I get that, but my question was primarily on the co -lending, because these are much higher than your usual portfolio NPAs. These seem to be secured also. The categories that you have mentioned are home loans, LAP. So , what is really happening there on the co-lending arrangement side?
Anindya Banerjee :
I think it is a total portfolio of less than ■1,500 crore on our retail , plus SME portfolios would be about close to ■9 lakh crore or so. So , it is really maybe a n early stage to comment on how this will eventually pan out. I think this is a relatively recent thing which has started. So , we will just watch it as we go along.
Shayan Ghosh:
Are you seeing any signs of stress there?
Anindya Banerjee:
In terms of the portfolio, it is not material at all, and I think we would continue to pursue these co -lending opportunities and see how it pans out.
Moderator:
Thank you. We will take our next question from Ritu Singh from CNBC -TV18. Please go ahead.
Ritu Singh:
Mr. Batra, firstly on your advances growth, I just wanted to clarify this 15.8% kind of a growth year -on-year. We have not seen this strong a number from the Bank in a while. Should we see it as the new normal? Can you sustain this kind of growth rate?
And apart from some of the segments you highlighted, rural, corporate picking up, where exactly has this come from? And secondly, in your asset quality, which is improved this quarter, you have about ■4,200 odd crore of slippages.
You know, in the last one month or so , since the 27th of Feb , when the West -Asia conflict started, in your MSME books , in particular, has there been any impact or do you expect to see the impact going ahead? If that you could answer, I will just get to the next one.
Sandeep Batra:
Ritu, I could not hear the second part of your question but let me answer the question on the loan growth for the quarter. Yes, we have seen a broad -based growth. We have been mentioning over the previous quarter, growth has been picking up driven by opportunities as well as our continuous effort on distribution a nd allocating appropriate resources in growth markets. I think it is just a question of focus. Our standards around growing in a risk -calibrated manner remains. Yes, it is a competitive environment . Within this framework, I think we have probably had a quarter where we have seen all -round growth. If you see year -on-year numbers, the retail has grown by 9.5%, rural portfolio has grown by about 25% -26%, business banking 24%. Domestic corporate book also has

grown by about 9.3% , and for us, there has been a bit of a growth even in the overseas book. So , all-round, you are right, it is about 15.8%.
As you are aware, we do not give any specific targets for going forward

. We will continue
to assess , both risk s and profits , that potentially we can make from our customers. If they meet our thresholds, we are more than happy to grow. As you are aware, we would like to deliver 360 to our customers, we would like to work with good quality customers and that strategy has been there for a long period of time , and we will continue to remain focussed on it. If you can come back on your second part of the questio n which I couldn't hear.
Ritu Singh:
You know, on your provisions , I wanted to clarify this 90% drop. Just to be clear, there is no draw -down from your contingency buffers and no change in the additional provision of about ■1,200-■1,300 crore you had to make, on account of the RBI discount in the third quarter. So, what is left to the shortfall exactly, it is not very clear. If you could address that as well?
And the second question was on the stress, if any , you are seeing on account of what is happening in West -Asia? In the last one month, if you have seen any particularly in the

MSME book ? And going ahead, of course you said the duration of the war will impact it , but do you see any impact going ahead as well on the asset quality and what are you doing to buffer yourself?

Sandeep Batra:

To clarify, we have not utili sed the contingency provision of ■13,100 crore and the standard asset provisions which we had made of about ■1,283 crore, as directed by RBI , on the agri -loan in the last quarter. So, we have not touched that at all.

We have had a provision of ■96 crore in this quarter. This has been aided by improvement in the quality of the portfolio and there have been certain corporate recoveries , which were there from written -off accounts , and those are sort of , one-offs. So, adjusted for everything, these recoveries and normali sed credit costs, we have been saying that it is still under 50 basis points for FY26. We will continue to watch the portfolio as we go ahead.

Coming back to your question on West -Asia. As I did mention, there has been an immediate impact on market yields, currency, equity prices. Some of it has got ten reflected in the Q4 numbers. Very difficult to make long -term predictions at this point of time, as you are aware. We continue to monitor all these indicators going forward very carefully. It is safe to assume there will be some kind of economic impact , and that will also depend on the duration of the conflict. Things seem to be getting better in th e last couple of days and let us hope that continues.

From our perspective, we do have a strong balance sheet in terms of capital, liquidity . Provisioning has been healthy, and we will continue to leverage our franchise within our risk parameters and, of course, we will continue to monitor this development across portfolios, including the areas that you mentioned.



Ritu Singh:

All right, Mr. Batra. Thanks very much.

Moderator:

Thank you. Next question is from Subrata Panda from Business Standard. Please go ahead.

Subrata Panda:

Hi, sir. Just to add on to Ritu's question on West -Asia. Is there an increased demand for working capital loans from your MSME clients to perhaps, tide over this situation ? Or are you seeing some kind of stress in their cash flows? So, if you can throw some light on that. And also on your deposit…

Sandeep Batra:

It is too early to call out on this. Sorry, continue, please?

Subrata Panda:

Yes, your credit growth is almost 16% , but deposits is around 11.5%. So, there is a fair bit of gap there. So, if you could just help us understand how do you plan to grow your credit book, given there is a lag in the deposit growth. Are you going to rely more on long -term instruments from the debt market? You have, I think, indicated that you will raise around ■25,000 crore in securities , and also $1.5 billion from the overseas market. So, if you can just throw some light on that .

S

andeep Batra:

On the debt market side , which you have talked about, these are enabling decisions that we took at the beginning of the year, so nothing specific to call out. I think over a period, deposit and credit have to go in tandem. There will be certain quarters where it changes. I think from our perspective, we have got a healthy LCR, which is at about 126%. Given the increase in net worth and increase in profits, that also contributes substantially to what we can do in terms of loan growth. So, mathematically, bot h have to grow in tandem. And in case there is a need, we will look at borrowings in a limited fashion. If you see this , during the course of the year, there was also a CRR cut which also helped in funding the loan growth. So, the LCR has been a healthy 126%, so we do have enough cash, and I do not think so we are going to miss out on opportunities for want of deposit growth. That is how we see it.

Subrata Panda:

And on West -Asia?

Sandeep Batra:

On West -Asia, nothing further to add. During the quarter, there has been really no impact on the portfolio that we have seen. It is in a way reflected in the numbers , of course, it is too early to call out. As you are aware, there have been some amount of supply related disruptions. We are continuing to monitor the situations . If things become better soon , I



am sure, corporate India is resilient, and the portfolio that we built is fairly healthy. We

will continue to watch these development s carefully.
Subrata Panda:
Understood. Thank you so much.
Moderator:
Thank you. The next question is from Kshipra Petkar from The Financial Express. Please go ahead.
Kshipra Petkar:
Sir, just wanted to understand, given that there is, as Subrata also said, there is certain gap in the deposit growth and the credit growth, just wanted to understand what is going to be the strategy for deposit mobili sation going ahead. And the second question is for FY27, which segments are you basically seeing driving loan growth for FY27?
Sandeep Batra:
So, I think our deposit strategy has been very similar for what we have been doing in the past. We will continue to focus on quality customers , and hope that we are their primary banker, and we would like to have a substantially higher share of the market. This goes across segments between retail banking, business banking, corporate. I think it is a question of havin g a fairly good technology platform, a good reach, and having fair charges and being fair to the customers. These are three principles that we really talk about. And I think they seem to be working well. We have been able to grow our deposits in a healthy fashion and that is where we see the franchise going forward. We do not see a challenge in deposit growth to meet our credit needs.
Sorry, what was the second question?
Kshipra Petkar:
Segments which could drive credit growth for FY27.
Sandeep Batra:
Kshipra, I do not think so we focus on any particular segment . Wherever opportunities come across, we are happy to grow. We have grown business banking, we saw opportunities there. The corporate loan book seems to be seeing a healthy growth. We could well see opportunities coming out in this , in the current year. Retail, mortgage have also been growing. Rural India, gold loans are doing well. So , across segments, we will keep on focussing on customers, it is not necessarily about segments. We get good quality customers, we get a reasonable price, we are happy to grow across segments within the country.
Moderator:
Thank you. We will take our next question from Benn from New Indian Express. Please go ahead.



Benn:
Sandeep, this is about the forex loss. Can you just repeat the number? ■109 crore in the quarter. How much was in the last quarter?
Sandeep Batra:
That is right. The total loss is about , ■106 crore, that is the loss that we had. All

this is
treasury loss ..
Benn:
okay, got it. This is again on West -Asia. Are you seeing any stress in your accounts with the companies , those hav ing a focus on the West -Asia or business at West -Asia?
Sandeep Batra:
Not as yet, but it is too early to call out.
Benn:
Okay.
Sandeep Batra:
Too early to call out. During the quarter, I think the customer s seem to be doing well.
Benn:
Maharashtra announced a farm loan waiver last month. What is your exposure to Maharashtra in the agri book, farm loan book?
Sandeep Batra:
We do not give state level data, Benn.
Benn:
Because it is a waiver. So that is why I asked.
Sandeep Batra:
We will look at it, but whenever, it will come through in the normal course of things. So that we will see. I think the customers are also, whether they are farmers or not, are cognisant of the importance of credit discipline. We will see how that plays out.
Benn:

Okay. And latest CIBIL report says that there is stress building up in the gold loan book. What is your assessment? How good are your book s and how big is your gold loan book?
Sandeep Batra:
We have not separately given our gold loan book . But it is fair to assume , a significant part of the rural book is gold loan. We are happy with the gold loan book. Secondly, I think I just want to re -emphasize again, we are not really looking at a product, we look
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at a customer. And that is true across segments. So even, whether it is gold loan, personal loan, credit card, mortgages, that book is behaving well for us.
Moderator:
Thank you. Next question is from Ashish Agashe from PTI. Please go ahead.
Ashish Agashe:
Sir, just labouring a bit on the West -Asia thing. So , in the numbers that you have reported today, apart from the forex related measures ' impact because of RBI's measures, what could be the number impact of the crisis really playing out if you were to look at it? Apart from the numbers, you also have operations in the affected region s. How are you managing your presence there ? And also what are the early trends which you are seeing in remittances?
Sandeep Batra:
Look, I think West -Asia crisis, we have talked about it. Yes , we do have presence in both Dubai and Bahrain. We have tried to ensure the safety of our employees , that is paramount, and I think there is nothing specific to be called out here. Business is happening even in this sort of difficult times in those areas. So, as I have mentioned, we have and we will continue to watch these development s. We will grow within the acceptable risk parameters and continue to focus on good quality customers. So , that is the strategy that we have been adopting, that remains unchanged. Remittances, again, too early to talk about.
If a lot of people come back to the country, then of course there could be some impact, but we do hope that things normali se and people are able to get back and some reconstruction activities whenever it starts in West -Asia, it will provide opportunities for Indian companies and Indian labo ur to go back there, things should get back to normal.
Ashish Agashe:
Okay, sir. And the second question, sir. We have seen retail share in the overall loan book come to 41%. Over a medium term , where do you see that ? Would it continue because you are saying that India represents a lot of opportunities right now, so will corporate really pick up and retail go down? How do you see the loan mix going ahead, sir?
Sandeep Batra:
Loan mix, Ashish, is an outcome of what happens on the ground. We are not focussed on a particular loan book. You are right, today our corporate book is about 20%. It can be much higher than this or it can be lower than this. It will be a function of identifying growth opportunities within our risk framework. That is all going to be an outcome of that. We do not have any particular mix in mind. Wherever the economy grows, wherever

we are able to find good customers, we are happy to grow.
Ashish Agashe:
Okay, sir. And small final thing is this 0.5% credit cost, how sustainable is it in FY27? How do you look at it ? Especially with lack of clarity on the Middle East part .
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Sandeep Batra:
You are right, there is lack of clarity on the same. So, how do I make a forecast at this point of time? We are just going to focus on good quality customers, and we will watch the developments carefully.
Ashish Agashe:
Thank you, sir.
Moderator:
Thank you. Next question is from Srishti Sharma from ET BFSI. Please go ahead.
Srishti Sharma:
Thank you. Good evening, management. Three questions : First, on the market share of ICICI Bank's credit cards – it was approximately around 17% for a good long time. Recently came down to 16% , correct me if I am wrong. So , what is ICICI Bank's strategy out over here? Second, July onwards credit institutions are supposed to report four times a month to CIC. What is the status on that? And third, we are already into FY27, have you laid out your hiring plans? When I see your employee cost quarter -on-quarter or yearly basis, it has been increasing. So , do we make that you have been adding headcounts? Help us give more colour in that. Thank you.
Sandeep Batra:
So, the employee cost increase is largely a function of the increments that would have

happened during the course of the year. Coming on the credit card book, yes, our objective is to drive a risk -calibrated profitable growth and of course do 'Customer 360 '. So again, to repeat, we do not focus on a product, we try to focus on the customer. During the year, we have focussed on onboarding quality customers, driving profitable spends, and also exiting riskier and unprofitable segments. So that in a way, you can see some moderation of growth, or it has remained flat, but profitability remains very healthy. Looking ahead, we continue to see opportunities to focus on the segments. We will continue to leverage our distribution franchise and also co -branded partnerships. While there was some amount of decline that you talked about , of late, there has been some month -on-month increase which was happening. So, from our perspective, we would like to focus on profitable segments here which seem to be doing well.

Srishti Sharma:

On to the credit card when you say you have mindfully cut down on the credit card spread, why so? You say you were exiting the riskier portfolios, right? What does that mean?

Sandeep Batra:

I did mention riskier and unprofitable segments , wherever they come across , we have exited those.



Srishti Sharma:

Okay. And you say co -branded is what you want to, you know, go more aggressive on.

Sandeep Batra:

No, I just sa id that co-branded is also one of the channels to grow. We look at 'Customer 360', there are customers of ours who may not be having a credit card. We look at our distribution franchise ; we focus across opportunit ies. So, as we have been talking about , Srishti, we have been focussing on the customer and clearly good quality customer will be given credit cards and we are happy to grow that segment.

Srishti Sharma:

Okay. And on the credit reporting to CIC?

Sandeep Batra:

That is settled in now. Yes, that is settled in. Yes, you are right, it is now become fortnightly basis. So , it is settled in.

Srishti Sharma:

No, no, no. So , it is going to be four times a month to CIC , July onwards. What is the status for you?

Sandeep Batra:

It is what it is. It has moved from monthly to fortnightly and then weekly. So be it.

Srishti Sharma:

Okay. And when you say employee cost is addition of the increments …would you be adding? What is the outlook?

Sandeep Batra:

No, we do not look at it that way. I think we look at the overall business strategy , and it comes bottoms up. If we need to hire more people, we will hire.

So , there is nothing specific to call out here at this point of time.

Moderator:

Thank you. This brings the conference call to an end. On behalf of ICICI Bank, we thank you all for joining us. You may now disconnect your lines. Thank you again.

ICICI Bank Limited

Earnings conference call - Quarter ended March 31, 2026 (Q4-2026)

April 18, 2026

States Securities and Exchange Commission. Any forward-looking statements contained herein are based on assumptions that we believe to be reasonable as of the date of this release. ICICI Bank undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date thereof. Additional risks that could affect our future operating results are more fully described in our filings with the United States Securities and Exchange Commission. These filings are available at www.sec.gov .

This release does not constitute an offer of securities.

Moderator:

Ladies and gentlemen, good day, and welcome to ICICI Bank Limited Q4-FY2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep Bakhshi, Managing Director and Chief Executive Officer of ICICI Bank. Thank you, and over to you, sir.

Mr. Bakhshi's opening remarks

Thank you. Good evening to all of you and welcome to the ICICI Bank Earnings Call to discuss the results for Q4 of FY2026. Joining us today on this call are Sandeep Batra, Rakesh, Ajay, Anindya and Abhinek.

At ICICI Bank, our strategic focus continues to be on growing profit before tax excluding treasury through the 360-degree customer centric approach and by serving opportunities across ecosystems and micro-markets. We continue to operate within the framework of our values to strengthen our franchise. Maintaining high standards of governance, deepening coverage and enhancing delivery capabilities with a focus on simplicity and operational resilience, are key drivers for our risk calibrated profitable growth.

The profit before tax excluding treasury grew by 10.1% year-on-year to 182.09 billion Rupees in this quarter and by 7.1% year-on-year to 650.21 billion Rupees

in FY2026. The core operating profit increased by 5.1% year-on-year to 183.05 billion Rupees in this quarter and by 7.7% year-on-year to 704.01 billion Rupees

in FY2026. The profit after tax grew by 8.5% year-on-year to 137.02 billion Rupees in this quarter and by 6.2% year-on-year to 501.47 billion Rupees in FY2026. The consolidated profit after tax grew by 9.3% year-on-year to 147.55 billion Rupees in this quarter and by 6.2% year-on-year to 542.08 billion Rupees in FY2026. The Board has recommended a dividend of 12 Rupees per share for FY2026, subject to requisite approvals.

Total deposits grew by 11.4% year-on-year and 8.1% sequentially at March 31, 2026. Average current and savings account deposits grew by 11.3% year-on-year and 2.7% sequentially during this quarter. The Bank's average LCR for the quarter was about 126%.

The overall loan portfolio including the international branches portfolio grew by 15.8% year-on-year and 6.0% sequentially at March 31, 2026. The retail loan portfolio grew by 9.5% year-on-year and 4.2% sequentially. Including non-fund based outstanding, the retail portfolio was 41.7% of the total portfolio. The rural portfolio, including gold loan grew by 25.6% year-on-year and 18.0% sequentially. The business banking portfolio grew by 24.4% year-on-year and 7.6% sequentially. The domestic corporate portfolio grew by 9.3% year-on-year and 3.1% sequentially. The domestic loan portfolio grew by 15.3% year-on-year and 5.6% sequentially at March 31, 2026. The overseas loan portfolio was 2.7% of the overall loan book at March 31, 2026.

The net NPA ratio was 0.33% at March 31, 2026 compared to 0.37% at December 31, 2025 and 0.39% at March 31, 2025. The total provisions during the quarter were 0.96 billion Rupees or 0.5% of core operating profit and 0.03% of average advances. The provisioning coverage ratio on non-performing loans was 75.8% at March 31, 2026. In addition, the Bank continues to hold contingency provisions of 131.00 billion Rupees or about 0.9% of total advances at March 31, 2026.

The capital position of the Bank continued to be strong with a CET-1 ratio of 16.35% and total capital adequacy ratio of 17.18% at March 31, 2026, after reckoning the impact of proposed dividend.

Looking ahead, we see many opportunities to drive risk calibrated profitable growth and grow market share across key segments. We remain focused on maintaining a strong balance sheet, prudent provisioning and healthy levels of capital while delivering sustainable and predictable returns to our shareholders.

I now hand the call over to Anindya.

Anindya's opening remarks

Thank you, Sandeep. I will talk about loan growth, credit quality, P&L details, portfolio trends and the performance of subsidiaries.

A. Loan growth

Sandeep covered the loan growth across various segments. Coming to the growth across retail products, the mortgage portfolio grew by 13.2% year-on-year and 4.7% sequentially. Auto loans grew by 1.7% year-on-year and 1.4% sequentially. The commercial vehicles and equipment portfolio grew by 11.6% year-on-year and 6.4% sequentially. Personal loans grew by 7.2% year-on-year and 5.2% sequentially. The credit card portfolio declined by 5.6% year-on-year and 1.3% sequentially.

Within the corporate portfolio:

■ The total outstanding to NBFCs and HFCs was 859.04 billion Rupees at March 31, 2026 compared to 791.18 billion Rupees at December 31, 2025. The total outstanding loans to NBFCs and HFCs were about 4.6% of our advances at March 31, 2026.

■ The builder portfolio including construction finance, lease rental discounting, term loans and working capital was 714.21 billion Rupees at March 31, 2026 compared to 680.83 billion Rupees at December 31, 2025. The builder loan portfolio was 4.2% of our total loan portfolio. Our portfolio largely comprises well-established builders and this is also reflected in the sequential increase in the portfolio. About 0.9% of the builder portfolio at March 31, 2026 was either rated BB and below internally or was classified as non-performing.

B. Credit quality

The gross NPA additions were 42.42 billion Rupees in the current quarter compared to 51.42 billion Rupees in Q4 of last year. Recoveries and upgrades from gross NPAs, excluding write-offs and sale, were 30.68 billion Rupees in the current quarter compared to 38.17 billion Rupees in Q4 of last year. The net additions to gross NPAs were 11.74 billion Rupees in the current quarter compared to 13.25 billion Rupees in Q4 of last year.

The gross NPA additions from the retail and rural portfolios were 31.45 billion Rupees in the current quarter compared to 43.39 billion Rupees in Q4 of last year. Recoveries and upgrades from the retail and rural portfolios were 22.93 billion Rupees in the current quarter compared to 30.39 billion Rupees in Q4 of last year. The net additions to gross NPAs in the retail and rural portfolios were 8.52 billion Rupees in the current quarter compared to 13.00 billion Rupees in Q4 of last year.

The gross NPA additions from the corporate and business banking portfolios were 10.97 billion Rupees in the current quarter compared to 8.03 billion Rupees in Q4 of last year. Recoveries and upgrades from the corporate and business banking portfolios were 7.75 billion Rupees in the current quarter compared to 7.78 billion Rupees in Q4 of last year. There were net additions to gross NPAs of 3.22 billion Rupees in the current quarter in the corporate and business banking portfolios compared to 0.25 billion Rupees in Q4 of last year.

The gross NPAs written-off during the quarter were 17.68 billion Rupees. Further, there was sale of NPAs of 1.12 billion Rupees for cash in the current quarter.

The non-fund based outstanding to borrowers classified as non-performing was 21.74 billion Rupees as of March 31, 2026 as compared to 22.29 billion Rupees as of December 31, 2025.

The loans and non-fund based outstanding to performing corporate borrowers rated BB and below was 35.19 billion Rupees at March 31, 2026 as compared to 33.92 billion Rupees at December 31, 2025. This portfolio was about 0.2% of our advances at March 31, 2026.

The total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to 14.96 billion Rupees at March 31, 2026 from 16.66 billion Rupees at December 31, 2025.

At the end of March, the total provisions, other than specific provisions on fund-based outstanding to borrowers classified as non-performing, were 227.10 billion Rupees or 1.5% of loans. This includes the contingency provisions of 131.00 billion Rupees as well as general provision on standard assets, provisions held for non-fund based outstanding to borrowers classified as non-performing, fund and non-fund based outstanding to standard borrowers under resolution and BB and below portfolio. The Bank also continues to hold additional standard asset provision of 12.83 billion Rupees made in Q3 as directed by RBI in respect of the agricultural priority sector portfolio.

Moving on to the P&L details:

C. P&L details

Net interest income increased by 8.4% year-on-year and 4.8% sequentially to 229.79 billion Rupees in this quarter. The net interest margin was 4.32% in this quarter compared to 4.30% in the previous quarter. The cost of deposits was 4.43% in this quarter compared to 4.55% in the previous quarter. The benefit of interest on tax refund was 5 basis points in the current quarter compared to 1 basis point in the previous quarter. The margins for the quarter reflect the impact of repricing of external benchmark linked loans, repricing of term deposits and seasonally lower interest reversal on the KCC portfolio. The net interest margin in FY2026 was 4.32%, similar to FY2025.

Of the total domestic loans, interest rates on about 56% of the loans are linked to the repo rate and other external benchmarks, 13% to MCLR and other older benchmarks and the remaining 31% of loans have fixe

d interest rates.

Non-interest income, excluding treasury, grew by 5.6% year-on-year to 74.15 billion Rupees in Q4 of FY2026.

■ Fee income increased by 7.5% year-on-year to 67.79 billion Rupees in this quarter. Fees from retail, rural and business banking customers constituted about 78% of the total fees in this quarter.

■ Dividend income from subsidiaries was 6.31 billion Rupees in this quarter compared to 6.75 billion Rupees in Q4 of last year.

On Costs: The Bank's operating expenses increased by 12.0% year-on-year in this quarter and 11.5% year-on-year in FY2026. Employee expenses increased by 8.8% year-on-year and non-employee expenses increased by 14.0% year-on-year in this quarter. Our branch count has increased by 126 in Q4 and 528 in FY2026. We had 7,511 branches as of March 31, 2026. The sequential increase in operating expenses primarily reflects the impact of market movements resulting in higher provisions for retiral benefits. The technology expenses were about 11% of our operating expenses in FY2026.

The total provisions during the quarter were 0.96 billion Rupees or 0.5% of core operating profit and 0.03% of average advances compared to the provisions of 8.91 billion rupees in Q4 of last year, reflecting healthy asset quality and higher recoveries and write-backs. The credit cost was 38 basis points in FY2026. Adjusted for the additional standard asset provision in respect of the agricultural priority sector portfolio and corporate recoveries, the credit cost was under 50 basis points in FY2026.

The profit before tax excluding treasury grew by 10.1% year-on-year to 182.09 billion Rupees in Q4 of this year and by 7.1% year-on-year to 650.21 billion Rupees in FY2026.

There was a treasury loss of 1.06 billion Rupees in this quarter as compared to loss of 1.57 billion Rupees in the previous quarter and gain of 2.39 billion Rupees in Q4 of last year primarily reflecting market movements and includes the impact of capping of FX net open positions in the onshore market as per recent RBI guidelines.

The tax expense was 44.01 billion Rupees in this quarter compared to 41.43 billion Rupees in the corresponding quarter last year. The profit after tax grew by 8.5% year-on-year to 137.02 billion Rupees in this quarter. The profit after tax grew by 6.2% year-on-year to 501.47 billion Rupees in FY2026.

D. Consolidated results

The consolidated profit after tax grew by 9.3% year-on-year to 147.55 billion Rupees in this quarter. The consolidated profit after tax grew by 6.2% year-on-year to 542.08 billion Rupees in FY2026.

The details of the financial performance of key subsidiaries are covered in slides 33 to 35 and 54 to 59 in the investor presentation.

The annualised premium equivalent of ICICI Life increased to 106.41 billion Rupees in FY2026 from 104.07 billion Rupees in FY2025. The value of new business increased to 26.29 billion Rupees in FY2026 from 23.70 billion Rupees in FY2025. The value of new business margin was 24.7% in FY2026 compared to 22.8% in FY2025. The profit after tax of ICICI Life increased to 16.00 billion Rupees in FY2026 from 11.89 billion Rupees in FY2025 and 6.09 billion Rupees in this quarter from 3.86 billion Rupees in Q4 of last year.

Gross Direct Premium Income of ICICI General increased to 287.12 billion Rupees in FY2026 from 268.33 billion Rupees in FY2025. The combined ratio stood at 103.4% in FY2026 compared to 102.8% in FY2025. The profit after tax increased to 27.72 billion Rupees in FY2026 from 25.08 billion Rupees in FY2025. The profit after tax increased to 5.47 billion Rupees in this quarter from 5.10 billion Rupees in Q4 of last year.

The profit after tax of ICICI AMC, as per Ind AS, increased to 7.63 billion Rupees in this quarter from 6.92 billion Rupees in Q4 of last year.

The profit after tax of ICICI Securities, as per Ind AS on a consolidated basis, was 4.22 billion Rupees

in this quarter compared to 3.81 billion Rupees in Q4 of last year.

ICICI Bank Canada had a profit after tax of 4.4 million Canadian dollars in this quarter compared to 12.5 million Canadian dollars in Q4 of last year primarily reflecting the impact of reduction in benchmark interest rates and lower business volumes.

ICICI Bank UK had a profit after tax of 8.0 million US dollars in this quarter compared to 6.0 million US dollars in Q4 of last year.

As per Ind AS, ICICI Home Finance had a profit after tax of 2.49 billion Rupees in the current quarter compared to 2.41 billion Rupees in Q4 of last year.

With this, we conclude our opening remarks and we will now be happy to take your questions.

Moderator:
We'll take a first question from the line of Jayant Kharote from Axis Capital. Please go ahead.

Jayant Kharote:
Congratulations on a great set of numbers. First question is on...

Moderator:
Jayant, sorry, can you use your handset mode, please, your audio is not very clear.

Jayant Kharote:
Yes. The first question is on the...

Moderator:
I'm sorry, his line is disconnected. We'll move on to the next question from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah:
The first question is on the growth side. So, particularly on retail, we had seen the good uptick out there, particularly when we look at the mortgages, it's been up like almost 4.7-odd percent and we had seen the uptick even on the PL as well as the commercial vehicle side. On mortgages, is it like the competition is coming off, spreads are getting attractive? Otherwise, we have always focused on ROA. So, what is actually driving this growth on the mortgages side, in particular quarter-on-quarter?

And the second question is on deposits. Deposits still seems to be slightly slower compared to the loan growth and we have losing the market share. Maybe a couple of years back, we have gained quite a bit of market share on CASA and all. But I think now the overall deposit growth is lower in the system, so what will be our stance on the overall deposit growth getting into the next year?

Anindya Banerjee:
First on the growth in mortgages. As we may have discussed in the past, if we look back 2 to 3 quarters ago, we were probably holding back a little because of both the benchmark risk and the spreads over the benchmark. As the benchmark has settled, it has given us the space to grow that portfolio and that is what you have seen over the last 2 quarters and more particularly in this quarter. It is a competitive market, but we are within that trying to operate and price

appropriately across the spectrum, also focusing very much on the entire customer 360 aspect, which we do in all our businesses.

On the deposit side, I think while it looks like a loan growth of 15% and a deposit growth of 11%, on an average basis, they are pretty closely matched. I mean average deposit growth would also be very similar to the average loan growth. So, if you look at it from an LCR perspective also, we are continuing to be very comfortable at about 125% average for the quarter. We are quite comfortable on the deposit side and CASA ratios are also holding up well. So that should support a healthy level of loan growth.

Kunal Shah:
Sorry, so you mentioned average, so average deposit growth is almost 10.8%, okay, so you mean to say that also for average loan growth?

Anindya Banerjee:
The gap would not be like 11% to 15%, it will be a lower gap and that much is fine. On overall liquidity and LCR basis, we are pretty comfortable. Deposit growth is not something that will constrain us from pursuing loan growth. The deposit flows are more than adequate and healthy.

Kunal Shah:
Sure. And lastly, in terms of the provisioning. When we look at the overall provisioning quite low during the quarter. Were there any write-backs which have happened or release which have been ther

e during the quarter? Maybe the overall
recoveries still seems to be pretty much in line with the last quarter. But was there any provisioning release in any of the line items?

Anindya Banerjee:
A couple of things on the provisioning side. One, if you look at even on a year-on-year basis on the retail side, the net additions are lower and, in particular, over the last few quarters the additions to NPLs on the unsecured side, which get provided pretty aggressively, have been coming down. So that has brought down the provisioning requirements even on the retail side, plus I would say we had a somewhat higher level of recoveries and write-backs on the corporate portfolio, including recoveries from written-off accounts, which has resulted in the provisioning for this quarter being at a pretty low level.

Overall, for the year, as we said on the call, we were at 38 basis points. And if we kind of adjust the one-time KCC provision and also the corporate recoveries, we would be below 50 basis points. So, the underlying credit cost remains pretty stable.

Kunal Shah:
Okay. So maybe for Q4, nothing in particular, you're still alluding to full year. But Q4, because if I look at recoveries in corporate and business banking, it seems to be almost similar at 750 crores - 775 crores Rupees. So, nothing appears to be there in terms of higher recoveries in Q4 in corporate.

Anindya Banerjee:
So that's the recovery from the gross NPLs. As I said, we would have also a recovery from the written-off accounts that gets netted-off in the provision line item, that would have been on the somewhat higher side in this quarter.

Kunal Shah:
Got it. That helps. Thanks and all the best.

Moderator:
Thank you. Next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal:
Yes. Hi, good evening and congrats on strong performance once again. The first question, Anindya, is on the fee income growth. How do you look at this over the coming year? What steps are we taking to drive better traction on this line?

Anindya Banerjee:
I guess if we look at the broad areas of fee income that we focus on, I think on the transaction banking in which I would include both trade aspects as well as forex and derivatives, and on the deposit account linked fees, deposit, demat, etc. I think we are doing reasonably well. On the cards and payment side, this year has been a little slow. We have not grown as much there in terms of fees and that would be one area for us to focus on. I think more recently, as the loan growth has picked up, the lending-linked fees have also picked up and we will hopefully see that momentum sustain going forward, but this is something we'll have to keep calibrating.

Nitin Aggarwal:
Okay. And can you also give some color as to what has been the impact from RBI's recent foreign currency control regulations that they came up with in respect to the net open position and the NDF regulations as to how much has been the impact on the other income and any losses that we have incurred because of that this quarter?

Anindya Banerjee:
So we have a net treasury loss of 1.06 billion Rupees, that's after taking into account the impact of the mark-to-market as of March 31 on the outstanding forwards. So that's factored into those numbers.

Nitin Aggarwal:
Okay, sure. And the last question is around the growth. We have seen a very strong pickup in the system numbers, even ICICI Bank in the last two quarters have picked up very well on the growth front. How do you look at this momentum going into FY27? Is this like something that will pick steam further or is it kind of has already reached the high point?

I mean, overall, the growth will broad base from here further in respect to unsecured loans and some of the other segments which are not contributing, like mortgages started to pick up now or you think that 16-odd

percent growth where
we are right now is like already on the upper end that we are looking at?

Anindya Banerjee:
We wouldn't get into giving a growth number. I think that post all the measures that were taken at a policy level through last year and from our own side, I think with some other factors like the interest rates stabilizing, benchmark stabilizing, growth has picked up. And general outlook on the economy has been quite positive.

Of course, more recently, since March, the conflict in West Asia has clouded the outlook in the sense that it has created some amount of uncertainty. But from our side, we believe we have a strong franchise, healthy capital levels and strong funding and liquidity. So, we would want to leverage that to grow the business within our parameters of risk acceptance.

Nitin Aggarwal:
Right. And sorry, if I can squeeze one more. And especially on the credit cost line, wherein I think everybody has been waiting for some normalization, some uptick in credit costs in the banking system and yet you've reported a sharp improvement here again. While our guidance remains below 50 basis points, but in terms of your own confidence and assessment, do you feel more confident now versus how things were in the prior years because our guidance in general has been sub-50% over the years. So, how do you see like and compare this now versus what you have guided in the past?

Anindya Banerjee:
I would think if you look at the different segments of the business, the corporate sector is pretty strong, and they are well funded with healthy balance sheets and significant resilience. And on the retail side, banks, including us, have been reasonably sensible about credit selection and the customers also have held up well. We had maybe 1 year, 1.5 year, 2 years ago, some increase in delinquencies on the personal loan side, but with regulatory action and with the steps taken by banks that also was fairly quickly contained. So that is showing up in these very healthy credit numbers. And while there are these externalities to be monitored, we don't, at the moment, see any cause for concern as such. The other portfolio, which is reasonably large now and has grown rapidly over the last few years, is the whole business banking portfolio. And again, one would have to monitor any potential impact of the external events on that.

But I would say, that is a portfolio that at least to the extent that we have a track record has been tested through COVID, the energy dislocation of 2022 and then the whole tariff issue and has held up reasonably well. So that gives us some degree of confidence, but we will monitor it as we go along.

Moderator:
Thank you. Next question is from Mahrukh Adajania from Tara Capital. Please go ahead.

Mahrukh Adajania:
Congratulations. I had a couple of questions. Firstly, after this war, would you have tightened any credit parameter or any credit rule going into FY27 or its business as usual or growth as usual across segments, even small segments? So that's my first question. Secondly, if you see your yield on advances, what you reported in the presentation, that's been coming off over the last 2 quarters.

Of course, there have been the impact of rate cuts as well. But can we say that yields have now bottomed because your cost of funds has also come down materially? I believe most of the repricing is done there. So, in terms of yield, is this now close to the bottom? That's my second question.

Anindya Banerjee:
On the first question side, we have looked at and continue to look at regularly all the potential sectoral impact as well as the impact at a client level. I would not say that we have specifically tightened anything or are excluding any segment, but we have our understanding of which are the segments that potentially need, require closer monitoring, and we are doing that, and we will calibrate our actions as we go along. Overall, I think, as I said, we are continuing to focus on growing the business.

On the yield, I think we have, of course, this quarter seen the impact of the December repo cut, and we'll just have to, as we go along, look at how incremental pricing, etc., play out in the market, and we'll have some amount of deposit repricing also. So, I guess, at a margin level, we continue to look at sort of range-bound margins, unlikely to move up, but should be broadly in this range is what we would think.

Mahrukh Adajania:
Got it. And I just have one last question. You explained the decline in credit cost. Was it more driven by unsecured slippage coming down or more by corporate slippage this quarter, I mean, more by corporate recoveries?

Anindya Banerjee:
No. So this quarter, we saw a higher level of recoveries and write-backs on the corporate portfolio, including recoveries from written-off accounts. But in general, the retail credit costs, as you can see from the retail net additions itself, have been coming down, so the retail credit costs have also been coming down. And within that, the unsecured has been moderating. So secured was anyway pretty stable. So that is having a beneficial impact on the provisions.

Moderator:
Next question is from the line of Seshadri Sen from Emkay Global. Please go ahead.

Seshadri Sen:
Thank you for the opportunity. I have a couple of questions. One is, for the second successive quarter, your credit card book is contracting. Is that just the nature of the business, seasonal, or are you taking any interventions in terms of trying to boost profitability? And overall, if you could comment on how the profitability of the credit card business is trending because revolver rates are coming down, cost of acquisitions seems to be moving up a little bit?

Anindya Banerjee:
The decline we saw in Q3 was really seasonal because there was a sharp buildup of the book towards the end of Q2 due to the festive season spend, which ran off in Q3. The small decline in the fourth quarter, I would say, we can't really say that it is seasonal, it is really a function of spends and revolvers.

From our perspective, I think we are focused on growing the business and growing it with the right set of customers in a profitable way. And we have been seeing reasonably steady new customer acquisition. I think the level of revolvers, etc., has been an issue for the industry, so that is something that we'll have to deal with. But we would hope to see better numbers in terms of growth. And as I mentioned in a prior response, one of the analysts earlier asked about fees, on the fees as well.

Profitability, yes, I mean, at a very high level, if you look at over the last few years, the decline in the level of revolvers has impacted profitability, but it still remains a very profitable business, and it is a business with many levers of profitability, including on the cost side, reward side, etc. I think we keep tweaking those as well. So overall, it's a business one would continue to have a very strong focus on.

Seshadri Sen:
Thanks. And my second question is on the corporate loan outlook. Both tactically in the short-term while the energy crisis and the war is on and also from a slightly medium perspective, what are your growth aspirations? What are the key drivers? Are there any particular segments that you're looking at?

Anindya Banerjee:
So, we are very focused on the counterparty and in terms of the quality and the overall business opportunity. Our funnels are open, and we are in a constant dialogue with the clients. Wherever there is a level at which it makes sense, both for the client and the bank, the business happens.

Over the last 2 quarters, we have seen a reasonably good accretion to the corporate book, and we continue to see opportunities going ahead. I think with the better-rated clients, we will look through a

ny short-term issues arising out of
this crisis and see how we can work with them over the longer term.

Seshadri Sen:
Thank you so much. Thank you.

Moderator:
Thank you. We'll take our next question from the line of Rikin Shah from IIFL Capital. Please go ahead.

Rikin Shah:
Hi, good evening. A few questions. First one is on operating expenses. The operating expenses growth was about at 11.5%-12%. This year has been higher than the peers, perhaps due to the increase in the average remuneration for the employees. So how should we think about it going into next year, especially when your volume growth is also picking up? So, does this further rise in terms of the overall expenses growth or are there certain levers to bring that down? So that's one.

Second, Anindya, could you comment on the government SA balances where we were seeing some outflows? Have the trends stabilized? And should we start seeing some growth even in the institutional SA going ahead? So those are my two questions.

Anindya Banerjee:
So as far as the operating expenses are concerned, if we look at this year, more or less, it has been in line with our expectations. Couple of areas where the costs have been somewhat higher than what we would have expect, would have started out with. One is on the priority sector compliance and the second is, to some extent, on the remuneration because of the Labour Code and a couple of others, like the market movement impact that we saw in March.

And the final numbers on business growth are a little ahead of operating expenses growth, and we hope that, that will be sustained over the next year. So, definitely, we would want to have opex growth at a level which is below the top line growth. That would be our objective.

Rikin Shah:
Got it. And the government SA balances?

Anindya Banerjee:
Yes, government SA balances. So, as we had said last time, those are in the low-teens as a proportion of the balances. I think this quarter, it's been maybe the level of rundown has been somewhat lower. But really, that's something that we will have to just bake into our plans and really focus on growing the money in bank, as we call it, from the other set of customers.

Rikin Shah:
Got it. And if I can just squeeze in one last question. Could you comment on how much residual deposit repricing is remaining in your case?

Anindya Banerjee:
Don't really give a number of that kind, but I guess maybe till the last summer, our peak rates were more in the 1-year kind of level. So that's kind of the repricing horizon.

Rikin Shah:

Okay, got it. Thank you.

Moderator:
Thank you. Next question is from Param Subramanian from Investec. Please go ahead.

Param Subramanian:
Hi, good evening. Thanks for taking my question. Firstly, on rural loans, so there is a sharp uptick in this quarter. So, what is driving that 18% quarter-on-quarter?

Anindya Banerjee:
So part of it is due to, I think, over the last couple of quarters, higher demand for gold loans and we have also geared up our machinery. I mean, some of it is not strictly rural, although we club it in that segment, it could be from a broader range of branches, but that would be one of the drivers in addition to other elements of the portfolio.

Param Subramanian:
Okay. Got it. And where are we in terms of the issue that came up in the last quarter on the priority sector related provisioning. We have been talking about, say, recoveries of those provisions gradually over the next year. So any update you want to give on that?

Anindya Banerjee:
As we said earlier, as of March, we continue to hold those provisions. We're in the process of working through that portfolio, as we said to try and bring it into conformity with the requirements of the agri lending classification. And maybe we will have an update on that a quarter-or-so from now.

Param Subramanian:
Okay. And A

nindya, broadly, where are we in terms of, say, our PSL compliance, say on SMFs, etc., since we are at the end of the year?

Anindya Banerjee:
So it's pretty much, I think, the same picture. I mean, we would be compliant overall, we will have some shortfall on the small agri side. So that's pretty much the same picture.

Param Subramanian:
Okay. Thank you so much and congrats on the quarter. Thank you.

Moderator:
Thank you. Next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer:
Congratulations on the quarter.

Moderator:
Piran your audio is not very clear. Can you use the handset mode, please.

Piran Engineer:
Yes, one second. Is it better now?

Moderator:
Yes. Please go ahead.

Piran Engineer:
Congrats on the quarter. Firstly, just a clarification on the government deposits being in low-teens, it's low-teen share of total deposits or low-teen share of SA?

Anindya Banerjee:
SA. Government SA is a low-teen share of SA.

Piran Engineer:
Correct.

Moderator:
Piran I am sorry you are sounding muffled.

Piran Engineer:
Can management hear me?

Moderator:
Now, it is fine. Go ahead.

Piran Engineer:
Okay. Fine. I got the answer to the first question. On the second question, just wanted to understand on home loans. Firstly, is there also an element of lower prepayment rate driving the pickup in home loan growth for this quarter or is it just a question that now repo rate cuts have ended, as you said, and now you all are pushing growth?

Anindya Banerjee:
So, I would say it's more a pickup in disbursements.

Piran Engineer:
Okay. Like-for-like, Anindya, let's say, for the repo rate.

Moderator:
Piran, sorry, we lost you, again.

Piran Engineer:
Yes. Is it better now?

Moderator:
Yes.

Piran Engineer:
So just pre-repo cut cycle to today, how much incremental disbursements, of course?

Anindya Banerjee:
I think we are not able to hear you, Piran. Maybe we can just take this offline?

Piran Engineer:
Yes. Sure.

Moderator:
Thank you. We'll take our next question from the line of Chintan from Autonomous Research. Please go ahead.

Chintan:
Hi, good afternoon. Thanks for taking my question. How do we see the growth outlook for the coming few quarters? We're talking about nice growth in the system in this quarter. But clearly, it's too early to incorporate the supply shock into expectations. As you look forward, as you look into your books, as you see how corporates are getting impacted by this, how do you think both your book and system loan growth will develop over the next few quarters?

Anindya Banerjee:

No, it's very difficult to answer that question because the outlook on the underlying...

Moderator:
I'm sorry, sir, you're not audible. Ladies and gentlemen, please stay connected, we've lost the management line. Ladies and gentlemen, we have the management team back online. Chintan?

Chintan Joshi
Yes, I am still here. I think Anindya was answering my question. I will let him finish.

Anindya Banerjee
Yes. I don't know where you lost us.

Chintan:
Pretty much from the start.

Anindya Banerjee:
Essentially, it's very difficult to make a prediction at the current time because this is an evolving situation, but as we said we believe the system is going into it with a reasonable degree of resilience. So, we will wait and see how the demand conditions pan out. I think as far as we are concerned, we see that we have strong levels of capital, liquidity funding and a large franchise and we would continue to try to use that to grow the business. Of course, we'll have to keep calibrating the risk acceptance levels as we go along.

Chintan:
But are you seeing anything in your corporate or business banking book that looks like production is falling, slowing down, working capital limits are not getting utilized? Are you seeing a

ny stress in your early indicators?

Anindya Banerjee:
It's too early to make any call or generalization of that kind.

Chintan:
Okay. And then a quick follow-up on your cost of deposit point. I think you said that there should be some more residual re-pricing left, but you also said that kind of take the duration as 1 year, which is slightly contradictory. So, which is it? Is there kind of more to go on cost of deposit in terms of residual re-pricing?

Anindya Banerjee:
I guess, if you look at where the deposit rates were a little more than a year ago, they are at somewhat lower levels. And the large rate cut cycle happened in June and then there was some further cut, small cut in December. So, as I said, overall, on the margin side, we expect it to be range bound from here on.

Chintan:
Okay. And finally, on cost-to-income ratio. This year operating expenses growth has led top-line growth. Could we say we are committed to delivering positive jaws next year?

Anindya Banerjee:
We really look at the PPOP and the PBT post credit costs. So, it's not that we are looking at managing or targeting a particular cost-to-income metric. So obviously, our objective would be to grow revenues ahead of costs. So, we will see how it evolves. That's certainly the way in which we would like to drive the bank.

Chintan:
Thank you.

Moderator:
Thank you. Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference back to management for closing comments. Over to you, sir.

Anindya Banerjee:
Thank you very much and we'll be available to take questions if there are any follow-ups. Thank you.

Moderator:
Thank you. On behalf of ICICI Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines.